



United Nations

Financial report and audited financial statements

**for the 12-month period
from 1 July 2023 to 30 June 2024**

and

Report of the Board of Auditors

Volume II

United Nations peacekeeping operations

General Assembly

Official Records

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**for the 12-month period
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Report of the Board of Auditors

**Volume II
United Nations peacekeeping operations**



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Note

Symbols of United Nations documents are composed of letters combined with figures. Mention of such a symbol indicates a reference to a United Nations document.

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Abbreviations

BINUH	United Nations Integrated Office in Haiti
CEB	United Nations System Chief Executives Board for Coordination
COVID-19	Coronavirus disease
FAO	Food and Agriculture Organization of the United Nations
ICSC	International Civil Service Commission
ICT	Information and communications technology
IMF	International Monetary Fund
IOM	International Organization for Migration
IPSAS	International Public Sector Accounting Standards
MINURSO	United Nations Mission for the Referendum in Western Sahara
MINUSCA	United Nations Multidimensional Integrated Stabilization Mission in the Central African Republic
MINUSMA	United Nations Multidimensional Integrated Stabilization Mission in Mali
MONUSCO	United Nations Organization Stabilization Mission in the Democratic Republic of the Congo
NGO	Non-governmental organizations
OHCHR	Office of the United Nations High Commissioner for Human Rights
OIOS	Office of Internal Oversight Services
UN-Women	United Nations Entity for Gender Equality and the Empowerment of Women
UNAMA	United Nations Assistance Mission in Afghanistan
UNAMI	United Nations Assistance Mission for Iraq
UNAMID	African Union-United Nations Hybrid Operation in Darfur
UNDOF	United Nations Disengagement Observer Force
UNDP	United Nations Development Programme
UNEP	United Nations Environment Programme
UNFPA	United Nations Population Fund
UNFICYP	United Nations Peacekeeping Force in Cyprus
UNHCR	Office of the United Nations High Commissioner for Refugees
UNICEF	United Nations Children's Fund

UNIFIL	United Nations Interim Force in Lebanon
UNISFA	United Nations Interim Security Force for Abyei
UNMIK	United Nations Interim Administration Mission in Kosovo
UNMIL	United Nations Mission in Liberia
UNMISS	United Nations Mission in South Sudan
UNOCI	United Nations Operation in Côte d'Ivoire
UNODC	United Nations Office on Drugs and Crime
UNOPS	United Nations Office for Project Services
UNSMIL	United Nations Support Mission in Libya
UNSOM	United Nations Assistance Mission in Somalia
UNSOS	United Nations Support Office in Somalia
UNTSO	United Nations Truce Supervision Organization

Letters of transmittal

Letter dated 30 September 2024 from the Secretary-General addressed to the Chair of the Board of Auditors

In accordance with financial regulation 6.2, I have the honour to submit the financial statements of the United Nations peacekeeping operations, for the 12-month period from 1 July 2023 to 30 June 2024, which I hereby approve. The financial statements have been completed and certified by the Controller as correct in all material respects.

Copies of these financial statements are also being transmitted to the Advisory Committee on Administrative and Budgetary Questions.

(Signed) António **Guterres**

**Letter dated 30 September 2024 from the Deputy Controller/
Director, Finance Division, Office of Programme Planning,
Finance and Budget, addressed to the Executive Secretary of the
Board of Auditors**

This is to transmit to the Board of Auditors a complete set of the United Nations peacekeeping financial statements (statements I, II, III, IV and V) for the period 1 July 2023 to 30 June 2024, including notes to the financial statements.

(Signed) Maria Costa

**Letter dated 15 January 2025 from the Chair of the Board of
Auditors addressed to the President of the General Assembly**

I have the honour to transmit to you the report of the Board of Auditors, together with the financial report and the audited financial statements of the United Nations peacekeeping operations for the financial period from 1 July 2023 to 30 June 2024.

(Signed) Pierre **Moscovici**
First President of the French Cour des comptes
Chair of the Board of Auditors

Chapter I

Report of the Board of Auditors on the financial statements: audit opinion

Opinion

We have audited the financial statements of the United Nations peacekeeping operations, which comprise the statement of financial position (statement I) as at 30 June 2024, and the statement of financial performance (statement II), the statement of changes in net assets (statement III), the statement of cash flows (statement IV) and the statement of comparison of budget and actual amounts (statement V) for the period then ended, as well as the notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the United Nations peacekeeping operations as at 30 June 2024 and their financial performance and cash flows for the period then ended, in accordance with the International Public Sector Accounting Standards (IPSAS).

Basis for opinion

We conducted our audit in accordance with the International Standards on Auditing. Our responsibilities under those standards are described in the section below entitled “Auditor’s responsibilities for the audit of the financial statements”. We are independent of the United Nations peacekeeping operations, in accordance with the ethical requirements relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with those requirements. We believe that the audit evidence that we have obtained is sufficient and appropriate to provide a basis for our opinion.

Information other than the financial statements and auditor’s report thereon

The Secretary-General is responsible for the other information, which comprises the financial report for the period ended 30 June 2024, contained in chapter IV below, but does not include the financial statements and our auditor’s report thereon.

Our opinion on the financial statements does not cover the other information, and we do not express any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, on the basis of the work that we have performed, we conclude that there is a material misstatement in the other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Secretary-General and those charged with governance for the financial statements

The Secretary-General is responsible for the preparation and fair presentation of the financial statements in accordance with IPSAS and for such internal control as the Secretary-General determines to be necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Secretary-General is responsible for assessing the ability of the United Nations peacekeeping operations to continue as a going concern, disclosing, as applicable, matters related to the going concern and using the going-concern basis of accounting unless the Secretary-General intends either to liquidate the United Nations peacekeeping operations or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the financial reporting process of the United Nations peacekeeping operations.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance as to whether the financial statements as a whole are free from material misstatements, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with the International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with the International Standards on Auditing, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement in the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting one resulting from error, as fraud may involve collusion, forgery, intentional omission, misrepresentation or the overriding of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control of the United Nations peacekeeping operations.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Secretary-General.
- Draw conclusions as to the appropriateness of the Secretary-General's use of the going-concern basis of accounting and, on the basis of the audit evidence obtained, whether a material uncertainty exists in relation to events or conditions that may cast significant doubt on the ability of the United Nations peacekeeping operations to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's

report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the United Nations peacekeeping operations to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other legal and regulatory requirements

Furthermore, in our opinion, the transactions of the United Nations peacekeeping operations that have come to our notice or that we have tested as part of our audit have, in all significant respects, been in accordance with the Financial Regulations and Rules of the United Nations and legislative authority.

In accordance with article VII of the Financial Regulations and Rules of the United Nations, we have also issued a long-form report on our audit of the United Nations peacekeeping operations.

(Signed) **Pierre Moscovici**

First President of the French Cour des comptes

(Lead Auditor)

Chair of the Board of Auditors

(Signed) **Hou Kai**

Auditor General of the People's Republic of China

(Signed) **Vital do Rêgo Filho**

President of the Brazilian Federal Court of Accounts

15 January 2025

Chapter II

Long-form report of the Board of Auditors

Summary

Audit opinion

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the United Nations peacekeeping operations as at 30 June 2024 and their financial performance and cash flows for the period then ended in accordance with IPSAS.

Scope of the present report

United Nations peacekeeping operations are deployed on the basis of Security Council mandates to maintain international peace and security. As at 30 June 2024, there were 11 active United Nations peacekeeping missions, with 62 countries contributing 53,920 military personnel and 85 countries contributing 6,137 police personnel. In addition, there were 10,746 civilian staff and 1,161 United Nations Volunteers.

The final peacekeeping budget for the financial period 2023/24 was \$6.35 billion, comparable to the previous period's budget. The audit included the peacekeeping headquarters, the 11 active field missions, the 35 closed missions and the 6 special-purpose accounts, namely, the Peacekeeping Reserve Fund; the support account for peacekeeping operations; the United Nations Logistics Base at Brindisi, Italy, including the United Nations Global Service Centre; the Regional Service Centre in Entebbe, Uganda; the peacekeeping cost-recovery fund; and the employee benefits fund.

Audit focus

In addition to the audit of the financial statements of the United Nations peacekeeping operations, the Board focused its audit, inter alia, on the management of the contingent-owned equipment, the life cycle of peacekeeping operations, the closure and liquidation of MINUSMA, cooperation between peacekeeping operations and the wider United Nations system and the status of the recommendations of previous reports and findings arising from on-site visits to the missions and centres.

Key findings

Financial management

Credit returns to Member States on closed missions

The accounting process of the provision for credit returns to Member States regarding closed missions, in the case of net cash surpluses being available, is done on a concomitant basis with payments authorized by the General Assembly, will affect the surplus or deficit of a single financial period rather than adjust the provision annually in accordance with IPSAS 19: Provisions, contingent liabilities and contingent assets. Should the standardized mechanism to return the cash surpluses be approved by the Assembly, the annual procedure should be formalized to record the internal follow-up process, as it is currently prepared for active missions, for which the balance of any appropriation retained for a budget period is surrendered at the end of a one- or a five-year-period.

Payables financial management

The due diligence controls overseen by the Administration regarding the performance securities provided by the contractors should be reinforced to prevent the risk of fraud and to limit the financial losses of the Organization when a contractor is in breach of its obligations, as OIOS reported in two missions in which significant presumptive fraud amount was reported to the Board.

Employee benefits liabilities

Non-current employee benefits liabilities amounted to \$1,599 million as at 30 June 2024. The estimate of the valuation of employee benefits liabilities is outsourced to a contracted actuarial firm. Efforts were made by the Administration to provide all appropriate documentation supporting the valuation, and improvement has been noted in the disclosure to the financial statements. However, progress in supporting the use of an apportioned rate of the total after-service health insurance liabilities of all retirees, as well as in assessing the enrolment rate of eligible retirees in the medical plans for the valuation in volume II, has to be made in order to value employee benefits liabilities properly.

Financial estimates of presumptive fraud cases

The financial estimates of presumptive fraud cases are determined on the basis of prior estimates made when those cases were discovered and are not based on a re-evaluated estimate at year end. The initial financial estimate of presumptive fraud cases should be updated to reflect any subsequent changes in estimates and the financial assessment of fraud cases should be improved at the field level.

Write-off schedule

The write-off schedule aggregates various sets of assets that do not have the same financial implication, and these should be specified. Furthermore, information regarding the subsequent disposal of assets is disclosed through the final disposition of assets report for missions under liquidation, once their liquidation is completed.

Cost recovery

At the end of the financial period 2023/24, the cost-recovery fund position was consistent with the related policy, given that the accumulated fund balance of \$95.3 million did not exceed the level of the previous year's expenses, which is the limit set in accordance with the policy (\$105.2 million in 2022/23). In line with the previous report of the Board, the Administration continued the analysis begun in the financial period 2022/23, in order to ensure a correct distinction and classification rules by missions of spendable and non-spendable cost-recovery revenue, which led to a return of \$15.9 million of non-spendable revenue and, therefore, credit returns to Member States in the 2023/24 financial statements.

The need for better data monitoring was identified specifically regarding financial information relating to receivables, net asset position, revenue and expenses by mission. Improved data collection with respect to client-type categorization would also assist in assessing the level of cooperation with the wider United Nations system in a more precise manner, given that United Nations agencies, funds and programmes represent half of external cost recovery. The information provided to agencies, funds and programmes as service recipients should be more detailed and comprehensive in order to ensure transparency.

Budgetary issues

The Board noted the exacerbated impact of liquidity issues on the management of missions during 2023/24. Owing to the inflexibility of group I (military and police personnel) and group II (civilian personnel) expenses, the impact was concentrated on group III (operational costs), leading to delays in and the reprioritization of projects.

Since June 2024, the closure of MINUSMA has led to the redirection of 181 purchase orders, with a book value of \$46.2 million, to other entities, which paid only for the cost of redirection, shipment and, where needed, installation. That process complied with the regulations and was efficiently managed. The information for 2023/24 will be presented to the General Assembly in the performance reports of the beneficiary entities in May 2025.

The United Nations Logistics Base and the Regional Service Centre have tenant units within their budgets that fall under various reporting lines or even various departments. This creates different processes for budget reports, results-based budgeting and enterprise risk management. The Board notes the Secretariat's intention to present these tenant units within their parent departments' budgets as from the 2025/26 period in order to address these challenges.

Field management

Budget redeployments within missions' budgets are allowed and flexibility is needed to accommodate the volatility of peacekeeping operations and meet urgent operational priorities. However, several cases were noted in which those redeployments raised questions. More broadly, the budget planning and preparation process needs to be further strengthened as much as possible, including the second line of defence, in order to keep these redeployments to a minimum.

Several deficiencies regarding fuel management in missions were noted with regard to shortages in strategic fuel reserves, excessive fuel consumption and abnormal consumption, which should be investigated in a timely manner.

The Board also notes the effect of the useful lives definition for property, plant and equipment in some missions that still use fully depreciated assets owing to more favourable field conditions. The total amount for the writing back of 10 per cent of historical costs for that property, plant and equipment, as well as other information on these assets, represents useful information that should be made available more easily to Member States.

Lastly, field-based audits showed that the current working procedures for danger pay claims required that a staff member complete an online danger pay form in Umoja that would be self-certified and automatically processed. Although Umoja business intelligence analytics reports are available to monitor payments of danger pay and entities are responsible for reviewing these and periodically analysing their data to make any required adjustments, this process involves a significant risk of incorrect payments being made.

Management of contingent-owned equipment*Preparation of the 2026 Working Group on Reimbursement of Contingent-Owned Equipment*

The Member State-led Working Group on Reimbursement of Contingent-Owned Equipment meets every three years in order to update the COE Manual. The Uniformed Capabilities Support Division, within the Department of Operational Support, assumes the role of secretariat. The implementation of the outcomes of the

2023 COE Working Group was deemed satisfactory and the preparation of the 2026 COE Working Group is well under way. However, challenges were noted, especially regarding the gathering and use of national cost data.

Claims processing

During the period 2019–2024, the average processing time for claims was 18 days, but that average masked a large variation in processing times between cases. In addition, the average processing time from claim creation to certification appears to be much longer for claims relating to the destruction of contingent-owned equipment due to hostile action, during transport or at the initiative of the Force Commander (i.e., force abandonment) than for claims relating to the regular reimbursement of major equipment and self-sustainment, due to lengthy exchanges with the Missions to obtain complete information and documentation.

Environmental issues regarding contingent-owned equipment

Since 2017, while the COE Manual has increasingly taken environmental issues into account, to date, only limited results can be evidenced. There remains much room for improvement, in particular by upgrading the Manual in terms of existing provisions regarding the environment and by clarifying some aspects that have not been addressed. Although any changes to the Manual are the prerogative of the Member States, the Secretariat is entitled to make proposals in this regard.

Key performance indicators

In line with the COE Manual, the key performance indicators describe major equipment and self-sustainment performances across all field missions against the requirements outlined in the memorandums of understanding between troop- and police-contributing countries and the United Nations. There remains room for improvement, notably in better coverage of environmental issues by isolating the contribution of contingent-owned equipment in the environmental performances of missions, or in better monitoring of the use of contingent-owned equipment.

Life cycle of peacekeeping operations

Strategic framework and planning

The Action for Peacekeeping and Action for Peacekeeping Plus initiatives provide a general framework for collective engagement, with a political commitment to United Nations peacekeeping. While the scope of Action for Peacekeeping Plus ended in 2023, it continues to be implemented and is still monitored as an active strategic framework. Although monitoring shows progress on many indicators, some of them show challenges that should be reviewed. Missions provide the requested data but could be more active in the implementation of follow-up to Action for Peacekeeping Plus priorities.

Most missions operate in a volatile environment. Although the mandates are the basis for all action to be taken, it is crucial to adopt a proactive stance and to plan for changes in the context in order to improve the ability to adapt, when needed. Scenario-based planning is therefore essential and should not be confused with contingency planning, which focuses on preserving human lives and capabilities, or with the signal of a potential drawdown, which would be the prerogative of the Security Council. Agile planning in response to an evolving context is also essential, as demonstrated in the case of the partial drawdown of MONUSCO.

Transition planning is essential and an important element in ensuring a positive legacy for missions when they close. All multidimensional peacekeeping operations

are required by the Security Council to integrate transition planning considerations into their planning, to varying degrees. This issue requires anticipation and ongoing support from United Nations Headquarters in order to facilitate the process, which is cross-cutting and complex.

Capacity to deploy: Peacekeeping Capability Readiness System and strategic deployment stocks

The Peacekeeping Capability Readiness System was developed to standardize exchanges with police- and troop-contributing Member States through a dedicated platform and to provide a real-time overview of the units registered in terms of the various levels of preparedness. Progress has been made recently on the requirements for the various levels of preparedness and should be complemented by ensuring the effectiveness of the verification visits. The Administration has also improved the frequency with which it communicates its needs for each category to the Member States.

The strategic deployment stocks are intended to enable the rapid deployment of capacities for United Nations peacekeeping operations. Owing to the low number of new missions, missions have acquired equipment from strategic deployment stocks only for surge and rotation purposes since the start-up of MINUSCA in 2014. New guidance was recently issued in order to adapt to this context in order to broaden the strategic deployment stocks client portfolio and to ensure a proper balance between rapid deployment capability and robust stock management practices, in order to avoid overstocking and obsolescence (in terms of quantity, 13 per cent of fixed assets have exceeded their life expectancy, while the readiness of strategic deployment stocks to support start-up is only 63.5 per cent).

Contingent-owned equipment and ammunition management in missions

The field audits confirmed the effectiveness of the inspections carried out on contingent-owned equipment. However, large amounts of equipment that have been unserviceable for several years were noted. Although progress has been made in this regard, further initiatives are expected during the 2026 COE Working Group, given that the stockpiling of unserviceable contingent-owned equipment poses a threat both environmentally and in the event of a drawdown.

The 2020 ammunition management manual provided a comprehensive framework within the missions. The processes have been duly implemented and led to significant improvements in ammunition management, notably through the creation of a weapons and ammunition advisory board in each mission. The disposal of expired ammunition remains a challenge, but the Board views the creation of a new ammunition tool within the uniformed capabilities management system as a positive development.

Environmental issues in missions

The environmental responsibility of peacekeeping operations has become an increasingly important subject in the political context, both at the level of the General Assembly and the Security Council. The first environmental strategy for peacekeeping operations was launched in 2017 and was completed in 2022 in the form of a policy that sets out compliance requirements by adapting relevant technical standards to the context of United Nations peacekeeping operations.

Following the implementation of that framework, environmental awareness and compliance have been increasing throughout the missions. While indicators show global progress on the various objectives, there remains room for improvement in

order to disseminate environmental priorities in all mission components. Support from specialized teams at Headquarters and the United Nations Logistics Base is also crucial in order to help the missions to improve their performance within the challenging environment in which they operate.

Drawdown and liquidation: various challenges in unique contexts

The Board audited the closure and liquidation of MINUSMA. With regard to overall organization and planning, no loss of life is considered a remarkable success, given the dire and expedited circumstances of the Mission's withdrawal. During the liquidation phase, coordination and consultation are key to ensuring smooth and efficient decision-making.

The withdrawal of United Nations-owned equipment and contingent-owned equipment was conducted in accordance with the relevant regulations, with an emphasis on a cost-benefit analysis, which allowed an estimated 51 per cent of the net book value of United Nations-owned equipment to be transferred to other missions and an estimated 61 per cent of the net book value of contingent-owned equipment to be repatriated as of June 2024. The rest of the equipment was either sold, gifted or disposed of.

The abrupt and unanticipated closure of MINUSMA resulted in various financial costs. A significant source of additional expenditure arose from fuel costs, caused first by increased prices of imported fuel and then by the ban on fuel imports, which led the Mission to purchase fuel from local vendors at higher prices. Fuel costs increased by \$6.6 million between August 2023 and June 2024. Furthermore, exceptional procurement procedures had to be used in that constrained context. Legal and financial risks are being addressed by the Administration.

Transition and legacy remain difficult challenges, given the circumstances of the withdrawal and the importance of MINUSMA resources and expertise in the various cooperative programmes that were under implementation at the time of closure.

More broadly, adequate planning and resources for the phase that follows the transition from a peacekeeping operation to a new United Nations configuration are key, including to ensure the continued quality of United Nations political engagement during that phase. Various mechanisms exist and are being assessed by the Administration in the context of the ongoing review of its transition policy. Lessons learned processes also need to be formalized through comprehensive reports.

Cooperation with the wider United Nations system

Cooperation on substantive issues

Multidimensional peacekeeping missions regularly rely on cooperation arrangements or mechanisms established at United Nations Headquarters. These various mechanisms are intended to leverage partnerships and draw on the experience and capacities of its core entities and to strengthen coherence of the United Nations system to address issues in areas related to peacebuilding (e.g., rule of law, gender, climate, and peace and security).

Cooperation frameworks, mechanisms and forums in the field support cooperation between peacekeeping operations and United Nations agencies, funds and programmes. The humanitarian cluster approach brings together humanitarian organizations, both United Nations and non-United Nations, across the main sectors or "clusters" of humanitarian action.

Peacekeeping operations have no mandate and thus no resources to undertake development projects. The formal mechanism mandated by Member States to coordinate the wider development efforts of the United Nations development system and the international community at the country level is the United Nations country team, with the United Nations Sustainable Development Cooperation Framework as the primary planning instrument. Under the leadership of the resident coordinators, cooperation with international financial institutions is being scaled up, although room for improvement remains. Other mechanisms also exist at the country level to support coordination between mission and humanitarian actors, as well as their engagement with the United Nations country team.

Cooperation during transition processes appears to be particularly crucial to achieve a positive reconfiguration of the United Nations presence on the ground. The signing of memorandums of understanding between peacekeeping operations and United Nations agencies, funds and programmes and the specialized support provided by the United Nations Transitions Project were identified as good practices in that regard.

Cooperation support

Cooperative funding relies on various instruments. The Peacebuilding Fund, which is part of United Nations operations as reported in volume I, plays an important role. Cost-recovery mechanisms, programmatic funding, trust funds, pooled funds and quick-impact projects are other tools used to facilitate cooperation between peacekeeping operations and United Nations agencies, funds and programmes, where appropriate.

The Board audited aspects of cooperation regarding back offices. With respect to inter-agency staff mobility, although the principle has been promoted through several documents and mechanisms, including a legal framework, effective cooperation may be hampered owing to a lack of data monitoring, significant differences of practice between entities and other obstacles. Therefore, very little progress can be observed. As regards collaborative procurement, the principle of mutual recognition has been enforced successfully, but implementation figures appear to be low.

Main recommendations

The Board has made 35 new recommendations on the basis of its audit. Details of how they can be implemented are provided throughout the report, notably in the paragraphs immediately following the formulation of each recommendation. The main recommendations are that the Administration:

Financial management

(a) Strengthen due diligence controls on contract administration regarding performance securities provided by contractors, in order to verify their authenticity;

(b) Identify all its eligible retirees and their dependents who accumulated after-service health insurance benefits and estimate their after-service health insurance benefits or liabilities as at the date for financial reporting in peacekeeping operations as reported in volume II, or, if not possible, document and formalize the use of the 17 per cent apportionment rate in determining the share of peacekeeping operations in total actual after-service health insurance costs;

(c) Continue to document and monitor the after-service health insurance enrolment rate of eligible participants and their eligible dependents in order to improve the accuracy of after-service health insurance liabilities valuation by, among others, including United Nations Staff Mutual Insurance Society against Sickness and Accident experience and the experience of longer periods under the United Nations Medical Insurance Plan;

(d) Improve the documentation regarding the process for the creation of the schedule of write-offs, in accordance with regulation 6.5 of the Financial Regulations and Rules, through a standard operating procedure;

(e) Prioritize and expedite the implementation of a cost-recovery dashboard, in order to provide client-type categorization (at least for agencies, funds and programmes) and to strengthen internal controls over cost recovery, especially by providing, on a rolling basis, data linked with Umoja relating to receivables, net asset position, revenue and expenses by mission;

(f) Finalize the budget transfer of the United Nations Logistics Base and the Regional Service Centre tenant units by unifying the processes for budget reports, results-based budgeting frameworks and enterprise risk management at the Logistics Base and the Regional Service Centre levels;

Management of contingent-owned equipment

(g) Prepare an issues paper for the consideration of the 2026 COE Working Group highlighting the challenges of the current methodology and proposing the mandating of a study to encourage more efficient gathering and use of national cost data;

(h) Process the contingent-owned equipment damage claims for hostile action or force abandonment within the targeted 90 days of receipt of claims from Member States, complete with documentation;

(i) Prepare a contribution on environmental issues before the next COE Working Group, in 2026, that identifies the areas in which improvement is most needed and examines where the rules should be clarified, where enhanced reimbursement rates might be introduced and where provisions might be made binding;

Life cycle of peacekeeping operations

(j) Take the opportunity of the revision of Action for Peacekeeping Plus to propose solutions to engage the missions in the implementation of and follow-up on Action for Peacekeeping Plus priorities;

(k) Strengthen scenario-based planning and regular planning exercises, in particular for missions that operate in volatile environments, to ensure that missions can identify and respond to risks and be ready to adjust their postures as circumstances change;

(l) Finalize the review and update of the strategic and operational plans of MONUSCO to align them with the new mandate and approach to the Mission's disengagement;

(m) Systematically include early transition planning in mission planning to ensure readiness and promote proactivity, with due consideration given to specific mandates and contexts;

(n) Finalize its transition preparedness tool in consultation with all stakeholders and ensure its dissemination in all peacekeeping operations, with

regular follow-up from United Nations Headquarters on the progress on the preparedness reviews;

(o) **Monitor the risk of Peacekeeping Capability Readiness System verification visits becoming dependent on extrabudgetary funding, assess whether the requisite visits can be conducted and, if not, propose mitigating action to seek more sustainable funding sources;**

(p) **Improve strategic deployment stocks management by striking the right balance between the ability for rapid deployment of the start-up phase of a peacekeeping mission and the management of the risk of strategic deployment stocks obsolescence, in line with the most recent guidance issued by the Department of Operational Support to the United Nations Logistics Base;**

(q) **Together with Member States, explore regulatory developments with a view to facilitating the disposal process of unserviceable contingent-owned equipment and thereby address the existing backlog within the peacekeeping operations' troop- and police-contributing countries;**

(r) **Complete the implementation of the new ammunition module tool in accordance with the established road map;**

(s) **Include environmental considerations in core category strategies to mitigate environmental risks;**

(t) **Propose solutions to Member States on the accumulation of waste in troop- and police-contributing countries' camps;**

(u) **Ensure that all closing missions produce a comprehensive lessons learned report to be submitted to United Nations Headquarters upon their closure;**

Cooperation between the peacekeeping operations and the wider United Nations system

(v) **Ensure the geographical co-location of integrated teams, as guided and supported by United Nations Headquarters-level joint mechanisms, in peacekeeping settings, wherever possible;**

(w) **Foster, on the basis of the experience in the Democratic Republic of the Congo and in other transition settings, and where appropriate, the signing of memorandums of understanding with the agencies, funds and programmes to frame and strengthen relationships during transition periods, and develop the expertise of United Nations staff by incorporating transition knowledge and, if possible, create a pool of transition specialists, to deploy in support of mission and United Nations country team planning to ensure effective transitions;**

(x) **Raise, at the High-Level Committee on Management, the issue of promoting inter-agency mobility in the human resources management policies of the entities of the United Nations common system.**

Follow-up on previous recommendations

Of the 53 outstanding recommendations endorsed by the General Assembly, 14 have been fully implemented, representing 26 per cent of outstanding recommendations, compared with 32 per cent in 2022/23. The Board noted, however, that only 26 of the 53 outstanding recommendations (49 per cent) had been endorsed by the Assembly as at 30 June 2024.

Key figures

11	Number of active peacekeeping missions
1,161	Number of United Nations Volunteers in peacekeeping missions
10,746	Number of civilian staff engaged in peacekeeping missions
85	Number of countries contributing police personnel
6,137	Number of police personnel engaged in peacekeeping missions
62	Number of countries contributing military personnel
53,920	Number of military personnel engaged in peacekeeping missions
\$3.97 billion	Assets
\$3.93 billion	Liabilities
\$0.04 billion	Net assets
\$6.80 billion	Revenue, including assessed contributions of \$6.30 billion
\$7.34 billion	Expenses (IPSAS basis)
\$0.54 billion	Deficit
\$1.76 billion	Employee salaries, allowances and benefits

A. Mandate, scope and methodology

1. The Board of Auditors audited the financial statements and reviewed the activities of the United Nations peacekeeping operations for the financial period from 1 July 2023 to 30 June 2024 in accordance with General Assembly resolution [74 \(I\)](#) of 1946. The audit was conducted in conformity with article VII of the Financial Regulations and Rules of the United Nations, as well as the International Standards on Auditing and the International Standards of Supreme Audit Institutions.

2. In 2023/24, the Board was able to conduct on-site audits, except for MINUSMA and UNIFIL (see also annex I).

3. The financial statements of the United Nations peacekeeping operations for the period ended 30 June 2024 are the eleventh set of statements prepared after the adoption of IPSAS. In addition, the financial report was issued on 15 November 2024.

4. The audit was conducted primarily to enable the Board to form an opinion as to whether the financial statements present fairly the financial position of the United Nations peacekeeping operations as at 30 June 2024 and the financial performance and cash flows for the accounting period of one financial period then ended in accordance with IPSAS. This included an assessment of whether the expenditure recorded in the financial statements had been incurred for the purposes approved by the governing bodies and whether the revenue and expenses had been properly classified and recorded in accordance with the Financial Regulations and Rules. The audit included a general review of financial systems and internal controls and an examination of the accounting records and other supporting evidence to the extent considered necessary to form an opinion on the financial statements.

5. Pursuant to paragraph 6 of General Assembly resolution [47/211](#), the Board continued its audit coverage at peacekeeping headquarters, the 11 active field missions, the 35 closed missions and the 6 special-purpose accounts (Peacekeeping Reserve Fund; support account for peacekeeping operations; United Nations Logistics Base; Regional Service Centre; peacekeeping cost-recovery fund; and employee benefits funds), as detailed in annex I to the present report.

6. In addition to the audit of the financial statements, the Board carried out reviews of peacekeeping operations under financial regulation 7.5, which allows it to make observations with respect to the efficiency of financial procedures, the accounting system, the internal financial controls and, in general, the administration and management of peacekeeping operations. During the present audit, the Board focused on the management of contingent-owned equipment, the life cycle of peacekeeping operations and cooperation between peacekeeping operations and the wider United Nations system.

7. The Board continued to report the results of audits to the Administration through management letters. The Board issued 13 management letters during the period under review.¹

8. The Board cooperated with OIOS in order to avoid unnecessary duplication and determine the extent to which the Board could rely on the work of the Office.

9. The present report covers matters that, in the opinion of the Board, should be brought to the attention of the General Assembly. The Board's observations and conclusions were communicated to the Administration, and their views have been appropriately reflected in the report.

B. Findings and recommendations

1. Follow-up on previous recommendations

10. In its resolutions [74/249 B](#), [75/242 B](#), [76/235 B](#), [77/253 B](#) and [78/242 B](#), the General Assembly requested the Secretary-General to ensure the full implementation of the recommendations of the Board of Auditors in a prompt and timely manner.

11. Of the 53 outstanding recommendations made in previous reports that the General Assembly had endorsed, 14 have been fully implemented, representing 26 per cent of outstanding recommendations, compared with 32 per cent in 2022/23. A total of 38 recommendations (72 per cent) remain under implementation. One recommendation is considered overtaken by events (2 per cent).

12. Of the 53 outstanding recommendations, 26 were issued in the previous report ([A/78/5 \(Vol. II\)](#)) and endorsed by the General Assembly as at 30 June 2024. Of those 26 recommendations, 6 (23 per cent) have been implemented and 19 (73 per cent) remain under implementation and 1 is considered overtaken by events (4 per cent).

13. With regard to the 27 pending recommendations issued prior to the previous report, 8 (30 per cent) were implemented during 2023/24, 5 (19 per cent) have been pending for more than three years, 2 (7 per cent) have remained open for three years and 12 (44 per cent) were made two years ago. Detailed follow-up to the recommendations issued during the previous six years is shown in annex II.

¹ The Board issued management letters to MINURSO, UNDOF, UNFICYP, UNIFIL, UNMIK, MONUSCO, UNISFA, UNSOS, MINUSMA, MINUSCA, UNMISS, the United Nations Logistics Base and the Regional Service Centre.

2. Financial overview

14. The financial period 2023/24 resulted in an increase in the deficit, which more than doubled compared with the previous period, reaching a level of \$541.9 million compared with \$237.0 million as at 30 June 2023. The deficit for the period was due mainly to the liquidation of MINUSMA, with assessed contributions decreasing by \$477.2 million and fixed assets and inventories being written off by \$153.1 million and \$30.8 million respectively, as well as an increase in the loss allowance on outstanding assessed contributions of \$101.2 million, including \$93.2 million following the closure of UNAMID. As a result of this deficit, net assets deteriorated from \$512.4 million as at 30 June 2023 to \$35.3 million, representing less than 1 per cent of total liabilities of \$3,936.9 million.

2.1. Revenue and expenses

15. Total expenses increased moderately, from \$7,226.7 million in the previous period to \$7,341.1 million in 2023/24 (an increase of 1.5 per cent). The increase was attributable mainly to other operating expenses, at \$247.7 million (an increase of 16.7 per cent), and was due mainly to the MINUSMA closure process and the related expenses.

Table II.1

Repartition of expenditure by financial statement category

(Millions of United States dollars)

	<i>Contingent contracted services</i>	<i>Employee salaries, allowances and benefits</i>	<i>Other operating expenses</i>	<i>Supplies and consumables</i>	<i>Non-employee compensation and allowances</i>	<i>Credits to Member States</i>	<i>Depreciation/ amortization/ impairment</i>	<i>Other expenses</i>
2023/24	2 235	1 761	1 743	639	268	399	157	139
2022/23	2 301	1 727	1 496	669	292	465	166	112
2021/22	2 282	1 726	1 647	642	292	214	169	120

Source: Financial statements of peacekeeping operations.

16. The trend of budget-based expenditure for active missions and support activities is shown below.

Table II.2

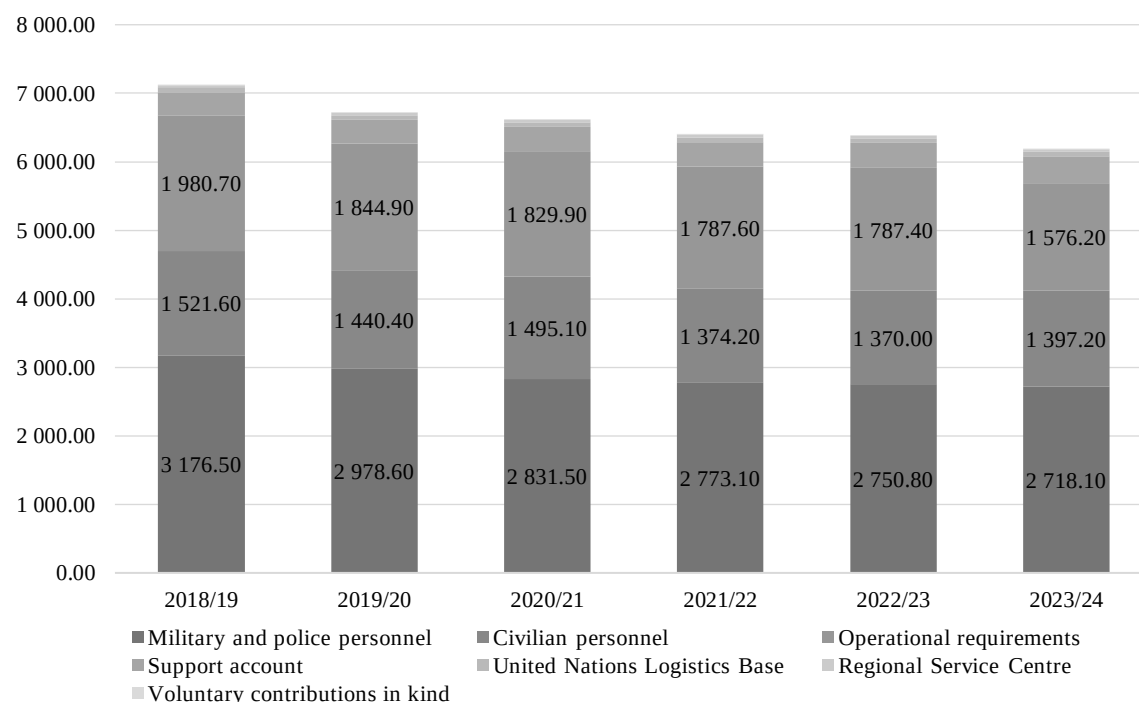
Actual expenditure of peacekeeping operations, by group

(Millions of United States dollars)

<i>Group</i>	<i>2018/19</i>	<i>2019/20</i>	<i>2020/21</i>	<i>2021/22</i>	<i>2022/23</i>	<i>2023/24</i>
Military and police personnel	3 176.5	2 978.6	2 831.5	2 773.1	2 750.8	2 718.1
Civilian personnel	1 521.6	1 440.4	1 495.1	1 374.2	1 370.0	1 397.2
Operational requirements	1 980.7	1 844.9	1 829.9	1 787.6	1 787.4	1 576.2
Support account	324.7	348.9	355.5	353.4	368.6	386.2
United Nations Logistics Base	82.1	63.3	62.1	65.6	64.3	65.8
Regional Service Centre	31.4	35.4	36.3	39.8	41.7	43.6
Voluntary contributions in kind	0.8	0.7	0.6	0.5	0.6	0.6
Total	7 117.8	6 712.2	6 611.0	6 394.2	6 383.4	6 187.7

Source: Financial statements of peacekeeping operations.

Figure II.I
Trend of expenditure
(Millions of United States dollars)



Source: Financial statements of peacekeeping operations.

17. Total revenue amounted to \$6,799.2 million for 2023/24, a decrease of \$190.5 million compared with the previous period (a decrease of 2.8 per cent). Assessed contributions were the main source of revenue, at \$6,296.4 million, 3 per cent lower compared with the previous period's figure of \$6,493.94 million (a decrease of 3.1 per cent). This decrease was due to the effect of a \$477.2 million decrease in assessed contributions allocated to MINUSMA, offset in part by an increase in income from other missions, notably MINUSCA (an increase of \$100.2 million). Assessed contributions represented 92.6 per cent of the revenue for 2023/24. Voluntary contributions amounted to \$347.9 million, representing 5.1 per cent of the revenue and an increase of 3.4 per cent compared with 2022/2023.

2.2. Assets and liabilities

18. The total assets of peacekeeping operations decreased from \$4,429.9 million as at 30 June 2023 to \$3,972.2 million as at 30 June 2024, owing mostly to the reduction in assessed contributions receivable (a decrease of \$313.4 million) and property, plant and equipment (a decrease of \$198.1 million). The value of financial investments, including cash, current and non-current, increased to \$1,094.7 million (an increase of \$131.8 million). The reduction in the receivables amount (assessed contributions and other receivables) contributed to the improvement of the cash ratio mentioned below.

19. Total liabilities remained stable, at \$3,936.9 million as at 30 June 2024, which represented an increase of \$19.4 million compared with the previous financial period. The most significant variations in liabilities were linked to provisions (an increase of \$94.1 million), including an increase of \$106.3 million regarding provisions for credits to Member States and employee benefits liabilities (an increase of \$30.3 million). Total liabilities are based mainly on estimates, notably for employee

benefits liabilities, a non-current amount of \$1,599.2 million and a current amount of \$107.8 million, and for provisions amounting to \$498.4 million. The latter relates primarily to credit returns to Member States in the amount of \$472.3 million.

20. Net assets decreased by \$477.1 million, from \$512.4 million as at 30 June 2023 to \$35.3 million as at 30 June 2024. This decrease resulted from the trends described above of a decrease on the asset side of \$457.7 million and an increase on the liabilities side of \$19.4 million. The net assets combine the restricted accumulated surpluses (\$111.4 million), the Peacekeeping Reserve Fund (\$150.0 million), the fair value reserve (-\$3.7 million) and a negative unrestricted accumulated deficit (-\$222.3 million). This account has supported a significant deterioration, owing mostly to the deficit in 2023/24 (-\$541.9 million), offset in part by the actuarial gains on employee benefits liabilities (\$57.3 million). The restricted accumulated surpluses remain unchanged (\$111.4 million). The reserves comprise the Peacekeeping Reserve Fund, which remained unchanged, and the fair value reserve, which reflects the accumulated unrealized loss, amounting to \$3.7 million at the closing date, and representing the net cumulative impact of the end-period revaluation on investments following the adoption of IPSAS 41.

21. Employee benefits liabilities and provisions are commitments that will require funding in future years. Among them are actuarial estimations of non-current after-service health insurance liabilities, in compliance with IPSAS 39: Employee benefits, amounting to \$1,324.5 million as at 30 June 2024.

2.3. Ratio analysis

22. The Board continued its review of the financial situation of the United Nations peacekeeping operations as reported in volume II through an analysis of key ratios, as shown in table II.3.

Table II.3
Capital structure ratios

<i>Ratios</i>	<i>30 June 2021</i>	<i>30 June 2022</i>	<i>30 June 2023</i>	<i>30 June 2024</i>
Asset position				
Assets-to-liabilities ratio^a				
Total assets: total liabilities	1.09	1.18	1.13	1.01
Current ratio^b				
Current assets: current liabilities	1.38	1.32	1.29	1.18
Liquidity position				
Cash ratio^c				
Cash + short-term investments: current liabilities	0.47	0.48	0.30	0.37
Quick ratio^d				
Cash + short-term investments + accounts receivable: current liabilities	1.22	1.17	1.10	1.03

Source: Board of Auditors, based on the financial statements of peacekeeping operations.

^a A high ratio (generally at least 1) indicates an entity's ability to meet its overall obligations.

^b A high ratio (generally at least 1) indicates an entity's ability to pay off its current liabilities.

^c The cash ratio indicates an entity's liquidity. It measures the coverage of liabilities by cash, cash equivalents and invested funds available.

^d The quick ratio indicates the potential ability to convert assets into liquidities quickly in order to face its current commitments. The higher the ratio, the higher the liquid current position.

23. The ratios illustrate the exposure of the Organization to liquidity risk. The safety margin to face current commitments is low, as is the global balance between assets and liabilities.

24. The cash ratio, which measures the ability of an entity to cover its current liabilities with cash (cash equivalent or invested funds), is established at the level of 0.37 for the volume II financial statements taken as a whole.

25. At the level of 11 active missions, the aggregated cash ratio is established at 0.30 for all active missions together as at 30 June 2024, which is a slight improvement compared with the previous period (0.21), owing mainly to the effects of the liquidation phase of MINUSMA on the reduction in its liabilities and thus the increase in its ratio (0.45, compared with 0.18 the previous period). Most peacekeeping missions did not improve their cash ratios owing to liquidity issues. The cross-borrowing between missions, which allows some relief for missions facing temporary liquidity shortages, was utilized less at the 2023/24 year end, with an amount of \$306.6 million borrowed for active missions as at 30 June 2024, compared with \$318.9 million at the end of 2022/23, owing primarily to the MINUSMA liquidation, given that it was no longer considered part of the available cash pooling mechanism. Therefore, the total resources available for cash pooling declined in 2023/24 compared with the prior year.

26. The financial report issued by the Administration (see chapter IV) gives details on the liquidity issues, in particular on the deterioration in the availability of cash for active peacekeeping operations. It is focused on the impact of the liquidation phase of MINUSMA, which was a main supplier in the cash pooling for active missions. In it, it is recalled that MINURSO, UNMIK, UNSOS and UNMISS faced cash shortages during the year and that MINUSCA faced significant liquidity issues at the end of June 2024 and borrowed from MONUSCO, UNISFA and UNIFIL.

2.4. Budgetary aspects

27. Although budgetary performance resulted in a lower level of expenditure compared with the approved budget, with a positive difference between actual revenue and expenditure of \$137.4 million, the situation of the deficit and the net assets deteriorated in the financial statements. Total actual expenditure (\$6,187 million) remained at the same level as the previous financial period.

28. This difference is due to the different scopes and parameters of the budget, based on forecasts of the transactions in the financial year compared with the financial statements, which include accrual estimates and are subject to IPSAS accounting rules. However, even if positive, the budgetary perception cannot overshadow the deterioration in the deficit and the net assets presented in the financial statements. The amounts shown in the financial statements enable Member States to measure the economic and financial situation affecting the Organization, beyond the income and expenditure during the period.

29. The final approved peacekeeping budget for the financial period 2023/24 was \$6,346.1 million, representing a decrease compared with the previous period, when it was \$6,468.0 million (a decrease of 2 per cent). The difference between the approved budget and actual expenditure was \$158.6 million.

30. Peacekeeping operations incurred expenditure of \$6,187.5 million against the approved budget of \$6,346.1 million. The underexpenditure varied between 0.03 and 5.47 per cent across the 11 missions.

31. The total amount of budget redeployments² within missions for the financial period 2023/24 was \$90.5 million, including the United Nations Logistics Base, the support account and the Regional Service Centre (1 per cent of the original budget). Redeployments for the financial period 2023/24 amounted to \$129 million. The most significant redeployment related to MINUSMA (\$18.5 million, or 2.1 per cent of the approved budget). MINUSCA (\$13.5 million, or 1.1 per cent of the approved budget) and UNMISS (\$13.3 million, or 1 per cent of approved resources) also had redeployments. In the case of MINUSMA, there was a significant additional distribution of \$276.9 million (in addition to the original distribution of \$590.0 million) in accordance with General Assembly resolutions [77/312](#) and [78/250](#). UNMISS received \$15.5 million, authorized in accordance with the letter of the Chair of the Advisory Committee on Administrative and Budgetary Questions dated 12 December 2023. In some missions, budget redeployments, although modest in nature, raise questions about the transparency and reality of the budget forecasts (see chap. 3.4.1 below).

3. Financial management

3.1. Financial statements

3.1.1. Credit returns to Member States

32. Credit returns to Member States amounted to \$399.4 million as at 30 June 2024. This included provisions of \$387.2 million related to credit returns from active missions calculated by the Administration for the period 2023/24, and \$12.2 million related to returned cash assets from two closed peacekeeping missions, namely, UNMIL and UNOCI, following General Assembly resolutions [78/303](#) and [78/299](#).

33. The calculation of credit returns to Member States for active missions is determined each year by the Administration. The methodology is derived from financial regulations 5.3, 5.4 and 5.5 and the resolution related to each mission. It is specified in these regulations that the balance of any appropriation retained for a budget period will be surrendered at the end of a 12-month period and at the end of five years with respect to commitments to Governments.

34. The Board acknowledges the efforts of the Administration to enhance the treatment of the calculation of credit returns regarding active missions in the 2023/24 financial statements.

35. Indeed, the Administration has finalized its analysis of the technical issue in the Umoja Enterprise Core Component-funds management module in limited and specific situations that had an impact on the calculation of credit returns in previous years, and recognized additional credit returns of \$17.7 million in the 2023/24 financial statements.

36. Furthermore, the Board notes that the estimate of the provision recorded on credit returns each year by the Administration follows two processes. One relates to active missions, as indicated above. The second is related to closed missions, owing to their specific situation.

37. With regard to the closed missions, unlike for active missions, the Administration does not adjust annually the provision for credit returns. The Administration produces an annual report to the General Assembly at its request, but no annual adjustment is recorded in the financial statements.

38. The adjustment of provisions is aligned with the formal decision for payment by the General Assembly. For example, \$196.3 million and \$12.2 million were

² Redeployments between groups and within operational requirements at the mission level.

recorded in 2022/23 and 2023/24, respectively, with regard to net liquidity surpluses that were accumulated during prior years, as disclosed by the Administration in its annual reports to the Assembly.

39. In accordance with IPSAS 19: Provisions, contingent liabilities and contingent assets, this accounting method, on a concomitant basis with payments authorized by the General Assembly, will affect the surplus or deficit of a single financial period rather than adjust the provision annually.

40. If the payment of the credit returns is correctly conditioned to General Assembly approval, the Board considers that the recognition of the provisioning of these liabilities is mandatory according to IPSAS 19 and should not be conditioned to an authorization, given that these liabilities are eventually owed to Member States even if their payment is retained in line with the Assembly's resolution in that regard.

41. The Administration stated that it was not able to anticipate any process without legislative guidance for closed missions and therefore considered that a legal or constructive obligation to return the credits was not met, which is the basis on which a provision needs to be created. It also stated that the process of credit returns, the timing and the amount to be returned on closed missions were subject to decisions taken by the General Assembly.

42. Furthermore, the follow-up carried out by the Administration to determine net cash position required the analysis of various situations and conditions in compliance with General Assembly resolutions.

43. When a closed mission presents a cash surplus, the Administration determines the net cash position potentially available for credit returns, for which payment is subject to an Assembly resolution after adjustments in order to cover the claims by troop- and police-contributing countries in this mission and to Member States that have paid in full their assessed contributions to the closed mission (see resolution [76/280](#)).

44. On that basis, the Administration provides a precise and detailed annual report on the updated financial position of closed peacekeeping missions, which includes, in particular, the amount owed to Member States regarding credit returns on missions with net cash surpluses.

45. The Administration did not provide the Board with a standard operating procedure that outlined the process of calculating and the schedule of recording those credit returns on closed missions in the financial statements, and the related internal controls.

46. The Administration stated that the General Assembly made one-off ad hoc decisions on credit return of the missions that had submitted their final performance reports and on closed missions, and that, therefore, there was no established process of credit returns on closed missions approved by the Assembly. The Administration also stated that, with regard to the net cash available in the closed missions that were part of the updated financial position of closed peacekeeping missions, decision-making regarding the credit returns had been complex in relation to the need to retain cash for liquidity, as reported in the related report of the Secretary-General ([A/78/689](#) and Corr.1, para. 41). A mechanism related to the credit returns from closed missions was proposed in that report, but the Assembly did not decide on the mechanism during its seventy-eighth session. The Administration stated that it planned to resubmit a refined proposal to the Assembly during its seventy-ninth session (see [A/79/633](#)). Should this mechanism be approved, a standard operating procedure could be written. The Administration concluded that it was unable to anticipate any process without the relevant legislative guidance and that, pending approval of the mechanism, the

process of calculating and the recording of those credit returns on closed missions in the financial statements was yet to be concluded.

47. While the Board agrees with the Administration's statement concerning the need to build any policy on legislative guidance, it believes that, if the mechanism was approved by the General Assembly, a standard operating procedure should be established for the return of credits to Member States, describing the process and internal controls specific to the net cash available and the financial position of closed missions. This procedure should indicate the applicable Assembly resolutions, the main steps involved in calculating the net cash available, the accounting procedure, the key internal players responsible for monitoring this complex process, including the Headquarters sections responsible for monitoring and accounting, and the corresponding internal controls. The Secretariat agreed that, should the standardized mechanism be approved by the Assembly, the annual procedure will be formalized to record the internal monitoring process, as currently prepared for active missions.

3.1.2. Payables

Due diligence controls regarding performance securities documents provided by contractors

48. When a contract is signed with a vendor, the Administration may require the contractor to provide appropriate assurances in order to ensure the performance of the contractor's obligations. As a result, contractors must provide the United Nations with such assurances at their expense. These assurances can be either a letter of credit, an independent bank guarantee (also called a first demand guarantee) or a similar instrument accepted by the United Nations. A specific amount is determined for each contract and indicated in a specific "performance security" section in the signed contract.

49. During 2023/24, at the request of the Procurement Division, OIOS investigated a procurement issue in two peacekeeping missions. As at 30 June 2024, a significant presumptive fraud amount was reported to the Board regarding that case.

50. From 2018 to 2021, a vendor provided guarantee letters to the Procurement Division. When the contractor was shown to be in breach of contract, the Division initiated the process of withdrawing the performance guarantees owing to damages incurred by the United Nations, but this was not possible because it appeared that those performance guarantees had been forged. According to the OIOS investigation, it was established that the forged performance guarantees were allegedly made by a bank that had already gone into liquidation, even prior to the issuance of the first performance guarantees. Through the standard process to request and obtain performance guarantees, the fraudulent nature of the guarantee letters could not be detected when the written assurances were received.

51. That case shows that the internal controls regarding these assurances should be reinforced and be used to provide financial insurance to the Organization and reduce the risk of financial loss following the possible non-delivery on the part of the contractor. In addition, a threshold amount may be defined to strengthen internal controls, for example, by adding an extra level of control when the threshold is exceeded.

52. The Board recommends that the Administration strengthen due diligence controls on contract administration regarding performance securities provided by contractors, in order to verify their authenticity.

53. The Administration accepted the recommendation, noting that the proposed mechanism might require additional resource requirements, which would be

considered in the context of the next budget proposal, once the Administration was in a position to advise on the amount.

Vendor reconciliation in Umoja and associated internal controls

54. The Board carried out an external confirmation procedure (International Standard on Auditing 505: External confirmations) of 26 vendors as at 30 June 2024 so as to confirm the open balances in line with the list of amounts detailed by invoices and due from the United Nations peacekeeping operations. The vendors represented 61 per cent of the total balance of the accounts payable in the commercial vendor account as at the closing date.

55. The reconstitution of year-end vendor balances is part of audit diligence and is intended to confirm that all vendor transactions are recorded in the accounts on an accrual basis in accordance with IPSAS 1: Presentation of financial statements.³

56. As at the date of the audit, 21 responses had been received from the vendors, among which 20⁴ confirmed balances were unsuccessfully reconciled by the Board with those contained in volume II.

57. These differences⁵ may result from a lack of detail in suppliers' responses, which may not distinguish transactions corresponding to volume II from those related to volume I, or transactions that have not yet been recorded as invoiced in volume II vendors' payables, and thus require further investigation by the Administration.

58. Seven vendor balances were successfully reconciled by the Vendor Claims and Accounting Unit. The differences came from volume I transactions that were neither identified nor correctly separated from volume II invoices and balances in the vendors' responses. The Board understands that the reconciling for the vendors is challenging owing to difficulties in identifying transactions that have not yet been invoiced by vendors whose expenses are accrued as goods and services already received (awaiting invoice processing) in current liabilities.

59. Without calling into question volume II internal closing procedures, which ensure the existence, completeness and accuracy of outstanding balances from the vendors in the financial statements at the closing date with regard to difficulties encountered, a dedicated and automated Umoja query should be created so as to match automatic and manual accruals and the three levels (entities, service centres and Headquarters) of accounts payable controls for both audit and management purposes.

60. At the time of the audit, although the 20 vendors identified for whom balances had not been reconciled by the Board as at 30 June 2024 represented 58 per cent of the total debt recorded in the account, assurance of the reconciliation would also cover the other 892 vendors for whom an outstanding balance was recorded in the volume II financial statements at the 2023/24 year end.

61. The Administration indicated that no Umoja query could automatically reconcile vendor claims at various stages, given that multiple stages of the payables process were involved in the system. The vendor reconciliation performed for audit

³ The following is stated in paragraph 7 of IPSAS 1: "a basis of accounting under which transactions and other events are recognized when they occur (and not only when cash or its equivalent is received or paid). Therefore, the transactions and events are recorded in the accounting records and recognized in the financial statements of the periods to which they relate. The elements recognized under accrual accounting are assets, liabilities, net assets/equity, revenue and expenses" and liabilities as "present obligations of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits or service potential".

⁴ Representing 58 per cent of the payables balance booked in account 35101510 as at 30 June 2024.

⁵ The 20 unreconciled vendor balances ranged from \$0.073 million to \$17 million as at 30 June 2024.

purposes is manual and time-consuming, and some entries include those related to liabilities accounts, including accounts payable and other accrued current liabilities. The latter does not link to the accounts payable subsidiary ledger because it represents the accrual of goods and services received that are awaiting invoicing. The Administration also noted that a monthly monitoring dashboard was centrally created with respect to open current liabilities (including vendor balances), which provides a monitoring control through the analysis and review of all open current liability balances.

62. The Board is of the view that the monitoring of reconciliation of vendor balances should rely on improved coordination of the internal controls carried out:

(a) At a first level from the field missions, where they follow up the transactions locally with vendors and send invoices to the Regional Service Centre and other service centres;

(b) At a second level from the vendors service line within the Regional Service Centre and other service centres, which books invoices in Umoja on behalf of field missions;

(c) At a third level at United Nations Headquarters, where global cross-mission controls are performed for the purpose of ensuring correct open balances monthly and for volume II reporting.

63. The Administration stated that most internal controls were embedded in full within Umoja and that monthly monitoring through the internal control dashboard and specific year-end activities ensured the completeness of liability reporting at every level. The Board will consider this statement in future audit work on vendor reconciliation.

Discrepancies within the vendor database in Umoja

64. A vendor database is managed in Umoja by the master data management team, under the Office of Programme Planning Finance and Budget.

65. Controls are performed on United Nations suppliers prior to their registration. The vendors are required to provide information, including company name and address. This information is verified by the master data management team, while banking details are processed and verified by the Cashier's Office. At the end of the vendor registration process, Umoja assigns a unique business partner number to each registered supplier.

66. As at the 2023/24 year end, the Board had conducted tests on the reliability of the United Nations vendor database in Umoja, especially regarding the presence of active vendor duplications.

67. The review of the vendor database revealed some discrepancies regarding vendor data management, with some duplication of active business partner references in Umoja or the same bank accounts details that were used by different business partners.

68. For example, the same bank details were used by three different vendors, with the name of the bank account holder that referred either to a physical person or to a company. In another example, the same bank details were used by two different vendors that corresponded to the same entity. According to the Board's review performed in October 2024, all those vendors were still declared as "active" in the Umoja system and none had been blocked, nor archived, in order to remove duplicates.

69. This situation may create uncertainty in the reconciliation of accounts payable, given that the existence of multiple vendors in Umoja could lead to an incorrect accounting of invoices and payments, with the risk of an overvaluation or undervaluation of balance sheets categories.

70. The Administration underlined that a previous audit recommendation, made in 2019, had addressed the issue of bank accounts shared by multiple business partners (A/74/153, para. 83). Since that recommendation, the Administration has invested significant time and resources to implement frameworks for identifying cases of multiple business partners sharing bank accounts and potential duplicate business partner records.

71. However, a comprehensive review has been delayed owing to the large volume of Umoja business partner records, capacity constraints and competing priorities, in particular during the COVID-19 pandemic and the recent Umoja upgrade. Nevertheless, the review is expected to be completed by the end of 2026, subject to the availability of additional resources being allocated to the exercise.

3.1.3. Employee benefits liabilities

72. Non-current employee benefits liabilities amounted to \$1,599.2 million as at 30 June 2024, an increase of \$1.4 million compared with the same period in 2023, which stood at \$1,597.8 million. Current employee benefits liabilities amounted to \$107.8 million, an increase of \$28.9 million compared with \$78.9 million as at 30 June 2023.

73. The estimation of the valuation of employee benefits liabilities is outsourced to an actuary firm through a contract that also covers other agencies, funds and programmes in the United Nations system.

74. The Board reviewed the process, leading not only to the calculation of the amount of non-current employee benefits liabilities, but also to the preparation of the financial statements in accordance with IPSAS 39.

Valuation of retirees' after-service health insurance benefits

75. The valuation of retirees' after-service health insurance benefits for financial reporting in the financial statements uses an apportionment rate of 17 per cent of the total after-service health insurance liabilities of all retirees (both for volumes I and II). This rate needs to be supported by evidence to ensure its consistency with current and expected experience.

76. The number of active staff used for the valuation of after-service health benefits for the volume II financial statements covered as at 30 June 2024 was 10,229.

77. The number of retirees could not be split between volume I and volume II by the Administration. This is a consequence of the lack of details on what type of fund staff retired from in the legacy system (Integrated Management Information System) and prior to that System. Instead, the resulting liability was apportioned using an estimate, established at 17 per cent of the total number of retirees for both volumes I and II.

78. The rate resulted in liabilities related to retirees amounting to \$456.8 million in the 2023/24 financial statements, as shown in table II.4.

Table II.4
Defined benefit obligation related to retirees, as at 30 June 2024 (vol. II)

(Millions of United States dollars)

<i>Number of retirees' (regular budget, peacekeeping operations and extrabudgetary)</i>	<i>Total defined benefit obligation</i>	<i>Applied rate for peacekeeping operations (percentage)</i>	<i>Peacekeeping operations defined benefit obligation</i>
12 578	2 687.3	17.0	456.8

Source: Data provided by the Administration.

Note: Overall after-service health insurance liabilities for retirees, amounting to \$2.68 billion, have been estimated by the actuary. This amount is not reported in the financial statements or in the actuarial report.

79. With regard to the use of the specific apportionment rate of 17 per cent, neither sufficient documentation nor numerical analysis underlying the estimation of this rate was provided to the Board.

80. Moreover, the apportionment rate is not disclosed in the notes to the financial statements.

81. The lack of the above-mentioned documentation affects only retired participants. Indeed, no apportionment rate is applied to active participants, given that all the necessary information is available in Umoja in this regard.

82. The Administration explained that, following a previous recommendation of the Board in 2021, an internal study had been carried out by the Administration of retirees who enrolled in after-service health insurance over the previous 20 years. It showed that some 17 per cent of after-service health insurance enrollees retired from peacekeeping operations-funded posts (as reported in volume II), while 69 per cent retired from regular budget posts and the remaining 14 per cent retired from extrabudgetary-funded posts. The Administration indicated that that internal study had not been documented or formalized.

83. The Administration considered that the rate of 17 per cent was the best estimate available for the valuation of after-service health insurance liabilities. It also indicated that some information on the retirees' final place of employment, which is the criterion for the breakdown of after-service health insurance between volumes I and II, was available for a portion of them in the legacy system.

84. Furthermore, regarding the actual after-service health insurance costs of the United Nations, the Administration also used an apportionment approach to split the total actual after-service health insurance costs by budgetary division (regular budget, peacekeeping operations and extrabudgetary), in view of funding after-service health insurance costs, which essentially relates to retirees. The apportionment rate used for budgeting purposes is different from the one used for financial reporting. The Administration indicated an approximate rate of 15 per cent for peacekeeping operations, compared with the 17 per cent used in financial reporting.

85. The Administration explained that the allocation ratios for the distribution of after-service health insurance funding of pay-as-you-go costs were under review. Nevertheless, for budgetary purposes, the ratio continues to be based on approximately 15 per cent allocated to peacekeeping operations.

86. For the Administration, the difference in the apportionment for funding purposes does not affect the valuation of after-service health insurance liability in the financial statements.

87. The Administration stated that, once the additional review of the apportionment of costs was completed, it was anticipated that the resulting ratios would be aligned for the apportionment of the liability and for budgeting for pay-as-you-go costs upon General Assembly approval.

88. Given the potential impact of any change in the apportionment rate, as shown in table II.5, the documentation of the 17 per cent apportionment rate is important, because a slight change in the apportionment rate could have a significant impact on the amount of the liabilities.

Table II.5

Impact on the defined benefit liabilities of the use of different apportionment rates, as at 30 June 2024

(Millions of United States dollars)

<i>Total defined benefit obligation</i>	<i>Apportionment rate applied (percentage)</i>	<i>Defined benefit obligation of peacekeeping operations</i>	<i>(Decrease)/increase</i>
2 687	12	322.5	(134.3)
2 687	15	403.1	(53.7)
2 687	17	456.8	–
2 687	18	483.7	26.9
2 687	20	537.5	80.7

Source: Board of Auditors.

89. Given that the apportionment is a significant management estimate, which has a notable impact on after-service health insurance liabilities, the Board considers that, in accordance with the conceptual framework of IPSAS, it should be disclosed in the notes to the financial statements in order to help users to understand the displayed information, even if the rate is already available in the actuarial valuation report.

90. The Board acknowledges the commitment of the Administration to document the calculation of the 17 per cent rate in a more user-friendly format and make it available to the Board for the next peacekeeping operations audit cycle.

91. The Board recommends that the Administration either identify all its eligible retirees and their dependents who accumulated after-service health insurance benefits and estimate their after-service health insurance benefits or liabilities as at the date for financial reporting in peacekeeping operations as reported in volume II, or, if not possible, document and formalize the use of the 17 per cent apportionment rate in determining the share of peacekeeping operations in total actual after-service health insurance costs.

92. The Administration accepted the recommendation.

Enrolment rate of active participants to health insurance plans

93. The enrolment rate of active participants in health insurance plans and their eligible dependents reaching retirement varied, compared with experience, which could affect the calculation of after-service health insurance liabilities.

94. As at 30 June 2024, peacekeeping operations active participants' after-service health insurance liabilities amounted to \$889.4 million, representing two thirds of the total after-service health insurance liabilities for peacekeeping operations as reported in volume II.

95. They are valued actuarially in accordance with the projected unit credit method, which is consistent with the requirements of paragraph 69 of IPSAS 39.

96. In this respect, the actuarial valuation of after-service health insurance liabilities includes an assumption that 95 per cent of active staff members (and their eligible dependents) who are eligible for after-service health insurance will participate in the health insurance plans at the time of retirement and that no retiree will leave these plans after retirement.

97. With regard to the assumption related to the proportion of active staff members who will enrol in after-service health insurance plans at retirement, the review of the information provided by the Administration for the past five years (2019–2023) showed that the enrolment rate for peacekeeping operations as reported in volume II, determined on the basis of information provided by the Health and Life Insurance Section, was slightly different from the actuarial assumption regarding the 95 per cent enrolment rate.

98. Indeed, as shown in table II.6, the average actual enrolment rate of eligible active participants in after-service health insurance plans reaching retirement was 92.7 per cent for the past five years, 2 per cent lower than the assumed actuarial rate. Moreover, this has been a decreasing trend for the past two years (2022 and 2023), with an average rate of 87.18 per cent, which is 9 per cent lower than the rate used in the valuation.

Table II.6

Average enrolment rate of eligible active participants in after-service health insurance plans reaching retirement

(Percentage)

<i>Year</i>	<i>Enrolled</i>	<i>Not enrolled</i>
2019	94.0	6.0
2020	98.2	0.8
2021	98.1	1.9
2022	89.5	10.5
2023	85.4	14.6
5-year average (2019–2023)	92.73	7.27
2-year average (2022–2023)	87.18	12.82

Source: Data provided by the Health and Life Insurance Section.

99. The valued amount of the liability for active participants and their eligible dependents in after-service health insurance plans is affected significantly by any change in the enrolment rate, however small. For example, an enrolment rate of 92.7 per cent could decrease the liability by \$20.2 million and an enrolment rate of 87.2 per cent could reduce the liability by \$69.6 million, as illustrated in table II.7.

Table II.7

Impact of a change in the enrolment rate on the defined benefit obligation, as at 30 June 2024

(Millions of United States dollars)

	Percentage	Active defined benefit obligation	Decrease
Assumed rate (actuarial valuation)	95.00	889.4	–
2022/2023 average rate (observed)	87.18	819.9	(69.5)
2019/2023 average rate (observed)	92.73	869.2	(20.2)

Source: Board of Auditors, based on individual defined benefit obligation for active participants provided by the Administration.

100. The Administration indicated that the preliminary results of the review performed showed low variance. After-service health insurance enrolment experience for eligible retirees for United Nations operations as reported in volume I showed 95.03 and for volumes I and II together it was 94.08 per cent. According to the Administration, the low average rate in 2022/23 is explained by the fact that the figure does not fully include the United Nations Medical Insurance Plan and the United Nations Staff Mutual Insurance Society against Sickness and Accident. The Administration estimated that the potential impact of the difference between rates on the liability would not be material and considered its position to be prudent and comparable to other United Nations agencies that also use the 95 per cent enrolment rate.

101. The Board acknowledges the commitment of the Administration to continue to monitor the development of the enrolment rate to improve its accuracy by including United Nations Staff Mutual Insurance Society against Sickness and Accident experience and additional years of Medical Insurance Plan experience after the migration of their data into Umoja.

102. The Board recommends that the Administration continue to document and monitor the after-service health insurance enrolment rate of eligible participants and their eligible dependents in order to improve the accuracy of the after-service health insurance liabilities valuation, by, among others, including the United Nations Staff Mutual Insurance Society against Sickness and Accident experience and the experience of longer periods under the United Nations Medical Insurance Plan.

103. The Administration accepted the recommendation.

3.1.4. Reconciliation of overpayments on staff advances

104. Staff advances, as disclosed under note 11 in the volume II financial statements, amounted to \$3.4 million as at 30 June 2024. As part of the audit procedures, the Board reviewed the nature and ageing of underlying transactions that comprise this balance. At year end, the advances were split between travel advances of \$1.2 million,⁶ salary advances of \$1.1 million and overpayments of \$1.1 million.⁷

105. The first two advance categories benefit from effective and operating procedures regarding the recovery of advances granted, supported by the automated

⁶ Umoja accounts 19109014 and 19109015.

⁷ Within the balance sheet for peacekeeping operations as reported in volume II, both salary advances and overpayments are booked mainly under staff members' payroll advance (Umoja accounts 19101610 and 19101614).

functionalities of Umoja. As at 30 June 2024, the transactions overdue by more than 12 months regarding travel and salary advances for peacekeeping operations as reported in volume II totalled \$0.1 million. With respect to the third category, on overpayments, the Board reviewed overdue advances amounting to \$0.6 million as at 30 June 2024 (i.e., 52 per cent of total overpayments of \$1.1 million). Although these amounts are below the materiality threshold, they show that improvements are needed in terms of the timeliness of clearing processes.

106. Overpayments refer to transactions that reflect amounts identified as having been unduly paid to staff members, which must be recovered by the Organization. Such amounts are therefore managed as advances until such time as they can be cleared through a deduction from payments owed to staff members or when a payment is received from them.

107. As at 30 June 2024, an ageing analysis of overpayments advances was performed and showed the following:

- (a) Overdue from 1 to 2 years: \$225,345;
- (b) Overdue from 2 to 4 years: \$136,673;
- (c) Overdue by more than 4 years: \$276,993.

108. Most cases relating to currently employed staff are settled by offsetting against salary payments and demonstrate a short settlement period. Cases leading to the accumulation of long-overdue items originate from retired or former staff, when amounts due by the Organization are non-existent or insufficient to cover the overpayment. They risk being deprioritized and disregarded after initial recognition. Recovery may ultimately be performed by deducting the pension entitlement at the time of the employee's departure.

109. Various reasons can lead to an undue overpayment, given that they result from exceptional cases related to any existing type of payment benefit. It may result from delays in managing personnel actions of an employee (e.g., late recording of special unpaid leave, which results in undue salary payments) or from late submission by employees of information regarding a change in profile (e.g., change in dependency profiles, resulting in the undue payment of all or part of the allowance).

110. Owing to these multiple causes, the settlement and clearing of overpayments may involve various departments and/sections in the field, at the Regional Service Centre or at Headquarters and require a detailed level of analysis. The Administration noted that a monthly monitoring dashboard was centrally created with respect to open advances and receivables, which was intended to expedite the clearing of overpayments. In addition, closing instructions for 2023/24 requested a submission of an "analysis of advances" by the field missions that was intended to review old advances. The Board noted that the staff members' payroll advances were presented with a level of aggregation that did not allow for the identification of overpayments among other sources of payroll advances or for the allowances for doubtful accounts recorded against them.

111. According to IPSAS 26: Impairment of cash-generating assets, "An entity shall assess at each reporting date whether there is any indication that an asset may be impaired ... An asset is impaired when its carrying amount exceeds its recoverable amount... If any such indication exists, the entity shall estimate the recoverable service amount of the asset". Therefore, advances should continue to be reviewed annually to identify any necessary impairment.

112. During the audit, the Board was unable to properly identify the department responsible – among human resources and payroll administrations at missions, the Regional Service Centre or at Headquarters – for the review of impairment of

overpayments and whether it had been performed for the closing of peacekeeping operations as reported in volume II as at 30 June 2024. Similarly, the Board could not obtain evidence that collectability had been regularly assessed and that efforts in recovering advances had been sufficiently implemented. Owing to the multiple causes of overpayment advances, no central responsibility has been clearly defined for periodically monitoring and clearing those long-outstanding cases that have progressively accumulated in the balance sheet for peacekeeping operations as reported in volume II.

113. The Board concludes that an effective process to ensure more timely clearing should be implemented for the settlement of long-overdue items. It should clearly state the stakeholders involved, define responsibilities and ensure that the review for impairment is performed for the annual closing for peacekeeping operations as reported in volume II.

114. The Board recommends that the Administration review the process of staff advances that are not subject to automatic recovery from Umoja, including clearing actions, periodic assessment for impairment and the responsibility levels among missions, the Regional Service Centre and Headquarters.

115. The Administration accepted the recommendation.

3.1.5. Financial estimation of presumptive fraud cases

116. In accordance with International Standard on Auditing 240: The auditor's responsibilities relating to fraud in an audit of financial statements, and International Standard of Supreme Audit Institutions 1240,⁸ actual and presumptive cases of fraud are reported annually to the Board on the basis of information gathered by the Administration (both OIOS and the Department of Management Strategy, Policy and Compliance), as part of the audit of peacekeeping operations as reported in volume II. The information is provided in a specific fraud and presumptive fraud report, which is sent to the Board with internal case references and estimated amounts on a case-by-case basis. Furthermore, the schedule of fraud transmitted by the Administration has to be considered in the framework of the International Standards on Auditing applicable to auditors, in accordance with International Standard on Auditing 720 (revised): The auditor's responsibilities relating to other information" (see chap. II.C below).

117. As at 30 June 2024, the Administration reported 8 cases of fraud amounting to \$0.025 million and 144 cases of presumptive fraud amounting to \$60.3 million.

118. The review performed by the Board on a sample of fraud and presumptive fraud cases revealed that some financial estimates had been determined on the basis of a prior estimate, when those cases were initially discovered, rather than on the basis of a reassessed estimation at year end.

119. No financial estimate for 68 of the 144 presumptive fraud cases reported at 2023/24 year end was available, given that those amounts were "undetermined or not applicable". The Administration stated that these included cases in which the fraud had no quantifiable financial implications for the Organization (e.g., matters relating to forgery of an official United Nations document, misrepresentation of educational qualifications in a job application, or other recruitment irregularities), or where an allegation of fraud was received without any initial estimate of the potential financial implication. For such allegations of presumptive fraud, a fact-finding investigation is

⁸ International Standard of Supreme Audit Institutions 1240 adapts International Standard on Auditing 240 to audits in public sector entities by supreme audit institutions.

required to assess the scope of the possible fraud and any financial implications to the Organization.

120. With respect to the remaining 76 presumptive fraud cases, their financial estimate is performed when a potential fraud case is discovered or when wrongdoing is reported. For example, if a whistle-blower indicates that presumptive fraud is likely and provides an estimate, these amounts are checked during the investigation and analysed during year-end closing, and a revised estimate of financial implications is used at the conclusion of the fact-finding investigation.

121. However, of the presumptive fraud cases reviewed, the financial estimate may not reflect the actual eventual financial loss to the Organization. Therefore, unless properly explained, the amount reported may be artificially overstating or understating the eventual loss.

122. Consequently, the financial assessment of presumptive fraud cases should be improved at the field level in order to evaluate, as far as possible, the potential financial loss for the Organization.

123. As regards this financial assessment of fraud cases, the Administration stated that a reliable calculation of loss to the Organization might be possible only after an investigation, whether by OIOS or other entity, had been completed and action taken by the officials responsible to mitigate or recover potential losses. The Administration reiterated that, as a result, there was no need to refine the methodology for assessing cases of presumptive fraud because it would not change the amount reported at year end while an investigation was under way and the most accurate estimate were those already used.

3.1.6. Schedule of write-offs transmitted to the Board of Auditors

124. The Administration reported to the Board that, as at 30 June 2024, property, plant and equipment, inventories and receivables amounting to \$198 million had been written off during the period (\$9.8 million in 2022/23; \$79.1 million in 2021/22; \$65.7 million in 2020/21).

125. As indicated in paragraph 662 below, the schedule of write-offs for 2023/24 has been reported to the Board in compliance with the regulation 6.5 of the Financial Regulations and Rules and in accordance with the rule 106.7 of the same.⁹

126. Furthermore, the schedule of write-offs transmitted by the Administration has to be considered in the framework of the International Standards on Auditing applicable to auditors, in accordance with International Standard on Auditing 720 (revised). Therefore, the auditors performed a bridge analysis between the information provided and the financial statements, and between the underlying accounting data and the supporting information on a sample of write-offs.

127. The write-off schedule on property, plant and equipment is categorized according to the reasons for their withdrawal from the financial statements. It is presented as follows for the period 2023/24:

- (a) Real estate: \$122.8 million;
- (i) Damages, accidents and malfunctions: none;

⁹ It is stated in rule 106.7 that “The Secretary-General may, after investigation, authorize the writing-off of losses of assets, including cash, receivables, property, plant and equipment, inventories and intangible assets. A summary statement of losses shall be provided to the Board of Auditors not later than three months following the end of the financial period” and “The investigation shall in each case fix the responsibility, if any, attaching to any official(s) of the United Nations for the loss or losses. Such official(s) may be required to reimburse the United Nations either partially or in full. Final determination as to all surcharges to be made against staff members or others as the result of losses will be made by the Secretary-General”.

- (ii) Reported loss: none;
- (iii) Surplus: \$118.2 million;
- (iv) Uneconomical to recover and others: \$4.6 million;
- (b) Equipment: \$39.0 million:
 - (i) Normal wear and tear and others: \$7.3 million;
 - (ii) Damages, accidents and malfunctions: \$2.0 million;
 - (iii) Hostile actions, loss and theft: \$3.1 million;
 - (iv) Surplus: \$26.6 million.

128. In addition, and in accordance with the Financial Regulations and Rules, the schedule of write-offs also shows receivables written off (\$1.9 million) and inventories written off (\$34.3 million). It also specifies that no cash write-off was recorded during the period.

129. The Board noted there was room for improvement to enhance the consistency and the clarity of the write-off schedule provided by the Administration, as described in the following paragraphs.

Notion of surplus requires clarification

130. The schedule of write-offs provided to the Board and note 12 to the financial statements refer to a United Nations internal notion of “surplus” for significant amounts written off.

131. As at 30 June 2024, write-offs categorized as surplus amounted to \$118.2 million, with respect to real estate, of which 99.5 percent related to MINUSMA and \$26.6 million for equipment, totalling \$144.8 million.

132. With regard to surplus, the Administration provided the following:

Property is declared surplus if it is in good operational condition and in excess of current and future operating requirements of the Organization. Such circumstances may, amongst other reasons, be a result of downsizing, reorganization, reduction or change of a mandate, completion of a project, or closure of an office.¹⁰

Or, any property in good condition that is not required for current or future operations.¹¹

Or, property can be declared as surplus in the system for redistribution to other entities when it has at least one year of useful life remaining and is in good condition.

133. Following the Board’s review, a formal definition of this notion was provided by the Administration: Surplus property refers to items that are in operational condition but exceed the current and future needs of the Organization. This surplus can arise from various circumstances, such as downsizing, reorganization, changes in mandate, suspension of a project, project completion, or office closure. To be formally declared surplus, it should have at least one year of remaining useful life and be in good condition. In addition, no other entity should have demonstrated a need for it. The Organization disposes of property when it is surplus to operational needs, obsolete or unserviceable, in accordance with financial rule 105.23.

¹⁰ Global Asset Management Policy Service, policy interpretation and guidance for the disposal of property, annex A (2022).

¹¹ Ibid., annex C.

134. The Board acknowledges that the Administration has updated the schedule of write-offs memorandum for the period 2023/24 and note 12 to the financial statements, to include a definition of the write-off “surplus”, which is a significant category, notably in the case of mission liquidation and/or downsizing.

135. The Board is of the view that the definition of surplus provided in the guidance in the field shall be aligned to the definition above to improve clarity and consistency.

Diverse categories included in the schedule of write-offs

136. According to regulation 6.5 of the Financial Regulations and Rules, the Secretary General may, after full investigation, authorize the writing-off of losses of assets, including cash, inventories and property, plant and equipment. The schedule of write-off covers assets derecognized owing to the absence of future economic benefits or service potential expected, but it also includes assets that have been disposed through sale or transfer. This aggregation in the schedule of write-offs could be misleading if not specified.

137. The Board noted that the schedule of write-offs included asset disposal, for example, with reasons for disposal including “damages, accidents and malfunctions” or “hostile actions, loss and theft”. The schedule also includes assets that were disposed through sale and, therefore, with economic benefits.

138. The Board reviewed disposal cases, noting that the accounting process and presentation in the financial statements were appropriate, except for the need for definitions of surplus mentioned above; only the presentation in the statement of write-offs is misleading.

139. In that regard, the Board is of the view that the schedule of write-offs should cover assets that present no future economic benefits nor service potential, and that represent losses. Otherwise, it should specify the other derecognitions included for more clarity (i.e., surplus sold and transfers).

140. The Administration stated that it intended to document, in a standard operating procedure, what was to be included in the memorandum in accordance with regulation 6.5 and how the information was to be derived from the enterprise resource planning system. It is intended that the standard operating procedure will ensure that the information included in the memorandum is more easily understood and will be reconciled with the financial statements.

Write-off of inventory

141. Notes 10 and 23 to the financial statements disclose the write-off of inventory amounting to \$39.3 million, of which \$34.3 million concerned MINUSMA. However, that write-off category was not disclosed in the initial transmittal to the Board of the schedule of write-offs, which was subsequently amended with regard to regulation 6.5 of the Financial Regulations and Rules.

142. As indicated above, the Administration indicated to the Board that it intended to establish a standard operating procedure. The Board expects that this will contribute to improving the completeness of disclosure of information regarding the write-off of inventories.

Information regarding the subsequent disposal and recovery of property, plant and equipment written off

143. The information regarding the subsequent disposal and recovery of property, plant and equipment written off is disclosed through the final disposition of assets report for missions under liquidation, once their liquidation is completed.

144. Additional information has been provided by the Administration to the Board regarding the planned method chosen for disposal (e.g., donation, destruction or sale).

145. The Board understands that detailed information was not available at the reporting date to link the status of disposals between assets to be donated, transferred or sold, but it underlines the need for better information for Member States on the actual disposal method used after the disposal is finalized.

146. The Administration stated that most of the items presented in the write-off memorandum for 2023/24 related to the MINUSMA liquidation and that information regarding details on the disposition of assets after derecognition would be comprehensively disclosed when the final disposition of assets report was presented to the relevant committees. Given that the disposition exercise is ongoing, it considers that it would be premature to report only a portion of the disposition at this stage, in particular given the situation on the ground and the tight timeline for the liquidation of the Mission. In addition, the records as at the end of June may include the planned method of disposition, which could have changed. The liquidation team will update the final disposition method prior to the production of the final disposition of assets report to ensure that all relevant information has been captured for reporting purposes.

147. This final disposition of assets report covers only missions that have been liquidated¹² and not active missions.

148. The Board recommends that the Administration improve the documentation regarding the process for the creation of the schedule of write-offs, in accordance with regulation 6.5 of the Financial Regulations and Rules, through a standard operating procedure.

149. The Administration accepted the recommendation.

3.2. Cost recovery

150. United Nations Secretariat departments, offices and missions may provide services within the scope of their mandates to both Secretariat (internally) and non-Secretariat entities (externally), including but not limited to United Nations agencies, funds and programmes. This cooperation mechanism is regulated by rule 105.11 of the Financial Regulations and Rules and by the cost-recovery policy guide of the Office of Programme Planning, Finance and Budget and the Office of the Controller, which require that any costs incurred to provide goods and services to non-assessed funded activities be recovered, given that assessed budgets should not support such external services (principle of no cross-subsidization). The Board reviewed the external cost-recovery process from the peacekeeping operations budget towards the wider United Nations system in order to demonstrate both the level of cooperation and compliance with the regulatory framework.

3.2.1. Management of cost recovery at the Headquarters level

151. The revenue generated from the cost-recovery fund emanating from Secretariat departments, offices or missions (internal sources), combining United Nations agencies, funds and programmes with NGOs, Governments and other external counterparts, is presented under the “other revenue – note 21” category. As at 30 June 2024, external cost recovery for peacekeeping operations as reported in volume II amounted to \$41.7 million, representing both an insignificant proportion (0.6 per cent) of total revenue (\$6,799.2 million), including assessed contributions, and the majority (69 per cent) of other revenue (\$60.7 million). While overall revenue tended

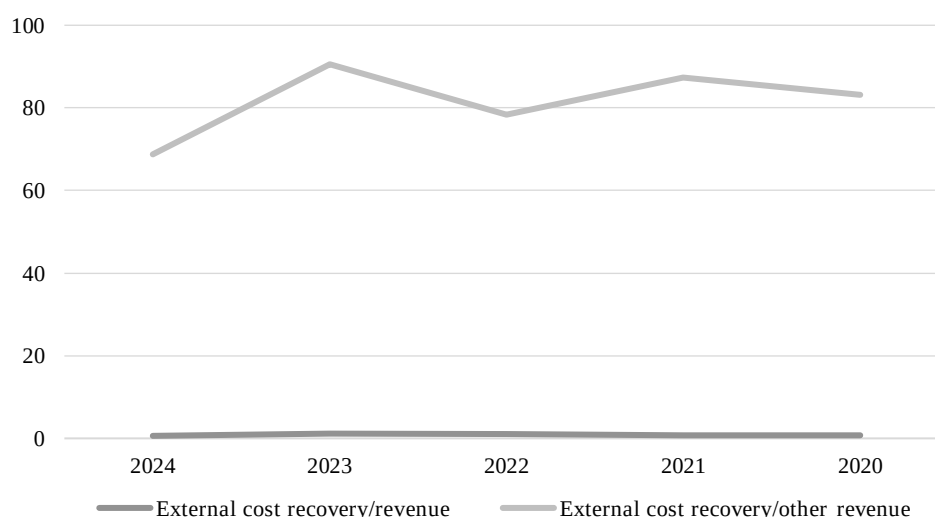
¹² In line with regulation 5.14 (e), “A report on the final disposition of assets for each liquidated peacekeeping operation shall be submitted to the General Assembly”.

to decrease in past years, cost recovery grew up to 2023. In 2024, it reached its lowest level since 2020: a decrease of 48 per cent, explained mainly by the MINUSMA liquidation.

Figure II.II

Proportion of external cost recovery within overall revenue for peacekeeping operations as reported in volume II, reported as total revenue and other revenue

(Percentage)



Source: Audited financial statements from 2020 to 2024.

Table II.8

Division of revenue within the financial statements

(Millions of United States dollars)

	Revenue	Other revenue	External cost recovery
2023/24	6 799.16	60.70	41.74
2022/23	6 989.67	89.15	80.73
2021/22	6 768.86	85.26	66.78
2020/21	7 210.42	60.42	52.78
2019/20	7 340.49	67.12	55.82

Source: Audited financial statements from 2020 to 2024.

152. The principle established in rule 105.11 of the Financial Regulations and Rules and in the cost-recovery policy guide mentioned above stipulates that revenue is the reimbursement of expenses and that the aim is not to make a profit. The accumulated fund balance generated by the cost-recovery mechanism through the years is included in the net assets of the volume II financial statements (\$95.3 million in 2023/24).

153. The Administration stated that while that “the aim is to make neither profit nor loss” as indicated in the policy, it did not imply that a fund balance was not allowed. This fund balance is required for service providers to operate across fiscal years and supports the continuous provision of services between the time when expenses are paid and cash is collected for the services being provided. The fund balance is also required to cover long-term costs, including, for example, the procurement of fixed

assets and staff liabilities. These long-term costs are reflected in the calculation of the service rates and result in the cumulative fund balance. To ensure that this fund balance remains at a reasonable level, a threshold of one year of expenses covered by cost recovery has been set in the policy.

154. At the end of financial year 2023/24, the cost-recovery fund balance was consistent with the policy:

(a) There was a deficit of \$19.0 million (deficit of \$9.8 million in 2022/23), which is consistent with the non-profit principle and the recommendation formulated by the Board in its report (A/78/5 (Vol. II), para. 454) concerning consumption;

(b) The accumulated fund balance of \$95.3 million did not exceed the limit set in the policy (\$105.2 million in 2022/23).

155. The net asset position related to the cost-recovery fund (\$95.3 million) comprised \$13.3 million related to MINUSMA. The Administration stated that, after the Mission's closure, 80 per cent of the residual fund balance would be reimbursed to Member States. The remaining portion will be retained in the accounts for potential residual costs.

156. Furthermore, the cost-recovery principle is founded on the distinction between spendable revenue and non-spendable revenue. Spendable revenue derives from services provided that were not already funded from the mission's budget: this revenue therefore covers the cost of services, which would not have occurred without a service-level agreement. Non-spendable revenue derives from services provided that were already funded by the mission's budget. Non-spendable revenue is returned to Member States to avoid double financing of the same service.

157. During 2023/24, in line with the previous report of the Board, the Administration continued its analysis begun in 2022/23, in order to ensure a correct distinction and classification rules by missions of spendable and non-spendable cost-recovery revenue.

158. Consequently, an adjustment of \$15.9 million was recorded in the accounts of peacekeeping operations as reported in volume II for 2023/24, representing the non-spendable revenue credit returned to Member States in the 2023/24 financial statements. This contributed to the reduction in the fund balance.

3.2.2. Process of estimating cost plans must be strengthened

159. Even considering the opportunities for the Administration offered by a fund balance, one explanation for its level could be that the basis and practices used to calculate revenue charged for the services provided to local United Nations agencies and partners is not sufficiently in line with the rules. Among those practices, the Board observed some weaknesses in the preparation of cost plans by the missions. These cost plans include forecasts for the utilization of the fund balance accumulated from previous fiscal years.

160. The Board conducted a review of the 11 active missions' cost plans for financial year 2023/24 on the following basis:

(a) Review of the correct creation of cost plans and their completeness, in particular in terms of forecasts, including the identification of clients, services, revenue and expenses;

(b) Verification of the forecasted utilization of the fund balance for missions with an excess fund balance;

(c) Reconciliation between forecasted expenses and revenue and the actual amounts for each mission.

161. The review showed that only three missions' cost plans complied in full with the internal rules stated in the cost-recovery policy guide in terms of presentation, fund balance consumption forecasts and projected revenue and expenses. For the remaining eight active missions, the tests highlighted the following:

(a) Only 50 per cent of missions required to forecast a plan for the consumption of accumulated fund balance did so;

(b) One third of the missions did not provide a sufficient level of detail in their cost plans, making comparison to actuals impossible. Services and clients were also insufficiently detailed;

(c) 75 per cent of missions presented significant discrepancies (more than a 15 per cent relative difference or a net gap of \$3 million) between forecasts and actual data.

162. Therefore, the cost plans appear to be disconnected from actual expenses and do not serve as an effective forecasting tool for cost recovery.

163. The Administration stated that it encouraged the revision of cost plans as required, but that cost plans remained an estimate. It also indicated that there was a low risk of insufficient revenue, given that United Nations Headquarters issued a partial budget allotment (50 to 75 per cent of revenue collected in the prior year) with the submission of a cost plan. Subsequent allotments are based on an analysis of actual revenue generated and expenses incurred in the current year.

164. The Board acknowledges the commitment of the Administration to reviewing cost plans, which could strengthen their estimation process.

3.2.3. Need for better data monitoring

165. Overall cost recovery is undertaken in some 10 Umoja modules, depending on where the revenue originates (e.g., sales orders, real estate, logistics, payroll and cost allocation). Therefore, cost-recovery revenue from each of these modules has a different level of detail and cannot be directly consolidated in a more detailed manner than the level of the general ledger revenue account and manual input from each service provider. The Board is of the view that this complexity in data architecture and purpose does not enable a reliable analysis of cost recovery by service type, service provider and recipient, which results in the Secretariat's inability to report reliably on United Nations peacekeeping operations cooperation with external clients and, especially, with agencies, funds and programmes.

166. The Board noted that the Office of Programme Planning, Finance and Budget was in the process of building a new cost-recovery dashboard that should bring together data from multiple modules in Umoja and facilitate cost-recovery analysis across various areas of the Organization (e.g., sales and distribution, monitoring, plant maintenance, payroll and real estate). It should provide a high-level view with key performance indicators (revenue, consumption, receivables and fund balance) for the Controller, heads of entities and chiefs/directors of mission support/administration, while supporting complex analysis and monitoring of daily cost-recovery operations by the Office's cost-recovery team, service providers and client entities, each from their own perspective. The cost-recovery dashboard will combine visual elements to support an understanding of the cost-recovery situation from various perspectives and traditional pre-defined reports to analyse data in more detail. In both cases, the underlying data models should be available for custom user analysis. The Board is of the view that this new tool should provide permanent and reliable analysis towards all service recipients, including agencies, funds and programmes.

167. The Board recommends that the Administration prioritize and expedite the implementation of a cost-recovery dashboard, in order to provide client-type categorization (at least for agencies, funds and programmes) and to strengthen internal controls over cost recovery, especially by providing, on a rolling basis, data linked with Umoja relating to receivables, net asset position, revenue and expenses by mission.

168. The Administration accepted the recommendation.

3.2.4. Cost recovery as an indicator of the level of cooperation with other United Nations entities

United Nations agencies, funds and programmes represent half of external cost recovery

169. The information presented in the financial statements takes into consideration their materiality as part of the overall financial information, which legitimates the aggregated presentation from a strictly IPSAS compliance point of view.

170. However, the Board identified that the granularity of the underlying data available in the current system used for financial reporting (finance (FI) ledger) did not provide information on service recipients or service provided, which would enable the differentiation of United Nations entities from other clients and an analysis of revenue by service provided. In order to obtain such detail and upon request, the Office of Programme Planning, Finance and Budget provided a report with revenue generated from external clients for the 2023/2024 fiscal year cost-recovery fund (20PCR) from a budgetary ledger perspective (Funds management (FM) ledger). The commitment item provides a high-level overview of services provided. However, these data could not be reconciled with the financial statements owing to fiscal years not fully aligning to budget years and serving different purposes.

171. Table II.9 shows that United Nations agencies represented half of 2024 external cost recovery.

Table II.9
2024 cost recovery by service recipient from the funds management ledger
(United States dollars)

Entity	2024
UNFPA	606 080.19
UNOPS	815 567.50
UNHCR	1 021 817.38
United Nations International Computing Centre	1 124 737.95
FAO	1 265 477.30
IOM	1 297 180.66
UNDP	1 494 925.57
UNICEF	2 405 902.94
WFP	4 095 140.48
Other United Nations (less than 500 000)	1 452 963.24
Non-United Nations	16 662 592.15
Total	32 242 385.36

Source: Office of Programme Planning, Finance and Budget, as at 30 June 2024.

Improved communication necessary to United Nations agencies, funds and programmes as service recipients

172. Cost recovery should follow principles provided in the cost-recovery policy guide. An entity supplying a service should recover in full all costs (direct and indirect) that are correctly associated with providing that service, aiming for a zero balance in a given period. By establishing a service-level agreement, parties agree on “services cost” that include both direct and indirect charges, in order to cover all costs related to providing the service and that are accounted by each peacekeeping operation entity in the cost-recovery fund (20PCR). In a given period, a surplus analysis of this fund by contract, service provider and recipient would enable the monitoring of compliance with the “full cost recovery” principle.

173. In order to ensure transparency and as presented in the cost-recovery policy, peacekeeping operation entities, as service providers, should periodically disclose to their service recipient a breakdown of all costs incurred, including details of each cost component, and corresponding income received. Given that transparency is deemed to be key for both parties, providing a periodic cost breakdown should allow both parties to have a clear understanding of the cost components. Even though this reporting on costing is included in the service-level agreement, the Board did not obtain evidence that all peacekeeping operation entities reported periodically to their United Nations partners, as service recipients, a breakdown of actual costs incurred by component and corresponding income received during the period.

174. The Board noted that the Business Transformation and Accountability Division monitored performance against a key performance indicator on “cost-recovery sustainability” in the delegation of authority monitoring framework. The key performance indicators measures the cost of services provided by the relevant entity against the accumulated fund balance in each reporting period. As an internal monitoring tool, the granularity of information provided in this analysis and the audience targeted was strictly internal, namely, heads of entity and designated staff in their teams. These data are not meant to be disclosed to United Nations partners, because of the granularity of data used for the analysis and of technological constraints restricting access to external parties. Although the Administration underlined that the Secretariat entities followed up with United Nations partners regarding outstanding receivables, the Board is of the view that this information (periodic reporting and ratio analysis disclosure to United Nations partners) could be more systematically and precisely communicated to United Nations partners to allow both parties to monitor compliance with the “full cost recovery” and “transparency” principles.

3.3. Budgetary issues

3.3.1. Impact of liquidity issues

Liquidity crisis has had impact on the ability of missions to implement their mandate efficiently

175. Cash availability issues have had consequences for missions, given that the Administration had to implement measures to manage the risk of spending above the available liquidity owing to the worsening liquidity situation. The allotments were deliberately released in instalments to ensure the availability of cash to support spending. For the peacekeeping operation, the liquidity crisis and the ensuing uncertainty have, in turn, resulted in significant additional work to prioritize spending in a more constrained budgetary situation compared with previous periods and to further postpone action in the event that the liquidity situation does not permit the issuance of allotments for the full budget approved by the General Assembly. The liquidity crisis had an impact on the implementation of the missions’ mandates

because some outputs and activities were delayed, postponed and/or cancelled, or funds were reprioritized to cover unplanned expenditure. There is also additional work and training required for missions to manage liquidity.

176. The cases of MINUSCA, UNISFA and MINURSO illustrate that the liquidity situation was one of the major challenges faced by missions in 2023/24, and the missions took measures to control cash while the amount of allotments to be issued was unknown. In MINUSCA, as at 1 July 2024, outstanding assessed contributions from Member States amounted to \$211.93 million, or 17 per cent of the allotment of the Mission for 2023/24. Among other missions, MINUSCA implemented austerity measures, such as a halt on all external and non-essential within-mission travel and a freeze on consultant hiring, except for critical needs and with available funding. In UNISFA, as at 30 June 2024, outstanding assessed contributions from Member States amounted to \$69.63 million (24 per cent of the allotment), with similar consequences. In MINURSO, outstanding assessed contributions from Member States amounted to \$48 million as at 30 June 2024 (74 per cent of the approved budget of \$65 million). The Mission had borrowed \$15.1 million as at 30 June 2024 (\$11.7 million from the Peacekeeping Reserve Fund and \$3.4 million from UNDOF). The carried-forward unliquidated obligations for 2023/24 amounted to \$2.78 million.

177. With regard to the previous report of the Board ([A/78/5 \(Vol. II\)](#)) on this specific matter and the request of the General Assembly, as set out in its resolution [76/272](#), the Secretary-General, during the seventy-ninth session of the Assembly, will propose in his report on improving the financial situation of the United Nations additional options to deal with the liquidity situation, in view of its deteriorating circumstances, for both the regular budget and peacekeeping operations.

Liquidity measures have varying levels of flexibility in the various budget groups

178. For the 2023/24 budget period, an examination of the appropriations available at the level of peacekeeping operations has revealed a significant difference between group I (military and police personnel), on the one hand, and groups II (civilian personnel) and III (operational costs), on the other.

179. In previous financial years, in response to the worsening liquidity situation, the approved budget was allotted to missions by the Office of Programme Planning Finance and Budget through Umoja in two instalments (advance allotment for 20 per cent of the amount recommended by the Advisory Committee on Administrative and Budgetary Questions in June N-1 (of the year before the beginning of the financial period) and the difference between the approved amount and advance allotment in July N, namely, a 100 per cent allocation from the beginning of each budget period N (the year when the financial period begins). By contrast, for the 2023/24 period, the resources for groups II and III period were made available to the missions in a deliberately staggered manner based on the missions' projection of expenditure and the Office of the Controller's projections of cash receipt from Member States. This change in the process was implemented to manage the risk of not receiving contributions and in response to the uncertainties surrounding the liquidity situation throughout the period.

180. Under the new process, the full allotment for group I was provided to the missions to enable financial commitments and the timely payment of full amounts due to troop- and police-contributing countries, where commitments have been made through memorandums of understanding and letters of assist. Given that payments to civilian personnel are not subject to automated budget control mechanisms and salary payments will still be processed even without an allotment, the allotment for group II is also done in stages because this does not hinder the payment of salaries. Missions have significantly more flexibility in managing expenditure related to group III, given

that, in some areas, commitments can be considered discretionary, whereas personnel payments to both civilian and troops and police personnel are considered essential. Therefore, the release of allotments for group III was subject to more careful projections of expenditure and prioritization to manage the liquidity crisis.

181. For groups II and III, peacekeeping operation received 75 per cent of their funding in August 2023, an additional 15 percent at the end of February 2024 and the remaining 10 percent on 25 April 2024.

182. In his memo dated 23 June 2024, the Controller stated the following:

Cash conservation measures for active peacekeeping operations are unavoidable now. Through the month of July and part of August, we request you to ensure that cash is conserved for the most critical legal obligations, and to avoid advance payments including to UN agencies. All payment transactions in Umoja other than staff salaries will fail if the available cash balance for your mission is exceeded; so it is important for each mission to carefully monitor the cash balance as well as the projected cash outflows every day.

183. In addition, it is stated in the August 2023 memo from the Controller governing the Office of Programme Planning, Finance and Budget's allotment that the additional allotment was conditional on an analysis of the cash situation and quarterly expenditure estimates: "The issuance of the remaining 25 per cent allotment for expenditure Groups II and III for the 2023/24 period will be subject to the assessment of the liquidity situation and the close monitoring of the cash outflows, in accordance with the high level of the quarterly spending provided".

184. Given this particularly tight liquidity situation, the payment of peacekeeping reimbursements (group I) to Member States for the last quarter of the 2023/24 budget period was studied closely, including a review of known incoming contributions.

185. In that regard, the Secretariat mentioned that a large contribution of \$439 million was received in the last few working days of the 2023/24 period. It also underlined that the full payment of peacekeeping reimbursement was not made in the last quarter of 2023/24. The reimbursement amount for contingent-owned equipment of \$169 million was paid in September 2024 when the liquidity situation improved.

186. The Board notes the measures taken by the Secretariat to manage the liquidity issue that was exacerbated during the 2023/24 period. With budgetary flexibility only in group III, a number of missions encountered problems with the completion of their planned projects, resulting in difficulties in implementing their mandates. The Board acknowledges the intention of the Secretary-General to propose additional options to deal with the liquidity crisis during the seventy-ninth session of the General Assembly.

3.3.2. Redirection of purchase orders from the United Nations Multidimensional Integrated Stabilization Mission in Mali to other entities

187. Following the closure of MINUSMA, rather than go to waste or create an additional burden on the liquidation team, a number of existing purchase orders had to be redirected to other entities for equipment and material that had not yet arrived in Mali and for which it was possible to change their logistical destination in conjunction with the suppliers. This large-scale movement was made possible through Umoja and was managed by the Global Procurement Support Section and the Forward Support and Deployment Hub, in accordance with the Hub's responsibilities for freight contracts. The United Nations Logistics Base provided management and coordination services, including virtual goods receipt and stock transfer orders.

188. From a budgetary and financial point of view, the recipients of these purchase orders, which, in practice, resulted in the transfer of equipment from MINUSMA and

the United Nations Logistics Base supply plant (respectively, ML10 and IT01) to their plant, paid only the cost of the redirection, shipment and, where needed, installation and not the total amount of the purchase orders committed from the MINUSMA budget.

189. In total, because of the closure of MINUSMA and under the supervision of the Global Procurement Support Section and the Forward Support and Deployment Hub, other field-based entities benefited from the reallocation of MINUSMA purchase orders in the amount of \$46.2 million (see table II.10).

Table II.10

Reallocation of United Nations Multidimensional Integrated Stabilization Mission in Mali purchase orders, by entity (2023/24)

(United States dollars)

<i>Beneficiary</i>	<i>Total order value</i>
United Nations Global Service Centre/United Nations reserve	16 704 496.25
UNMISS	8 396 633.81
UNIFIL	4 373 506.97
UNISFA	3 507 307.07
MINUSCA	3 374 889.90
Split among 5 entities (UNAMI, UNSOS, BINUH, UNSMIL and UNISFA)	2 314 980.00
Regional Service Centre staging area	2 283 982.50
UNSOS	1 331 208.82
MINURSO	1 027 590.53
Regional Service Centre	1 014 339.38
UNIFICYP	679 360.91
UNDOF	435 985.41
UNAMA	337 972.33
MONUSCO	254 597.03
Department of Operational Support/UNTSO – split	217 000.56
Total	46 253 851.47

Source: Data provided by the Administration (Office of Supply Chain Management).

190. During the Regional Service Centre audit, six purchase orders with a net value of \$1.3 million were transferred to the Regional Service Centre. The new equipment transferred consisted of:

(a) A total of 352 laptops (purchase orders 2200241071 and 2200236360) valued at \$406,000, and 15 additional laptops issued to civilian pre-deployment training at the Entebbe campus. As the Regional Service Centre mentioned in its 2023/24 budgetary supplementary information technology ratios a projected holding of 544 computers as at 30 June 2024, of which 106 were intended for training activities, the new laptops represent, all things being equal, a renewal of 67 per cent of the Centre's computer needs;

(b) A total of 100 Cisco networking modules (purchase order 2200232391) valued at \$902,590.

191. These two items represent 96 per cent of the value of the equipment transferred. From a budgetary point of view, these transfers of new equipment represent an

increase of 31 per cent compared with the \$4.2 million approved for the Regional Service Centre's communication and information technology needs for 2023/24.

192. The Controller, in his budget instruction for 2025/26, requested entities to ensure consideration of the cost avoidance resulting from the redirection of MINUSMA purchase orders, given that they have already covered part of their future needs. The Board considers that the legislative bodies should be provided with details, by category of expenditure, on the equipment acquired free of charge (excluding logistics costs) from MINUSMA. The Advisory Committee on Administrative and Budgetary Questions would therefore have all the information necessary to examine the transfers made from MINUSMA through the Mission's purchase orders reallocation, and to analyse the budget request report for 2025/26.

193. The Secretariat stated that MINUSMA expenditure was finalized as part of the financial statements for 2023/24 and that the performance report for 2023/24 would be presented to the General Assembly in May 2025. It also underlined that, while the equipment remained in various delivery stages, it was not possible to reflect the information in the benefitting missions' performance reports. The Secretariat agreed that the legislative bodies would be provided with the information on the equipment received from MINUSMA for other missions during consideration of the budget by those legislative bodies. The Board will follow up on this statement and the effective inclusion of the relevant information in the performance reports.

3.3.3. Tenant units in the United Nations Logistics Base and Regional Service Centre budgets

194. The Regional Service Centre and the United Nations Logistics Base have tenant units within their budgets that fall under various reporting lines or even Departments:

(a) The United Nations Logistics Base includes in its budget the tenant units, among others, the Standing Police Capacity and the Justice and Correction Standing Capacity, both of which report to the Department of Peace Operations, while the Logistics Base reports to the Department of Operational Support;

(b) The Regional Service Centre includes in its budget, since General Assembly resolution [75/294](#), the Global Procurement Support Section and the Forward Support and Deployment Hub, which report to the Procurement and Logistics Divisions, respectively, within the Office of Supply Chain Management, while the Regional Service Centre reports to the Office of Support Operations.

195. The Advisory Committee on Administrative and Budgetary Questions, in its report [A/75/822/Add.9](#), adopted by the General Assembly in its resolution [75/295](#), recommended that "the General Assembly request the Secretary-General to develop a clear and consistent policy on the criteria, including reporting lines and delegations of authority, for the establishment of tenant units in United Nations entities".

196. The existence of tenant units within the Regional Service Centre and United Nations Logistics Base budgets implies separate processes on budget reports and results-based budgeting frameworks. Before being incorporated into the Regional Service Centre budget, the tenant units' budgets are reviewed by their corresponding Headquarters departments. For the Regional Service Centre's activities, the Strategic Planning Unit prepares the planning assumptions and the Budget Unit, under the supervision of the Deputy Director, revises the results-based budgeting (expected accomplishment, indicators of achievement and outputs) with the units and sections concerned. The elements relating to the tenant units are communicated by the division and department to which they report.

197. In the case of results-based budgeting, the split of several performance indicators among different budget reports, although they are part of the same overall

strategy, makes it harder to assess the overall performance and its efficiency at all levels of implementation (global and regional). For example, the Global Procurement Support Section indicators are separate from those of the Procurement Division and the Forward Support and Deployment Hub indicators are separate from those of the Logistics Division.

198. This distinction is also reflected in the enterprise risk management implemented within the United Nations Logistics Base and the Regional Service Centre, given that the tenant units are not included in the scope, although their objectives are an integral part of those two entities' budget reports.

199. The Secretariat communicated a Controller's memo dated 29 October 2024 on change in the presentation of the 2025/26 peacekeeping budgetary reports of the Secretary-General (tenant units in the United Nations Logistics Base and the Regional Service Centre). The Logistics Base and Regional Service Centre tenant unit budgets will be presented in the budgets of the Department of Peace Operations and the Department of Operational Support for the 2025/26 financial year.

200. The Board recommends that the Administration finalize the budget transfer of the United Nations Logistics Base and the Regional Service Centre tenant units by unifying the processes for budget reports, results-based budgeting frameworks and enterprise risk management at the Logistics Base and Regional Service Centre levels.

201. The Administration accepted the recommendation.

3.4. Field management

3.4.1. Important budget redeployments in several missions

202. During the audits of UNSOS, MINUSCA, UNISFA and UNDOF for 2023/24, the Board considered budget redeployments among groups.

203. The principle of redeployment is allowed. For its part, the Advisory Committee on Administrative and Budgetary Questions reiterated "its concern regarding the continued redeployments of resources from military and police personnel costs and operational costs to civilian personnel costs, as well as redeployments between objects of expenditure within the major groups, which reflect the need for improvement in budget planning and preparation". It also reiterated "its recommendation that the General Assembly request the Secretary-General to conduct a review of the trends in redeployments to determine ways to improve budgetary discipline and reduce the need for redeployments".

204. The Administration stated that the Secretary-General, in his report on the overview of the financing of the United Nations peacekeeping operations ([A/77/779](#)), responded to that recommendation regarding the 2021/22 performance period. Furthermore, the Administration noted that, in 2023/24, in order to meet unforeseen requirements in civilian staffing owing to the onboarding of downsized MINUSMA staff, almost all missions were required to reprioritize resources and redeploy funds to the civilian budget class. The Administration underlined that this was an example of using the authority delegated to heads of mission or entity to redeploy resources across expenditure groups (I, II and III) within the overall amount approved, enabling them to deliver on their mandates in a flexible manner.

205. In UNSOS, \$6.1 million was redeployed from group I to group II and \$3.4 million from group I to group III. The total budget redeployment of \$9.5 million constituted 1.72 per cent of the approved budget for 2023/24.

206. The Administration stated that the redeployments were justified and that UNSOS was redeploying funds that were required owing to higher civilian personnel

costs due to increases in salary rates and lower vacancy rates following the onboarding of staff following the closure of MINUSMA, as well as redeployments to operational costs for additional security upgrades and the additional acquisition of field defence supplies due to increased mortar attacks.

207. In MINUSCA, 63 additional vehicles were purchased at a cost of \$2.94 million, representing a shortage of \$2.59 million compared with the approved budget, and resources had been redeployed from 10 other budget classes to cover the shortage.

208. The Administration clarified that that redeployment had been undertaken in accordance with the Controller's guidance on the administration of allotments dated 15 March 2021 and that the purchases were necessary to improve mobility in regions, in line with the MINUSCA decentralization strategy. In addition, MINUSCA needed to make significant reprioritization efforts under the operational group of funds to redeploy funds to group II to cover the additional personnel costs owing to lower vacancy rates from onboarding downsized MINUSMA staff and additional costs due to increased salary rates.

209. After the General Assembly had approved the proposal of the Advisory Committee on Administrative and Budgetary Questions to reduce the budget for UNISFA in 2023/24 for consulting services (\$181,900), official travel (\$70,700) and communications and information technology (\$86,100), the Force reallocated: (a) \$548,000 from other classes to consultants; (b) \$434,000 from other classes to official travel; and (c) \$618,000 from other classes to communications and information technology, owing to requirements that were needed for operations in the mission, in particular owing to the change in operating circumstances of the mission due to the conflict in Sudan.

210. The Administration stated that those redeployments were essential to meet urgent operational needs that arose after the budget had been approved and could not have been anticipated during the initial budget preparation phase.

211. In UNDOF, while the approved budget for 2023/24 included \$310,000 for the acquisition of vehicles, expenditure was \$1,136,137.85 owing to the additional purchase of minibuses for national staff transport due to changes in security conditions, resulting in overexpenditure of 267 per cent beyond the approved vehicle budget. To cover that overexpenditure, UNDOF redeployed \$500,000 from group I to ground transportation of group III for vehicle acquisition.

212. The Board acknowledges that missions need budgetary flexibility to accommodate the volatility of peacekeeping operations and meet urgent operational priorities. However, the budget planning and preparation process, including the second line of defence, needs to be further strengthened as much as possible in order to keep these redeployments to a minimum.

3.4.2. Deficiencies in fuel management

213. The audits of UNISFA, MINUSCA, UNDOF and UNSOS showed several deficiencies in fuel management, including shortages in strategic fuel reserves or critical fuel stocks, and abnormal fuel consumption not investigated in a timely manner.

Shortages in strategic fuel reserves

214. In UNISFA, at the time of the audit, the strategic fuel reserve for diesel was under 30 days of supply. The diesel strategic fuel reserve's minimum recorded number of days of supply was in April 2024, at 21. In the previous three years, the demand for fuel had increased annually, and the current level of strategic stocks was difficult to maintain at 30 days, which could have a negative impact on the efficient functioning of the mission.

215. The Administration stated that the mission had requested an adjustment of the strategic fuel reserve to be included in the replacement contract, which was to be concluded by July 2025.

216. In MINUSCA, comparing its inventory data as at 30 June 2024 with the contract amendment's requirements, the following shortfalls were noticed: shortfalls of jet A-1 fuel in 6 of 38 regions, totalling 1,719,426 litres (against a total requirement of 4,157,743 litres), and shortfalls of diesel in 31 of 38 regions, totalling 4,042,065 litres (against a total requirement of 9,112,033 litres).

217. The Board considers that a level of strategic fuel reserve that complies with relevant policies and guidelines is a strong guarantee of mandate implementation. The observed shortfall of fuel stock levels at several mission locations could pose a risk to their operational continuity and effectiveness.

Abnormal fuel consumption not investigated in a timely manner

218. In UNDOF, 30 vehicles (18 armoured vehicles and 12 light patrol vehicles) exceeded the adjusted standard fuel consumption unit for diesel fuel consumption, with a total overconsumption of 60,981.37 litres of diesel and an average overconsumption rate of 116 per cent. In UNISFA, there were 981 records (United Nations- and contingent-owned equipment) of abnormal fuel consumption of diesel, totalling 851,327 litres, accounting for 9.2 per cent of the total consumption of 9,255,194 litres. A total of 87.5 per cent of that overconsumption (745,254 litres and 122 records) was due to generator overconsumption, while 12.5 per cent (106,073 litres and 859 records) was due to vehicle and other overconsumption. In that regard, the Administration highlighted the combination of an ageing fleet and the specific operational environment within the camp, with a low speed limit, as important factors contributing to the abnormal fuel consumption. In addition, 18 vehicles at UNDOF had repeated fuel refilling records on the same day. In UNSOS, 82 vehicles, constituting 12 per cent of the total fleet of 715 vehicles, had repeated fuel refilling on the same day. No further investigation or adjustment was made to that abnormal fuel consumption.

219. The Board considers that an abnormal overconsumption of fuel may result in additional costs for the mission and suggest an increased risk of fraud. In addition, insufficient investigation may result in remedial action not being taken in a timely manner and the overall situation regarding abnormal fuel consumption not being improved.

Fuel crisis in the United Nations Support Office in Somalia

220. The audit of UNSOS showed a dire fuel crisis caused by the failure of the fuel contractor (hereinafter referred to as "contractor A") to perform several of its obligations in accordance with the terms and conditions of its contract with the United Nations, which placed the mission at risk in terms of its fuel supply. Several urgent mitigating measures, including procurement action, were taken to ensure the supply of fuel. According to the estimate of UNSOS, as at 16 September 2024, the amount in losses resulting from contractor A's failure was \$12.59 million.

221. Acceptable performance level performance credits waivers were provided by UNSOS from 2022 to 2023. Those credits were developed to motivate contractors to perform at an acceptable performance level. In the case of the contractor's continued underperformance, the decision to waive the credits should have been made with caution.

222. In addition, the performance security for contractor A was issued by an insurance company ("company B") on 1 March 2022 in the amount of \$19.82 million. This is not in line with the requirement of the contract, in which it is stated that "the Performance Security shall be issued by a prime commercial and accredited financial institution acceptable to the UN in its sole discretion". The Secretariat stated that,

following the receipt from the mission of the compilation of potential claims due to contractor A's failure to perform its contractual obligations, efforts were ongoing regarding the next steps that could be taken against the contractor and/or the issuer of the performance guarantee in relation to the contract.

223. Moreover, regarding the temporary contracts signed by Headquarters to meet the mission's requirements caused by contractor A's failure to perform many of its obligations, five bulk fuel contractors and an operations and maintenance contractor submitted a security document. One bulk contractor, which was ultimately not requested to provide a service, did not submit security assurances. The Administration underlined that the contract was allowed to expire and was no longer valid.

224. Those temporary contracts constituted only short-term risk mitigation action to ensure a supply of petroleum, oil and lubricants to UNSOS. With respect to the need for long-term risk mitigation, the Administration commented that the development of a long-term strategy for the UNSOS fuel supply was in progress and would be finalized shortly. United Nations Headquarters and UNSOS must develop a long-term strategy to ensure the mission's ability to implement its mandate.

3.4.3. Management of camp reconstruction projects in the United Nations Interim Security Force for Abyei

225. The audit of UNISFA showed that the Force's camp reconstruction projects had been implemented as a United Nations smart camp project, and several deficiencies in the management of camp reconstruction projects in the mission were identified.

226. Expenditure for the smart camp projects amounted to \$10.83 million as at end of the 2023/24 financial period, including \$89,368 (0.8 per cent of total expenditure) for the Unite field remote infrastructure monitoring system equipment, which is at the core of the smart camp concept, as well as \$10.74 million (99.2 per cent) for camp reconstruction projects. For the total projected cost of \$34.73 million, \$1.07 million (3.2 per cent) was projected for field remote infrastructure monitoring system equipment and the rest was related to camp reconstruction.

227. Given that these camp reconstruction projects required internal budget redeployments to be completely funded, other approved construction and environmental projects were not properly implemented: six of eight approved engineering construction projects were not implemented and three of four environmental construction projects were also not implemented. For example, the solar farm project was budgeted at \$1 million for 2022/23 and at \$1.7 million for 2023/24. However, almost the entire budget for the two financial years was redeployed for camp reconstruction projects. The Administration explained the delay in implementing the project by stating that the turnkey contract for its construction was finalized by Headquarters, with technical support from the United Nations Logistics Base in July 2024, and that the recent approval had been a key factor in the delays experienced in the implementation of the solar project within the mission.

228. A lack of formal procurement processes for selecting implementing contractors for camp reconstruction projects was also noted. The implementing contract for camp reconstruction projects was offered to the contractor for camp management services ("contractor I") instead of the contractor being selected through a formal solicitation process. As at 30 June 2024, of \$10.83 million in total expenditure for camp reconstruction projects, \$7.47 million was paid solely to contractor I, with which UNISFA did not sign any contract regarding the camp reconstruction projects. Technical and financial evaluations for contractor I were related only to the camp management services and not to major construction.

229. The Administration stated that contractor I had a valid contract that included a construction clause and that increases in the not-to-exceed clause had been approved by the Headquarters Committee on Contracts.

230. The Board noted that contractor I had a clause relating to minor construction services. However, the camp reconstruction projects exceeded \$1 million and should be classified as major construction project. With respect to the not-to-exceed clause, UNISFA did not report details to the Headquarters Committee on Contracts, especially regarding the details related to a change in contract scope of work. In addition, no major construction service was mentioned in the section on the scope of work.

231. The Board is therefore concerned that failure to follow formal procurement process can lead to various risks, including disputes over terms, pricing and deliverables without a formal dedicated contract, poor quality of services, cost inefficiencies and fraudulent activities, among others, especially for such large-scale projects.

3.4.4. Disclosure of fully depreciated assets still in use

232. Addressing the issue of defining the useful lives of property, plant and equipment, pursuant to IPSAS 17: Property, plant and equipment, has been a focus of the Administration for several years, and significant efforts have been made on this issue. In particular, following an extensive study of the situation of assets throughout missions from 2015 to 2021, the durations of useful lives were modified for United Nations operations as reported in volumes I and II as from 1 January 2023. A follow-up study on the effects of this review is due to be conducted by the end of 2025.

233. The Board, while noting that this is a systemic issue for peacekeeping missions, on a sample basis, identified a high level of fully depreciated assets still in use at three missions, where the average actual usage time appeared longer in large part to the updated useful life, as reviewed in 2023. For example, the average age of expired light patrol vehicles in use in UNMIK was 15.67 years, compared with 7 years according to the updated useful life. In UNIFIL, for water treatment and fuel distribution equipment, this average age was 16 years, compared with 10 years of useful life.

234. According to paragraph 94 (b) of IPSAS 17, users of financial statements may find it relevant to their needs to know the gross carrying amount of fully depreciated property, plant and equipment that remains in use. In this regard, as stated in the notes to the financial statements for 2022/2023, “where there is a material cost value of fully depreciated assets that are still in use, adjustments to accumulated depreciation and property, plant and equipment are incorporated into the financial statements to reflect a residual value of 10 per cent of historical cost based on an analysis of the classes and useful lives of the fully depreciated assets”.

235. The Board noted that the total amount for the writing back of 10 per cent of historical costs for that fully depreciated property, plant and equipment was not disclosed clearly. Considering the high number of fully depreciated assets still in use, the Board is of the opinion that further disclosure is necessary to inform Member States and other users of the financial statements of the total amount of accumulated and annual residual value related to the assets still in use after their useful lives, as well as the percentage of fully depreciated assets still in use, compared with the total property, plant and equipment, disaggregated by mission and by class of property, plant and equipment. This will contribute to the legislative bodies being provided with more information on the holding of property, plant and equipment while reviewing the budget proposals.

236. The Board recommends that the Administration consider either: (a) enhancing the disclosure in the notes to the financial statements by including the total number and value of fully depreciated assets still in use, and their percentage, compared with the total amount of property, plant and equipment, in a disaggregated manner by asset class and by mission; or (b) presenting that information to Member States in the context of the report of the Secretary-General on the overview of peacekeeping operations.

237. The Administration accepted the recommendation.

3.4.5. Lack of review process for danger pay

238. The audits of MINUSCA, UNISFA, UNSOS and UNDOF showed that the current working procedures for danger pay claims, which require that a staff member complete an online danger pay form that will be self-certified and automatically processed without any review, involve a significant risk of incorrect payments being issued.

239. In UNISFA, an analysis of danger pay payments for all active international staff members over the past three financial years was conducted, and a potential overpayment of 2,897 days, equivalent to \$158,852, based on the 2021 standard of \$1,645 per month, which equates to \$54.83 per day, was identified. The mission stated that mission-wide guidance on danger pay requirements had been issued and that random samplings, as well as an active review of the cases highlighted by the Board, would be conducted in 2025.

240. In MINUSCA, the overpayment for 2023/24 was estimated at \$11,515. In UNSOS, there was an overpayment in the total amount of \$3,682.80 for danger pay. In UNDOF, the analysis of 12 samples of staff showed that 3 of 12 samples had issues with respect to the danger pay allowance.

241. Danger pay is tied to a staff member's presence in the danger location. The Board is concerned that current weaknesses in monitoring danger pay eligibility increase the risk of overpayments. Improved monitoring is necessary to ensure the accuracy of payments and avoid losses to the United Nations or staff owing to inaccurate records.

242. The Administration stated that staff education would be increased regarding policy and procedures for danger pay through broadcasts and training. It also underlined that danger pay monitoring reports were available in Umoja for the missions to monitor the accuracy of submissions by staff and that missions were to ensure that they conducted periodic reviews of danger payments. The Board acknowledges these efforts and will assess this issue during the next field audits.

4. Contingent-owned equipment management

4.1. Objectives and scope of the audit

243. The Board audited the management of contingent-owned equipment by the Secretariat on the basis of four key audit issues: the definition and updating of relevant indicators; the preparation of the 2026 COE Working Group; the claims management process; and the integration of the environmental aspect of peacekeeping operations into contingent-owned equipment management.

4.2. Preparation of the 2026 Working Group on Reimbursement of Contingent-Owned Equipment

Member State-driven working group

244. In accordance with General Assembly resolutions [54/19 B](#) and [62/252](#), a triennial review of reimbursement rates and of other aspects of the contingent-owned equipment policy should be conducted by a working group.

245. Although all the decisions must be taken by the Member States, the Secretariat plays an important role in preparing, organizing and following up the results of the COE Working Group. It provides support to Member States throughout the process.

246. The Uniformed Capabilities Support Division, within the Department of Operational Support, acts as the secretariat of the COE Working Group and is responsible for all administrative functions related to it: communication with Member States, receiving data and issues papers, reviewing them, answering queries and arranging for the Working Group election of its Bureau. If agreed by the Bureau, which has always been the case, the Division acts as the rapporteur for the Working Group and prepares the reports once the Working Group has completed its work.

Timely and wide implementation of the results of the last session

247. The COE Working Group met for the last time from 16 to 27 January 2023. Its results were endorsed by the General Assembly (see resolution [77/303](#)) and the Secretary-General was requested to ensure their full implementation.

248. Changes in the COE Manual (see [A/75/121](#)) were duly introduced, including a 1.57 per cent increase in the reimbursement rates. A workshop with missions was held at Headquarters from 1 to 5 May 2023 to examine issues relating to contingent-owned equipment.

249. The main results of the workshop were communicated to the field missions on 25 July 2023. An implementation timetable was provided for the issues that required action in the field. Field missions were informed of its results by a code cable dated 2 August 2023, and an update was provided by Headquarters on the changes to the contingent-owned equipment system.

250. In addition to amendments in the COE Manual, the conclusions of the last Working Group also included requests for the Secretariat to conduct 11 mandated studies on a variety of topics, ranging from technical (e.g., counter-drone equipment, mine-resistant vehicles and riot control equipment) to operational factors or ammunition rates. These studies are expected to be completed before the next Working Group.

251. Evidence submitted by the Uniformed Capabilities Support Division showed that all the studies were under way, albeit at various stages of implementation (from data collection to “in process” or “phase two”). In one case, an issues paper for the next COE Working Group is already in a draft form. There is, to date, no finalized version for any of these studies, which is understandable, given the timetable of the next Working Group, which will meet in January 2026. The mandated studies are due on 31 May 2025, well in advance of that date, in order to allow Member States sufficient time to take them into consideration.

Preparation of the next meeting well under way

252. The Secretariat already sent a note verbale to the permanent missions in New York informing Member States of the dates of the next COE Working Group (19 to 30 January 2026). This document provides templates and dates for the submission of national cost data from troop- and police-contributing countries, which should provide, according to the relevant General Assembly resolutions, the basis for the triennial review of the reimbursement rates. The note verbale also indicates the format and timelines for the contributions (issues papers) that Member States intend to submit to the general discussions that must follow. All these documents are detailed and user-friendly. In order to reach out to Member States, the Uniformed Capabilities Support Division already organized a briefing on those issues, which was held in May 2024. Another one is scheduled for December 2025 and a third one for March 2026.

253. The Uniformed Capabilities Support Division has begun to address a few issues that have been identified as potentially problematic over the past years, in order to draft issues papers on them. These include the loss or damage of major equipment and self-sustainment during repatriation, the clarifications of the COE Manual rules on the national support element the time limit for submitting a claim related to a letter of assist (there is currently none, which can create problems if a claim is submitted many years after the fact), and the review of the disposal policy. In the light of recent experience, bonuses for temporary operating bases, a forced abandonment policy or increasing the possibilities to use telemedicine could also be considered. Environmental issues could also be addressed more strongly.

Some issues remain to be addressed

254. The COE Working Groups are a quantitative success. A total of 76 Member States and 275 technical, financial and medical experts participated in the 2023 meeting of the Working Group. There has been a steady increase in the number of issues papers: 104 for the 2017 session; 111 for 2020; and 118 for 2023. This increase is due mostly to contributions from the Secretariat (26 in 2017, 34 in 2020 and 38 in 2023), while the number of papers prepared by Member States is more stable (78 from 19 countries in 2017, 77 from 17 countries in 2020 and 80 from 19 countries in 2023). The number of decisions taken within the last three Working Groups has more than doubled over the past three sessions: 29 in 2017; 43 in 2020; and 62 in 2023.

255. These growing numbers indicate that the COE Working Group procedure is, to a certain extent, successful in addressing the evolving challenges faced in peacekeeping operations. However, as the burden of the preparation and the follow-up of the working groups increases for Member States and for the Secretariat, the effectiveness of the entire procedure can be questioned.

256. Data collection prior to the meetings Working Group appears to be a major challenge. It covers more than 500 line items. The guidelines and tables provided to Member States to complete are 44 pages long. A secure online database, accessible to Member States, could prove useful in facilitating the completion process.

257. The number of Member States contributing to the procedure has not increased: 44 in 2017; 33 in 2020 (22 with new data); and 34 in 2023 (21 with new data).

258. Moreover, the data collected failed to lead to consensus during recent meetings of the Working Group. In 2017, notwithstanding agreement on a method for calculating a rate increase on major equipment, this was not the case for self-sustainment and, in the end, the plenary agreed to net average increases of 0.6 percent for both categories. In 2020, the plenary could not come to an agreement, and there was no rate increase for the following three years. In 2023, as in 2017, a compromise was found, but it was not grounded on any of the proposed methods for adjusting the reimbursement rates on the basis of the data collection, as stated in paragraphs 16 and 17 of the summary of discussions in the plenary session (see [A/77/736](#), part II). The result was an all-encompassing increase of 1.57 per cent that had little to do with the data.

259. In organizing the data collection, in briefing Member States on how best to respond to the enquiry and in carefully preparing the COE Working Group discussions, the Secretariat applies only the above-mentioned General Assembly resolutions. Furthermore, it is with respect to the contingent-owned equipment procedure that Member States are solely responsible for the determination of the increase in the reimbursement rates.

260. Within this framework, the Secretariat could nevertheless attempt to make the procedure more efficient. As it does for many mandated studies and some issues papers, it could constitute a group of troop- and police-contributing countries and of paying countries in order to better single out the underlying factors that are relevant

to Member States and to determine more efficient methodologies for making use of the data collection on costs.

261. **The Board recommends that the Administration prepare an issues paper for the consideration of the 2026 COE Working Group highlighting the challenges of the current methodology and proposing the mandating of a study to encourage more efficient gathering and use of national cost data.**

262. The Administration accepted the recommendation.

4.3. Claims processing

263. Claims for contingent-owned equipment amounted to \$807.1 million in 2023, including \$497.6 million for the quarterly reimbursement of major equipment used by troop- and police-contributing countries, \$293.4 million for their self-sustainment¹³ and \$16.1 million for other categories of claims.

264. The Board assessed the efficiency of the Uniformed Capabilities Support Division processing by reconciling tracking data in its uniformed capability management system with actual data (verification reports as sent from the field, notes verbales and payments) from a sample of 40 claims, selected deliberately to cover the various situations encountered.

265. The Board audited the process carried out by the Uniformed Capabilities Support Division and has no observation concerning the calculation of amounts reimbursed to Member States or their conformity with the COE Manual. However, the analysis of processing times led to several observations.

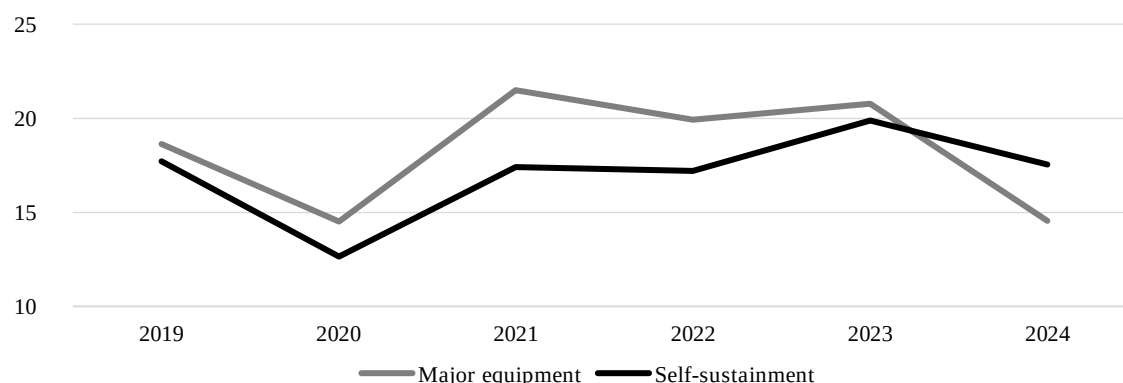
Major equipment and self-sustainment

266. The Board calculated the average processing time of claims on major equipment (an average of 1,220 claims per year) and self-sustainment (1,180 per year), counted from the creation of the claim in the system until its certification by the Director or the section chiefs of the Uniformed Capabilities Support Division.

Figure II.III

Major equipment and self-sustainment average claim processing time

(Number of days)



Source: Uniformed capability management system.

267. The average duration decreased by five days between 2019 and 2020 with the creation of the Uniformed Capabilities Support Division and the implementation of the uniformed capability management system (no information is available prior to 2019).

¹³ Self-sustainment covers support services, in particular accommodation, communication and medical.

On the other hand, it deteriorated by seven days between 2020 and 2023, owing in large part to the COVID-19 pandemic. In 2024, it improved by 4 days, to an average of 16 days, without returning to the 2020 level, which the Division attributes to staffing constraints (see figure II.III).

268. The average of 18 days over the entire period masks a wide variation in processing times.

Table II.11

Distribution of major equipment and self-sustainment claims by processing time, 2019–2024

(Percentage)

	<i>Fewer than 8 days</i>	<i>More than 8 and fewer than 16 days</i>	<i>More than 16 and fewer than 26 days</i>	<i>More than 26 and fewer than 45 days</i>	<i>More than 45</i>
Number of claims	28.0	22.0	25.0	22.0	2.0

Source: Uniformed capability management system.

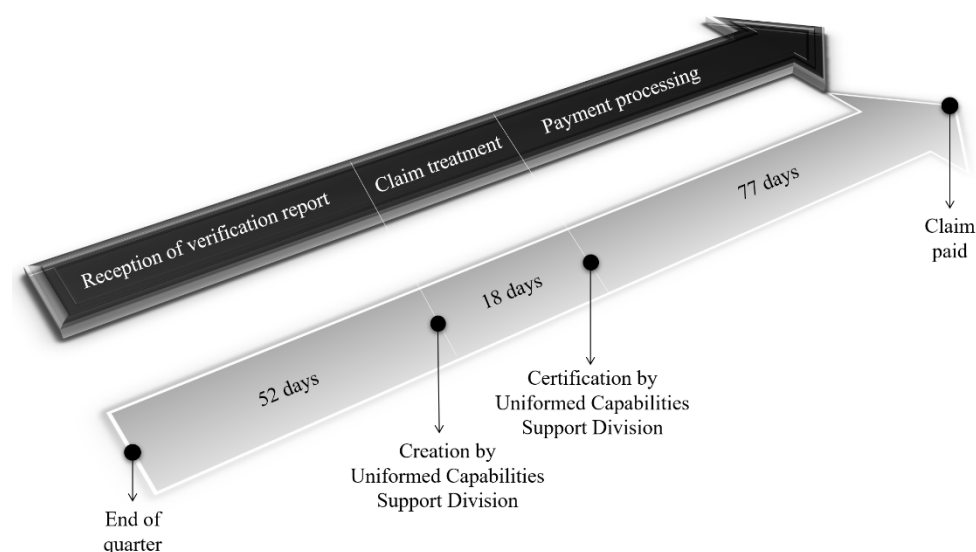
269. For 65 claims, the entire procedure was accelerated to less than three hours (12 claims to less than one hour).

270. The longer processing times are due mainly to the peer review step, which is a part of the treatment phase, after the calculation by a first desk officer and before the validation by the Uniformed Capabilities Support Division's chief. However, the Division review times represent only 14 per cent of the total time between the end of the quarter considered and the actual payment date to Member States.

Figure II.IV

Average processing time of major equipment and self-sustainment claims

(Number of days)



Source: Uniformed capability management system.

271. The average time taken to open a claim in the uniformed capability management system after the end of the quarter considered is 52 days, which can be explained by the time taken to receive the verification reports produced by the mission. Half of all

claims are opened within 48 days of the end of the quarter considered, and one quarter between the fortieth and forty-eighth day.

272. The opening of claims files could be anticipated by the widespread use of tablets to prepare verification reports and by creating claims files as soon as they are received. Their processing by the Uniformed Capabilities Support Division could be streamlined by optimizing the duration of the various validation phases. The Division could therefore aim to reduce the average duration of the procedure from the current 70 days (52 to open the claim and 18 to process it) to 38 days (30 to open the claim and 8 to process it).

273. However, the longest processing time is from Uniformed Capabilities Support Division certification to the closing of the claim, which averages 77 days. The payment is not the Division's responsibility. For two thirds of the files in the sample, the delay can be explained by cash availability constraints, with payments taking up to four months.

Contingent-owned equipment damage and force abandonment

274. Unlike claims for major equipment and self-sustainment, claims regarding the destruction of contingent-owned equipment due to hostile action, during transport or at the initiative of the Force Commander (force abandonment) are not recurrent and are at the initiative of the Member States. The permanent mission concerned sends a note verbale to the Uniformed Capabilities Support Division, enclosing a report with photos of the circumstances of the original event and a statement calculating the pre-use value of the equipment concerned, in accordance with the memorandum of understanding.

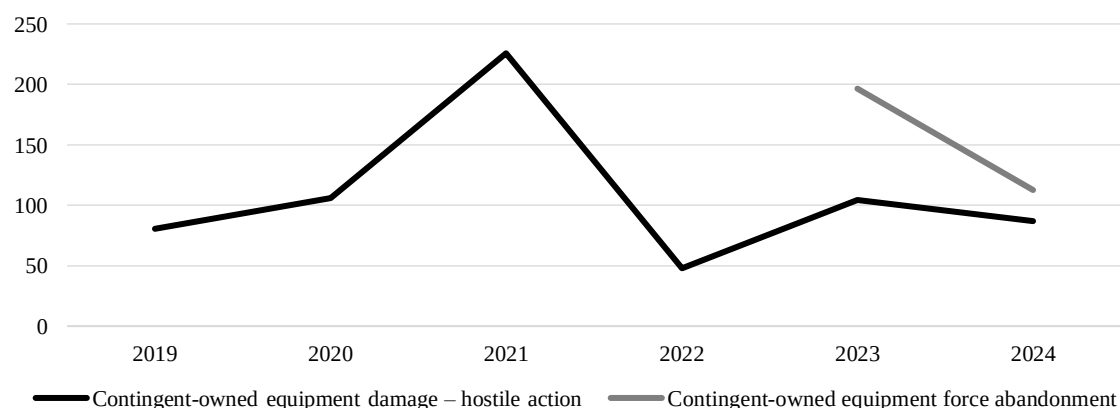
275. A total of 153 claims were received during the period from 2019 to the end of September 2024, for a total value of \$88.4 million. Force abandonment claims in 2023 and 2024 due to the MINUSMA drawdown in Mali account for 8 per cent of those claims and 24 per cent of their value.

276. The average processing time from claim creation to certification appears to be much longer than for major equipment and self-sustainment claims (127 days from the creation in the system to the certification instead of 18). Force abandonment claims, which are more complex, take longer than contingent-owned equipment damages.

Figure II.V

Average processing time for contingent-owned equipment damage and force abandonment

(Number of days)



Source: Uniformed capability management system.

277. The long processing time is not due to the internal steps of the Uniformed Capabilities Support Division, but to exchanges with the missions. The back and forth between the mission and the Division can lead to excessively long instruction times: for six files in the sample, the peer review took three months in one case and five months in a second. In a third case, validation by the chief of unit after a peer review took one month. Lastly, in one case in which the claim was rejected, the procedure took more than one year. Moreover, in a simple case involving the destruction of a vehicle by an improvised explosive device, four and a half months elapsed before the claim was even created.

278. Noteworthy progress has been made with the creation of a new portal for Member States' claims in March 2022 and its second phase deployment, in December 2023, for major equipment and self-sustainment claims. This portal allows Member States to track the progress of their claims in the Uniformed Capabilities Support system. The third phase of the deployment will enable them to submit their claims electronically, instead of by note verbale. This is expected to speed up the creation of claims in the system and, therefore, the processing of files.

279. This new step should also make it possible to establish a key performance indicator for monitoring claims from their transmission by the Member States through to certification by the Uniformed Capabilities Support Division. In this way, the Division could be more proactive and set itself a target of certification within 60 days (with a maximum of 90 days), which the Administration accepted as a realistic objective.

Other categories of claims

280. Other significant categories include vehicle painting (211 claims for \$11.2 million), ammunition destruction (145 claims for \$8.8 million) and letters of assist (2,081 claims for \$1.22 billion).

281. The average processing time for vehicle paintwork is particularly long, averaging 220 days. From the four samples examined, this appears to be due to the limited amount covered by each file (\$53,000 on average) and to the time required to manually compare the list of painted or repainted vehicles with that of the memorandum of understanding, which shows that the Uniformed Capabilities Support Division chooses to deprioritize the processing of these files. In view of the amounts involved, the Division could consider automating or simplifying the process so as not to exceed three months in processing these claims.

282. For ammunition destruction, the average processing time is unknown. In the absence of standard rates for ammunition in the COE Manual, the Uniformed Capabilities Support Division's role is limited to reporting the amounts claimed and reimbursed at their face value. Processing times for the three files in the sample are abnormally long (193, 230 and 420 days from file creation to certification). According to the Division, this is due to a review of the budgeting and reporting of these expenses moving from group III (operational expenses) to group I, where contingent-owned equipment is charged. The claims have been held pending completion of this work. The next COE Working Group will discuss a reshuffling of the entire process, with greater implications for the Division.

283. Lastly, in terms of the reimbursement in letters of assist, which are managed by field missions and therefore do not fall under the contingent-owned equipment category, the analysis of lead times shows a high degree of variability, as they do for contingent-owned equipment damage claims. The average time from claim creation to claim closure (in the absence of a certification milestone) is 121 days, but half of all claims are processed in fewer than 45 days. Analysis of the five files in the sample

links this variability to the length of the exchanges between the mission and the Member State.

Cross-cutting issues

284. The sample showed that the standard procedure (calculation by a first desk officer, a peer review and validation by the chief of unit) is not systematically applied. Claims processed using a fund commitment and not a purchase order are certified without validation by the chief of unit. It is important that standard procedure be followed, even for claims against fund commitments. Monitoring controls can be introduced to ensure appropriate systems processes.

285. The sample also showed that the claims for which there is an escalation to the section chief's review were not linked to the level of difficulty of the files. In one sample case, a major equipment claim was reviewed by the section chief, with no obvious added value. Two of five contingent-owned equipment damage cases were escalated, one of which was not complicated. Two complex, high-value force abandonment claims were certified by the chiefs of unit. It might be preferable to establish thresholds of amount or complexity to justify review by the section chief.

286. In addition, the documents required to process the files, such as the initial memorandum of understanding, are not always uploaded in the uniformed capability management system. Information on the actual payment dates was lacking in 8 of 40 files from the sample. Completeness of documentation is necessary to ensure that the procedure is correctly applied under auditable conditions. The Board discussed with the Administration the possibility of setting a realistic processing deadline to improve the current situation.

287. The Board recommends that the Administration process the contingent-owned equipment damage claims for hostile action or force abandonment within the targeted 90 days of receipt of claims from Member States, complete with documentation.

288. The Administration accepted the recommendation.

4.4. Contingent-owned equipment and the environment

Since 2017, the Contingent-Owned Equipment Manual has been increasingly taking environment into account

289. As further detailed in the present report's chapter on the life cycle of missions, an environmental strategy has been developed by the Department of Operational Support. Based on five pillars (environment management systems, water and wastewater, energy, solid waste and wider impacts), it is aimed at achieving maximum efficiency in the missions' use of natural resources, at operating at minimum risk to people, societies and ecosystems, and at contributing to a positive impact on these, wherever possible.

290. Contingent-owned equipment plays an important role in the environmental performance of the field missions. The above-mentioned strategy recognizes that these missions comprise the largest footprint and environmental risks for the Secretariat. As far as energy is concerned, troop and police contingents account for 40 per cent of total consumption of energy in peacekeeping operations.

291. In recent years, Member States have gradually introduced new provisions in the COE Manual regarding environmental issues. In 2017, with respect to energy, incentives, through preferential rates, were provided for troop- and police-contributing countries willing to switch from diesel generation to renewable technologies. In 2020, improved synchronized generator banks were introduced,

which increase efficiency and strengthen environmental management, as well as more stringent standards for waste management practices in medical support services and for the containment of fuel and oil spills.

292. In 2023, owing to extensive discussions between interested Member States and the Secretariat before and during the COE Working Group, an agreement was reached to simplify the reimbursement on generators using renewable energy, which is liable to have a positive financial impact on the budgets of field missions, given that fuel expenses should therefore be reduced.

293. Functional odometers and hour meters on all contingent-owned equipment vehicles and generators were made mandatory with an effective date of 1 July 2024, and a study on fleet management devices was requested from the Secretariat. With regard to self-sustainment, language to reduce the impact on the environment by reducing the use of plastic under catering was included in the COE Manual. Language on littering, untreated wastewater and waste segregation was also strengthened. Environmental focal points must be appointed in each field mission.

Only limited results have been achieved

294. It is difficult to assess the overall impact of these provisions on the environmental footprint of field missions. While comprehensive environmental indicators may well exist at this level, with scorecards covering each of the five pillars of the Department of Operational Support's strategy mentioned above, it remains impossible to isolate contingent-owned equipment's contribution to mission performance, even if the data that would be necessary to measure it were available in the field.

295. As regards the equipment or self-sustainment reimbursed at preferential rates (or not reimbursed because an obligatory condition has not been fulfilled), for environmental reasons few results are visible. With regard to generators, one of the main eligible items of equipment, only one case of renewable energy (a solar photovoltaic system) was recorded and deployed, by an infantry battalion in MINUSCA.

296. As for odometers, provided that reimbursement is interrupted only after two consecutive quarters of inoperability and given the fact that the mandatory rule applies only as from 1 July 2024, no cases have been reported. Missing or malfunctioning odometers or hour meters were noted during the field visits.

297. There have been positive developments outside the scope of the COE Manual. A renewable energy generator has been installed in UNMISS, but as a pilot project, not funded under the Manual. Following the 2023 COE Working Group and thanks to voluntary contributions, the Secretariat has established specialized support for renewable energy projects, including engineering, logistical and capacity-building support. As of October 2024, two projects were ongoing, among which a partnership project aimed at the installation of a large (185 Kilowatt peak) solar hybrid system as part of contingent-owned equipment in UNMISS and a similar system for training purposes in a troop-contributing country. Seven more are planned in MINUSCA, UNMISS and UNISFA. Interest has been showed in four more cases.

Scope for improvement remains

298. In order to move forward, the upgrading of the COE Manual on already existing provisions regarding the environment should be considered. There are currently three categories. The most stringent ones are binding, which means that there is no reimbursement if they are not complied with. Only a limited number of provisions fall into this category, such as the construction of concrete platforms with berms, slabs and sheds for generators, vehicle wash areas and gymnasium, among others, with the purpose of preventing oil pollution in and around United Nations camps. A second

class provides incentives, in the form of increased reimbursement rates, if a given item of equipment is deployed. This is the case for renewable energy generators and for accommodation (an increase of 5 per cent for reimbursement rates). Lastly, most of the COE Manual environmental provisions fall into the last category, that is, they appear in the text but have no direct impact on reimbursements. Waste management, sewage treatment plants and equipment, portable toilets and dry toilets in temporary bases and biodegradable catering are examples of this type of provision, as well as annexes K and J of the Manual on environment and article 7 of the standard memorandum of understanding.

299. Changing rules in the COE Manual is an exclusive prerogative of the Member States, but the Secretariat has consistently contributed to their deliberations in the past by issuing thoroughly supported issues papers on problems of common interest. In view of the next COE Working Group, in 2026, it could try to identify the fields in which the rules of the Manual could be made more effective, with a maximum benefit for the missions' footprint and, as mentioned above, for the missions' budgets.

300. The Secretariat could therefore examine whether standardized reimbursement rates could be introduced for some key projects regarding energy generation, such as large-scale projects or electricity production, and not only installed capacity. It could also consider making some provisions binding, such as the use of biodegradable utensils in catering, compulsory waste management in temporary bases or a minimum proportion of renewable energy in new electricity installations.

301. There are also some points in the COE Manual that need clarification, such as the possibility for the direct supply of electricity by the United Nations to the contingents in the field missions. The fact that, in large camps, each contingent has its own electricity network is inefficient. In this case, the centralization of the energy supply could contribute significantly to a reduction in the Organization's footprint.

302. The Board recommends that the Administration prepare a contribution on environmental issues before the next COE Working Group, in 2026, that identifies the areas in which improvement is most needed and examines where the rules should be clarified, where enhanced reimbursement rates might be introduced and where provisions might be made binding.

303. The Administration accepted the recommendation.

4.5. Key performance indicators

Comprehensive and precise key performance indicators

304. The key performance indicators describe the major equipment and self-sustainment performances, across all field missions, against the requirements of the memorandums of understanding between troop- and police-contributing countries and the United Nations. The equipment must not only exist, but it also has to be serviceable (i.e., it must meet the precise requirements of the memorandum of understanding). For major equipment, the key performance indicators measure the number of serviceable days of the items of equipment that are deployed, divided by the number of days required in line with the memorandum of understanding. As for self-sustainment, performance is calculated by dividing the number of self-sustainment categories that meet the requirements for reimbursement by all categories required pursuant to the memorandum of understanding (see table II.12).

305. The information collected is presented in a quarterly contingent-owned equipment status report, which provides the overall performance by field mission and

functional group¹⁴ and its evolution over time. The report presents a table listing the contingents whose overall performance is deemed “critical” (i.e., below 70 per cent of what is required according to their memorandum of understanding). The report also provides a summary of the key issues and an overview of the contingent-owned equipment verification activities in the field missions, and sections dedicated to accommodation provided and to temporary operating bases.

306. This information is comprehensive and available within a reasonable timeline, albeit with some delay because the verification reports that are used to calculate the key performance indicators value are available, in general, some 45 days after the end of the term. Nevertheless, it provides an accurate picture of the implementation of contingent-owned equipment in all the peacekeeping missions.

307. On the basis of the key performance indicators, the situation of contingent-owned equipment in the field is satisfactory, but with persistent shortfalls and recurrent unsatisfactory figures in a small number of missions. Table II.12 shows the evolution over time of the key performance indicators by peacekeeping operation for major equipment.

Table II.12
Contingent-owned equipment key performance indicators

(Percentage)

<i>Mission</i>	<i>First quarter of 2022</i>	<i>Second quarter of 2022</i>	<i>Third quarter of 2022</i>	<i>Fourth quarter of 2022</i>	<i>First quarter of 2023</i>	<i>Second quarter of 2023</i>	<i>Third quarter of 2023</i>	<i>Fourth quarter of 2023</i>	<i>First quarter of 2024</i>	<i>Second quarter of 2024</i>	<i>Third quarter of 2024</i>
MINURSO	100	100	100	100	100	100	100	100	100	100	–
MINUSCA	90	91	88	91	92	94	94	94	94	94	95
MINUSMA	87	85	83	85	84	82	83	66	35	18	11
MONUSCO	87	85	87	87	87	83	87	88	89	83	77
UNAMI	100	100	100	100	89	100	100	100	100	100	100
UNAMID	58	68	68	–	–	–	–	–	–	–	–
UNDOF	87	89	92	92	93	93	93	86	81	77	94
UNFICYP	99	99	100	100	100	100	100	100	98	100	100
UNIFIL	97	97	97	98	98	98	97	97	98	98	–
UNISFA	62	62	73	49	70	71	72	69	72	86	93
UNMISS	87	88	89	88	87	88	88	88	88	88	87
UNSMIL	78	84	85	85	85	85	85	84	86	86	–
UNSOM	82	89	96	96	99	100	100	99	98	97	97
UNSOS	76	78	77	78	78	78	78	76	73	76	76

Source: Power BI.

A useful indicator

308. The results of key performance indicators are useful not only for the field missions, but also for other Secretariat departments that are involved in peacekeeping operations, such as the Department of Peace Operations. Furthermore, they are used to establish a dialogue with Member States whose contingent’s performance is worrisome: letters are sent to their permanent missions and regular meetings are held with them. This is a critical point, given that the financial consequences of non-performance have been an issue in recent years.

¹⁴ That is, for major equipment, the type of equipment is, among others, armoured vehicles, trailers and generators, and for self-sustainment it is accommodation, cleaning and electrical, among others.

309. The difficulties that are evidenced from the key performance indicators may have local reasons or be due to challenges from the host countries. In other cases, if the contributing country still has problems in complying with its memorandum of understanding commitments, support mechanisms may be put in place by other contributing Member States. A new mechanism of phased deployment was introduced in the COE Manual in 2023, but it is limited to exceptional circumstances and had not yet been used as of October 2024. A triangular partnership scheme is also being tested in order to alleviate some of the problems.

310. Although table II.12 shows that the recurrent critical shortfalls are duly monitored and can be sometimes explained (MINUSMA drawdown), the Board observed that there were many recurring unsatisfactory figures for relatively important peacekeeping operations such as UNMISS and MONUSCO.

Scope for improvement for the key performance indicators

311. According to the COE Manual, the entire system focuses on managing rather than accounting for contingent-owned equipment and is performance-driven. As many aspects of that performance as possible should then be reflected in the key performance indicators that are intended to drive it.

312. If the currently used key performance indicators provide, as seen above, a comprehensive and accurate picture of the existence and the serviceability of the equipment, there is, for example, no information on the Secretariat's performance in the reimbursement process, which is also part of the contingent-owned equipment system.

313. There are a number of indicators monitoring environmental issues in peacekeeping operations, including comprehensive scorecards for field missions. However, the contribution of contingent-owned equipment to the achievement of the Organization's objectives in that field has not yet been tracked. Nevertheless, many provisions of the COE Manual can improve the environmental footprint of the United Nations, through renewable energy generators, waste management or sewage treatment. Equipment can play an important part in achieving the ambitious goals in renewable energy (25 per cent by 2025 and 35 per cent by 2030).

314. The efficiency of peacekeeping operations does not depend exclusively on the availability of operational equipment in United Nations bases. It is also likely that it has to do with the use of that equipment, for example, patrols or surveillance missions. There is currently a discussion and a mandated study on this subject following the 2023 COE Working Group, and such a profound policy change would certainly have to be decided by Member States.

315. However, monitoring the proportion of equipment that is used in operations outside the bases could provide interesting information on the way in which peacekeeping missions are carried out. In that regard, the Administration stated that the 2023 COE Working Group mandated a study aimed at linking utilization with reimbursement. The recommendations of this study will be presented to the 2026 COE Working Group and, if the recommendations are adopted, monitoring of the utilization of equipment will follow.

5. Life cycle of missions

5.1. Objectives and scope of the audit

316. In line with the "capstone doctrine" of 2008, the Policy, Evaluation and Training Division in the Department of Peace Operations published mission start-up field guide in 2010, which built on experience in the field to identify the action to be taken when setting up a new peacekeeping operation. Three broad deployment phases were

identified: (a) mission start-up; (b) mandate implementation; and (c) transition (handover, withdrawal and liquidation).

317. The Board focused its audit on the specific challenges faced at each phase, considering the current context, to focus on relevant issues. For example, given that no new operations have been rolled out since 2014, the mission start-up itself could not be audited, unlike preparedness and the ability to deploy rapidly in the event of a decision to launch a new operation.

318. The Board therefore structured its audit into several areas, following the chronological life of a mission. After considering the strategic framework, which constitutes the general context in which the mandates are implemented, the Board assessed the capacity to deploy and support a mission start-up, the continued availability of equipment that is adapted to the needs throughout the life of the mission, and the environmental impact of the mission. Lastly, the Board examined the final stages of a mission, focusing on the case of the MINUSMA withdrawal and liquidation and broadening the scope to cover global issues such as the need for post-transition planning and comprehensive lessons learned mechanisms.

5.2. Strategic framework and planning

5.2.1. Action for Peacekeeping Plus

319. To respond to the difficulties encountered in peacekeeping operations, the Secretary-General launched the Action for Peacekeeping initiative in 2018 to provide a general framework for collective engagement and political commitment to United Nations peacekeeping.

320. To complement this framework and increase accountability to Member States, the Secretary-General launched the Action for Peacekeeping Plus initiative in March 2021. Its aim is to focus on a few priorities to enhance the impact of peacekeeping missions and make them safer and more effective. These priorities have been identified on the basis of a collective analysis of achievements, gaps and challenges related to Action for Peacekeeping's progress since 2018.

321. Within this framework, two cross-cutting themes have been defined: women and peace and security; and innovative, technology and data-driven peacekeeping. These two themes cut across the seven proposed priorities:

- (a) Collective coherence behind a political strategy;
- (b) Strategic and operational integration;
- (c) Capabilities and mindsets;
- (d) Accountability to peacekeepers;
- (e) Accountability of peacekeepers;
- (f) Strategic communications;
- (g) Cooperation with host countries.

322. Although Action for Peacekeeping Plus was intended for the period 2021–2023, its implementation and monitoring have not been interrupted, and there has not been any new published strategy for the period starting in 2024. However, the status of this strategy needs to be formally defined. The Special Committee on Peacekeeping Operations, in its 2024 report to the General Assembly ([A/78/19](#), para. 117), requested the Secretariat to revise Action for Peacekeeping Plus. Until this revision, expected in the first half of 2025, Action for Peacekeeping Plus in its current iteration remains the document of reference.

323. With regard to the evolution of key performance indicators, the Board focused on priority 4 (accountability to peacekeepers) and priority 5 (accountability of peacekeepers). The fifth report on Action for Peacekeeping Plus, issued by the Office of the Under-Secretary-General for Peace Operations for all peacekeeping operation during the period from November 2023 to September 2024, confirmed the progress made on multiple relevant indicators, including in relation to fatalities in peacekeeping operations (part of priority 4). Other indicators, however, demonstrated the remaining challenges in United Nations peacekeeping. Both examples are shown in tables II.13 and II.14.

Table II.13

Accountability to peacekeepers: percentage of peacekeeper deaths from malicious acts, compared with total deaths (all causes), from 2017 to 3 September 2024

	<i>Total fatalities (all causes)</i>	<i>Malicious acts (percentage)</i>
2017	134	45
2018	96	28
2019	88	30
2020	121	11
2021	125	21
2022	96	34
2023	59	12
2024	34	12

Source: Report of the Office of the Under-Secretary-General for Peace Operations on Action for Peacekeeping Plus, September 2024.

Table II.14

Accountability of peacekeepers: allegations of serious misconduct (non-sexual exploitation and abuse) in missions, by year (as of May 2024)

2017	268
2018	286
2019	373
2020	284
2021	340
2022	283
2023	364

Source: Report of the Office of the Under-Secretary-General for Peace Operations on Action for Peacekeeping Plus, September 2024.

324. The Board recommends that the revision of Action for Peacekeeping Plus include an analysis of the reasons for the fluctuation of some key performance indicators of priority 5 (accountability of peacekeepers).

325. The Administration accepted the recommendation.

326. Investigations in the field have shown that extensive communication and regular reviews by Headquarters (Department of Peace Operations) with the missions are necessary to improve the further implementation of Action for Peacekeeping Plus.

327. Missions have implemented specific workplans to address challenges related to Action for Peacekeeping Plus priorities. Regular exchanges take place between the missions and the Department of Peace Operations as part of the biannual Action for Peacekeeping Plus reports, in particular to clarify specific indicators. Following the process of data collection and review, the Department prepares a draft report, which is shared with the mission prior to the publication of the final report.

328. The data from each reporting cycle are shared with the missions, which may use the information in the final report, including to build on best practices from the work of other missions to determine whether and how they can perform better in each priority area. The missions are also expected to seek additional guidance and support from the relevant lead entity/office at Headquarters in any priority area in which the mission may be underperforming. The notion of performance must be analysed in the light of the significant differences between missions, owing to their mandate, size and the context in which they are deployed.

329. The Action for Peacekeeping Plus monitoring team within the Office of the Under-Secretary-General for Peace Operations is resourced exclusively through extrabudgetary funding, which impedes an intensive and proactive monitoring of the mainstreaming of Action for Peacekeeping Plus and the action taken to improve its key performance indicators.

330. Notwithstanding the positive work that has been done, discussions with many chiefs of section within some missions revealed their lack of knowledge of Action for Peacekeeping and Action for Peacekeeping Plus, of both the main priorities and the achievements of the frameworks.

331. The Board recommends that the Department of Peace Operations take the opportunity of the revision of Action for Peacekeeping Plus to propose solutions to engage the missions in the implementation of and follow-up on Action for Peacekeeping Plus priorities.

332. The Administration accepted the recommendation.

5.2.2. Need for agile planning

333. Peacekeeping operations planning, while effective, is not a continuous and iterative process owing to difficulties in continuously adapting the various planning framework documents to complex and fluid situations in the field.

334. The planning of peacekeeping operations is governed by the policy on the planning and review of peacekeeping operations, endorsed by the General Assembly in 2017. This policy is intended to provide a clear, consistent and predictable process that can be adapted to complex and fluid situations in the field. Its purpose is to ensure coherence in the planning and management of peacekeeping operations.

335. The policy contains the following definition of planning: “a structured and deliberate process of defining objectives based on the analysis and evaluation of options, developing plans to promote the achievement of those objectives, monitoring implementation in the light of effectiveness on the ground, and conducting periodic reviews or reassessments of the situation”.

336. The policy on integrated assessment and planning, which concerns both multidimensional missions and special political missions deployed alongside United Nations country teams, provides further details on integration between such missions and the United Nations country team throughout the assessment and the planning process.

337. To be effective, planning needs to evolve and to be continuously updated according to the circumstances. It is stated in paragraph 22.1 of the policy on the planning and review of peacekeeping operations that “The planning process does not cease with the completion of all major plans. It is an ongoing and iterative process, which continues throughout implementation and monitoring of impact on the basis of existing plans. The planning process also continues with the review and reassessment of the mission or the wider UN presence on the ground, which may require adjustments to plans”.

Drawdown of the United Nations Multidimensional Integrated Stabilization Mission in Mali

338. The example of MINUSMA illustrates the benefits of comprehensive and updated planning. In Mali, the withdrawal plan happened among intense, politically sensitive time constraints. The Security Council, in its resolution [2690 \(2023\)](#), terminated the Mission’s mandate through the immediate cessation of its activities and ordered the transfer of its tasks and the immediate start of an orderly and safe drawdown. The Council requested that the drawdown be completed no later than 31 December 2023 and the liquidation to begin on 1 January 2024. It did not specify the end of the liquidation phase, which was decided by the General Assembly in its resolution [78/250 B](#). The implementation of these decisions for these two separate periods is guided by two planning documents, namely, the integrated drawdown plan and the liquidation plan.

339. This abrupt termination of the Mission’s mandate was not anticipated. The MINUSMA internal review of January 2023, which had among its objectives to consider precisely the various scenarios for the evolution of the Mission, did not identify such a rapid withdrawal as a plausible scenario. However, the internal review already made it possible at the time to highlight the divergence in approaches between the Mission and the host country. Although this review also outlined infringements of some provisions of the status of forces agreement, no indication of an inclination towards mandate termination was provided.

340. The withdrawal planning process started immediately after the Security Council adopted its resolution [2690 \(2023\)](#) and allowed the process to be organized relatively quickly by initiating the first withdrawal operations in July. The first phase, which started in July 2023 and ended on 31 August, included the closure of the satellite bases in Ogossogou (sector centre), Ber and Goundam camps (sector west) and Ménaka camp (sector east).

341. The speed of the process was facilitated by an immediate or near immediate production of plans and orders, an integrated approach, at both the Secretariat and mission levels, which allowed for, through dedicated thematic working groups, coverage and synchronization of all the parameters of the disengagement, and fluid exchanges between the strategic and operational levels. Operational and technical guidelines from the Secretariat provided the Mission with an appropriate and timely framework. Regular meetings at the Under-Secretary-General level and joint reports from the Department of Peace Operations and the Department of Operational Support enabled the Secretary-General to be kept informed of developments.

342. The head of mission is responsible for the planning and designing of a mission’s withdrawal manoeuvre following the related decision of the Security Council. The Division for Special Activities oversees cross-cutting operational capabilities and has a responsibility to support transition and liquidation requirements. Within the Division, the Operational Planning Service has been established to identify and plan for emerging support requirements and to translate the needs of clients (missions) across the Secretariat into effective and efficient support solutions.

343. In line with the mandate of the Operational Planning Service, United Nations Headquarters provides planning assistance regarding aspects of operational support to the mission undergoing a transition. However, the Service has limited staff and, as a Headquarters entity, no permanent team in the field. The Department issued a guide for senior leadership on field entity closure in 2019, which provides guidance to field mission leadership on operational support during closure. This guidance is being updated and the liquidation manual is under review, in order to incorporate best practices and lessons learned since the Department's establishment in 2019.

344. The Board recommends that the Administration strengthen scenario-based planning and regular planning exercises, in particular for missions that operate in volatile environments, to ensure that missions can identify and respond to risks and be ready to adjust their postures as circumstances change.

345. The Administration accepted the recommendation.

Evolving context of the United Nations Organization Stabilization Mission in the Democratic Republic of the Congo

346. In line with paragraph 49 of Security Council resolution [2502 \(2019\)](#), the Secretary-General issued a joint strategy on the progressive and phased drawdown of MONUSCO (see [S/2020/1041](#)) in October 2020. The joint strategy marked a key shift in the Mission. It is aimed at gradually reducing the presence of MONUSCO in specific regions of the Democratic Republic of the Congo, where the situation had become more stable or where the responsibility for security could be handled by local authorities and security forces. The Mission therefore withdrew from the Kassai region in 2021 and from Tanganyika in 2022. MONUSCO could rely on partial pre-existing planning, given that a withdrawal plan had been developed by the force component. A joint disengagement plan was agreed upon in November 2023 and endorsed by the Council in its resolution [2717 \(2023\)](#). Accordingly, the Mission ceased operations in South Kivu on 30 April and withdrew in a timely manner from the province by 30 June 2024. Since 1 July 2024, MONUSCO has been implementing its mandated priorities, including through its presence in North Kivu and Ituri.

347. MONUSCO faced significant challenges in planning base closures, in particular under such tight deadlines. In addition to an internal disengagement plan, a comprehensive South Kivu transition plan was developed jointly between MONUSCO, the United Nations country team, civil society organizations and the host Government. Some MONUSCO strategic and operational documents still need to be updated to reflect the new disengagement context.

348. The MONUSCO strategic and operational documents, while still relevant, require adaptation to the Organization's evolving mandate. A code cable from the Department of Peace Operations dated 1 February 2024 underscored the need to revise strategic planning documents in the light of Security Council resolution [2717 \(2023\)](#). A new mission concept was developed and approved in May 2024. The force operational plan, updated on 22 March 2024, included disengagement phases. However, other core planning documents were under revision at the time of the audit. Updates to the military, police and support concepts of operations were initiated: the police concept of operations was finalized, while the others remain in progress owing to the South Kivu disengagement workload. In addition, the Goma business continuity plan requires revision to reflect the evolving context.

349. The Secretariat stated that the finalization of the military concept of operations, the mission plan and the mission support plan was delayed until after the mandate renewal, expected on 20 December 2024, to reflect ongoing operational and political developments and any adjustment to the mandate. Upon issuance of the mandate, the Secretariat will update the mission concept and the force and the police concepts of

operation, as required, and then finalize the above plans. This will be completed in the first quarter of 2025.

350. The Board recommends that the Administration finalize the review and update of the strategic and operational plans of MONUSCO to align them with the new mandate and approach to the Mission's disengagement.

351. The Administration accepted the recommendation.

5.2.3. Necessity of supporting transition planning

352. The transition of peacekeeping operations has been a growing area of focus for the Security Council and the Secretariat. In 2021, the Council requested the Secretary-General to plan for United Nations peace operations transitions (see resolution [2594 \(2021\)](#)). Transition planning can be understood as a long-term and ongoing process to prepare successful reconfiguration, drawdown and exit strategies, whenever those are mandated. Planning for an eventual transition must be considered a component of the integrated planning process cycle.

353. The United Nations Transitions Project identified that proactive and integrated transition planning was vital to ensure timely and forward-looking transitions. Indeed, the ability to prepare for the transition of a peacekeeping operation contributes to the effectiveness of the transfer of programmatic activities to the host State and the United Nations agencies, funds and programmes (where necessary) and to the sustainability of political engagement throughout the entire life of the mission. It is one of the factors that could contribute to a positive legacy of the mission and the United Nations in the host country following the closure of the mission.

354. All the active multidimensional missions are required by the Security Council to integrate transition planning considerations (see resolutions [2448 \(2018\)](#), [2502 \(2019\)](#), [2625 \(2022\)](#) and [2677 \(2023\)](#)) into their planning, to varying degrees. MONUSCO is the most advanced mission in terms of its transition process. In line with the joint disengagement plan agreed between the Government of the Democratic Republic of the Congo and MONUSCO in November 2023 and as requested by the Council in its resolution [2717 \(2023\)](#), the Mission completed its disengagement from South Kivu on 30 June 2024. The Mission continues to engage with the Congolese authorities to define parameters for the next steps of the Mission's disengagement. Meanwhile, efforts are under way to consolidate peace gains in South Kivu following the adoption of a provincial transition road map developed jointly with the United Nations country team.

355. In addition to MONUSCO withdrawing from South Kivu by 30 June 2024, it also closed 32 premises and transferred 7 military bases and 11 installations to the authorities, including the Armed Forces of the Democratic Republic of the Congo and the Congolese National Police. A transition support plan has been developed for South Kivu with a prominent role for the United Nations country team to support the transfer of responsibilities to Congolese authorities at the provincial level. A new approach to disengagement is under review to guide transition planning for the remaining provinces where MONUSCO has a presence (Ituri and North Kivu). The United Nations Sustainable Development Cooperation Framework for the period 2025–2029 includes the Mission's transition and the United Nations country team's support for national peacebuilding efforts, notably institutional reform initiatives and those related to the rule of law (justice, correctional and security sector reform and disarmament, demobilization and reintegration).

356. At this stage in the mission's life cycle, no stand-alone transition plan has been defined for MINUSCA, given that it is not in a transition phase. MINUSCA is advancing its strategic priorities along its five-year political strategy and related

mission plan, which includes close cooperation with the United Nations country team through the integrated office of the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator on common areas of work. Several initiatives are coordinated or executed jointly between MINUSCA and United Nations agencies, including support for the judiciary, electoral assistance, extension of State administration, border stabilization and support for and the facilitation of humanitarian assistance.

357. With respect to UNMISS, a transition strategy was developed by the Mission and the United Nations country team following a request of the Security Council and shared with the Council in October 2023 (see [S/2023/784](#)). A United Nations integrated transition task force was put in place to advance early transition planning under the leadership of the then the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator, including the development of a United Nations internal transitions road map. Owing to various reasons, the task force has not met for several months. In the second half of 2024, the current the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator commissioned a stocktaking of the early transition planning for South Sudan, which, among others, recommended the reactivation of the task force to address early transition planning.

358. The Secretariat has supported missions in the preparation of their transition. It works closely with missions throughout the transitions process, under the overall leadership of the integrated operational teams. The teams at Headquarters are responsible for overseeing the entire life cycle of a peacekeeping operation, from start-up to reconfiguration, transition, disengagement and withdrawal, in close coordination with relevant partners. They provide integrated political, strategic and operational guidance and direction to the missions under their responsibility. To this end, a few mechanisms have been set up. They are at various stages of maturity and cover only a small part of the transition stages. They operate with few resources, which reduces their effectiveness on a large scale.

359. First, the United Nations Transitions Project is used to support missions by providing temporary expertise, through the deployment of specialists, to address transition challenges. Launched in 2014, the programme will end early in 2025, with relevant departments (notably the Department of Political and Peacebuilding Affairs, the Department of Peace Operations and the Development Coordination Office) expected to assume responsibility for supporting transition planning through in-house capacities. (The substance of the Transitions Project's actions is described in more detail in the section of the present report on cooperation with the United Nations system.)

360. Second, the Department of Operational Support transition preparedness tool, which is under development, is intended to assess the preparedness of a mission with respect to the operational support aspects of the transition, in order to address the activities related to transition, drawdown/liquidation, identify and mitigate risk areas, design improvement measures and monitor progress of implementation. It is intended for the use of the head of mission support to conduct a support "health check" at a specific moment of the life of a mission. The tool is based on assessment criteria related to governance, risk management, site closure preparation, property, service delivery and operations, budget and finance, human resources and general administration (e.g., archives, claims and contracts). The first iteration of this tool was developed by the Department of Operational Support in consultation with a group of field missions. It remains at an early stage of development and will continue to be refined throughout 2025.

361. Preparation for a transition is not identified clearly enough as a priority at the Headquarters level, which results in organizational and managerial weaknesses. The support structures within the Department of Peace Operations remain weak. The imminent end of the United Nations Transitions Project has led the Department to transfer its transition expertise from the Policy, Evaluation and Training Division to the Office of the Under-Secretary-General. The Department has tried to concentrate capacity in a single position supported through extrabudgetary funding.¹⁵

362. The Board recommends that the Administration systematically include early transition planning in mission planning to ensure readiness and promote proactivity, with due consideration given to specific mandates and contexts.

363. The Board recommends that the Administration strengthen resources to fund transition planning in the Secretariat and, in particular, in the Department of Peace Operations, the Development Coordination Office and the Department of Operational Support.

364. The Board recommends that the Administration finalize its transition preparedness tool in consultation with all stakeholders and ensure its dissemination in all peacekeeping operations, with regular follow-up from United Nations Headquarters on progress on the preparedness reviews.

365. The Administration accepted the recommendations.

5.3. Capacity to deploy: the Peacekeeping Capability Readiness System and the strategic deployment stocks

5.3.1. Peacekeeping Capability Readiness System

A user-friendly system shared by the Secretariat and Member States

366. Following the conclusions contained in the 2015 report of the High-Level Independent Panel on Peace Operations (see [A/70/95-S/2015/446](#)) and in response to the need to improve United Nations capacity for rapid deployment and pre-deployment training, the guidelines on the Peacekeeping Capability Readiness System, effective 1 August 2023, replaced the United Nations Standby Arrangements System in September 2015, in order to achieve a greater degree of readiness and predictability for newly deployed units through a more sustained, efficient and collaborative approach between United Nations Headquarters and Member States”.

367. Co-managed by the Office of Military Affairs and the Division for Policy, Evaluation and Training, the web-based Peacekeeping Capability Readiness System has two distinct and complementary objectives:

(a) To standardize exchanges with Member States by creating a dedicated platform to professionalize interaction and make them traceable through specifying United Nations needs in line with standard unit requirements;

¹⁵ Until now, the transition expertise has been in the hands of focal points positioned in the Policy, Evaluation and Training Division.

(b) To have an overview at all times of the units registered at the various levels (rapid deployment, level 3, level 2 and level 1¹⁶), to enable the Secretariat to respond rapidly in the event of the launch of a new mission, the extension of the mandate of an existing peacekeeping operation or the unexpected renewal of units.

368. In addition, the Peacekeeping Capability Readiness System has been designed in order to collect all the documents required by Member States for each level of qualification. This centralization of documents makes it possible to deal with staff changes and to facilitate the action to be taken and follow-up, at the Secretariat and Member State levels. It should be noted that Member States receive an automatic reminder each year to confirm the renewal of their pledge.

Significant changes in 2023 to better ensure the Secretariat's operational readiness

369. During the 2020 COE Working Group, the issue of delays in the effective deployment of troop- and police-contributing countries was addressed in the context of a Secretariat issues paper titled "Study into delays in the deployment of T/PCC – deployment timelines project", with conclusions to be presented during the 2023 COE Working Group, as stated in the report of the 2020 COE Working Group report, (A/74/689, para. 40).

370. The study, conducted by the Department of Operational Support (Uniformed Capabilities Support Division) and the Department of Peace Operations, covered all stages from the registration of troop- and police-contributing country units in the Peacekeeping Capability Readiness System to their selection and deployment. The findings and recommendations highlighted, in particular, the lack of a deadline for the actual deployment of units at level 3, which meant that the concept of phased deployments from the rapid deployment level with other units registered at lower levels in the System could not be fully operational from a responsiveness approach and ensure compliance with specific timelines. It should be noted that the assessment was quite comprehensive, with clear and precise recommendations. They are being implemented.

¹⁶ In line with the Peacekeeping Capability Readiness System guidelines of 10 August 2023 the four distinct levels of the System are:

- Level 1: A pledged capability has been fully accepted and registered in the System, after the submission of the required basic pledge documentation. A pledge at level 1 is not yet considered for deployment because no assessment has been made about the offered capability. There is no commitment from a troop-/police-contributing country to accept an invitation to deploy a pledge at this level, nor a Secretariat commitment to select the pledge for deployment.
- Level 2: A level 1 capability has received a successful assessment and advisory visit and is considered available for a future deployment selection process. There is no commitment from a troop-/police-contributing country to accept an invitation to deploy a pledge at this level of the System, nor a Secretariat commitment to select the pledge for deployment.
- Level 3: A level 2 pledged capability has its contingent-owned equipment and personnel aligned with a military/police generic statement of unit requirements through a review process. The troop-/police-contributing country is expected to be able to prepare the unit for deployment in 90 to 120 days after an invitation for deployment is accepted. There is no commitment from a troop-/police-contributing country to accept an invitation to deploy a pledge at this level, nor a Secretariat commitment to select the pledge for deployment.
- Rapid deployment level: A unit at this level has been verified against a military/police generic statement of unit requirement and is ready to start its deployment to any new or existing United Nations field mission within 60 days after a formal invitation from the Secretariat. A troop-/police-contributing country with a pledge at this level has, in principle, a commitment to accept an invitation for deployment to any existing or new United Nations field mission. Units at this level will be paid 25 per cent of the maintenance component of set reimbursement rates for major equipment stated in the level's agreement during the period when these units are registered in the level.

371. Consequently, the conditions for registration at level 3 now include a deployment time frame to ensure that the troop- and police-contributing country unit will be able to comply if required, without any presumption of acceptance or otherwise. This new requirement, which is an integral part of the validation of the Secretariat's operational readiness in the event of a new peacekeeping operation being established, has been incorporated into the 2023 Peacekeeping Capability Readiness System guidance as specified:

7.3. Level 3: A Level 2 pledged capability has its contingent-owned equipment and personnel aligned with a military/police Generic Statement of Unit Requirement (SUR) through a review process. The T/PCC is expected to be able to prepare the unit for deployment in 90 to 120 days after an invitation for deployment is accepted. There is no commitment from a T/PCC to accept an invitation to deploy a pledge at this PCRS Level, nor a Secretariat commitment to select the pledge for deployment.

372. With the same objective, the standard operating procedure for planning and conducting assessment and advisory visits in 2024 has been revised to ensure that units registered at level 3 meet the deployment criteria.

373. With regard to the examination of the financing of all verification visits (assessment and advisory visits and rapid deployment level verification visits) of the troop- and police-contributing country units, travel depends exclusively on extrabudgetary funds. In the event that the extrabudgetary funds are not forthcoming, the verification visits will cease, although they are key to the efficiency of the Peacekeeping Capability Readiness System and the operational readiness of the Secretariat. From a risk analysis point of view, this poses a significant risk because there is no guarantee that verification visits can be carried out in a timely manner or on a sustained basis.

374. The Board recommends that the Secretariat monitor the risk of Peacekeeping Capability Readiness System verification visits becoming dependent on extrabudgetary funding, assess whether the requisite visits can be conducted and, if not, propose mitigating action to seek more sustainable funding sources.

375. The Administration accepted the recommendation.

Analysis of the Peacekeeping Capability Readiness System portfolio of units and breakdown by level

376. As of October 2024, the Peacekeeping Capability Readiness System comprises 266 units, of which 14 are registered at the rapid deployment level, 13 at level 3, 70 at level 2 and 169 at level 1.

377. With regard to the rapid deployment level, it is stated in the 2023 COE Manual that:

The rapid deployment level, ideally, has the equivalent of an integrated brigade containing the following units: three infantry battalions, one logistics battalion, one force headquarters support company, one quick reaction force company, one engineering company, one level 2 hospital, one military police company, one signal company, one medium utility helicopter unit, one attack helicopter unit, one tactical airlift unit, one explosive ordnance disposal (EOD) unit, one airfield support unit and one unmanned aircraft system unit.

378. The rapid deployment level covers most of the expected requirements, with the exception of the following:

(a) The logistics battalion and the unmanned aerial vehicles, which could be mobilized from level 3;

(b) The explosive ordnance disposal units, also not listed at level 3, but two of which are at level 2.

Table II.15

Number of contributions disaggregated by Peacekeeping Capability Readiness System level, October 2024

<i>Type of contribution</i>	<i>Number of contributions</i>
Level 1	169
Level 2	70
Level 3	13
Airfield unit	1
Engineer company	1
Field hospital	1
Force protection	1
Formed police units	4
Infantry battalion	1
Military police unit	1
Quick reaction force	1
Transport/logistics unit	1
Unmanned aerial vehicles	1
Rapid deployment level	14
Attack/fighter aircraft	1
Engineer company	1
Field hospital	1
Formed police units	2
Infantry battalion	3
Military police unit	1
Quick reaction force	3
Signals company	1
Transport aircraft (fixed-wing)	1
Total	266

Source: data from the Peacekeeping Capability Readiness System (16 October 2024).

379. As regards communication to Member States on the needs for each category, the Secretariat underlined that those needs could be and were often specified in the uniformed capability requirements papers. This information was disclosed in the paper issued on 31 December 2024 and will be systematically included in the next editions.

380. The Board acknowledges this progress and will check the systematic publication of the needs for each contribution category in the next uniformed capability requirements papers.

5.3.2. Strategic deployment stocks

Background and global trends

381. The concept of strategic deployment stocks was proposed in a report of the Secretary-General (A/56/870) to enable the rapid deployment of capacities for United Nations peacekeeping operations. The General Assembly endorsed it in July 2002 in its resolution 56/292. Its approved initial budget was \$141.546 million. Strategic deployment stocks would comprise items requiring long production, procurement and delivery times, such as vehicles, communications and engineering equipment, accommodation and ablution units. These are located at the United Nations Logistics Base for rapid deployment during the start-up phase of peacekeeping missions. The mission that receives strategic deployment stocks pays on the basis of the replenishment cost, including freight charges. As indicated in the report of the Secretary-General (A/56/870, para. 15), the Secretariat would rotate specific items (e.g., vehicles and electronic data-processing equipment) to other missions so that the items do not become obsolete.

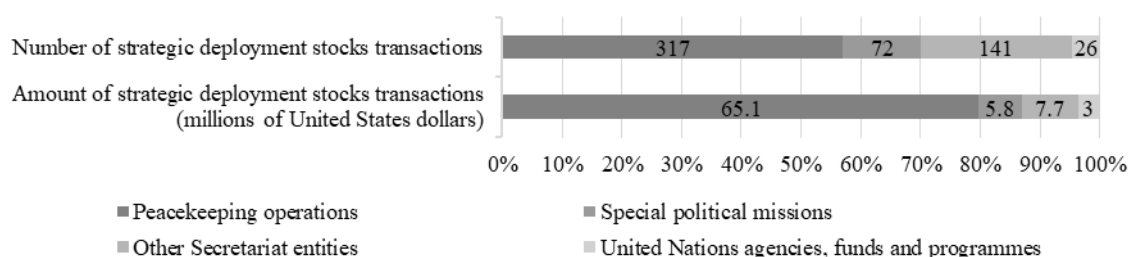
382. The strategic deployment stocks policy directive, dated 12 February 2007, extended the scope of situations and clients, with the following specifications: “SDS may also be used to support existing missions when this is justified by expansion or unforeseen changes in the operational requirement e.g. security situations” (para. 11) and “the Director LSD (Logistic Support Division) may also respond to extraordinary requests to release SDS to entities outside DPKO and DPA, provided such support does not compromise the primary purpose of SDS. If support to other entities would jeopardize the primary purpose of SDS, then the request is to be referred to ASG for Peacekeeping Operations for a decision” (para. 13).

383. Although strategic deployment stocks are open to entities other than peacekeeping operations, peacekeeping operations remain the main requesting entities both in terms of the number of transactions and amount (see figure II.VI). Among peacekeeping operations, UNISFA and MINUSCA are the main clients, with, respectively, \$18.3 million and \$13.7 million worth of transactions over the past three financial years.

Figure II.VI

Distribution of strategic deployment stocks transactions by entity, 2021/22–2023/24

(Millions of United States dollars)



Source: Umoja.

384. Since the establishment of the strategic deployment stocks and as of June 2024, more than \$742.8 million worth of material has been deployed, including \$621.5 million for peacekeeping operations (i.e., 83.7 per cent of transactions). The amount of strategic deployment stocks issued has varied greatly from year to year. However, the Board noticed a steady decrease over the past three fiscal years (\$47.7 million in 2021/22, \$24.4 million in 2022/23 and \$9.6 million in 2023/24). The relatively low amount for 2023/24 can be explained by the transfer of MINUSMA

equipment to other peacekeeping operations, following its closure. Peacekeeping operations' needs for new equipment, through the strategic deployment stocks or other sources, has therefore decreased. Any further closure or large-scale downsizing that occurs in the coming years will presumably affect the composition of strategic deployment stocks in the same way.

Ability to meet the needs of missions

385. The main and original function of the strategic deployment stocks has been little used in recent years owing to the low number of new missions. The strategic deployment stocks have not been used for a mission start-up since MINUSCA in 2014.¹⁷ For the MINUSCA start-up, the strategic deployment stocks supplied equipment and fixed assets for a total value of \$65.6 million. Since then, missions have acquired equipment from the strategic deployment stocks only for surge and rotation purposes.

386. Since July 2023, the United Nations Logistics Base has also begun to implement integrated business planning processes that assess the potential needs (for surge and rotation purposes) of peacekeeping operations for each quarter. It then proposes a supply plan, primarily from entities' surpluses, the United Nations reserve, strategic deployment stocks/regional deployment stocks and the return, refurbishment and reuse programme. In the first quarter of the financial year 2023/24, the Logistics Base proposed supply plans worth \$4.457 million (\$3.7 million from the strategic deployment stocks, \$392,263 from the regional deployment stocks and \$362,987 from the United Nations reserve), of which 39 per cent was accepted by the missions (\$1.736 million). The difference is almost entirely explained by a lower use of strategic deployment stocks compared with the Logistics Base proposal: given that strategic deployment stocks are bought by entities at the replacement cost, buying from the strategic deployment stocks rarely generates significant savings, compared with the direct purchase of new assets. Moreover, whenever the Logistics Base proposed only a partial fulfilment to meet an entity's needs, the entities preferred to consolidate their purchases with a single source of supply in order to avoid additional costs and effort.

Stocks and replenishment

387. In the context described above, the strategic deployment stocks appear to be less suited to current needs than when they were conceived. In 2022, the Secretary-General, in his report (A/76/730, annex III, para. 28, and annex IV, para. 4), recognized that the financial depreciation of strategic deployment stocks assets and the low utilization rates of high-value assets represented a considerable risk to the Organization.

388. The overall stocks are ageing. A total of 13 per cent of equipment is five years old or more and 7.21 per cent of equipment has exceeded its life expectancy. Medical items (49.15 per cent) and ICT (33.33 per cent) are the most affected. In addition, 13 per cent of fixed assets have also exceeded their life expectancy.

389. It is also worth mentioning that the United Nations Logistics Base is overstocked. For 72 types of items, the stocks levels are higher than prescribed, including 9 that are not required for mission launch. This represents a total of 836,191 items.

¹⁷ Equipment deployed for MINUSCA under the label "start-up" in 2014/15, 2015/16 and 2016/17.

390. In the meantime, the readiness of the strategic deployment stocks to support start-up is only at 63.5 per cent.¹⁸ The minutes of the strategic deployment stocks Board of 3 May 2024 indicate that “SDS readiness to support start-up is not 100 per cent due to the gaps in the sourcing and ongoing replenishment”. The United Nations Logistics Base indicates that this rate is affected by the turnover of equipment and assets sold to clients. The Logistics Base’s approach to stock and procurement management also has an impact on the readiness rate, as follows:

(a) The Logistics Base does not acquire some items to be kept in stock for mission start-up because it considers these items to be “slow-moving items” or ones that can be purchased locally;

(b) A total of 25 per cent of items are not covered by contracts.

391. The Secretary-General, in his report, indicated that “a management decision was taken to carefully consider replenishment up to full composition levels, as the new concept of operations was under consideration by the General Assembly, which would provide flexibility and reduce the risk of holding levels of strategic stocks on the basis of dated assumptions” (A/77/613, para. 95). Consequently, as of May 2024, the amount of cash available for replenishment stood at \$64 million.

Policy framework and guidance

392. In 2018, the Secretary-General presented a revised concept of operations for the strategic deployment stocks as an annex to the budget of the United Nations Logistics Base for the financial year 2018/19. The General Assembly did not endorse the revised concept and stressed the need for further analysis. In 2022, a new revised concept was defined in another report of the Secretary-General (A/76/730). This revised concept is built around three pillars: a centrally supplied inventory in Brindisi; regional inventory hubs; and vendor-managed inventory. The objective of the strategic deployment solutions remains the capability to deploy peacekeeping missions within rapid deployment time frames, but it deals with a broader portfolio of operations: mission start-up and surge support, medical surges and health crises, support for human-made and natural disasters, and mission sustainment and operations. The Assembly did not take an action on that revised version.

393. The Board acknowledges the difficulty in managing strategic deployment stocks operations without a clear updated framework. The Secretariat stated that a revised concept had been included in the 2025/26 budget proposal to be presented to the General Assembly.

394. A new guidance memo issued by the Department of Operational Support on 29 August 2024 provides a strengthened framework for strategic deployment stocks operations, ensuring that the United Nations Logistics Base can effectively balance rapid deployment capability with robust stock management practices. Adjustments to the concept of operations, accounting guidelines and standard templates for service-level agreements with agencies, funds and programmes are being developed as the revised approach is being implemented and processes and practices are gradually shifted.

395. The Board recommends that the Administration improve strategic deployment stocks management by finding the right balance between the ability for rapid deployment of the start-up phase of a peacekeeping mission and the management of the risk of strategic deployment stocks obsolescence, in line with

¹⁸ This means that 63.5 percent of the quantity of items approved to be kept in stock for the start-up of peacekeeping operations were actually in stock as of October 2024.

the most recent guidance issued by the Department of Operational Support to the United Nations Logistics Base.

396. The Administration accepted the recommendation.

5.4. Contingent-owned equipment and ammunition management in missions

5.4.1. Status of contingent-owned equipment

Inspection and monitoring of the operational status of the equipment provided by troop- and police-contributing countries: an organized and comprehensive regulatory framework implemented at the field level

397. The deployment of each troop- and police-contributing country unit or section is preceded by the signing of a memorandum of understanding by the Government concerned. This agreement sets out contribution of each country in three annexes:

- (a) Annex A: personnel provided by the Government;
- (b) Annex B: major equipment provided by the Government, with details of the factors affecting the monthly reimbursement rate;
- (c) Annex C: self-sustainment to be provided by each unit, with details on the factors affecting the monthly reimbursement rate.

398. The management of equipment of troop- and police-contributing countries is based on a common regulatory framework set in the COE Manual, for which specific controls have been defined from the arrival of the troop- and police-contributing countries at the peacekeeping operations to their departure. These controls serve several purposes:

- (a) Ensure compliance with the terms of each memorandum of understanding, in particular annexes B and C;
- (b) Ensure that the equipment is fully operational, which is a key factor in the successful implementation of the peacekeeping operations' mandate;
- (c) Identify any weaknesses requiring action by the mission, either through its contingent-owned equipment and memorandum of understanding management review board or by providing temporary support to the troop- and police-contributing country;
- (d) Provide supporting documentation for the troop- and police-contributing country reimbursement process.

399. In accordance with the COE Manual, each memorandum of understanding will be verified throughout the deployment of the troop- and police-contributing country unit or section within the peacekeeping operation until its repatriation:

- (a) Arrival inspection: upon arrival, or after one month at the latest, the personnel and equipment of each deployed unit will be subject to an inspection. The purpose of this inspection is to check the state of health of the personnel deployed and their compatibility with the activities to be carried out and to verify the operational status of all equipment listed in the memorandum of understanding and the unit's ability to maintain it, if necessary;
- (b) Quarterly inspection: following the arrival inspection, the mission's COE Claims Unit conducts quarterly inspections of the major equipment and self-sustainment categories to control their actual operational status. The quarterly inspection reports are the basis for processing reimbursements for major equipment and self-sustainment to the Member States;

(c) Operational readiness inspection: this is to be carried out at least once every six months of a unit's deployment in the mission area and any time the mission believes that the equipment or services do not meet the specified standards;

(d) Repatriation inspection: it shall account for all major equipment of the troop- and police-contributing country unit or section to be repatriated and verify the condition of the major equipment provided under the dry lease arrangement. The inspection shall also ensure that no United Nations-owned equipment is included in the equipment to be repatriated.

400. The field audits confirmed the effectiveness of the inspections carried out, in particular the quarterly inspections and the operational readiness inspections.

401. With regard to the quarterly inspections, the completeness of the verifications conducted for each reporting cycle, together with the supporting documentation and the related conclusions, were noted, in accordance with the field verification and control of contingent-owned equipment and the management of memorandum of understanding guidelines. It should be noted that the uniformed capabilities management platform brings together all the data relating to all the memorandums of understanding, their annexes and the verification reports drawn up during all equipment and self-sustainment inspections.

402. Their results are systematically presented to the contingent-owned equipment and memorandum of understanding management review board, in particular when there is an operational issue. However, deviations were noted during the UNIFIL audit, given that the mission does not use the related contingent-owned equipment performance analysis framework and key performance indicators at the level of the troop- and police-contributing country unit or section as outlined in the guidelines for field verification and control of contingent-owned equipment and management of memorandums of understanding, in order to ensure a comprehensive review of all significant contingent-owned equipment issues by the COE Claims Unit/Board.

Contingent-owned major equipment unserviceable for several years, in contravention of regulatory provisions

403. The 2023 COE Manual and its predecessors provide a clear definition of the responsibilities and stakes involved in the disposal process, in particularly in the case of repatriation or withdrawal within a particularly tight time frame:

The in-mission disposal of contingent-owned equipment should be an ongoing process, rather than an action undertaken shortly before contingent repatriation ... Contingent-owned equipment that is found to be non-functional for four consecutive quarters (12 months) must be repaired by the contingent or otherwise disposed of either through repatriation by the troop/police contributor or through an in-mission disposal method within the following six months.

404. The field audits, in particular at UNMISS and MONUSCO, revealed significant backlogs of equipment to be disposed of, notwithstanding the fact that each mission submitted reports to the Uniformed Capabilities Support Division in which they requested the permanent missions of the troop- and police-contributing countries to validate or expedite the disposal of their equipment.

405. As regards MONUSCO, the Administration stated that, since the end of the audit period, the disposal of unserviceable contingent-owned equipment had been significantly accelerated on a weekly basis, allowing 50 per cent of the backlog to be disposed of by troop- and police-contributing countries.

406. The analysis of the UNMISS contingent-owned equipment conducted during the audit (data extraction from the uniformed capability management system in June 2024)

showed 1,963 items with the status “unserviceable” of 11,410 deployed (i.e., a rate of 17 per cent). An examination of the dates on which equipment was declared unserviceable revealed several deviations from the regulations: 67 per cent of the equipment concerned had been declared unserviceable in 2022 and earlier, with some of those statuses dating back to 2013. The presence of medical equipment, which should always be in working order, was noted, as well as the presence of items in the category “Armoured personnel carriers – tracked infantry carriers – armed (class II)” since 2014 for the oldest.

407. This situation is problematic because it makes it impossible to deal properly with the disposal of equipment and the associated workload, as required under the regulations, and to avoid unnecessarily checking equipment that has been out of service for several years. There is also a significant financial risk in the event of a mission’s closure on short notice or the need to repatriate a contingent owing to time constraints, in which case the mission would have to pay for the transport of the equipment, regardless of its operational status and, ultimately, its real value.

408. In that regard, lessons should be learned and regulatory changes proposed from the example of the short-term withdrawal of MINUSMA. From the perspective of the 2026 COE Working Group, the issue of the disposal process of unserviceable contingent-owned equipment needs to be addressed.

409. The Secretariat underlined that a contingent-owned equipment disposal project was under way, with the aim of encouraging mission compliance (through faxes and mission-specific meetings on disposal action), tracking the contingent-owned equipment disposals, improving Headquarters data collection and reporting and drafting issues papers on disposal gaps and opportunities for the COE Working Group, by exploring options for scrap payout rather than transport. An issues paper to further strengthen policy on disposals will be presented to the 2026 COE Working Group.

410. The Board acknowledges these efforts and recommends that the Secretariat propose regulatory developments with a view to facilitating the disposal process of unserviceable contingent-owned equipment and thereby address the existing backlog within the peacekeeping operation’s troop- and police-contributing countries.

411. The Administration accepted the recommendation.

5.4.2. Ammunition management

412. Since 2019, the United Nations has addressed the issue of ammunition management by developing a specific set of rules that includes both a safety dimension in terms of international standards and a performance aspect by defining a minimum service life for ammunition used by troop- and police-contributing countries. The ammunition must be in use for at least 50 per cent of the total service life defined by each manufacturer. This rule was designed to prevent the arrival of ammunition with a looming expiration date.

413. The main effects of this new systematic approach have been to professionalize the function of ammunition management, going beyond a purely financial dimension, and to define a single normative reference framework for all troop- and police-contributing countries, regardless of their national reference framework.

414. In terms of responsibilities, this guide provides clear definitions of for the deployed troop- and police-contributing countries, which must have experts (e.g., ammunition technical officers) responsible for ensuring compliance with applicable standards for storage conditions, ammunition management from deployment to use or disposal (end of life) and replenishment, and reporting to the mission’s COE Claims Unit.

415. In 2020/21, UNMISS conducted an ammunition management assessment, which led to the development of an action plan, including specific processes and committees, notably the Weapon and Ammunition Management Unit, an organized network of ammunition technical officers and a comprehensive standard operating procedure on ammunition management.

416. Ammunition management within UNMISS has therefore improved significantly, given that it is now part of a structured, formalized network centred on defined responsibilities shared between the troop- and police-contributing countries, the ammunition technical officers, the Weapon and Ammunition Management Unit and an ad hoc committee.

417. In order to ensure compliance with the ammunition regulations, a weapons and ammunition advisory board has been established for each mission to identify any difficulties or risks, in particular with regard to safety, and to ensure that appropriate action is taken to address any discrepancies identified. That board, chaired by the chief of staff or the director of mission support, brings together all parties involved in ammunition management: the heads of the military and police components, a senior ammunition technical officer, the technical point of contact of the troop- and police-contributing country (ammunition technical officers), the mission's COE Claims Unit, the engineering section and the Department of Safety and Security, including the medical service. The Mine Action Service is also represented on the weapons and ammunition advisory board in some missions.

418. It is indicated in the guidance that the frequency of advisory board meetings will depend on the operational pace, but should not be less than once a month.

419. Analysis of the UNMISS weapons and ammunition advisory board minutes for 2023 shows that only one meeting was held, in November, while the previous one was held in December 2022. This infrequency raises questions with respect to the corrective action to be taken and monitored in the light of the discrepancies that exist, in particular with regard to the compliance of ammunition storage (containers that do not comply with the International Ammunition Technical Guidelines). However, it was noted that a meeting was held in February 2024 and that the advisory board would meet on a quarterly basis, which would be more appropriate for ammunition management issues.

420. With regard to the necessary monitoring by Headquarters of the compliance with ammunition regulations and the regular meetings of the weapons and ammunition advisory board, the Secretariat underlined that these were within the missions' jurisdiction. In the revised terms of reference of the contingent-owned equipment and memorandum of understanding management review board, sent to all missions through a code cable from the Under-Secretary-General for Operational Support dated 27 October 2023, it is stated that the review board is to review the "decisions related to management of ammunition including a review of mission Weapon and Ammunition Advisory Boards recommendations and necessary coordination with troop- and police-contributing countries at mission level and through UNHQ". On the basis of this revised terms of reference, the recommendations of the advisory board are required to be sent by the contingent-owned equipment and memorandum of understanding management review board to the Headquarters review board.

421. Taking this positive development into account, the Board recommends that the Secretariat (Department of Operational Support and Department of Peace Operations) issue guidance to field missions to organize regular meetings for the weapons and ammunition advisory boards and that the Headquarters contingent-owned equipment and memorandum of understanding management review board insure a comprehensive monitoring of the advisory boards' activities.

422. The Administration accepted the recommendation.

Significant progress to be made in the ammunition management disposal process

423. The disposal of ammunition within peacekeeping operations is subject to clear and precise rules that have been further clarified in the 2023 COE Manual, as follows:

Troop- and police-contributing countries are responsible for approving the disposal of unserviceable or expired ammunition and explosives within six months of the expiry date or the date on which the ammunition or explosives have been declared unserviceable by the senior ammunition technical officer, whichever is earlier, after which the requirement of obtaining approval from troop- and police-contributing countries before disposal of unserviceable ammunition or explosives will no longer exist and unserviceable ammunition or explosives will be disposed of in the mission area for safety reasons.

424. However, during the MONUSCO and UNMISS field audits, as well as the review of the conditions for the drawdown and liquidation of MINUSMA, the Board identified significant stocks of expired ammunition going back several years. These are said to be the result of backlogs from previous years, prior to the establishment of specific ammunition management regulations.

425. The Administration stated that significant progress had been made regarding the remaining backlog of expired ammunition in MONUSCO, reaching an overall mission-wide completion rate of 57 per cent.

426. With respect to the effective management of ammunition, there was no dedicated end-to-end information system or module for ammunition throughout its life cycle after it has been deployed in the field (i.e., until it is used or disposed of at the end of its life expectancy). The lack of monitoring in the uniformed capabilities management system is because ammunition is considered a consumable and not a piece of equipment. Under these conditions, tracking has been done using an Excel file, with all the associated weaknesses in terms of maintaining data integrity. Further developments are needed to make the system more robust. In this context, it should be noted that the Uniformed Capability Support Division has initiated the creation of a dedicated ammunition management module within the uniformed capabilities management system, with a comprehensive road map. The first phase of the project has been completed and the master data are now available in the system. This instrument will respond to the gap identified in the field audits and is expected to be implemented in 2025.

427. The Board recommends that the Administration complete the implementation of the new ammunition module tool in accordance with the established road map.

428. The Board also recommends that the Administration clearly define the responsibilities associated with the new ammunition management module at the local level (peacekeeping operation) and at the central level (Headquarters) in terms of the second line of defence in a dedicated standard operating procedure once the project is completed.

429. The Administration accepted the recommendations.

Restrictions on ammunition disposal in the United Nations Mission in South Sudan imposed by the host country since December 2024, creating a risky situation with security and operational implications that require action

430. Since December 2023, UNMISS has been faced with the refusal by the host Government to dispose of its expired ammunition by incineration, on the grounds that the fumes would be detrimental to the health of cattle.

431. The Mission took all possible action at its disposal regarding that situation, using all existing coordination mechanisms, and reported this continued ban to Headquarters, but the host Government did not change its position.

432. Given that the host Government makes the replenishment of ammunition and related quantities dependent on certificates of destruction for the same amount of ammunition, UNMISS faces an increased security risk owing to the accumulation of expired ammunition, as well as an increased operational risk owing to the reduced usable amount of ammunition by its units.

433. During the external audit, the Mission was asked how many days of ammunition would be available to the units if the ban were not lifted, given the average consumption of each unit. The Weapon and Ammunition Management Unit stated that it was unable to answer the question because the database (Excel file) that it had developed had not been updated since the departure of the United Nations Volunteer responsible for it.

434. The Board recommends that the Secretariat assist UNMISS in lifting prohibitions on the disposal of ammunition and/or in rapidly identifying alternative solutions.

435. The Administration accepted the recommendation.

5.5. Environmental issues in missions

5.5.1. Environment and the strategic priorities of peacekeeping operations

436. The environmental responsibilities of peacekeeping operations have become an increasingly important subject in the political framework, both at the level of the General Assembly and the Security Council. In its resolution [76/274](#), the Assembly emphasized:

[T]he importance of adequate energy and waste management in order to minimize risk to people, societies and ecosystems, and requests the Secretary-General to intensify the efforts aimed at reducing the overall environmental footprint of missions, including through the implementation of environmentally responsible waste management and power generation systems, also working towards a potential positive legacy for host communities, in full compliance with the relevant regulations and rules.

437. The most recent mandates for multidimensional peacekeeping operations all include environmental objectives. For example, the Security Council, in its resolution [2709 \(2023\)](#), requested MINUSCA to consider the environmental impacts of its operations when fulfilling its mandated tasks and, in this context, to manage them as appropriate and in accordance with applicable and relevant General Assembly resolutions and United Nations rules and regulations. In its resolution [2729 \(2024\)](#), on the UNMISS mandate, the Council used similar wording, while adding a reference to the new Department of Operational Support strategy:

[The] sustainability of peace and security support is improved by the implementation of the United Nations Department of Operational Support's Strategy: "Way Forward: Environment Strategy for Peace Operations 2023–2030",

which emphasizes good stewardship of resources and a positive legacy of the mission, and identifies the goal of transition to renewable energy, reduction in waste generation, water use and electricity consumption in missions to enhance safety and security, save costs, offer efficiencies and benefit the mission and contribute to positive infrastructure legacy for host communities.

438. The first environment strategy for peacekeeping operations was launched by the Department of Operational Support (then the Department of Field Support) and covered the period 2017–2023. It covered peacekeeping missions and other peace operations with a field presence. A review of the strategy was published in January 2024. The report showed that significant progress had been made on environmental issues, with improvements in all key performance indicators. Of note were improvements in risk management (a substantial reduction in risk levels and the elimination of significant risks). In terms of wastewater management, the proportion of minimum risk sites rose from 32 per cent in 2017/18 to 70 per cent in 2022/23. Success factors included implementation structures and technical support; policies, procedures, guidance, training and awareness; the availability of equipment and services that reduced environmental risks or improved efficiency; and performance monitoring and accountability systems. The report listed the challenges and operational issues faced in achieving better results on environmental issues. Budgetary constraints affect the ability of the missions to invest in renewable energy production. Procurement and the logistics of new environmentally friendly equipment can be a challenge, exacerbated by the global logistical disruptions experienced in recent years.

439. As described in the environment strategy, each phase of the mission life cycle presents its own unique set of challenges from an environmental management perspective: “Effective environmental management is complicated by the dynamic nature of missions in accordance with operational needs and changes to the mission’s mandate, with surges and drawdown in uniformed components, and relocations of force strength, associated with opening, closing or reconfiguration of sites”. The closure of sites poses particularly acute issues to ensure the absence of environmental risks for the local population and to protect the reputation of the United Nations.

440. The development of data collection and reporting systems was also a major challenge during the reporting period. A dedicated data-collection platform (Environmental Action Planning and Performance) has been implemented and is completed by each mission, enabling the production of annual environmental scorecards. A total of 53 indicators have been developed, divided among the five pillars of the strategy: energy, water and wastewater, solid waste, wider impacts/positive legacy, and energy management systems. These indicators are combined to produce an overall score, with a maximum of 100 points. These scores reflect the situation of each mission and its progress or difficulties over time (see table II.16). Owing to the very different contexts and unequal resources, the Secretariat typically avoids making comparisons between missions based on these scores. After submitting the data, the missions receive feedback from the Department of Operational Support, making this platform a tool for dialogue and improvement.

Table II.16
Mission scorecards on environmental issues, 2021–2024

<i>Mission</i>	<i>2021/22</i>	<i>2022/23</i>	<i>2023/24</i>
MINURSO	63	65	76
MINUSCA	74	77	77
MONUSCO	83	84	85
UNDOF	86	84	82
UNFICYP	91	92	92
UNIFIL	85	84	85
UNISFA	84	79	83
UNMIK	88	93	93
UNMISS	74	75	79
UNSOS	80	85	86

441. The review of the 2017–2023 strategy led to the Way Forward: Environment Strategy for Peace Operations 2023–2030, which is more an extension of the previous strategy than a new one.

442. In March 2022, the Department of Operational Support published an environmental policy for peacekeeping operations and field-based special political missions, updating the 2008 policy, which was not detailed, in line with the environment strategy for 2017–2023. Built on the lessons learned from the 2017–2023 strategy, it sets out requirements for compliance by adapting relevant technical standards, such as those of the International Organization for Standardization, to the context of United Nations peacekeeping operations. This policy underpins the multi-year strategy, providing a complete strategic framework.

5.5.2. Dissemination of environmental priorities among all stakeholders is progressing, but more needs to be done at the mission level

443. Since 2017, the Department of Operational Support has led four working groups on energy, waste, wastewater and energy management systems. These working groups bring together the missions and the relevant Headquarters and United Nations Logistics Base divisions. The minutes of the waste working group were analysed. The working group met every two months. The minutes provided show that top-down information on the new guidance was provided by Headquarters and that good practices and questions were also shared by the missions. Important parts of the discussions have been related to the lessons to be learned from the ongoing MINUSMA liquidation process and on how to anticipate closures by improving the regular disposal of solid waste. The working group therefore appears to be an effective forum for sharing information and raising awareness among the United Nations peacekeeping operations.

444. At the Headquarters level, the Secretariat needs to maintain close relations with the Member States, in particular troop- and police-contributing countries, given that a major part of the environmental footprint of the missions falls under their responsibility. The Group of Friends leading on environmental management in the field was set up in 2016 at the initiative of the Secretariat. It brings together 34 Member States, under the co-chairmanship of Bangladesh and Italy. The group provides a forum for dialogue between the Secretariat (Department of Operational Support) and the Member States on environmental issues in peacekeeping operations

and played an important role in the consultation process for the development of the Way Forward.

445. The Group of Friends is an informal group that aims to advocate for environmental issues and promote best practice in the field. It works closely with the Department of Operational Support, which provides documentation and information on current projects. The heterogeneity of the members had prevented the group from taking formal positions until a statement made by Italy on behalf of the group at a Security Council Arria-formula meeting in July 2024, which stressed the importance of incorporating environmental management aspects into peacekeeping operations.

446. The dissemination of good practices is well supported through various methods and tools such as the “Environmental good practices”, a collection of case studies from field missions on the various pillars of the strategy, published annually by the Department of Operational Support. The internal resources portal Knowledge Gateway has a section dedicated to videos highlighting good environmental practices and core principles of the environmental policy.

447. At the mission level, the processes required pursuant to the policy have been implemented. Focal points have been designated and environmental issues are monitored by specialized teams reporting to an environmental committee, usually chaired by the chief of operations and resource management, which brings together all stakeholders within the mission.

448. However, environmental priorities still need to be mainstreamed throughout all mission components in order to manage environmental issues through proper planning and management processes. For example, it is crucial that stock management incorporate an environmental perspective. The accumulation of unused stocks is both a waste of financial resources and a source of waste to be processed.

449. To address this issue, the Department of Operational Support rolled out a supply chain planning tool in June 2022, which introduced an information technology solution to automate demand planning and factor in existing stocks and incoming goods to prevent overstocking. Environmental considerations are embedded into category management strategies, where requirements are developed with a focus on technological advances and best practices in order to reduce environmental impact.

450. Given that some products can present environmental risks, it is crucial to limit their presence to what is strictly necessary.

451. The Board recommends that the Administration include environmental considerations in core category strategies to mitigate environmental risks.

452. The Administration accepted the recommendation.

453. Specific documents and training have been developed to disseminate environmental awareness among the military component. The first edition of the environmental management handbook for military commanders in United Nations peace operations was published in March 2021 by the Office of Military Affairs and the Environment Section of the Office of the Under-Secretary General for Operational Support. It is a comprehensive and clear presentation of the environmental responsibilities of troop- and police-contributing countries. It is included in the Peacekeeping Capability Readiness System portal, along with a wide range of resources on the environment (policies, standard operating procedures and good practices, among others). Environmental awareness generation sessions are organized for troop- and police-contributing countries using material translated into 12 command languages used by troop- and police-contributing countries themselves.

454. However, environmental reports in the missions and field visits have shown that further progress is needed. In particular, the stockpiling of solid waste, scrap metal,

electronic waste and expired chemicals appears to be a common problem in the camps. This issue is a shared responsibility between the United Nations and the troop- and police-contributing countries, regarding waste streams generated by the contingents. With respect to the 2026 COE Working Group, the Secretariat should explore solutions with a proposal to the Working Group for consideration and decision by Member States to help to reduce the stockpiling in order to avoid having to deal with large backlogs at the time of departure.

455. The Board recommends that the Secretariat propose solutions to Member States on the accumulation of waste in troop- and police-contributing countries' camps.

456. The Secretariat accepted the recommendation and underlined that it would explore ways to further encourage troop- and police-contributing countries to reduce the generation of solid waste and reduce the stockpiling of various waste streams in the camps of troop- and police-contributing countries during the mission sustainment phase, in particular in the context of the ongoing review of the environmental handbook for military commanders.

5.5.3. Centralized environmental support mechanisms need to be sustained

457. As described above, the Secretariat has developed a comprehensive environmental management framework that allows missions to integrate environmental considerations into all operational aspects, to plan for improvements in infrastructures, facilities and practices in the areas of energy, solid waste and wastewater management, to set forward-looking objectives and targets, to leverage best practices and to monitor performance and compliance over time. Strong technical support is also necessary to help the missions, which do not have full capabilities to make progress in all areas.

458. The financial agreement between the United Nations and UNOPS covers the organization and functioning of the Rapid Environment and Climate Technical Assistance project team. Its phase 2 covers the period from 1 February 2021 to 31 December 2023. The purpose of the project is to provide to peacekeeping and political support operations specialized environmental and engineering expertise that is not readily available or immediately deployable within the Secretariat.

459. Through this agreement, the United Nations transfers \$1,500,000 annually to cover the cost of 11 UNOPS staff (7 to 9 technical full-time equivalent positions, given that the resources may vary depending on need, and 2 part-time support staff), travel, equipment and training. The cost is covered by the missions' budgets on the basis of the standard cost and ratio manual.

460. An annual financial report was produced at the end of the agreement and showed a positive balance of \$52,473 for the three years covered by the project. An amendment was signed on 26 December 2023 to extend the agreement until 31 December 2024, with a project timeline attached, including the completion of the project at the end of 2024. To ensure continuity, a new agreement was signed between the Department of Operational Support and UNOPS in August 2024 to extend the mandate of the Rapid Environment and Climate Technical Assistance team from 1 August 2024 to 31 July 2026 to support the implementation of the Way Forward.

461. The missions audited have all underlined the usefulness of the Rapid Environment and Climate Technical Assistance team to help them to address the technical challenges that they face, whether on energy project management, wastewater treatment or other issues. These difficulties will persist beyond 2026, as shown by the missions' scorecards, which show room for improvement. Therefore, it appears necessary to move the team from a project to one that has a permanent status.

462. The Board recommends that the Administration sustain the Rapid Environment and Climate Technical Assistance team project with the aim of concluding a longer-term United Nations-UNOPS agreement with optional extensions.

463. The Administration accepted the recommendation and stated that, accounting for the recent agreement signed between the Department of Operational Support and UNOPS extending the mandate of the Rapid Environment and Climate Technical Assistance team until 31 July 2026, options to sustain the team would be explored in line with the period covered by the Way Forward.

464. The United Nations Global Service Centre's centralized Environmental Technical Support Unit supports missions in developing comprehensive, multi-year plans aimed at enhancing environmental performance, with a focus on increasing ambition in the transition to renewable energy and managing wastewater and hazardous waste risks. The Global Service Centre catalogues include environmental technical services pertaining to risk assessment, monitoring, hazardous waste management and treatment and environmental cleanup. The Global Service Centre also proposes innovative solutions to improve environmental management such as the Unite field remote infrastructure monitoring system, a platform developed to monitor infrastructure and the use of resources through an industrial Internet of things solution. Moreover, the Global Service Centre is organizing a workshop with Member States, field missions and key Department of Operational Support stakeholders to extend the benefits of the system to monitor infrastructure items from troop- and police-contributing countries and their contingent-owned equipment.

465. The field work carried out by the Department of Operational Support electrical engineers has allowed for a reassessment of the energy supply requirements in some troop- and police-contributing countries' camps, highlighting the opportunity to update the generic standard unit requirements to define production capacity expected from troop- and police-contributing countries that may be best adapted to various operational settings, and leveraging contingent-owned equipment renewable energy transition opportunities. It would be useful to update these requirements to take account of the reassessments, in order to avoid an excess in production of electricity and avoidable CO₂ emissions, given that the electricity produced is almost exclusively from fuel generators.

466. The Board recommends that the Administration review applicable standard unit requirements to consider, when relevant, the reduced energy production requirements following an evaluation by specialized electrical engineers.

467. The Administration accepted the recommendation and highlighted that the generic standard unit requirements would be reviewed to further encourage a reduction in the use of diesel fuel in electricity generation by troop- and police-contributing countries, including through a more efficient use of diesel generators, the integration of renewable energy systems into electricity generation and other energy efficiency measures, in line with findings from recent energy assessments conducted by the Department of Operational Support energy experts in troop- and police-contributing countries' camps.

468. The support provided to the missions also involves concluding global system contracts for specific environmental needs. A total of 21 global system contracts had been contracted as of September 2024 for energy equipment and services, 5 for solid waste equipment and 7 for water and wastewater treatment. The level of utilization of these contracts by the missions varies to a large degree.

469. Global contracts have also been issued for three types of hybrid vehicles (one sedan and two crossover). No use of these contracts by any peacekeeping operation was recorded over the 2022/23 and 2023//24 periods. These global contracts were complemented by local contracts that, for the same period, provided two vehicles for UNMIK, two for UNTSO and eight for UNFICYP, given that the vehicles included in the global contracts were not approved for the countries where those missions operate.

470. When asked about the low use of hybrid vehicles, the missions emphasized their specific needs and constraints, such as a lack of local infrastructure to support use of such vehicles, in particular road conditions, charging stations, maintenance and difficult climate. Nevertheless, some less constrained contexts could be compatible with the use of specific hybrid vehicles. The use of other CO₂-neutral means of transport could also be examined, in particular in urban environments or within camps, or where the electricity used to charge the means of transport is generated through renewable energy sources. This would make it possible to reduce the carbon footprint of missions without affecting their operational capabilities, provided that needs, constraints and supply are better matched

471. The Board recommends that the Administration continue to include in the future solicitations hybrid and carbon-neutral vehicles in order to allow them to expand their use in missions through improved adaptation to local constraints and needs.

472. The Administration accepted the recommendation and stated that it would continue its current efforts to take into consideration the specificities of the theatres of operation in developing supply chain solutions, including to meet the requirements for ground transportation.

5.6. Drawdown and liquidation: various challenges in unique contexts

5.6.1. Closure and liquidation of the United Nations Multidimensional Integrated Stabilization Mission in Mali

Overall organization and planning for mission closure

473. By 31 December 2023, the withdrawal had been completed for 11 of the 13 MINUSMA camps across Mali. Two camps remained as liquidation locations. The withdrawal was completed without loss of life, which, given the circumstances, must be considered a significant success. The expedited evacuation of personnel and equipment from the northern region proceeded smoothly, even though the accelerated timeline and the constraints imposed by the host Government necessitated the destruction and abandonment of valuable assets, including critical equipment, in three northern camps.

474. Frequent adjustments to the integrated drawdown plan had to be made, given that initial planning assumptions were based on the expectation of full cooperation from the host Government, which ultimately proved to be more complex and slower than anticipated. The uncontrolled security situation in the north, exacerbated by attacks on Timbuktu, put pressure on an accelerated withdrawal of some forces.

475. The evacuation of equipment was subject to numerous constraints. The host Government did not approve MINUSMA transport convoys moving north of Gao to evacuate the equipment. In the western sector, the deteriorated security situation resulted in delays with the clearance of the ground movements. In the three northern camps, MINUSMA was compelled to destroy or disable United Nations operations equipment (United Nations-owned equipment) and contingent-owned equipment, which the Mission was unable to transport.

476. The drawdown phase was overseen by the Department of Peace Operations and the Department of Operational Support. Since January 2024, the liquidation phase, as a logistical operation, has been under the guidance of the lead department, namely, the Department of Operational Support.

477. The Administration stated that cross-departmental planning and decision-making was continuously maintained at Headquarters throughout the drawdown and liquidation phases. It underlined that principal-level meetings entailed regular briefing, information-sharing and strategic decision-making, including those with political consequences and regional ramifications. According to the Administration, the available, extremely limited, options for the disposal of ammunition was discussed at a principal-level meeting, with the risk-threat analysis deliberated, all diplomatic avenues with neighbouring countries and in the region explored, and all options discussed and exhausted, before a decision was made collectively. The Board notes this process and encourages collective decision-making on all major decisions during a liquidation phase.

Handover with the host country

478. MINUSMA had initially planned a gradual closure of its camps. However, owing to the rapidly deteriorating security environment, the Mission was compelled to vacate the Tessalit, Aguelhok and Kidal camps in an accelerated manner in accordance with the contingency plan to sector north. As a result of that accelerated withdrawal under challenging conditions, the Mission had to focus on personnel safety, while being unable to adhere in full to its standard site closure procedures. These procedures typically require the complete removal of equipment and fluids, including the remains of items destroyed on site and stored for possible evacuation by a contractor.

479. According to the Mission, all practicable measures for environmental remediation and restoration were implemented during the closure of the Tessalit, Aguelhok and Kidal camps. This encompassed the removal of hazardous materials, soil decontamination and strict adherence to established protocols. That action was documented and aligned with the terms under which the land was granted to MINUSMA, as outlined in notes verbales exchanged with the host country Ministry of Foreign Affairs.

480. The Mission implemented a joint and formal handover to the regional governors for all camps and their land, except for Tessalit, Aguelhok and Kidal. For those three camps, the infrastructure, assets, equipment and materials remaining at the camps were deemed to have been transferred in line with a note verbale dated 11 October 2023, to which the host Government has, to date, not responded. Therefore, the Mission asserts that the three sites have been returned to the host Government and consequently considers them under the Government's exclusive control and responsibility.

Review of United Nations-owned equipment and contingent-owned equipment withdrawal conditions

481. Following United Nations regulations and after conducting a cost-benefit analysis, United Nations-owned equipment was classified into five categories, from the most valuable, which were transferred to other United Nations missions, to the least serviceable and valuable, which were destroyed. As at the end of June, the final disposition of assets report remained in process because liquidation activities were ongoing. Final figures will be provided in the report once completed. In total, it was estimated that 20 per cent of United Nations-owned equipment could be shipped to other missions, representing 51 per cent of net book value. A total of 38 per cent

(representing 36.7 per cent of net book value) was to be gifted and 31 per cent (representing 7.6 per cent of net book value) was to be disposed of (see table II.17).

Table II.17

Surplus United Nations-owned equipment as at 30 June 2024

(United States dollars)

	<i>Number</i>	<i>Percentage</i>	<i>Acquisition value</i>	<i>Net book value</i>	<i>Percentage</i>
Shipment	7 110	19.6	46 277 786	42 829 601	51.0
Sale at fair value	1 152	3.2	5 323 781	1 295 277	1.5
Commercial sale	1 346	3.7	4 996 219	1 196 095	1.4
Gift	13 688	37.6	106 244 817	29 996 541	35.7
Disposal and scrap	11 319	31.1	29 353 419	6 375 550	7.6
Other ^a	1 755	4.8	7 309 316	2 364 168	2.8
Total	36 370	–	199 505 338	84 057 233	–

Source: Umoja.

^a “Other” includes disposal not required, equipment created in error and procured on behalf of end beneficiary.

482. With regard to the disposal and recovery of contingent-owned equipment, the COE Manual encompasses a classification of equipment for the purposes of repatriation: (a) group one (combat vehicles, ammunition and weapons, electronic counter-measures, and communication and observation equipment); (b) group two (military pattern vehicles, dual-purpose vehicles and other sensitive equipment); and (c) group three (commercial pattern vehicles, generators, spare parts and self-sustainment minor equipment). Cost-benefit analyses were conducted to determine the feasibility and the effectiveness of repatriation of equipment, in consultation with the troop- and police-contributing country concerned. As shown in the table II.18, 69 per cent was eventually mandated for repatriation.

Table II.18

Status of contingent-owned equipment as of July 2024

	<i>Major equipment</i>		<i>Self-sustainment</i>		<i>Total</i>	
	<i>Twenty-foot equivalent unit</i>	<i>Percentage</i>	<i>Twenty-foot equivalent unit</i>	<i>Percentage</i>	<i>Twenty-foot equivalent unit</i>	<i>Percentage</i>
Repatriated	4 580	69.0	423	70.9	5 003	69.1
Force abandonment	1 092	16.4	96	16.1	1 188	16.4
Donated	377	5.7	39	6.5	416	5.7
Disposed	186	2.8	31	5.2	217	3.0
In mission	405	6.1	8	1.3	412	5.7
Total	6 639	–	597	–	7 236	–

Source: Uniformed capabilities management system.

483. For equipment under letters of assist, the process for repatriation is monitored by the Logistics Division in the Office of Supply Chain Management, which processes the reimbursement claim under letters of assist.

484. Owing to the challenges associated with the evacuation of equipment from the Gao camp, the Mission decided to inspect containers to estimate the value of

contingent-owned equipment that was to be moved and leave the less valuable items behind. This process, which deviated from the COE Manual's directive to move all equipment regardless of cost, allowed for a more practical and cost-effective implementation of the withdrawal. Regularizing the process of conducting cost-benefit analyses to inform decisions regarding repatriation rather than local disposal should be considered during the next COE Working Group.

485. In total, 14 claims from eight countries, amounting to \$62.1 million, were submitted by contingents for compensation for forced abandonment. By July 2024, \$15.2 million has been disbursed.

486. During closure, expired ammunition is typically destroyed, while serviceable ammunition is repatriated under United Nations supervision. A total of 86 tons of ammunition followed that process. An additional 230 tons of ammunition exited Mali but was awaiting onward shipment at the time of the audit. Furthermore, 103 tons were airlifted to a neighbouring country. The disposal of that ammunition was carried out from 17 October to 4 November 2024 under a letter of assist, with the Mine Action Service providing technical advice and being present during the operations.

487. Serviceable ammunition that had to be destroyed because it was not possible to guarantee its repatriation will have to be reimbursed to the troop- and police-contributing countries concerned.

Procurement and logistics of withdrawal

488. Owing to the abrupt termination of the mandate, MINUSMA faced challenges in redirecting or cancelling purchase orders, worth approximately \$78.4 million (see chapter 3.3.2 above). While most of them were successfully redirected to other United Nations entities, \$22.5 million in purchase orders could not be redirected, owing primarily to the goods being already in transit or partially delivered. Furthermore, goods already delivered to the Mission (ICT, engineering equipment and spare parts), valued at \$21.3 million, were incorporated into the asset disposal plan, and their disposition was determined in compliance with financial regulation 5.14, including transfer to other operations or the United Nations reserve, or through sale or as a gift. The case of a steel shipment, blocked by local customs and eventually sold commercially at a fraction of its price, illustrates the unforeseen financial burden arising from an abrupt and unanticipated closure.

489. The withdrawal of MINUSMA inevitably triggered the submission of commercial disputes from vendors. The liquidation entity has made concerted efforts to resolve any disputes.

490. The accelerated withdrawal process exacerbated procurement issues, which had to be addressed through exceptional procedures provided for in the United Nations Procurement Manual. For example, there was no pre-existing hazardous waste removal contract and the environmental clean-up of the camps had to be facilitated through regular but expedited procurement procedures. Similarly, the establishment of some transport contracts was carried out expeditiously, ensuring adherence to the principles of financial regulation 5.12. Given the circumstances, the United Nations employed a backward procurement planning approach. This method involves planning procurement activities starting from the required service delivery date and working backward to calculate the maximum allowable time for each procurement step, such as solicitation, evaluation, awarding and contract issuance.

491. A significant source of additional expenditure arose from diesel and jet A-1 fuel imports. First, the fixed portion of fuel prices increased from August 2023 owing to heightened transportation costs for the vendor, stemming from deteriorating security conditions and increased transport needs during the drawdown, leading to a total

impact of \$1.9 million between August 2023 and June 2024. Second, from November 2023 to September 2024, the host Government prohibited new imports of fuel (both diesel and J-1 aviation fuel), which required the entity to rely on purchases from local vendors for higher prices. The additional costs incurred, compared with the regular cost of fuel procured under normal circumstances, were estimated at \$4.7 million. The fuel costs increased by \$6.6 million between August 2023 and June 2024.

492. The withdrawal from Mali necessitated the use of other exceptional procurement procedures to expedite contract awards without competitive bidding, such as the extension of existing contracts. Those measures were taken in compliance with the Financial Regulations and Rules and followed the guidance contained in the Procurement Manual. These procedures were necessary for operational efficiency in a constrained context. Special measures and additional efforts were and are required for mitigating the legal and financial risks.

493. These findings underscore the challenges associated with rapid mission closures and the importance of robust contract management to ensure compliance with regulations and clear communication with vendors to manage volatile circumstances during drawdown.

Preparation for closing and legacy on substantive activities

494. MINUSMA faced significant challenges in transferring its substantive and programmatic activities to the United Nations country team and other partners prior to its mandate termination. Notwithstanding efforts such as joint working groups, knowledge-sharing and documentation, the transfer of tasks remained incomplete in large part. Key factors hindering the process included time constraints, insufficient staffing strength and a lack of concrete planning and cooperation with the host Government and United Nations agencies. In addition, the United Nations country team relied heavily on financial resources from MINUSMA to implement various programmes. The discontinuation of those resources had a considerable impact on the continuity of its work.

495. The closure of MINUSMA has also led to a significant reduction in information and analytical capabilities within United Nations country team's safety and security framework. The integrated security and safety section, along with other MINUSMA divisions, had previously provided comprehensive information-gathering, analysis and dissemination. This capacity has been substantially reduced owing to staff cuts, the loss of key personnel and the dismantling of key mechanisms. The resulting inability to make the transition to specific resources and structures, such as community liaison assistants and information analysts to ensure continuity, has compromised the United Nations country team's ability to effectively assess and manage security risks in Mali.

5.6.2. Improved planning of the post-transition phase needed

496. The gradual drawdown and/or the full closure of a mission constitute decisive moments for the United Nations system and the host State. A mission's positive legacy is at stake. To that extent, the mission must ensure that it has created the appropriate environment to sustain the political engagement and to ensure long-term results of programmes during the last milestone, before the withdrawal and the immediate post-closure period. Indeed, the Secretariat considers that the year following the transition is more challenging and unpredictable.

497. As regards the current practices, the Secretariat recognizes that transitions are often characterized by a decline in political leverage, while many of the residual peacebuilding challenges are usually highly political in nature. This statement applies both for the United Nations capacity in the host country and for the Secretariat's

capacity. Indeed, a mission closure implies a reduction in related support account resources, which backstopped the operation, and especially a reduction in staff in the relevant Department of Peace Operations-Department of Political and Peacebuilding Affairs division. This represents a loss of institutional knowledge of the area and can weaken the capacity of the United Nations to sustain political engagement following mission closure.

498. In the field, some mechanisms can be implemented to ensure the quality of United Nations political engagement during an active transition and immediately after. They help to fill a void once the mission's activities end.

499. As is done in the context of some recent mission closures, the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator can continue to serve as resident coordinator in the host State for an appropriate period after the closure of the mission, with the post remaining at the same senior level in view of the contextual complexity. In Mali, the resident coordinator was also appointed head of the liquidation entity, which is also a good practice.

500. The MONUSCO transition is, first, a transfer of responsibilities from the Mission to the Congolese authorities. Following the Mission's withdrawal from the Kasais in 2021 and from Tanganyika in June 2022, it completed its disengagement from South Kivu in June 2024. As authorized by the Security Council in its resolution [2717 \(2023\)](#), the Mission maintained a residual civilian presence in South Kivu to ensure the consolidation of peacebuilding gains in the province in support of the Congolese authorities. The residual capacity, comprising 42 personnel, is expected to collaborate closely with the United Nations country team and national authorities to implement the provincial transition plan, ensuring a peace continuum and ownership by the provincial authorities and civil society stakeholders. As at 1 July 2024, the MONUSCO capacity comprised 28 substantive, 7 support and 7 security personnel.

501. Peace and development advisers have been deployed in some countries that used to host peacekeeping operations to support the reconfigured United Nations country team model in the country. They also support the definition of the new initiatives of United Nations agencies, funds and programmes designed to support national peacebuilding and prevention priorities in maintaining and further advancing peacebuilding gains achieved during the lifespan of the mission. In a post-transition setting, they contribute to the stability of the United Nations system's engagement on sustaining peace. The peace and development advisers are embedded in the resident coordinator offices at the country level and deployed by the Joint Programme on Building National Capacities for Conflict Prevention led by the Secretariat (Department of Political and Peacebuilding Affairs) and UNDP. This 20-year-old programme, while strongly supported by donors and remaining resident coordinators, relies entirely on extrabudgetary funding and has recently had to downsize, cutting several posts owing to reduced contributions.

502. These mechanisms are not embedded in the current policies nor funded from predictable sources. While peacekeeping operations remain in a transition setting, the United Nations should consider proposing a more coherent and global approach. It could improve the quality of United Nations engagement during a transition and immediately after and limit the Organization's loss of political capacity.

503. The Board recommends that the Administration, when a mission closure occurs, seek predictable funding resources for mechanisms that ensure engagement to address residual peace challenges.

504. The Administration accepted the recommendation. It also stated that the ongoing review of the transition policy would review past and present mechanisms to propose more coherent and global approaches.

5.6.3. Absence of a systematic way of capturing lessons learned of a closing mission

505. The principle of lessons learned from completed and closed missions is crucial for several particularly strategic issues to ensure the continued credibility of peacekeeping missions:

(a) Making all the lessons learned from the mission useful to all other missions and, more generally, to the entire United Nations system;

(b) Ensuring that there is no loss of know-how, and that the skills in which the United Nations have invested can be useful beyond the mission;

(c) Empowering those involved, who know that all their actions and decisions will be the subject of detailed analysis once the mission is over, with the aim of improving other missions.

506. Consequently, most missions, whether launched, in progress or closed, demonstrate their determination not to lose the intangible benefits of a mission in the long term. Most of the teams at Headquarters and in the field are aware of the stakes involved.

507. However, while the principle itself is not questioned, the practical implementation of systematic lessons learned exercises at the end of missions is not yet operational. Of all the missions closed since the beginning of peacekeeping operations, only two formal reports on lessons learned on the overall impact and legacy of the mission have been produced. At the same time, missions have produced many lessons learned studies, after-action reviews and end-of-assignment reports throughout their life cycle. The purpose of these reports is to enable the Organization to build on the lessons and experience of the missions and develop new areas of expertise, policies and guidelines.

508. With the exceptions of UNOCI and UNAMID, no closed missions have produced a comprehensive report on lessons learned in the months or the year that follow. There is no standard document on lessons learned, leaving it up to each mission and to Headquarters to decide whether to engage in such process, often based on available capacity and resources. In this regard, the Special Committee on Peacekeeping Operations has requested the Secretariat to develop a comprehensive lessons learned report after the closure of a peacekeeping operation (A/78/19, para. 98). The Organization is preparing a lessons learned report on MINUSMA.

509. According to the Secretariat, the absence of a common framework is attributable mainly to resources, given that mission funding is not suited to the production of comprehensive lessons learned studies. Funding, which is focused on short-term organizational and functional needs, is not designed for issues that go beyond the strict time frame of the mandate. In situations in which funding is particularly tight, especially in recent years, the principle of lessons learned appears to be relegated to a secondary category of priorities, and a report on them is produced only when funds remain, which is rarely the case.

510. Without increasing missions' appropriations, it may be possible, in some cases, to redeploy funds internally to support lessons learned tasks. Corporate funding of lessons learned activities under the support account for peacekeeping operations could also be considered, given the value of such lessons and the interest across the entire Department of Peace Operations, including all field missions.

511. In addition, the end of mission closing report would be the most appropriate channel for carrying out initial lessons learned, supplemented by more in-depth work in the following months.

512. The Board recommends that all closing missions produce a comprehensive lessons learned report to be submitted to United Nations Headquarters upon their closure.

513. The Administration accepted the recommendation, subject to the availability of resources in the year preceding mission closure and through liquidation to ensure that lessons learned can be captured across mission components. The Administration underlined that implementation was therefore contingent on the approval of the related funding by the General Assembly.

6. Cooperation between peacekeeping operations and the wider United Nations system

6.1. Objectives and scope of the audit

Need for greater cooperation: a long-standing requirement

514. The capstone doctrine of 2008 highlighted the need for cooperation between all stakeholders in a peace process and for integrating United Nations efforts.¹⁹ The large number of agencies, funds and programmes within the United Nations system is a major challenge to effective stakeholder cooperation.

515. Given that competition within the United Nations system could be an unfortunate factor helping to sustain silos, one of the key elements of the United Nations reform agenda²⁰ is to encourage complementary action, strengthen integration and avoid duplications by breaking down silos to achieve sustainable development goals. In the context of peacekeeping operations, cooperation between missions and the wider United Nations system can be a prerequisite for the coherent and effective implementation of some Security Council mandates.

516. Peacekeeping missions are involved in a variety of fields in which other United Nations partners are also involved, generally referred to as agencies, funds and programmes. The diversity of the mandates entrusted to the missions by the Security Council, the multiplicity of stakeholders and the difficulty in achieving the expected results in contexts marked by high tensions mean that cooperation with the United Nations agencies, funds and programmes is a major challenge in guaranteeing the success of peacekeeping missions.

517. A total of 2 of the 45 shared commitments of the Action for Peacekeeping strategy, pertaining to the strengthening of the impact of peacekeeping on sustaining peace, deal directly with integration and cooperation issues within the United Nations system.²¹ Action for Peacekeeping Plus and its priorities for 2021–2023²² also plan to strengthen cooperation efforts with the United Nations agencies, funds and

¹⁹ It is stated in the doctrine that there is no “one-size-fits-all approach” to achieving integration among United Nations actors in the field. There is a range of implementation modalities through which an integrated mission may pursue common United Nations objectives in its mandated areas of activity and that the United Nations system should decide at the country level which implementation modalities are best suited.

²⁰ See General Assembly resolutions [72/266 B](#), [72/236](#) and [72/199](#).

²¹ In the Declaration of Shared Commitments on United Nations Peacekeeping Operations, it is stated that “The Secretary-General commits ... [to ensuring] integrated analysis and planning, particularly for transitions; and to seek greater coherence among UN system actors including through joint platforms such as the Global Focal Point on Police, Justice and Corrections”.

²² Among those priorities is the following commitment: “We will also continue to seek more effective integration with our partners, notably by exploiting the peace and security, management and development reforms for greater operational cooperation across the UN system. These efforts must be enabled by leadership team practices that model and demand integration. We must also ensure that such efforts are properly mirrored and coherently guided by Headquarters”.

programmes, while the fourth progress report on Action for Peacekeeping Plus, issued in 2024, notes the progress still to be made to ensure better cooperation between peacekeeping operations and United Nations country teams. Specific indicators have been developed to assess progress.

518. The issuance by the Business Innovation Group of a mutual recognition statement in 2019²³ formalized the commitment of the United Nations system to using or relying on other organizations of the United Nations system's policies, procedures, system contracts and related operational mechanisms for the implementation of activities without evaluation checks or approvals being required, to the greatest extent practicable.

519. In its resolution 2594 (2021), the Security Council emphasized “the need for peace operations to engage at the earliest possible stage in integrated planning and coordination on transitions with the Resident Coordinators, United Nations Country Team, [and] other United Nations agencies, funds and programmes”.

520. Lastly, A New Agenda for Peace sets out the general context for United Nations peacekeeping activities. In its action 8 (Strengthen peace operations and partnerships), it is stated that “peace operations must be significantly more integrated and should leverage the full range of civilian capacities and expertise across the United Nations system and its partners, as part of a system of networked multilateralism and strengthened partnerships”.

521. The risks identified in the United Nations risk register pertaining to coordination²⁴ comprise the lack of overall coherence of United Nations action in missions,²⁵ additional costs due to poor cooperation in the event of uncoordinated duplication of action and suboptimal implementation of organizational priorities or strategic/operational objectives.²⁶ Lack of cooperation can also apply to peacekeeping operations.

522. The concept of cooperation is linked closely to the ones of coordination and integration. The latter refers to the bringing together of United Nations entities across pillars to enhance the individual and collective impact of the United Nations response, focusing on those activities required for sustaining peace. To this end, integration arrangements should support joint analysis, coordination complementarity and coherence among humanitarian, peace and security, development and human rights actors.

Scope of the audit

523. By auditing the cooperation between peacekeeping operations and the wider United Nations system, the Board aimed to examine: (a) the governance and mechanisms in place to ensure that the activities of peacekeeping operations and other

²³ Available at https://unsceb.org/sites/default/files/imported_files/Mutual%20recognition%20statement_2%20April%202020_latest.pdf.

²⁴ With respect to inter-agency coordination, it reads in part: “Objectives of joint inter-agency operations, and expectations of leadership are not appropriately aligned with one another or with the UN purpose, principles, mandates and objectives. Lack of clear delineation of roles and responsibilities for thematic areas across the UN system creates competition that leads to confusion of the clients for the services, complicates inter-agency coordination and spreads resources thinly across the various agencies”.

²⁵ With regard to inter-agency programmatic cooperation, it is stated that “Failure to effectively coordinate and align programmes, activities and requirements (including consensus as to controls and governance) with other agencies or programmes within the UN system”.

²⁶ As regards organizational coordination, it reads: “Ineffective coordination between entities may lead to sub-optimal implementation of Organizational priorities or strategic/operational objectives, including between HQ, other offices and the field”.

United Nations system entities were compatible and complementary at the strategic and programmatic levels; and (b) the financial and operational mechanisms in place to foster stakeholder cooperation.

524. The purpose of the audit was not to assess the way in which peacekeeping operations and United Nations agencies, funds and programmes were funded, which can have an impact on cooperation. Indeed, a reliance on earmarked contributions may adversely affect the implementation of programmatic priorities agreed with national counterparts. On the other hand, action carried out through assessed contributions can be weakened only by insufficient liquidity.

525. The lack of integration of human resources services across United Nations entities is also an obstacle to effective cooperation. Each entity tends to operate in a silo, with its own tools and structures, which makes it difficult to implement flexible mechanisms that can be easily shared.

526. By design, the different entities of the Secretariat have only limited room for manoeuvre in terms of the solutions that can be devised and then implemented at the level of the United Nations system. Nevertheless, in addition to the efforts that it can make on its own and given its pre-eminent role, the Secretariat has the responsibility to provide the impetus and propose initiatives to strengthen cooperation between stakeholders and to improve the integration of the United Nations system and the coherence and effectiveness of its action.

6.2. Cooperation on substantive issues

6.2.1. Joint mechanisms defined at the Headquarters level

527. Peace operations are not the only actors present in any of the contexts in which they are deployed. The agencies, funds and programmes are present and coordinate within United Nations country teams before the deployment of a mission and will remain after the mission's eventual departure. The substantive scope of inter-agency partnerships and initiatives covers some aspects of multidimensional peacekeeping operations, both within the United Nations Secretariat and in cooperation with agencies, funds and programmes, typically resulting in joint efforts at standards-setting, common approaches, policy development, joint advocacy, cooperation on cross-country projects and joint activities. Taking advantage of potential synergies with actors with complementary objectives or building in coordination mechanisms with other United Nations actors is therefore key to the success and legacy of these activities.

528. Multidimensional peacekeeping missions rely regularly on cooperation arrangements or mechanisms established at Headquarters. These mechanisms are intended to leverage partnerships and draw on the experience and capacities of its core entities, to strengthen coherence of the United Nations system and to address issues in various areas related to peacebuilding (e.g., rule of law, gender, climate, and peace and security). Missions and United Nations country team partners implement the mechanisms mentioned below on the basis of their mandates and strategic objectives, operational requirements, capacity gaps, comparative advantages and resource availability. For these reasons, the implementation in the field of the coordination framework can vary and have various impacts.

529. There may be differences in the level of formalization, nature and modalities of the partnership. The Board therefore attempted to list the types of efficient strategic partnerships designed at Headquarters and implemented in the field. The resulting list is not exhaustive.

530. In terms of financing, it should be noted that the Peacebuilding Fund has proved, since 2006, to be a critical mechanism to support the collective work of the United Nations system in support of United Nations mission transition settings and

peacebuilding. The Peacebuilding Fund is available in support of countries requesting assistance and finances activities through the United Nations agencies, funds and programmes and civil society organizations, in a way that is coordinated and complementary to the work of any mandated missions that may be present on the ground and that are requested by a Government. The Peacebuilding Fund, while a Headquarters mechanism, in the sense that it is managed by the Peacebuilding Support Office of the Department of Political and Peacebuilding Affairs on behalf of the Secretary-General, and financially administered by the Multi-Partner Trust Fund Office (of UNDP), which has pre-existing agreements across all United Nations system implementing partners, allowing for flexible and rapid implementation, finances peacebuilding activities at the country level, which are agreed by the United Nations and national partners.

Global Focal Point for the Rule of Law

531. The Global Focal Point for the Rule of Law is a coordination arrangement established in 2012 by the Secretary-General to enhance predictability, coherence, accountability and effectiveness in the delivery of United Nations rule of law assistance at the national and international levels. As a field-focused arrangement, it enables United Nations entities to jointly pursue shared objectives, in accordance with their mandates and capacities, while providing country support in the areas of justice, corrections, and police and security sector reform.

532. At Headquarters, the Global Focal Point arrangement is co-chaired by the Department of Peace Operations/Office of Rule of Law and Security Institutions and UNDP. The Global Focal Point has an extensive range of United Nations partners and additional entities.²⁷ Since its operationalization, the Global Focal Point has created a platform for collective United Nations rule of law responses, in line with relevant mandates, supported the establishment of joint rule of law programmes and facilitated the deployments of experts and joint assessments, planning and programming. Coordination between United Nations actors is articulated through an established set of procedures and guidance policies,²⁸ as reflected in Global Focal Point annual reports and minutes of coordination meetings, country-specific meetings and inter-agency retreats. The Global Focal Point enables the United Nations entities to work jointly towards common objectives, in line with relevant mandates. The Global Focal Point conducts joint assessments, planning and programming on the basis of varying field requirements. The Global Focal Point brings together strategies and programmes with national development plans and serves as a single-entry point for the host Governments, thereby achieving better results from the expertise given by the relevant agencies.

533. Multiple reports have been produced on the Global Focal Point and have confirmed the various comparative advantages of this arrangement.²⁹

²⁷ The Global Focal Point's partners include the Rule of Law Unit of the Executive Office of the Secretary-General, OHCHR, UNHCR, UNODC, UNOPS and UN-Women. Additional entities such as UNICEF, the Team of Experts on the Rule of Law and Sexual Violence in Conflict, the Peacebuilding Support Office and the Development Coordination Office regularly collaborate with the Global Focal Point.

²⁸ The UNDP "Joint rule of law programming under the Global Focal Point for the rule of law: practitioners' guide" was designed and Global Focal Points within each entity develop policies within their areas of expertise within Headquarters, both as guidance officers and/or focal points, and through the Global Focal Point group, which serves as a consultative and information-sharing forum. The Global Focal Points meeting is held monthly.

²⁹ For example, from the Global Focal Point annual report for 2023, it reads "The GFP has developed a solid reputation and experience as the primary implementer of comprehensive, sector-wide rule of law and human rights programmes".

534. However, implementation in the field may vary. For example, regarding MONUSCO, the full range of Global Focal Point support, including joint programming, has been deployed. On the other hand, in South Sudan, a focal point network exists, but is focused mainly on information exchanges and has not yet resulted in further integration in programming.

Climate security mechanism

535. The climate security mechanism is a joint initiative of the Department of Political and Peacebuilding Affairs, the Department of Peace Operations, UNDP and UNEP.

536. Established in 2018, the climate security mechanism is a joint programme administered by the Multi-Partner Trust Fund Office. It draws on extrabudgetary resources to fund core staff and activities and on the complementary expertise of its entities to support United Nations partners, regional organizations and Member States. The climate security mechanism joint programme is coordinated by a Headquarters-based core team of dedicated staff from the Department of Political and Peacebuilding Affairs, UNDP, UNEP and the Department of Peace Operations, under the oversight of the climate security mechanism joint steering committee. The joint programme is supported by a small secretariat hosted by UNDP, which is responsible for day-to-day management.

537. The programme oversees global workstreams and coordinates initiatives in climate-vulnerable regions around the world, including through the deployment of climate, peace and security experts and training. The climate security mechanism has worked with partners to deploy and support eight climate, peace and security advisers in United Nations field missions and to second four climate, peace and security advisers to regional organizations.

538. To date, the climate security mechanism is supporting activities in one setting where a United Nations peacekeeping mission is deployed: South Sudan. In addition to supporting the climate security mechanism, the Government of a Member State is funding one position of Climate, Peace and Security Adviser (P-5) (located within UNMISS), one national staff (located in the UNDP office) and a small amount of funding for travel and activities. The position has a dual reporting line to UNMISS to the Director of Civil Affairs and the Deputy Special Representative of the Secretary-General (Political) and to the UNDP South Sudan office (Deputy Resident Representative).

539. The various evaluation reports, confirmed by qualitative assessment by the stakeholders, have underlined the efficiency of this mechanism, even though it is a new one, especially in a context in which climate-related risks are increasingly high.

United Nations Transitions Project

540. The United Nations Transitions Project is a collaborative partnership launched in 2014 between the Department of Peace Operations, the Department of Political and Peacebuilding Affairs, the Development Coordination Office and UNDP, supporting transition processes involving a significant drawdown or withdrawal of a United Nations mission (see also paras. 600–605 below).

Disarmament, demobilization and reintegration and security sector reform mechanisms

541. Other Department of Peace Operations and UNDP partnerships on disarmament, demobilization and reintegration and security sector reform include the Inter-Agency Working Group on Disarmament, Demobilization and Reintegration and the Inter-Agency Security Sector Reform Task Force. Both are co-chaired by the Department and UNDP and include also other United Nations entities (26 for the Working Group and 14 for the Task Force).

542. The minutes of the meetings, as well as the interviews held at Headquarters by the audit team, highlighted the important role of coordination at Headquarters of the Inter-Agency Working Group on Disarmament, Demobilization and Reintegration, especially in the case of transition and in the context of MINUSMA. Given the scopes of the Inter-Agency Working Group and the Inter-Agency Security Sector Reform Task Force, close coordination with the Global Focal Point is mandatory to avoid overlaps. For example, the Global Focal Point coordinates country-specific security sector reform issues, while the Task Force coordinates United Nations system progress on policy issues and guidance development pertaining to security sector reform.

Acknowledged role of United Nations standing capacities as system-wide service providers

543. The United Nations Global Service Centre in Brindisi, part of the United Nations Logistics Base, provides effective complementarity with other United Nations entities through its standing capacities, such as the Standing Police Capacity and the Justice and Corrections Standing Capacity. The Logistics Base also hosts the extrabudgetary-funded Security Sector Reform and Governance Standing Capacity team, the Disarmament, Demobilization and Reintegration Standing Capacity and the Standing Mine Action Capacity. All five standing capacities fall under the Office of Rule of Law and Security Institutions and support peacekeeping operations, special political missions and non-mission settings.

544. All standing capacities' mandates involve field-oriented surge capacity and rapid response to needs of United Nations client entities in areas of peacebuilding, the rule of law or security sector reform, through the deployment of experts. For example, in 2021, the Security Sector Reform Standing Capacity and governance team provided support to MONUSCO and the UNDP country office in the Democratic Republic of the Congo to finalize a joint police reform programme, aligned with the MONUSCO transition plan. In 2024, the team also assisted MONUSCO and the United Nations country team in security sector reform training and the facilitation of various activities within the framework of the operationalization of the Rule of Law and Security Institutions Division. Similarly, the Justice and Corrections Standing Capacity has, since its inception, deployed to all peace operations with a rule of law mandate and provided start-up and, recently, more rule of law transition-related support (e.g., in the Democratic Republic of the Congo and Mali).

545. These mechanisms prioritize but do not limit themselves to peacekeeping. While they offer an integrated and effective approach, which is widely appreciated by stakeholders, their limited resources require constant prioritization (in favour of transition settings) that does not allow them to fulfil all United Nations client demands.

546. Other initiatives exist at Headquarters but are smaller in budget or impact and will therefore not all be listed here, although they do contribute to greater coordination within the United Nations system. These include the Team of Experts on the Rule of Law and Sexual Violence in Conflict; joint activities and knowledge products between the Department of Peace Operations and UNODC in mission settings; the institutional development advisers of the Office of Rule of Law and Security Institutions; the Joint UNDP-Department of Political and Peacebuilding Affairs programme on building national capacities for conflict prevention (peace and development advisers); and United Nations community engagement guidelines on peacebuilding and sustaining peace.

547. The above mechanisms enhance cooperation across the United Nations system and increase efficiency, given that the projects set up show clear added value. They allow, in the opinion of all partners, for synergy towards achieving greater impact and they avoid a duplication of efforts and loss of resources.

548. While most of these initiatives are innovative and show interesting results, they face a lack of funding to achieve greater impact. In addition, while all these initiatives are welcome, their concrete implementation sometimes faces reluctance and obstacles to implementation in the field, for example, for the Global Focal Point.

549. The field audits highlighted some of the obstacles faced, such as discrepancies in mandates, financial regulations or institutional cultures, and a dependence on the goodwill of the Special Representative of the Secretary-General, his/her deputies and heads of divisions/units. Given that peacekeeping operations have limited programmatic budgets and no precise mandate or programmatic overlap with agencies, funds and programmes, a lack of resources and competition for resource mobilization among United Nations entities, especially in the case of transition, may also be a factor.

550. With regard to success factors, the co-location of the integrated teams can be important to demonstrate and implement close coordination. For example, at United Nations Headquarters, the Global Focal Point used to co-locate OHCHR and UN-Women. At the mission level, in South Sudan, the achievements of the climate and security mechanism team and of the South Sudan multi-partner trust fund for reconciliation, stabilization and resilience are often attributed in part to the co-location of their teams. In view of the outcomes, the logistical challenges of co-location, such as differences in information technology systems and enterprise resource planning, are worth overcoming.

551. The Board recommends that the Administration ensure the geographical co-location of integrated teams, as guided and supported by Headquarters-level joint mechanisms, in peacekeeping settings, wherever possible.

552. The Administration accepted the recommendation.

6.2.2. Cooperation frameworks, mechanisms and forums in the field

6.2.2.1. Organization of integrated missions

553. Multidimensional missions operate most often in integrated settings, that is, alongside a United Nations country team. The Policy on Integrated Assessment and Planning outlines the minimum requirements for integration in integrated settings. The aim of the Policy and of integration is to maximize the individual and collective impact of United Nations entities in the field, towards achieving common goals and priorities, focusing on those activities required for sustaining peace. This means that the missions are actively involved in the development, monitoring and evaluation processes of the United Nations Sustainable Development Cooperation Framework, as well as for the country common analysis development and updates.

554. According to the Policy on Integrated Assessment and Planning, a mission becomes structurally integrated when the resident coordinator also serves as the Deputy Special Representative of the Secretary-General. This may also include the Humanitarian Coordinator,³⁰ where designated. This “triple-hat” function helps to facilitate integration across the United Nations system.

555. The institutional architecture within the mission varies depending on the peacekeeping mission. The role of the Deputy Special Representative of the Secretary-General, as with the role of any other senior mission leadership position (e.g., Special Representative of the Secretary-General and Deputy Special

³⁰ The Humanitarian Coordinator designation is the prerogative of the Emergency Relief Coordinator based on General Assembly resolution [46/182](#) and subsequent resolutions. It is possible that a humanitarian coordinator function is not present, may be discontinued or may be initiated at the discretion of the Emergency Relief Coordinator.

Representative of the Secretary-General (Political)), is mandate-specific and therefore differs from mission to mission. It may also change throughout the life cycle of an operation. Even though the resident coordinator and Humanitarian Coordinator functions of the triple hat are not determined by the mission mandate and structure, the internal structure of a mission plays a role in the capacity of the Deputy Special Representative of the Secretary-General to muster resources and other partners, in particular because the units for which the Deputy Special Representatives of the Secretary-General are directly responsible differ, depending on the mission.

556. For example, the UNMISS triple hat in its Deputy Special Representative of the Secretary-General capacity brings together units that report directly to him or her, namely, the Protection, Transition and Reintegration Section, the Gender Affairs Unit and the Child Protection Unit, as well as the Mine Action Programme.

557. The MONUSCO triple hat, in its Deputy Special Representative of the Secretary-General capacity, oversees the Stabilization Support Unit, the Justice Support Section and the Corrections Unit,³¹ while the Deputy Special Representative of the Secretary-General (Protection and Operations) oversees the civil affairs office, the child protection section, field offices, the office of the police commissioner and the Disarmament, Demobilization and Reintegration Section. This organization was recently changed to better adapt to the transition phase and enable improved cooperation with other United Nations entities.

558. These portfolio differences relating to the Deputy Special Representative of the Secretary-General capacity are not the result of directives established at Headquarters, but have been constructed over the years, in order to fit the specific local context. While these differences can be explained by the different mandates, priorities and operational circumstances, it could be useful to better understand the impact of these various organizational structures.

559. With respect to this organizational issue, the Administration stated that the Department of Peace Operations and relevant stakeholders retained oversight in their approval of the terms of reference for each triple hat and involvement in related organizational changes, which ensured that the role and its responsibilities were fit for purpose. The Administration also underlined that resident coordinator and Humanitarian Coordinator functions fell under the responsibility of the Development Coordination Office and the Office for the Coordination of Humanitarian Affairs, respectively, which were outside the perimeter of United Nations peacekeeping operations as reported in volume II.

6.2.2.2. Cooperation frameworks

United Nations Sustainable Development Cooperation Framework

560. The United Nations Sustainable Development Cooperation Framework is the common strategic framework for development in an integrated environment that is intended to articulate the shared vision and priorities of United Nations entities in the field, in close consultation with the host authorities. The Cooperation Framework is an agreement between the United Nations and host countries, through which the United Nations country team contributes to achieving national development priorities and the 2030 Agenda for Sustainable Development. The emphasis on cooperation between agencies, funds and programmes is highlighted, in particular, in the South

³¹ The Security Sector Reform Section, the Justice Support Section and the Corrections Unit were recently merged under the Rule of Law and Security Institutions Division. The Disarmament, Demobilization and Reintegration Section was moved to the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator pillar and merged with the Stabilization Support Unit under the Disarmament, Demobilization and Reintegration and Stabilization Division.

Sudan and the Democratic Republic of the Congo Cooperation Frameworks. In these countries, most agencies have developed their country framework with reference to the Cooperation Framework.

561. As reflected in the South Sudan Cooperation Framework, collaborative efforts are intended to maximize impact and optimize resource utilization, fostering synergies among various stakeholders along the peace-humanitarian-development nexus.

United Nations country team

562. There is no formal guidance or policy from United Nations Headquarters regarding coordination in the case of peacekeeping missions. However, the standard guidance on United Nations country teams applies in both mission and non-mission settings. Therefore, in mission settings as elsewhere, according to the 2021 management and accountability framework:

The UNCT is the main inter-agency mechanism in country for inter-agency coordination, coherence, and decision-making. It is led by the Resident Coordinator and composed of the representatives of the United Nations Sustainable Development Group (UNSDG) entities that meet all of the three following criteria: they (i) are signatory to the UN Cooperation Framework, (ii) carry out operational activities for development in the respective country irrespective of where the entity is physically located, including entities with a project presence, and (iii) contribute to the UNSDG cost sharing agreement. Representatives of entities that are not signatory to the UN Cooperation Framework – e.g., the Bretton Woods institutions, OCHA, UNDSS, UNIC, UN peace and political entities, etc. – can and should be considered full members of the UNCT but should recuse themselves from decision-making in relation to the Cooperation Framework implementation.

563. In terms of coordination and integration mechanisms between the missions and United Nations country teams, the Policy on Integrated Assessment and Planning sets out that missions and Headquarters establish integrated mechanisms for joint information-sharing, analysis, planning, decision-making, coordination, monitoring and evaluation. At the field level, this forum should include key in-country decision makers. In the case of integrated missions, the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator is responsible for development operations and chairs the United Nations country team in his/her capacity as resident coordinator. Representatives of all United Nations specialized agencies, funds and programmes participate in the United Nations country team. In most instances, the World Bank also attends.

564. The United Nations country team explores opportunities for joint programming and/or collective action or approaches, in particular in areas such as food systems, climate change, basic needs and durable solutions to displacement.

6.2.2.3. Humanitarian coordination

565. The humanitarian country team is composed of organizations that undertake humanitarian action in the country and is committed to participating in coordination arrangements. It includes agencies, funds and programmes, the Office for the Coordination of Humanitarian Affairs, national and international NGOs and, subject to their individual mandates, components of the International Red Cross and Red Crescent Movement, working within a humanitarian context. It is led and chaired by the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator in his/her capacity as Humanitarian Coordinator. The Humanitarian Coordinator is supported by the Office, as the individual responsible for humanitarian coordination.

566. The humanitarian cluster approach brings together humanitarian organizations, both United Nations and non-United Nations, across the main sectors or “clusters” of humanitarian action (e.g., water, health, logistics and protection) under cluster leads designated by the Inter-Agency Standing Committee with clear responsibilities for coordination. The decision on how many clusters are required in a country is based on the specific needs and agreed by the Humanitarian Coordinator and the humanitarian country team, while membership is based on operational relevance. The protection cluster may have up to four areas of responsibility: child protection; gender-based violence; mine action; and housing, land and property. There is also inter-cluster coordination at multiple levels and all phases of the humanitarian planning cycle through the inter-cluster coordination (or working) group.

567. While humanitarian clusters are technical forums focused on the coordination and delivery of humanitarian assistance, relevant mission staff (e.g., human rights protection, child protection and women’s protection advisers) participate in the protection cluster and/or its areas of responsibility, while the mine action area of responsibility is led by the Mine Action Service. Relevant mission staff may participate in other humanitarian mechanisms, as relevant and appropriate (e.g., gender in humanitarian action group and prevention of sexual exploitation and abuse network). There is also coordination with the mission on civil-military coordination through humanitarian civil-military coordination staff and forums.

6.2.2.4. Other coordination mechanisms

568. In addition, teams and meetings are organized to coordinate the work of all agencies, funds and programmes on various issues, especially on logistics and programming, such as the programme management team and the security management team, the latter of which also includes the mission. There are various multifunctional thematic working groups and task forces that have been established to enhance the cooperation among agencies, funds and programmes, the mission and other stakeholders around shared efforts on, for example, the children and armed conflict and sexual violence in conflict agendas and their associated monitoring and reporting mechanisms. The role of all these committees and mechanisms in coordinating activities and exchanging information is particularly welcomed by all stakeholders. Many people interviewed during the field audits underlined the importance of that collaboration, which is especially present in the humanitarian sector, to coordinate the various actions. The central role of the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator within the United Nations country team and the humanitarian country team is also highlighted by representatives of the agencies, funds and programmes who were interviewed. All noted the usefulness of the information shared on economic, social and security issues, which allowed the agencies, funds and programmes to adapt and implement their strategies and projects in the field.

6.2.2.5. Local instruments for cooperation

569. Different tools are available locally to support collaboration between the missions and United Nations entities.

570. Joint programmes are a cooperation strategy involving two or more participating United Nations entities working together as a team in a highly coordinated and integrated manner, contributing to one or more United Nations Sustainable Development Cooperation Framework outcomes, aligned with United Nations country team strategic objectives, national needs and priorities and the 2030 Agenda. They are formalized in a programme document signed by national authorities and United Nations partners. Joint programmes are designed to leverage United Nations partners’ comparative advantages to achieve programmatic objectives and outputs.

They follow a strict definition of roles as set out in the 2022 United Nations Sustainable Development Group guidance note on a new generation of joint programmes. Where joint programmes had been put in place and mobilized enough resources, the audit team observed contributions to cross-entity learning and positive outcomes.

571. Joint initiatives are instruments that enable partner entities to implement projects and activities jointly for a commonly agreed goal. These can involve joint workplans, joint advocacy, joint presentations to Member States, joint resource mobilization to donors, joint planning concepts and joint planning tools. These are of various kinds, with heightened flexibility, and are common.

572. In joint teams, staff members of various entities are co-located and integrated into one other's structures. This is the case, for example, of the climate security mechanism and the United Nations Integrated Election Assistance Team with UNDP in UNMISS.

573. As observed during the field audits, the effectiveness of these mechanisms depends on several criteria, such as a diversity of staff affiliation within a mechanism, a clear definition of objectives (through a memorandum of understanding), strong coordination mechanisms (e.g., a steering committee and frequent exchanges on the outputs), and a clear division of roles, in order to avoid a duplication of resources and competition.

6.2.3. Cooperation in development

6.2.3.1. Peacekeeping operations and cooperation development

574. Peacekeeping operations have no mandate and, therefore, no resources to undertake development projects. At the same time, there are expectations among the local communities that the missions will play a key role in improving their livelihoods. These expectations need to be managed in difficult contexts, such as upcoming elections in South Sudan (for UNMISS) and a transition process in MONUSCO.

Lack of a complete and structured framework

575. In the field, the resident coordinator office, under the leadership of the resident coordinator, is the main coordination support team mechanism for the development sector. In integrated peacekeeping operations, the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator is the head of the resident coordinator office, in his/her capacity as resident coordinator. Unlike in the humanitarian sector, the coordination for development appears to present more challenges. The Administration attributed this to ongoing funding constraints.

576. Indeed, in his revised estimates relating to the proposed programme budget for 2024 ([A/78/753](#)), the Secretary-General identified the reduced funding as the cause of the downsizing of coordination resources and a decrease in the quality of support for United Nations country teams on macroeconomic issues: "Furthermore, the United Nations Country Coordination Fund, which enables the resident coordinator to convene partners and work with local authorities to leave no one behind in the country, was reduced from an envisioned \$35 million globally to an actual \$12 million in 2023, resulting in a reduction of funding for activities in 98 Resident Coordinator Offices".

577. In addition, there is no formal mechanism mandated by Member States to coordinate the wider development efforts of the international community, beyond the United Nations country team and the United Nations Sustainable Development Cooperation Framework. The Administration underlined that the General Assembly had tasked the United Nations to coordinate only United Nations development activities, whereas it had tasked the United Nations to coordinate also non-United Nations

humanitarian activities. It also stated that all resident coordinators were nevertheless asked to ensure close collaboration with wider group of development partners, in particular bilateral and international financial institutions, so that United Nations development efforts were complementary, catalytic and non-duplicative.

Positive but incomplete achievements in development cooperation

578. Cooperation between UNDP and peacekeeping operations appears to be strong thanks to various mechanisms put in place, as shown above.

579. With regard to cooperation between peacekeeping operations and other development partners such as international financial institutions on medium- and long-term projects, some positive outcomes can be highlighted.

580. The participation of international financial institutions, such as the World Bank, in United Nations country team meetings enhances coordination and facilitates a global approach, which is strongly needed, given that international financial institutions are not accountable to the Deputy Special Representative of the Secretary-General/Resident Coordinator and can be transferred tasks during a transition. Indeed, the importance of seeking coordination with the World Bank was recognized and included in the MONUSCO Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator 2023/24 compact.

581. In the Democratic Republic of the Congo, the Peacebuilding Fund, through its dedicated Partnership Facility, is financing a post of United Nations-international financial institution coordination officer (P-4) through the office of the resident coordinator for the transition effort. According to the terms of reference of the Partnership Facility project in the country, “to further strengthen the ongoing collaboration between the UN system in the DRC and the World Bank, the DSRSG/RC/HC is creating dedicated advisory and coordination capacity in his Integrated Office and RCO, with financial support from the UN Peacebuilding Support Office (HDPP Facility)”.

582. In South Sudan, the same Partnership Facility provided sustained liaison and advisory support to the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator to assist in developing a United Nations-international financial institution partnership. The Facility also approved resources for short-term surge capacity to assist in aligning United Nations-international financial institution efforts to support the host Government in the context of the current economic crisis.

583. In the Central African Republic, the Partnership Facility provided short-term surge support to the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator to assist the authorities in the development of a strategic alignment framework for peacebuilding under the new national development plan. The strategic alignment exercise has brought together the United Nations, the World Bank, the African Development Bank and the European Union around common peacebuilding priorities aligned to the national development plan. Commonly agreed indicators were set and progress will be monitored through a joint steering committee at the country level.

584. Although all these initiatives are positive, cooperation with the international financial institutions, in particular with the World Bank, could benefit from more structured and permanent mechanisms, but the actual variations in country-level partnerships result from the World Bank’s internal structure.

6.2.3.2. Cooperation with international financial institutions at the Headquarters level

585. Owing to its financial impact and its work with host States, the role of the World Bank is crucial in all development fields, including those in which peacekeeping operations are directly involved, such as the rule of law. It is therefore essential to further improve cooperation so that the benefits of the work that they carry out are not lost in case of withdrawal.

586. At the Headquarters level, there have been specific efforts to deepen collaboration between senior leadership of the United Nations and the World Bank in crisis-affected situations, including peacekeeping settings, since 2017. The United Nations-World Bank Partnership Framework for Crisis and Post-Crisis Situations continues to function, supported by the agreed joint mechanisms at the Headquarters level to support and oversee country-level partnerships. An annual United Nations-World Bank steering committee for crisis situations and a monthly technical United Nations-World Bank working group monitor these mechanisms. With the Secretary-General's reforms in 2019, the United Nations-international financial institution partnership in the peace and security pillar has been consolidated into the Peacebuilding Support Office, providing a single platform for coordination. In 2019, the United Nations created the Partnership Facility, managed by the Office, under the auspices of the Peacebuilding Fund, in order to provide rapid and flexible funds to support country-level partnerships between the United Nations and the World Bank in crisis-affected countries, including prevention and peacebuilding settings. The Facility provides liaison and advisory support, knowledge management and, in some cases, surge capacity to United Nations-international financial institution country-level partnerships in priority settings. It prioritizes missions and, especially, transition contexts and has supported surge capacity, for example, in the Central African Republic, the Democratic Republic of the Congo, Haiti, Somalia and South Sudan (see below). The Facility has also supported, on occasion, policy-level collaboration. Under the Facility, for example, the Office of Rule of Law and Security Institutions and the World Bank Group for Fragility, Conflict and Violence have deepened their dialogue through a project on advancing policy tools for sustainable security sector reform.

587. While much has been done to develop a more structured relationship between the United Nations and the World Bank, there remains room for improvement at the field level, where much depends on individual field-based leadership. While there are extensive operational partnerships with individual agencies and with the World Bank using United Nations agencies, funds and programmes as sub-contractors on specific programmes, more could be done to strengthen systematic and strategic engagement by the international financial institution with United Nations country teams in support of agreed peacebuilding priorities. The forthcoming renewal of the World Bank Group Strategy for Fragility, Conflict and Violence for 2025–2028 is an important opportunity to reinforce the case for systematic and strategic country-level partnership in support of peacebuilding, as called for in the Pact for the Future. Partnerships with multilateral development banks and IMF could also be fostered, specifically with a peacebuilding lens.

588. Considering the shared interests on some issues, such as the rule of law and fragility, conflict and violence, the financial weight and, therefore, consequent impact of the activities carried out by the international financial institutions, United Nations-international financial institution joint analysis and strategic planning at the country level are essential and should be routine, while being tailored to specific modalities to individual country needs. Both the United Nations and international financial institutions should make a renewed push for such partnership within their managerial structures, given that coordination between peacekeeping missions and development

actors in terms of transition and of pursuing the Sustainable Development Goals appears necessary. Deploying United Nations-international financial institution partnership liaison officers to peacekeeping operations in transition could help to improve cooperation in relevant contexts.

6.2.4. Cooperation during transition processes

589. In recent years, transitions have been a major area of focus owing to the reconfiguration and closure of several peacekeeping operations. As early as 2006, in a different context, the Secretary-General, in his note of guidance on integrated missions, stipulated that the mission exit strategy should articulate clearly the handover of ongoing activities to the United Nations country team and other relevant actors. The most recent guidance, which is currently being reviewed for an eventual update, is the 2019 planning directive for the development of consistent and coherent United Nations transition processes. In addition, it is stated in the 2023 United Nations guidance note on integrated missions (found in its policy on integrated assessment and planning) that, in the context of United Nations transitions, under the strategic direction of the Special Representative of the Secretary-General, the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator is responsible for ensuring that the mission, at the earliest possible stage, engages the United Nations country team, other agencies, funds and programmes and other actors in integrated planning and coordination on transitions.

590. Given that United Nations transitions involve various stakeholders and are intended to achieve a reconfiguration of the United Nations presence on the ground³² rather than a mission's withdrawal only, "cooperation" and "coordination" are regularly mentioned as key concepts in the official United Nations documents. In particular, the role of agencies, funds and programmes and the coordination with them are viewed as critical,³³ especially to prevent fragmented efforts in post-conflict reconstruction.³⁴

591. This need for a holistic approach to transition is shared in large part among all stakeholders. Both at Headquarters and in the field, agencies, funds and programmes are considered essential and natural partners. In practice, this overarching strategy and positive mindset are reflected in numerous mechanisms and joint actions. In addition, some processes and mechanisms are dedicated specifically to ensuring effective transitions.

³² The Security Council, in its resolution [2594 \(2021\)](#), framed transitions in United Nations peace operations as "a strategic process which builds towards a reconfiguration of the strategy, footprint, and capacity of the United Nations in a way that supports peacebuilding objectives and the development of a sustainable peace, in a manner that supports and reinforces national ownership, informed by the operational context and the national priorities and needs of the host State and its population, and that includes engagement with local community and civil society, and, where relevant, regional and sub-regional organisations, and other relevant stakeholders, with the full, equal and meaningful participation of women and the inclusion of youth and persons with disabilities".

³³ The Secretary-General stated in 2023 that "effective partnerships with agencies, funds and programmes are essential for creating a comprehensive response to post-conflict challenges, fostering resilience, and enabling long-term recovery".

³⁴ The Department of Political and Peacebuilding Affairs, in its 2019 guidance on transitions from peacekeeping, stated, "To achieve lasting peace, it is essential to align international support with national and local priorities, thereby avoiding the pitfalls of fragmented interventions".

Transfer of United Nations Organization Stabilization Mission in the Democratic Republic of the Congo responsibilities to the Congolese authorities, supported by agencies, funds and programmes

592. In the context of the MONUSCO disengagement, including its withdrawal from South Kivu in June 2024, coordination was ensured with all stakeholders, including United Nations agencies, funds and programmes, to facilitate the handover of key responsibilities to the Congolese authorities and to ensure a structured and effective transition. In South Kivu, the establishment of the provincial integrated transition team served to enhance coordination and transition planning among the host country, MONUSCO and the agencies, funds and programmes. Through its four technical working groups,³⁵ the team facilitated the development of a transition road map for the province of South Kivu, as well as a dedicated United Nations support plan for the province. This approach should be sustained in future phases of disengagement.

593. The signing of several memorandums of understanding between the Mission and major United Nations funds and programmes, including UNICEF, UN-Women, UNHCR and IOM, are also positive achievements. These memorandums outline the Mission's intention to provide support through various mechanisms, such as personnel loans, equipment transfers and programmatic funding. Given that these funds and programmes rely on voluntary contributions and operate under various budget processes and timelines, such mechanisms should facilitate a smooth transition. This initiative to formalize agreements could be broadened and systematized to enhance oversight and strengthen cooperation with the agencies, funds and programmes, in particular during transition periods.

594. The Administration also underlined that the Peacebuilding Fund had approved more than \$37 million in projects in Kasais and Tanganyika since 2019, focused on transitional justice, community-based reintegration, durable solutions and women and youth empowerment. This investment is intended to help to scale up the presence of United Nations agencies, funds and programmes on the ground as MONUSCO withdraws.

Ability to anticipate and improve staff and skill transfers in the event of peacekeeping mission transitions is needed

595. The transfer of expertise and knowledge accumulated by the civilian component of peacekeeping operations is a key aspect of a successful transition. The expedited closure of MINUSMA in 2023 illustrates the difficulties in ensuring this transfer in a hurry, given that no transition phase could take place before the closure.

596. From 30 September to 15 December 2023, MINUSMA embedded national staff from substantive divisions within United Nations agencies, funds and programmes (especially UNICEF, UNDP and UNHCR) to share knowledge and best practices. Even though the Mission sought to minimize the loss of knowledge and skills in substantive areas, losses were unavoidable because a large proportion of international staff from substantive divisions had already departed and limited opportunities for relocation in United Nations agencies, funds and programmes were available in Mali.

597. In the context of the MONUSCO implementation of its disengagement plan (see Security Council resolution [2717 \(2023\)](#)) and in accordance with the framework of the memorandums of understanding signed between the Mission and the agencies and

³⁵ Security and civilian protection, support for State institutions and the rule of law, the *programme de désarmement, démobilisation, relèvement communautaire et stabilisation*, and logistics and operations.

the funds concerned, MONUSCO provided staff to UNHCR, IOM, UNICEF and UNDP on a non-reimbursable loan basis.

598. When the context allows for a planned transition, it appears essential to better organize the sharing or transfer of expertise between United Nations system stakeholders, building on existing rules and specifically on the human resources policy on downsizing or restructuring resulting in termination of appointments ([ST/AI/2023/1](#)). To that end, the stakeholders should anticipate the drawdown phases and identify required priority needs and skills.

599. The United Nations country team plays a decisive role in this process. Moreover, when the transition occurs in integrated mission settings, the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator, under the leadership and strategic direction of the Special Representative of the Secretary-General, is responsible for leading on operational transition planning, in line with the planning directive for the development of consistent and coherent United Nations transition processes. Additional funds are needed to finance specific training or working groups to support the transfer of skills and responsibilities.

United Nations Transitions Project

600. The United Nations Transitions Project serves as the Organization's primary mechanism for advancing system-wide efforts towards more proactive, integrated and forward-looking transition processes. It encompasses the Development Coordination Office, the Department of Peace Operations, the Department of Political and Peacebuilding Affairs and UNDP.

601. The Transition Project has served the United Nations system and its partners as a "one-stop shop" on United Nations transitions with a shared secretariat, a project management team composed of focal points for each entity and a steering committee at the director level of all four Project partners. By centralizing existing knowledge and expertise, it has provided a coherent support framework to missions and United Nations country teams on transition planning and management. This mechanism appears to be particularly important on the ground, thanks to the emphasis placed on close cooperation between entities and direct support at the field level to United Nations missions and resident coordinator offices (its staff is a shared resource between the Department of Peace Operations, the Department of Political and Peacebuilding Affairs, the Development Coordination Office and UNDP).

602. The Transition Project was set to conclude in 2024 owing to the recognition by project partners of the need to institutionalize transitions-related capacities within the United Nations system. Discussions regarding this matter are ongoing in parallel with the revision of the policy on United Nations mission transitions expected to be finalized early in 2025. In recent years, the Transition Project has deployed transition specialists and other thematic experts to spearhead transition planning efforts in early and active transition planning contexts:

(a) In Mali, a United Nations transition specialist was deployed from 2019 to 2020, with additional surge capacity provided in 2023 during the Mission's accelerated withdrawal. This surge capacity focused primarily on advising the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator on transition planning needs, retention strategies for former MINUSMA staff, support for the establishment of a multi-partner trust fund within the resident coordinator office and the development of guidance for the transfer of tasks and projects from the Mission to agencies, funds and programmes;

(b) In South Sudan, a risk and conflict analysis adviser has been deployed to the integrated office within the office of the Deputy Special Representative of the

Secretary-General/Resident Coordinator/Humanitarian Coordinator to assist in designing and implementing the transition road map;

(c) In the Democratic Republic of the Congo, the United Nations transition specialist has played a pivotal role in the negotiations with the Government and in ensuring United Nations preparedness by leading thematic coordination groups (both internal and external), developing transition plans and strategies, in collaboration with agencies, funds and programmes, and conceptualizing the provincial planning approach in the eastern provinces.

603. The involvement of transition specialists and thematic experts has undoubtedly strengthened planning processes at the field level. In order to preserve, enhance and promote the skills acquired, the establishment of a pool of transition experts, who can be deployed rapidly on the ground when needed, should be considered by the Secretariat.

604. **The Board recommends that the Secretariat foster, on the basis of the experience in the Democratic Republic of the Congo and in other transition settings, and where appropriate, the signing of memorandums of understanding with the agencies, funds and programmes to frame and strengthen relationships during transition periods, and develop the expertise of United Nations staff by incorporating transition knowledge and, if possible, create a pool of transition specialists, to deploy in support of mission and United Nations country team planning to ensure effective transitions.**

605. The Administration accepted the recommendation.

6.3. Cooperation support

6.3.1. Cooperative funding

606. The Peacebuilding Fund plays a major role in funding United Nations programmes. Given that it is considered in United Nations operations as reported in volume I, it is not analysed in detail here.

607. Cost recovery also plays an important role in the financial aspects of the cooperation between missions and United Nations agencies, funds and programmes. This issue is addressed in the section 3.2 of the present report.

Programmatic funding

608. In practice, the main areas of programmatic activities financed by peacekeeping operation budgets are mine detection and mine-clearing services, rule of law and security sector reform, support for national processes, human rights, community violence reduction and peace consolidation.

609. Substantive activities are important for the implementation of the missions' mandates. However, as noted by the Advisory Committee on Administrative and Budgetary Questions in 2022 in its related report ([A/78/744](#)), with the exception of MINUSCA, MONUSCO and UNMIK, there has been a general decline in the percentage of budgets allocated to programmatic activities across the missions over the past six fiscal years (see table II.19). On that issue, the Administration stated that the restructuring and rationalization of programmes including for mine action activity reviews, led to efficiencies for UNISFA, UNIFIL, UNMISS and UNSOS. The Administration added that, when considering the Mine Action Service restructuring, the resources remained relatively stable, and in some missions, had even increased.

Table II.19

Amount of the budget allocated to programmatic activities, 2018/19 to 2024/25

(Thousands of United States dollars and percentage)

Mission	2018/19		2019/20		2020/21		2021/22		2022/23		2023/24		2024/25 (proposed)	
	Amount	Percentage	Amount	Percentage	Amount	Percentage	Amount	Percentage	Amount	Percentage	Amount	Percentage	Amount	Percentage
MINURSO	3 265	6.2	3 265	5.8	3 265	5.7	3 255	5.8	3 029	5.0	3 011	4.6	2 991	4.2
MINUSCA	18 162	2.0	20 877	2.3	22 399	2.4	20 624	2.0	25 891	2.4	28 062	2.4	28 710	2.4
MONUSCO	13 743	1.2	16 362	1.6	17 594	1.6	17 582	1.7	17 474	1.7	17 125	1.6	27 239	3.0
UNDOF	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
UNFICYP	299	0.0	320	0.6	323	0.6	325	0.6	38	0.1	N/A	N/A	N/A	N/A
UNIFIL	1 296	0.3	1 296	0.3	1 217	0.3	1 172	0.2	501	0.1	529	0.1	500	0.1
UNISFA	12 631	4.8	12 168	4.7	11 693	4.4	11 064	4.2	12 697	4.9	12 342	4.2	9 247	3.1
UNMIK	2 377	6.4	2 376	6.4	2 376	6.0	2 376	5.8	2 376	5.7	2 889	7.1	2 889	6.6
UNMISS	40 662	3.6	37 194	3.1	37 733	3.2	34 364	3.1	34 005	3.0	33 054	2.8	32 727	2.6
UNSOS	40 400	7.2	40 900	7.2	44 807	8.1	42 353	8.1	41 913	8.0	41 105	7.4	37 174	7.4

Source: Advisory Committee on Administrative and Budgetary Questions, April 2024.

610. In the event of transitions, programmatic funding can be used to support the agencies, funds and programmes in the preparation of a mission's withdrawal, as was the case for MONUSCO through memorandums of understanding signed in 2024 with UNICEF, UNHCR and UN-Women.

Trust funds and pooled funds

611. With the decrease in programmatic funds, other sources of funding can be mobilized. Trust funds are particularly important for financing substantive activities.

612. The Secretary-General, in his 2024 overview of the financing of United Nations peacekeeping operations, highlighted the commitment of the Peacebuilding Support Office to orient the Peacebuilding Fund to finance activities "aimed at advancing the missions' mandates and reflected the missions' strategic priorities, as identified in strategic integrated frameworks, transition plans and other planning instruments ... Frequently, missions engaged with United Nations country teams on the use of programmatic activities to advance and/or implement complementary priorities on the basis of the comparative advantage of the entities" (A/78/726, para. 50).

613. South Sudan benefits from several trust funds that help to bridge the funding gap for short- and medium-term projects that complement UNMISS actions, in particular its quick-impact projects. These funds are particularly significant for financing substantive activities implemented by various agencies, funds and programmes under the direct oversight of the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator. These funds include the Peacebuilding Fund, the Central Emergency Response Fund, the women, peace and humanitarian fund and two country-based pooled funds: the South Sudan Humanitarian Fund, managed by the Office for the Coordination of Humanitarian Affairs for humanitarian activities, and the South Sudan reconciliation, stabilization and resilience trust fund, which is managed by UNMISS and the United Nations country team.

614. However, stakeholders in South Sudan must cope with the general decrease in resources. For example, in a context of reduced overall resource availability,

expectations from the South Sudan reconciliation, stabilization and resilience trust fund have increased, while the donors of the trust fund are divided on its expected evolution, from a transitional peace and security funding mechanism to a long-term impact fund.

615. To avoid any redundant or overlapping activities among the agencies, funds and programmes, coordinating these sources of funding is crucial for the country, but also for the Mission, through the Deputy Special Representative of the Secretary-General/Resident Coordinator/Humanitarian Coordinator. For UNMISS, this coordination appears in several documents as a particularly important element. The South Sudan reconciliation, stabilization and resilience trust fund coordination concept note highlights the following:

The funds placed under the leadership of the DSRSG/RC/HC represent an opportunity for enhanced funding coordination to ensure effective use of limited funds. Until recently there have been limited interaction between the funds, however efforts have been made to better align the funds through the Integrated Office of the DSRSG/RC/HC. For the time being this coordination has been to explore ways to enhance collaboration, in line with the respective mandates and Governance arrangements of each fund. This has for example included better sharing of information and more regular meetings between the Fund managers. In the next phase, it is suggested that this collaboration is formalized, and standard practices are developed to systematize collaboration such as regular consultations between Funds on priorities and programming, possible participation to Governance bodies, etc.

616. The Board encourages this approach, which allows for better use of limited resources and avoids any duplication of action by the United Nations system.

Quick-impact projects

617. In peacekeeping operations, quick-impact projects are small in scale (a maximum amount of \$50,000) and rapidly implementable (usually six months), of benefit to the population, developed and implemented in a participatory manner. For example, these projects can encompass improvements in existing infrastructure such as schools, critical health centres, bridges or roads, and in the creation of and improvement in water sources, among others. They are used by United Nations peacekeeping operations to reach out to communities and build confidence in the mission, its mandate and the peace process, thereby improving the environment for effective mandate implementation. The Sustainable Development Goals can therefore benefit from quick-impact projects that are intended to have a positive and concrete impact on local communities.

618. Quick-impact projects are usually identified, selected and implemented in cooperation with local and national actors. Their selection is coordinated with the United Nations country team and other agencies, funds and programmes, which can also be involved in the deployment of the project. It is indicated in the guidelines on quick-impact projects that “QIPs planning, approval and implementation should benefit from consultation with local stakeholders, mission components, and [agencies, funds and programmes] in order to avoid duplication”. Thus, quick-impact projects have a role in complementing, not duplicating, the work of the agencies, funds and programmes.

619. Peacekeeping missions have increasingly decentralized the management of quick-impact projects to field offices. To manage quick-impact projects under the authority of the head of mission, missions maintain a project review committee, whose members include representatives of relevant United Nations entities with programme activities in the country, the Office for the Coordination of Humanitarian

Affairs, representatives of the Director/Chief of Mission Support, the Force Commander, the police commissioner and relevant substantive components and advisers/focal points for cross-cutting issues. Agencies, funds and programmes therefore play an active role in project selection and approval.

620. Each project must be implemented by a partner (the implementing partner) within six months. A memorandum of understanding is signed between the mission and each implementing partner. Most of the implementing partners are local NGOs (57 per cent of the total; 88 per cent in MONUSCO and 98 per cent in UNMISS). For example, in the 2023/24 financial year, UNMISS conducted 69 quick-impact projects in the amount of \$3.4 million, with 59 implementing partners, all of them NGOs. During the same period, MONUSCO conducted 22 quick-impact projects amounting to \$1 million (implementation rate of 80 per cent), with 16 NGOs as implementing partners. The frequency of the partnerships with local NGOs is explained by the fact that the primary objective of quick-impact projects is to build trust between the mission and local actors. Under these circumstances, missions tend to prioritize working with local implementing partners.

621. Where necessary, missions can turn to United Nations country teams to implement projects, even if no quick-impact project has been implemented by a country team since 2022. Between 2016 and 2021, United Nations country teams implemented 45 projects for MINUSMA, MINUSCA and UNISFA (62 per cent of the quick-impact projects implemented by United Nations country teams were for UNISFA) (see also table II.20).

Table II.20

Implementing partners of quick-impact projects, 2015/16 to 2023/24

<i>Implementing partner</i>	<i>2015/16</i>	<i>2016/17</i>	<i>2017/18</i>	<i>2018/19</i>	<i>2019/20</i>	<i>2020/21</i>	<i>2021/22</i>	<i>2022/23</i>	<i>2023/24</i>	<i>Total</i>
Community-based organization	4	10	46	35	36	41	25	26	–	223
International NGO	8	1	3	17	3	2	10	9	43	96
IOM	–	–	–	–	–	–	–	4	–	4
Local government	–	37	118	66	73	76	74	81	38	563
Local NGO	44	126	90	185	215	219	232	171	212	1 490
Military	–	–	–	–	–	–	–	6	–	6
Mission component	5	23	31	14	6	8	9	13	30	139
Other	–	26	1	–	–	–	–	4	1	32
United Nations country team	–	–	–	23	14	7	1	–	–	45
Total	61	223	289	340	347	353	351	314	324	2 602

Source: Policy, Evaluation and Training Division.

622. The number of quick-impact projects remained at the same level or increased for most missions in recent years. For example, 70 projects are planned for UNMISS in 2024/25 (same number as 2023/24, while there were 60 in 2022/23), 41 are planned for MONUSCO (43 in 2023/24 and 31 in 2022/23) and 20 for UNISFA (20 in 2023/24 and 15 in 2022/23).

623. Therefore, the resources allocated to quick-impact projects have been maintained for several years, considering the end of MINUSMA. The average amount per mission is stable (from \$1.6 million in 2019/20 to \$1.55 million in 2023/24).

624. However, the 2024/25 budget, which comes to \$10.3 million for quick-impact projects, reflects an increase of \$1 million (or 10.8 per cent) compared with 2023/24 (average of \$1.7 million per mission).

Table II.21

Resources allocated to quick-impact projects, 2019/20 to 2023/24

(Thousands of United States dollars and percentage)

<i>Mission</i>	<i>2019/20</i>		<i>2020/21</i>		<i>2021/22</i>		<i>2022/23</i>		<i>2023/24</i>	
	<i>Amount</i>	<i>Percentage</i>	<i>Amount</i>	<i>Percentage</i>	<i>Amount</i>	<i>Percentage</i>	<i>Amount</i>	<i>Percentage</i>	<i>Amount</i>	<i>Percentage</i>
MINUSCA	3 000	0.3	3 000	0.3	3 000	0.3	3 000	0.3	3 000	0.3
MINUSMA	4 000	0.4	4 800	0.4	4 800	0.4	4 800	0.4	—	—
MONUSCO	1 500	0.1	1 500	0.1	1 500	0.1	1 250	0.1	1 250	0.1
UNDOF	200	0.3	200	0.3	200	0.3	300	0.5	300	0.4
UNIFIL	500	0.1	500	0.1	500	0.1	500	0.1	500	0.1
UNISFA	500	0.2	500	0.2	500	0.2	500	0.2	750	0.3
UNMISS	1 500	0.1	2 000	0.2	2 500	0.2	3 000	0.3	3 500	0.3
Total	11 200	0.2	12 500	0.2	13 000	0.3	13 350	0.3	9 300	0.2

Source: Advisory Committee on Administrative and Budgetary Questions, April 2024.

625. However, quick-impact projects represent only 0.002 per cent of the total budget of peacekeeping operations (e.g., 0.1 per cent of operational costs and 0.003 per cent of total requirements for UNMISS and only 0.004 per cent of operational costs and 0.001 per cent of total requirements for MONUSCO).

626. Notwithstanding these modest budgets, the added value of quick-impact projects is recognized by most stakeholders. In South Sudan, quick-impact projects have played an important role in promoting acceptance of the Mission's mandated tasks and built confidence and credibility among the population. In its resolution [76/274](#), the General Assembly stressed the important role of quick-impact projects in establishing and building confidence. It also underscored the importance of conducting assessments regularly. The most recent assessment of MONUSCO quick-impact projects covered the projects implemented between 2019 and 2022. No precise information on implemented quick-impact projects is available in the mission budgets, nor in the budget performance reports. However, the Administration clarified that detailed information (project content, cost and partners) by project over a three-year period had been provided in a standard response to an advance question from the Fifth Committee, as requested, for the past several years.

627. Even though quick-impact projects are, by nature, small-scale and low-cost projects, they are good examples of cooperation and complementarity that result in tangible benefits for local populations in host countries.

6.3.2. Back office aspects of cooperation

628. The Board focused on two back office aspects of the cooperation between the missions and the wider United Nations system: inter-agency staff mobility and cooperation on procurement.

6.3.2.1. Inter-agency staff mobility

Recognized benefits of inter-agency mobility and pooling of human resources

629. Pooling and exchanging staff are effective ways of developing common approaches, transferring skills and encouraging cooperation in general. By fostering a culture of inter-agency mobility, the United Nations system can be more efficient and staff skills can grow. As CEB stated in 2003:

Inter-agency mobility is critical for strengthening the cohesiveness and effectiveness of the United Nations system's response to global challenges. It builds unity of purpose, a common culture and shared values. It promotes the sharing of knowledge and experience which enhance organizations' capacity to meet their operational requirements. It opens up a wider scope of opportunity for personal and professional growth and career development. It builds a competent, versatile, multi-skilled and experienced international civil service (CEB/2003/5, para. 16).

630. This need is all the greater now that the Sustainable Development Goals are based on improved coordination of the organizations that comprise the wider United Nations common system. Interorganizational mobility contributes to the formulation of a United Nations common response to global challenges and it gives substance to the "One UN" approach.³⁶ It can also support the principle of mutual recognition,³⁷ which enables deeper forms of collaboration and integration between United Nations organizations worldwide, especially because human resources management is part of the mutual recognition.

631. For many years, the General Assembly has been supportive of inter-agency mobility, showing specific interest in its implications for career development (see resolution 61/244). On a global level, the High-Level Committee on Management was established in 2000. Comprised of senior administrative managers from the member organizations of the United Nations common system and meeting twice a year, Committee is chaired by the Under-Secretary-General for Management Strategy, Policy and Compliance. The Committee acts on behalf and in the name of CEB on matters affecting administrative management issues of all member organizations. It analyses administrative management reforms with the aim of improving efficiency across the United Nations system. In 2021, in its "People strategy 2021–2025: our road map to the future",³⁸ the Office of Human Resources and the Department of Operational Support committed themselves to fast-tracking inter-agency work to operationalize the principles of mutual recognition throughout the United Nations system, in the area of human resources management. In this context, the initiative on mutual recognition of rosters was launched and the rosters have been established for 13 functions in the Professional category, with 12 United Nations organizations participating.

³⁶ The General Assembly, in its resolution 60/1 on the 2005 World Summit Outcome, stated that, "in order to efficiently perform their respective mandates as provided under the Charter, United Nations bodies should develop good cooperation and coordination in the common endeavour of building a more effective United Nations".

³⁷ Business Innovation Group, "Mutual recognition statement" (2019).

³⁸ The policy reads in part, "Under the auspices of the High-level Committee on Management and in collaboration with relevant stakeholders, we will assess the needs and formulate proposals for a new contract modality to enhance the organizational capacity to more effectively meet the future challenges of the United Nations operating environment. We will fast-track inter-agency work to operationalize the principles of mutual recognition throughout the United Nations system, in the area of human resources management".

Insufficient, unpublished and insufficiently monitored data

632. Data on inter-agency mobility are scarce and not published, whereas greater transparency and accountability would improve the management of such mobility. Staff turnover within the resident coordinator system is not routinely tracked through a corresponding qualitative analysis. These shortcomings are all the more regrettable, given that the number and the percentage of inter-agency staff movements are among the indicators selected in line with the 2021 human resources strategy to measure the “deepening of collaborations for a truly One-UN”. Advanced analytics remain to be systematically deployed to provide robust evidence in support of human resources management reforms and decisions. The multiplicity of stakeholders should not be an insurmountable obstacle and should not prevent statistical feedback on human resources management.

633. In 2018 and on the basis of data transmitted by Joint Inspection Unit participating organizations, the Unit, in its report (JIU/REP/2019/8), stated that inter-agency mobility had increased from some 0.7 per cent to approximately 1.3 per cent of the staff population during the period 2013–2018.³⁹ The number of transfers and loans more than doubled, and the number of secondments, which indicates fluidity between organizations while protecting the security of agents’ careers (see box below), increased by 24 per cent over the same period.

Transfer, secondment and loans

“Transfer” is the movement of a staff member from one organization to another under conditions which give the staff member no right to return to the releasing organization. Employment by an organization of a former staff member of another organization, after a break in service not exceeding 12 months, may, with the agreement of the parties concerned, be treated as if it were a transfer.

“Secondment” is the movement of a staff member from one organization to another for a fixed period, normally not exceeding two years, during which the staff member will normally be paid by and, except as otherwise provided, be subject to the staff regulations and rules of the receiving organization, but will retain his or her rights of employment in the releasing organization. The period of secondment may be extended for a further fixed period by agreement among all the parties concerned.

“Loan” is the movement of a staff member from one organization to another for a limited period, normally not exceeding one year, during which the staff member will be subject to the administrative supervision of the receiving organization but will continue to be subject to the staff regulations and rules of the releasing organization.

Source: “Inter-organization agreement concerning transfer, secondment or loan of staff among the organizations applying the United Nations common system of salaries and allowances” (2012). Available at <https://hr.un.org/sites/hr.un.org/files/handbook/Inter-Organization%20Agreement%20010112.pdf>.

634. The data collected as part of the current audit testify to the current weakness of inter-agency mobility for entities as reported in volume II. There were only 72 movements linked to inter-agency mobility in peacekeeping missions in 2022/23 and 63 in 2023/24. For those two financial years, there were 58 incoming secondments

³⁹ Given that data on inter-agency mobility were (and still are) not centrally collected, the Joint Inspection Unit’s participating organizations were requested to provide information on loans, secondments and transfers that occurred during the period 2013–2018.

and 38 incoming transfers for all the entities. The 12 per cent drop between the two financial years is due in particular to the closure of MINUSMA (eight movements in 2022/23). MONUSCO, for example, had only six incoming secondments (and no transfer) of 1,760 civilians and 107 experts on mission in 2023/24.

635. Inter-agency mobility therefore plays a marginal role in staff careers and in the functioning of the cooperation between peacekeeping operations and the wider United Nations common system. Given that the length of service of United Nations international Professional staff was five years or more for 58 per cent of them (57 per cent for the entire United Nations common system and 51 per cent for national Professional staff in the entire United Nations common system) as at 31 December 2022,⁴⁰ the issue of mobility is important. The experience acquired by staff members could be put to good use in other organizations.

636. Lastly, the new key performance indicator framework for staff mobility does not encompass inter-agency mobility.⁴¹ Moreover, while the Department of Management Strategy, Policy and Compliance has to monitor and report on the cost impact of mobility as a percentage of overall organizational staffing costs for the United Nations Secretariat, it does not have the responsibility for doing so for United Nations common system wide inter-mobility.

Establishment of an effective legal framework and action to promote inter-agency mobility

637. Several initiatives have been taken to support the objective of increasing inter-agency staff mobility, such as the resident coordinator pool and shared rosters for finance and budget and human resources officers. For rostered candidates, it means access to a greater number of career opportunities within the United Nations common system. For their part, United Nations organizations have access to an enhanced pool of pre-assessed United Nations common system-wide candidates. To this end, the Office of Human Resources has issued guidance on the mutual recognition of rosters.

638. Administrative instruments in support of inter-agency mobility have been put in place, starting with the 2012 inter-organization agreement concerning transfer, secondment or loan of staff among the organizations applying the United Nations common system of salaries and allowances (see also box above), also in line with staff rule 4.9,⁴² which governs the interorganizational movements of staff for any duration between organizations in the United Nations common system and the rights and liabilities of the two organizations and of the staff members concerned by such movement.

639. Staff regulation 4.4 provides that “the fullest regard shall be had, in filling vacancies, to the requisite qualifications and experience of persons already in the service of the United Nations. This consideration shall also apply, on a reciprocal basis, to the specialized agencies brought into relationship with the United Nations”. However, the regulation still provides for a limit on this principle of open recruitment. It is stipulated therein that “The Secretary-General may limit eligibility to apply for vacant posts to internal candidates, as defined by the Secretary-General. If so, other candidates shall be allowed to apply, under conditions to be defined by the Secretary-General, when no internal candidate meets the requirements of Article 101,

⁴⁰ See CEB, “Personnel statistics: data as at 31 December 2023” (December 2024). Available at https://unsceb.org/sites/default/files/2025-01/CEB_Personnel_Statistics_2024.pdf.

⁴¹ The compliance rate with regard to mobility among new staff, the percentage of moves and the average time for processing mobility assignments.

⁴² It reads, in part, as follows: “Inter-organization movements are defined in and shall be governed by an inter-organization agreement among the organizations applying the United Nations common system of salaries and allowances”.

paragraph 3, of the Charter as well as the requirements of the post”. The Administration underlined that the clause had not been used frequently in recent years unless there was a financial need to limit the recruitment to staff members already employed at the duty station owing to the financial liquidity crisis and the inability to recruit external candidates or staff members serving in other duty stations, given the related costs involved with onboarding, travel and relocation.

Low implementation due to powerful, structural disincentives

640. One of the main difficulties lies in the fact that reforms and their implementation require action at the level of the entire United Nations common system. Notwithstanding the existence of the aforementioned administrative tools designed to promote an integrated approach to human resources management, there remains a lack of an inter-agency mobility culture. This leads to a disconnect between statements of overall support and actual action taken by organizations. There may also be career disincentives for cooperation at the working level.

641. First, mobility issues are not one of the three strategic outcomes for staff appointments (gender, diversity and geographical issues) set out in Article 101 of the Charter, although in accordance with the staff selection policy of the United Nations Secretariat, functional or geographical mobility is a pre-condition for promotion to positions at the P-5 and above levels.

642. In addition, a number of developments that appear necessary have not yet materialized across the United Nations common system, in particular to provide internal candidates’ status for vacant posts, to recognize promotion while on secondment or loan or to mention mobility as an explicit asset in job announcements.

643. More important, there are major differences in practice regarding the right of return when on secondment. Contrary to the United Nations Secretariat, which puts liens on specific posts for two years, some organizations do not provide staff going on secondment with a firm assurance of the right to return, leaving the staff member to assume the risk. Moreover, all United Nations organizations, except UNHCR, do not recognize a promotion gained on secondment, which is a real disincentive for inter-agency mobility.

644. The funding of liabilities is also characterized by divergent practices, in a context in which there is no mechanism to collect after-service health insurance contributions and disburse premiums for all United Nations common system staff. More broadly, differences in health insurance rules may have a negative impact on inter-agency mobility. The development of a harmonized health insurance plan that would be common to all organizations could mark significant progress in this regard.

645. The heterogeneity and long-term engagement of enterprise resource planning systems can also prove to be strong barriers to cooperation within the United Nations common system. Indeed, peacekeeping missions and United Nations Secretariat entities utilize Umoja and Inspira, whereas other United Nations system entities have their own integrated enterprise resource planning systems that incorporate, for example, human resources, finance, logistics, procurement and property management. It appears that cooperation works best in areas where there is not much impact on each entity’s enterprise resource planning system, for example, cooperation on ICT services, which is something that the United Nations Logistics Base does on a wide scale. It also works well in cases in which one organization can provide a full range of services through its own enterprise resource planning system so that there is no risk of duplication.

Action to be taken

646. Most of the expected changes go beyond the scope of the present report or the Secretariat itself and require reflection and coordinated action at a more global level. ICSC could be a relevant forum to act and carry out studies in this area, given that it can make recommendations to the executive heads of the organizations with regard to human resources policy issues. Ultimately, however, the High-Level Committee on Management is the relevant decision-making mechanism, (see para. 631 above).

647. The Board recommends that the Secretariat raise, at the High-Level Committee on Management, the issue of promoting inter-agency mobility in the human resources management policies of the entities of the United Nations common system.

648. The Administration accepted the recommendation.

6.3.2.2. Cooperation on procurement

Principle of mutual recognition in procurement

649. Mutual recognition⁴³ allows a United Nations organization to use or rely on another entity's policies, procedures, system contracts and related operational mechanisms for the implementation of activities, without the need for further evaluation, checks or approvals. The United Nations entities should operate according to the principle of mutual recognition of best practices in terms of policies and procedures, with the aim of facilitating active collaboration across agencies and reducing transaction costs.

650. Collaborative procurement between peacekeeping missions and United Nations agencies, funds and programmes is not an end in itself. However, it can be a means of improving the effective implementation of Security Council mandates. Not only does it help to build open relationships, but it also reinforces the willingness to cooperate on programmatic activities with support from other organizations and, therefore, foster a "One UN" approach. Cooperation in procurement among organizations of the United Nations common system can result in benefits owing to economies of scale and reduced transaction costs. It can also be instrumental in supporting the Secretariat's operations in environments where no or little internal procurement capacity exists and, conversely, support other United Nations organizations in their requirements. This has long been a concern of the General Assembly.⁴⁴ The first guidelines for harmonized United Nations procurement at the country level were issued by the United Nations Development Group in 2009.

651. The main benefits of collaborative procurement are increased value for money through improved planning and requirements, improved negotiation power, a decrease in transaction costs, reinforced procurement risk management and enhanced expertise of the buyers. However, collaborative procurement should not be used to reduce administrative workload at the expense of relying on suboptimal contractual arrangements, which may prove costly for the United Nations Secretariat in the long term and not be in alignment with the principles of procurement enshrined in financial regulation 5.12, including best value for money. Collaborative procurement processes may also take longer because of the need for coordination with stakeholders in various agencies, funds and programmes, who may have different requirements and priorities.

⁴³ See General Assembly resolution [71/243](#), paragraphs 5–52; [A/72/124-E/2018/3](#), on repositioning the United Nations development system to deliver on the 2030 Agenda: ensuring a better future for all; and [A/72/684-E/2018/7](#), on repositioning the United Nations development system to deliver on the 2030 Agenda: our promise for dignity, prosperity and peace on a healthy planet.

⁴⁴ See resolutions [59/250](#) and [62/208](#).

652. In its resolution 71/243, the General Assembly called for entities within the United Nations development system to operate according to the principle of mutual recognition of best practices in terms of policies and procedures, with the aim of facilitating active collaboration across agencies and reducing transaction costs for Governments and collaborating agencies. Moreover, a reporting procedure on collaborative procurement was introduced in 2016 and specific data are regularly published in annual statistical reports on procurement.

653. The basis of the cooperation for procurement relies on financial rules 105.16 (a) (iii) and 105.17 (a). The latter provides three possibilities for procurement cooperation:

(a) Carrying out common procurement action together (i.e., establishing and using joint long-term agreements and contracts (joint solicitation and lead agency agreements));

(b) The United Nations Secretariat entering into a contract relying on a procurement decision of another United Nations organization (using long-term agreements or contracts of other United Nations organizations);

(c) Requesting another United Nations organization to carry out procurement activities on behalf of the United Nations Secretariat (using procurement services of other United Nations organizations).

654. The Office of Supply Chain Management issued internal supply chain operational guidance in December 2020. In October 2022, the High-Level Committee on Management agreed to create a group of members to coordinate between the various strands that support the operationalization of mutual recognition. The group was launched at the beginning of 2023. In close collaboration with the United Nations Sustainable Development Group, the group formulated common operational guidance on mutual recognition shared with entities and disseminated in the field. It issued a frequently asked questions section on mutual recognition through a document titled “Seven steps on the implementation of mutual recognition”. During a conference of chief procurement officers in November 2023, training on the subject, open to all procurement practitioners across the United Nations Secretariat entities, was attended by more than 200 participants.

Limited cooperation on procurement within the United Nations system

655. During its field missions, the Board found that the audited peacekeeping missions used a variety of collaborative procurement methods in several areas and that the principle of mutual recognition had been implemented effectively. However, although the legal framework was in place and much effort had been made by the Secretariat and agencies, funds and programmes to implement mutual recognition, collaborative procurement still represented a modest share of the total volume of goods and services purchased by the United Nations system.

656. The total acquisition value with agencies, funds and programmes, through peacekeeping operations and United Nations Headquarters, is limited. In 2022/23, total cooperation purchase order value was \$131.6 million, which represented 4.3 per cent of the total acquisition order value (see table II.22).

Table II.22
Collaboration among peacekeeping missions on total purchase order value

(United States dollars)

<i>Purchase order value</i>	<i>2022/23</i>	<i>2023/24</i>
Cooperation	131 599 988.17	137 677 454.47
Peacekeeping operation's share of cooperation	21 245 900.21	20 666 870.14
Cooperation by purchase order value (percentage)	4.28	4.58

Note: Preliminary data for 2024.

Source: Department of Operational Support.

Importance of category management for cooperation between peacekeeping operations and the United Nations system

657. Category management is the division of the range of goods and services that an entity acquires into groups of similar or related products called categories. To date, several United Nations entities have their own category management, while some do not have any. This can be linked to the diversity of needs.

658. Category management was obviously not designed primarily to encourage inter-agency cooperation. However, in order to further develop cooperation, it might be appropriate to enhance collaboration activities as part of the categories' strategies with a view to aligning category management within the United Nations common system, to the extent possible. Indeed, there are some commonalities in the spending patterns of many United Nations entities.

659. Category management enables focused analysis and communication of the various demand patterns and supply solutions that United Nations entities have established around one specific segment of procurement. In that respect, it facilitates and encourages communication and the sharing of information.

660. Category teams at United Nations Headquarters are encouraged to take account of solutions that other United Nations organizations may have established to address similar challenges in comparable categories.

661. The Board encourages the Secretariat to continue its efforts to strengthen collaborative procurement, while recognizing the diversity of needs and activities.

C. Transmission of information by management

1. Write-off of cash, receivables, inventories and property

662. In accordance with financial regulation 6.5., the Secretary-General may, after full investigation, authorize the writing-off of losses of assets, including cash, inventories and property, plant and equipment, provided that a statement of all such amounts written off is submitted to the Board with the annual financial statements submitted in accordance with financial regulation 6.1.

663. The following list is brought to the notice of the General Assembly in reference to the additional terms of reference governing the audit of the United Nations and does not supersede the findings and recommendations on write-off produced by the Board in section B.3 of the present report.

664. Within this framework, the Administration reported to the Board that assets amounting to \$198.0 million had been written off during 2023/24 (\$9.8 million in 2022/23). Of those write-offs, \$122.8 million related to real estate assets (\$2.5 million

in 2022/23), \$39.0 million related to equipment (\$6.9 million in 2022/23), \$34.3 million related to inventories (\$4.4 million in 2022/23) and \$1.9 million related to losses of receivables (\$0.4 million in 2022/23), and no losses of cash were reported (same as during 2022/23). Cross-volume transfers led to write-offs of \$4.2 million of property fixed-assets from the United Nations Logistics Base, including the strategic deployment stocks. The latter was also subject to \$0.9 million in one-off sales of surplus to external agencies to respond to emergency situations. A years-old receivable pertaining to cost-recovery activity was written off for \$1.7 million.

665. In 2023/24, the significant spike in write-offs by \$188.9 million is due mostly to the impact of the MINUSMA liquidation, representing \$183.9 million, or 93 per cent, of the total, from which \$122.2 million related to real estate assets, \$30.9 million to equipment and \$30.8 million to inventories.

2. Ex gratia payments

666. It is stated in financial regulation 5.11 that the Secretary-General may make ex gratia payments as they are deemed to be necessary in the interest of the Organization, provided that a statement of such payments shall be submitted to the Board with the financial statements.

667. The Administration reported to the Board that five ex gratia payments, amounting to \$2,978.80, had been made.

3. Cases of fraud and presumptive fraud

668. In accordance with the additional terms of reference to the Financial Regulations and Rules, fraud cases are included in the matters that should be reported to the General Assembly by the Board. The external auditor's role is not to investigate fraud or provide assurance on the matter. The primary responsibility for preventing and detecting fraud rests with management. Nevertheless, in accordance with International Standard on Auditing 240 and International Standard of Supreme Audit Institutions 1240, it is the responsibility of the external auditor to identify risks of material misstatements in the financial statements that may result from fraud, and to consider its own assessment of fraud risk in defining its audit strategy and its work. The following information does not supersede the findings and recommendations on financial estimation of presumptive fraud cases produced by the Board in section B.3 of the present report.

669. During the period under review, the Office of the Controller reported 8 cases of fraud to the Board, involving an amount of \$24,941 that could not be recovered, as well as 144 cases of presumptive fraud, involving an estimated amount of \$60.3 million. The previous years' figures are shown in table II.23.

670. Comparing those figures is challenging, given that they depend on fraud detection, and the amount involved is often reported as unknown.

Table II.23

Transmission of cases of fraud and presumptive fraud in peacekeeping operations

(Millions of United States dollars)

Period ended	Fraud		Presumptive fraud	
	Number of cases	Amount	Number of cases	Amount
30 June 2024	8	0.02	144	60.3
30 June 2023	10	0.01	113	7.19
30 June 2022	8	0.14	119	0.93

<i>Period ended</i>	<i>Fraud</i>		<i>Presumptive fraud</i>	
	<i>Number of cases</i>	<i>Amount</i>	<i>Number of cases</i>	<i>Amount</i>
30 June 2021	13	0.24	111	0.76
30 June 2020	23	0.08	100	2.86

Source: Board of Auditors.

D. Acknowledgement

671. The Board wishes to express its appreciation for the cooperation and assistance extended to its staff by the Secretary-General, the Under-Secretaries-General for Management Strategy, Policy and Compliance, Peace Operations, Operational Support and Internal Oversight Services and the Controller and members of their staffs, as well as the staff at the missions.

(Signed) **Pierre Moscovici**

First President of the French Cour des Comptes
Chair of the Board of Auditors
(Lead Auditor)

(Signed) **Hou Kai**

Auditor General of the People's Republic of China

(Signed) **Vital do Rêgo Filho**

President of the Brazilian Federal Court of Accounts

15 January 2025

Annex I

Missions audited

Active peacekeeping operations

1. United Nations Mission for the Referendum in Western Sahara
2. United Nations Multidimensional Integrated Stabilization Mission in the Central African Republic
3. United Nations Multidimensional Integrated Stabilization Mission in Mali
4. United Nations Organization Stabilization Mission in the Democratic Republic of the Congo
5. United Nations Disengagement Observer Force
6. United Nations Peacekeeping Force in Cyprus
7. United Nations Interim Force in Lebanon
8. United Nations Interim Security Force for Abyei
9. United Nations Interim Administration Mission in Kosovo
10. United Nations Mission in South Sudan
11. United Nations Support Office in Somalia

Special-purpose accounts

1. Peacekeeping Reserve Fund
2. United Nations Logistics Base at Brindisi, Italy
3. Regional Service Centre in Entebbe, Uganda
4. Support account for peacekeeping operations
5. Employee benefits funds
6. Peacekeeping cost-recovery fund

Closed peacekeeping operations

1. United Nations Operation in Burundi, closed on 31 December 2006
2. United Nations Mission in Sierra Leone and United Nations Observer Mission in Sierra Leone, closed on 31 December 2005
3. United Nations Transitional Administration in East Timor and United Nations Mission of Support in East Timor, closed on 20 May 2005
4. United Nations Iraq-Kuwait Observation Mission, closed on 6 October 2003
5. United Nations Mission in Bosnia and Herzegovina, closed on 30 June 2003
6. United Nations Mission of Observers in Tajikistan, closed on 15 May 2000
7. United Nations Support Mission in Haiti, United Nations Transition Mission in Haiti and United Nations Civilian Police Mission in Haiti, closed on 15 March 2000
8. United Nations Mission in the Central African Republic, closed on 15 February 2000

9. United Nations Observer Mission in Angola and United Nations Angola Verification Mission, closed on 26 February 1999
10. United Nations Preventive Deployment Force, closed on 28 February 1999
11. United Nations Transitional Administration for Eastern Slavonia, Baranja and Western Sirmium and United Nations Civilian Police Support Group, closed on 15 October and 30 November 1998
12. United Nations Observer Mission in Liberia, closed on 30 September 1997
13. United Nations Peace Forces, closed on 30 June 1997
14. Military Observer Group of the United Nations Verification Mission in Guatemala, closed on 31 May 1997
15. United Nations Mission in Haiti, closed on 30 June 1996
16. United Nations Assistance Mission for Rwanda and United Nations Observer Mission Uganda-Rwanda, closed on 19 April 1996
17. United Nations Observer Mission in El Salvador, closed on 31 May 1995
18. United Nations Operation in Mozambique, closed on 31 March 1995
19. United Nations Operation in Somalia, closed on 3 March 1995
20. United Nations Military Liaison Team in Cambodia, closed on 15 November 1994
21. United Nations Transitional Authority in Cambodia, closed on 5 May 1994
22. United Nations Transition Assistance Group, closed on 21 March 1990
23. United Nations Iran-Iraq Military Observer Group, closed on 31 March 1991
24. Special Account for the United Nations Emergency Force, closed on 30 June 1967
25. Ad Hoc Account for the United Nations Operation in the Congo, closed on 30 June 1964
26. United Nations Mission in Ethiopia and Eritrea, closed on 31 July 2008
27. United Nations Observer Mission in Georgia, closed on 5 June 2009
28. United Nations Mission in the Central African Republic and Chad, closed on 31 December 2010
29. United Nations Mission in the Sudan, closed on 9 July 2011
30. United Nations Supervision Mission in the Syrian Arab Republic, closed on 19 August 2012
31. United Nations Integrated Mission in Timor-Leste, closed on 31 December 2012
32. United Nations Operation in Côte d'Ivoire, closed on 30 June 2017
33. United Nations Mission in Liberia, closed on 30 March 2018
34. United Nations Mission for Justice Support in Haiti/United Nations Stabilization Mission in Haiti, closed on 15 October 2019¹
35. African Union-United Nations Hybrid Operation in Darfur, closed on 31 December 2020

¹ MINUSTAH became MINUJUSTH on 16 October 2017.

Annex II

Status of implementation of recommendations up to the financial year ended 30 June 2024 (volume II)

No.	Audit report year	Report reference	Recommendation of the Board	Administration response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
1	2018	A/73/5 (Vol. II) , chap. II, para. 185	The Board further recommends updating the integrated operational teams policy based on this review.	The policy on integrated operations teams was issued on 1 June 2024 (and transmitted to the Board). The Administration requests the closure of this recommendation.	The policy on integrated operations teams has been transmitted and is in line with the review previously done.	X			
2	2018	A/73/5 (Vol. II) , chap. II, para. 209	The Board recommends that the Administration analyse the direct and indirect costs associated with the disposal of unserviceable and expired ammunition from troop- and/or police-contributing countries and inform Member States accordingly.	The Administration requests the closure of this recommendation. In accordance with page 36 of the current policy (COE Manual, chap. 3, annex A, para. 26 (c) and (d)), the Uniformed Capabilities Support Division in coordination with missions and the Mine Action Service, analysed the direct and indirect costs related to the disposal of ammunition in the field missions.	The analysis has been done and transmitted to the Board. However, no evidence was provided regarding the information to Member States on this issue, which was included in the recommendation.		X		
3	2018	A/73/5 (Vol. II) , chap. II, para. 375	The Board recommends that the Administration consider publishing tenders for goods and services instead of solely publishing the request for expression of interest.	The Administration has considered the possibility of publishing tenders for goods and services instead of solely publishing the request for expression of interest and has determined that, in line with detailed elements transmitted to the Board, publication of tenders for goods and services is neither feasible nor in the best interest of the Organization. Therefore, the Administration respectfully requests the closure of this recommendation.	The evidence provided by Administration showed that the publishing of tenders was fully considered and compared with other processes (request of expression of interest), which is what was called for in the recommendation.	X			
4	2018	A/73/5 (Vol. II) , chap. II, para. 407	The Board recommends that the Administration amend the policy for rosters with the objective to facilitate roster-building, management and data cleansing.	Decisions of the Secretary-General on roster management were made following discussions at the Staff-Management Committee meeting held in April 2023. These decisions are being incorporated into a revision of the staff selection system administrative instruction.	The ongoing process is acknowledged and its finalization will be assessed in the next report in order to verify implementation of the recommendation by December 2024 as planned.		X		

No.	Audit report year	Report reference	Recommendation of the Board	Administration response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
5	2018	A/73/5 (Vol. II), chap. II, para. 417	The Board recommends that the Administration review the recruitment process to increase transparency and simplify and shorten the procedure.	To address the recommendation, the Office of Human Resources is developing a change programme: staff selection 2.0. The objective of the programme is to deliver processes, policies, tools and technologies for an effective staff selection system that ensures accuracy, fairness, efficiency. Staff selection 2.0 will cover the three components, namely, recruitment, outreach and the Young Professionals Programme. The recruitment component is composed of three workstreams with multiple projects within and across them: (a) comprehensive job analysis and skills identification; (b) assessment methods and tools for now and the future; and (c) ensuring accountability and agility in staff selection. Subject to the availability of resources, the programme is due to be implemented by 2026. The result of staff selection 2.0 is to enable the Organization to have a diverse and inclusive workforce that delivers on its evolving mandates. The new, streamlined system will also fulfil the letter and spirit of Article 101 of the Charter, in recruiting staff on as a wide a geographical basis as possible.	The staff selection 2.0 programme will have to respond to this recommendation's objectives of transparency and streamlining.		X		
6	2019	A/74/5 (Vol. II), chap. II, para. 202	The Board recommends that the Administration extend the delegation of authority portals' functionalities to specify and limit subdelegations to ensure that the staff member who receives subdelegations is aware of the scope.	The Administration has taken action to implement this recommendation with the development of a new enhanced delegation of authority portal that will offer new functionalities to "itemize" the authorities that are subdelegated and limit subdelegations, when necessary, through precise and detailed "scope lines". Although the new portal has been developed and tested, it has not yet been rolled out in production because it will be launched with the revised delegation of authority instrument, which is in the final	The development of the new portal is acknowledged. Its launch will be assessed in order to close the recommendation in the next audit report.		X		

No.	Audit report year	Report reference	Recommendation of the Board	Administration response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
7	2020	A/75/5 (Vol. II), chap. II, para. 68	The Boards recommends that the Administration determine the support account share of after-service health insurance expenditure on the basis of the actual costs incurred within peacekeeping operations.	stage of review. The Administration has already provided a demonstration of the new portal in its testing environment to the audit team and will request closure of this recommendation as soon as the portal is launched when the revised delegation of authority instrument is issued, which is expected in 2025. After-service health insurance costs are distributed on the basis of the estimated percentage of after-service health insurance participants who retired while on a post funded from peacekeeping operations. The potential impact that the downsizing of peacekeeping operation will have on the apportionment ratio applicable to peacekeeping and the consequent impact that this will have on apportionment ratios for the regular budget and budgets for extrabudgetary resources is already being witnessed. Necessary actuarial information is expected to be received during the third and fourth quarters of 2024 to meet the target date of December 2024.	Work is ongoing. The Board considers the recommendation to be under implementation.		X		
8	2020	A/75/5 (Vol. II), chap. II, para. 176	The Board recommends that the Administration include in the new memorandum of understanding with UNOPS clear stipulations on transparency and the provision of supporting documents, on the utilization of existing United Nations contracts and structures, on the consequences of non-compliance and on the UNOPS fee structure.	A new framework memorandum of understanding was signed between the United Nations Secretariat and UNOPS on 30 April 2024, which provides for improved terms of engagement with UNOPS, including the use of existing United Nations service contracts and an overall fee of 5 per cent across the Secretariat.	The memorandum of understanding was provided to the Board and includes the provisions mentioned in the recommendation. The Board considers this recommendation implemented.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
9	2020	A/75/5 (Vol. II), chap. II, para. 309	The Board recommends that the Administration establish a United Nations occupational safety and health management system that also includes coronavirus disease (COVID-19) measures.	The occupational safety and health management system is progressively implemented at United Nations Headquarters and those locations that have a professional safety officer to perform key occupational safety and health functions. Given that most missions have no safety personnel, further initiatives are under way to staff this function with a qualified safety officer. This remains the key barrier to the establishment of an occupational safety and health capability. The occupational safety and health management system continues to be adapted to align with wider organizational and High-level Committee on Management guidance. Further progress includes the publishing of the fundamentals of occupational safety and health course for all staff. The incident reporting technological solution includes COVID-19 and is being adapted to better integrate compensation claims. The Board is requested to consider the efforts taken to implement the recommendation and close it.	The Administration has been implementing an occupational safety and health management system that covers the issues raised in the recommendation. Specific training was launched in September 2024. The recommendation is considered implemented.	X			
10	2021	A/76/5 (Vol. II), chap. II, para. 57	The Board recommends that the Administration determine which categories of assets the missions shall provide to UNOPS for mine action projects and exclude them from financial agreements with UNOPS, include provisions on periodic asset reporting by UNOPS that facilitate IPSAS financial reporting in the new memorandum of understanding, and integrate the Chiefs of the Mine Action Programme into the oversight and management of project assets.	The new framework memorandum of understanding, signed between the United Nations Secretariat and UNOPS on 30 April 2024, has a revised annex 2 (examples of resources provided by the Secretariat to UNOPS) with details on assets and services to be provided to UNOPS. The new memorandum of understanding also has a clear asset report template and a reporting timeline.	The Board received the memorandum of understanding between the United Nations Secretariat and UNOPS, which includes provisions on asset reporting. No elements regarding the integration of the chiefs of the mine action programme into the oversight and management of project assets are included. The recommendation is therefore considered under implementation.		X		

No.	Audit report year	Report reference	Recommendation of the Board	Administration response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
11	2021	A/76/5 (Vol. II), chap. II, para. 74	The Board recommends that the Administration ensure that the delegation of authority to any Officers-in-Charge is visible in the delegation of authority portal, and define and codify the delegation of authority for administrative decisions regarding the management of resources, including human resources, for all drawdown and liquidation activities after the Security Council mandate of a mission has ended.	The Administration has taken action to implement this recommendation by including in Secretary-General's bulletin ST/SGB/2019/2/Rev.1, which is under the final review stage: (a) a new disposition stating that, in the case that an officer-in-charge arrangement is put in place to assume the function held by an official whose post has become vacant, the authorities will be delegated to the officer-in-charge in the online portal until the successor or the acting officer is appointed (for heads of entities, the Business Transformation and Accountability Division has already implemented this provision in the delegation of authority portal); and (b) a new section clarifying the exercise of temporary delegated authority at the closure of operations of an entity. The Administration will request the closure of this recommendation as soon as the revised bulletin is published, in 2025.	Once the revised Secretary-General's bulletin is published, the recommendation will be considered implemented.		X		
12	2022	A/77/5 (Vol. II), chap. II, para. 50	The Board recommends that the Administration organize an annual "peacekeeping risk management day", in order to raise awareness and develop, including through proper brainstorming and training sessions, a more risk-aware culture in the peacekeeping missions.	The enterprise risk management focal point workshop, initially scheduled for March 2024, was delayed owing to the liquidity situation of the Secretariat. It was expected to be scheduled in the fall of 2024 or the winter of 2025, depending on the availability of resources. One day during the workshop in Brindisi, or another day, could be dedicated to peacekeeping risk awareness, in which field missions could discuss relevant thematic risk areas through facilitated brainstorming to raise awareness and build a more risk-aware culture in peacekeeping missions. The Administration also presented evidence of enterprise risk management action (briefings, meetings and training sessions) conducted in MONUSCO in November 2024.	If and when said workshop, including a risk awareness session, is organized, the recommendation will be considered implemented.		X		

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13	2022	A/77/5 (Vol. II) , chap. II, para. 75	The Board recommends that the Administration provide, with a view to building a more consensual, sound and practical basis for risk-taking in peacekeeping operations, the appropriate elements to fuel a strategic discussion at the level of the legislative bodies, not excluding the issuance of a peacekeeping risk appetite statement and the revision of the 2011 risk management policy.	The Department of Management Strategy, Policy, and Compliance will promote the establishment of a robust governance framework in peacekeeping operations, including the role of local risk management committees responsible for overseeing risks and facilitating discussions on risk-taking in peacekeeping operations. The 2011 enterprise risk management policy will be revised accordingly to emphasize this matter. With respect to the risk appetite statement, the General Assembly, in its resolutions 66/257 and 77/253 B, established that the determination of the risk tolerance of the Organization was the responsibility of the Assembly.	The Board notes the efforts made, but no initiative to revive the strategic debate on risk-taking in peacekeeping operations has been taken.		X		
14	2022	A/77/5 (Vol. II) , chap. II, para. 76	The Board also recommends that the Administration progressively develop mechanisms to define acceptable risk-taking at the level of peacekeeping missions and experiment with ways to better incentivize and reward it.	The Administration stated that, in the context of the Secretariat and, in particular, peacekeeping operations, the development of rules and mechanisms to identify acceptable risk-taking and experiment with ways to better incentivize and reward it remained extremely complex. All heads of entities are responsible for the development and regular update of their entity-specific risk registers and for implementing their response plans. In this regard, all peacekeeping missions have identified, assessed and prioritized the most critical risks and have adopted an enterprise risk management process that includes the establishment of an appropriate governance structure, the assignment of risk management focal points and responsibilities and the operationalization of a dedicated risk management committee tasked with providing strategic guidance on the enterprise risk management implementation process.	The Board notes the Secretariat's progress and will be attentive to the further dissemination of best practices on risk-taking.		X		

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15	2022	A/77/5 (Vol. II), chap. II, para. 139	The Board recommends that the Administration clarify the roles of the first and second lines of defence in the management of risks in peacekeeping operations, taking concrete steps to increase their empowerment, involvement and accountability, and formalizing in particular the participation of the Department of Peace Operations to the second line of defence.	The Administration added that the old United Nations Competencies for the Future tool and the new Values and Behaviours Framework included risk-taking and that best practice would be disseminated. The Administration stated that the 2011 enterprise risk management policy was under revision, with finalization anticipated in the second quarter of 2025. Consultations with relevant stakeholders is ongoing. The updated policy is intended to clarify the roles and responsibilities of the first and second lines of defence, including the specific functions of the Department of Peace Operations. Once completed, the revised policy will be presented to the Management Committee for endorsement. Once the revised policy is endorsed, specific language will be highlighted in the fifteenth progress report of the Secretary-General on accountability, in 2025.	The Board notes the progress made and will be attentive to the completion and implementation of the revised enterprise risk management policy.		X		
16	2022	A/77/5 (Vol. II), chap. II, para. 168	The Board recommends that the Administration assign the responsibility of Chief Risk Officer to an existing senior executive in each entity, at the department, missions and service centres levels.	A draft review of enterprise risk management roles and functions, intended to develop the “integrator/facilitator” role of Chief Risk Officer, will be discussed first with the Department of Peace Operations in the third quarter of 2024 and then with the heads of the peacekeeping operations. The objective is to assign an existing senior official in each peacekeeping operation within existing resources and to reflect those responsibilities in the revised enterprise risk management policy. In addition, the assignment of the Chief Risk Officer to an existing senior executive in each entity will be communicated through inter-office memorandums from the second line of defence entities and senior management of the Secretariat to all peacekeeping operations.	The Board notes the ongoing review of enterprise risk management roles and functions, which is expected to be achieved by March 2025.		X		

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17	2022	A/77/5 (Vol. II), chap. II, para. 171	The Board also recommends that the Administration review in the coming months, through a process including all stakeholders, the quality of the existing "risk registers" and "risk treatment and response plans".	The Department of Management Strategy, Policy and Compliance will continue to engage with the relevant stakeholders, namely, the Department of Peace Operations and the Department of Operational Support, and all the peacekeeping missions to improve the quality of risk registers. An implementation schedule is being prepared to outline the planned sequence for reviewing entities, starting in the third quarter of 2024. In addition, the gradual adoption of the Umoja enterprise risk management module itself across all peacekeeping operations will enhance alignment with the policy and methodology, consistency and quality of the registers. Its deployment across all peacekeeping operations by 31 December 2024 is already greatly strengthening the alignment with the overall policy and methodology.	The Board notes the efforts to improve the risk registers and of the progress to be expected from the Umoja enterprise risk management module's implementation. Once these projects are finalized, the recommendation will be considered implemented.		X		
18	2022	A/77/5 (Vol. II), chap. II, para. 204	The Board recommends that the Administration conduct a thorough review of all the existing accountability requirements on peacekeeping operations, in order to streamline and reduce the burden on managers ("simplification shock"), as well as to better articulate risk management with key internal control, strategic programming, budgeting and performance frameworks and ensure data-sharing and interconnected information systems.	The Administration stated that considerable progress had been made during the reporting period. A detailed inventory of reporting requirements was developed and used to identify opportunities to simplify reporting requests from Headquarters departments. Proposals under review or implementation range from filling data gaps from existing sources, automating reporting when data exist in Umoja and creating interface/data transfers between reporting platforms across departments. Obsolete paper-based forms have been decommissioned and a peer review process was established to inform the design of new reporting requirements, allowing for the sharing of ideas on existing data sources and lessons learned. The next phase of the project will continue to explore the feasibility of opportunities to rationalize and tailor or stop reporting requirements.	The Board notes the progress made and will be attentive to further positive developments.		X		

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19	2022	A/77/5 (Vol. II), chap. II, para. 222	The Board recommends that the Administration issue a standard operating procedure for cross-borrowing starting with the cash shortfall identification and ending with the loan movement in Umoja. This standard operating procedure shall also include a template note with all relevant information for the approval. Finally, the standard operating procedure should provide that the heads of missions affected are informed.	The draft standard operating procedure is undergoing levels of review and redrafting because it also requires alignment with liquidity management for the regular budget.	The standard operating procedure for cross-borrowing has not yet been approved. The Board considers the recommendation to be under implementation.		X		
20	2022	A/77/5 (Vol. II), chap. II, para. 274	The Board recommends that the Administration formalize a policy document for the actuarial valuation of employee benefits that gives an overview of the process and related internal controls. In particular, the policy should describe and document the significant decisions and assumptions to be included in the employee benefits valuation.	The Administration is working on preparing a formal policy document on the actuarial valuation process, to be finalized by the target date. The draft scope and structure of the formal policy will be presented for the Board's preview during the final audit of the 2024 financial statements as reported in volume II.	Given that work is ongoing, the Board considers the recommendation to be under implementation, noting that the target date has been postponed to 2025.		X		
21	2022	A/77/5 (Vol. II), chap. II, para. 285	The Board recommends that the Administration systematically document the review and the update of volume II employee benefits actuarial assumptions, providing appropriate evidence as necessary, to ensure their reasonableness before using them in the valuation.	The Administration reviewed all assumptions with the actuary for the full valuation of end-of-service liabilities as at 31 December 2023 and is working on the formal document by analysing the significant and other assumptions as defined under IPSAS 39. The document will also cover the source, nature and applicability of assumptions and set out the frequency of their review and alignment with the existing actuarial process and timeline. The implementation is on track to be completed by the target date.	Because work is ongoing, the Board considers the recommendation to be under implementation, noting that the target date has been postponed to 2025.		X		

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22	2022	A/77/5 (Vol. II) , chap. II, para. 293	The Board recommends that the Administration complete further the information disclosed in the notes to the financial statements, as prescribed in paragraphs 141 to 149 of IPSAS 39: Employee benefits.	The Administration will hold discussion with the Board on this recommendation during the interim audit of 2024 and request subsequent closure. The Administration believes that, as confirmed by the independent actuary, paragraph 149 (b) of IPSAS 39 is applicable to reporting entities that have funded liabilities (i.e., it is the amount that the entity expects to pay to the plan in the next reporting period). In addition, it should be noted that paragraph 149 (b) appears in IPSAS 39 under the heading "Amount, timing and uncertainty of future cash flows" (i.e., the goal of IPSAS 39 is to inform users of the financial statements of the future cash flows associated with the defined benefit plan). Given that after-service health insurance is not funded, the United Nations does not anticipate contributing a specific amount in the next reporting period. The amounts paid for medical claims will be known only when they are presented for payment (pay as you go), which is not certain at the time financial statements are being issued. While the Administration could use the actuarial model to project the future year's cost, this amount would not translate to cash outflows for the United Nations. Therefore, the Administration believes that including the amount of expected benefit payments in the notes is not relevant in the case of the United Nations and might mislead the readers of the financial statements. With regard to disclosing maturity/duration periods for repatriation grant and annual leave, the Administration complied with this requirement in the 30 June 2023 financial statements.	Considering the comments and details given by the Administration in October 2024, the Board agrees to close the recommendation.	X			

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23	2022	A/77/5 (Vol. II) , chap. II, para. 298	The Board recommends that the Administration further disclose, in the notes to the financial statements, the results of the sensitivity analyses for benefits plans for each significant actuarial assumption.	The Administration has amended the disclosure of assumptions on the basis of the Board's comments received on the financial statements for the financial period ended 30 June 2023.	Considering the disclosures in note 16 in the financial statements and the follow-up and comments on the part of the Administration since 2023, the Board agrees to close the recommendation.	X			
24	2022	A/77/5 (Vol. II) , chap. II, para. 311	The Board recommends that the Administration conduct at least annually a qualitative review of all Umoja user accounts and roles granted in the Department of Management Strategy, Policy and Compliance. This review should include making the necessary modifications and deprovisioning user accounts to avoid having any active accounts with legacy privileges.	The user access functional sub-group continues its work reviewing the process and scope for a regular review of Umoja access and role provisioning. The sub-group's wide scope of responsibilities and the complexity of the task have resulted in a revision in the target date.	Work is ongoing. The Board therefore considers the recommendation to be under implementation.		X		
25	2022	A/77/5 (Vol. II) , chap. II, para. 325	The Board also recommends the Administration rework key performance indicators for demand planning, set targets to be reached and ensure a follow-up of the results.	The mock-up and the general data framework are under development between the Enabling and Outreach Service and the Supply Chain Planning Service.	Work is ongoing. The Board therefore considers the recommendation to be under implementation.		X		
26	2022	A/77/5 (Vol. II) , chap. II, para. 349	The Board recommends that the Administration complete the strategies for the nine remaining procurement categories.	The Department of Operational Support refers to paragraph 312 of A/79/5 (Vol. I) , in which the Board recommended the revision of the organization of the implementation of the 40 category strategies by classifying them as core or bespoke. The Administration accepted the recommendation and requests that this recommendation be considered overtaken by events.	In line with the recommendation issued in in paragraph 312 of A/79/5 (Vol. I) , a prioritization of the procurement categories for which strategies must be implemented was applied, and this led to a review by the Administration. Core categories have been identified and strategies have been implemented for them, whereas bespoke categories will be treated through reactive approaches. Given that all core categories have approved strategies, the recommendation can be considered implemented.	X			

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27	2022	A/77/5 (Vol. II), chap. II, para. 350	The Board also recommends the Administration set, for each strategy, appropriate implementation milestones and performance indicators in order to monitor results and take the actions necessary at the level of the Department of Operational Support and after close consultations with the peacekeeping missions.	The Administration has regrouped 40 category strategies into core and bespoke categories under which the Office of Supply Chain Management will provide end-to-end support for core categories, while the bespoke categories will be delegated to another business lead, with needs-based support provided by the Office. In the meantime, the Office has begun to prioritize the implementation of core category strategies by developing implementation milestones in which the performance of each category strategies will be built by the specific category team. Taking into account the progress made in improving overall category management approach as recommended by the Board, the Administration requests the closure of the recommendation.	As for the previous recommendation, the adoption of strategies for all core strategies responds to the Board's recommendation, which can be considered implemented.	X			
28	2023	A/78/5 (Vol. II), chap. II, para. 65	The Board recommends that the Administration develop a strategy and propose to the General Assembly ways to improve budget development for peacekeeping operations, in order to achieve greater accuracy, predictability and efficiency.	To improve budget development for peacekeeping operations, the Administration agreed that resource requirements could be carefully reviewed on a "zero-based" approach, where appropriate, bearing in mind the missions' mandates and concept of operations. The recommendation of the Board will nevertheless not entail a change in the presentation of the reports of the Secretary-General, which will still reflect incremental changes related to staffing and financial resource requirements, to facilitate a detailed comparative analysis of budget proposals and related expenditure. It is envisioned that the Secretariat will move towards presenting multi-year budget estimates for construction, asset management and replacement plans in the context of the budget reports. This is contingent on the system changes and available resourcing necessary to	The 2025/26 budget, which is being prepared, would be the first to incorporate changes to reflect the first phase of this new approach. Under these conditions, an examination of the related budget documents (Secretariat budget report and supplementary packages), as well as the preparation process, will make it possible to measure the extent to which the recommendation has been implemented. The pending status is therefore considered in line with the principles governing the budget cycle.		X		

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				implement the change within missions and support entities and may require the prioritization of some multi-year elements, with financial value taking precedence.					
29	2023	A/78/5 (Vol. II) , chap. II, para. 68	The Board also recommends that the Administration analyse the sustainability of the support account, taking into consideration the consequences of the reduction or closure of peacekeeping missions, and develop scalability models for both Headquarters and service centres.	In accordance with General Assembly resolution 77/304 , a scalability model report will be submitted during the seventy-ninth session of the Assembly. The Secretariat stressed that it would take advantage of the report to undertake a comprehensive analysis of interconnected issues linked to the support account and the support entities, including the relative balance of work funded by the support account and the regular budget, including to backstop special political missions.	The Administration states that its report to the General Assembly will include all the elements expected in response to the Board's recommendation. The draft report is undergoing validation. The report will respond to the request of the Advisory Committee on Administrative and Budgetary Questions endorsed by the General Assembly on the issue of support account scalability and take into consideration the Board's recommendation. Once the report is submitted, the recommendation will be considered implemented.		X		
30	2023	A/78/5 (Vol. II) , chap. II, para. 109	The Board recommends that the Administration present, in its next report to the General Assembly on improving the financial situation of the United Nations, desirable evolutions in revenue, expenditure and liquidity management for peacekeeping operations.	The Administration is to provide an update on the report of the Secretary-General on improving the financial situation of the United Nations (A/76/429) to the General Assembly at its eightieth session as stipulated in resolution 76/272 . Considering the deteriorating liquidity situation for both regular budget and peacekeeping, the Secretary-General may present the report earlier than stipulated.	The Administration will present these elements to the General Assembly in the next report of the Secretary-General on the improvement of the financial situation of the United Nations and expected developments in the management of income, expenditure and cash for peacekeeping operations. The Board considers the recommendation to be under implementation		X		
31	2023	A/78/5 (Vol. II) , chap. II, para. 141	The Board recommends that the Administration define the roles and responsibilities of budget monitoring of peacekeeping operations by different stakeholders of the second line of defence to ensure that appropriate checks and balances are in place and greater attention is paid to budgetary discipline and mandate priorities.	The Secretariat is cognizant of the need to further improve accountability and increase existing efforts to strengthen budgetary monitoring and oversight during the financial period. To that end, the scope and delineating responsibilities of budget monitoring by various stakeholders of the second "line of defence" should be clearly defined in the context of the internal controls operating at the first and second lines. With regard to the redeployment of	In 2023/24, the audits of UNMISS and the Regional Service Centre found that budget implementation reports and expenditure projections for the following quarter or the end of the year were submitted on a quarterly basis. With regard to the role of the Department of Peace Operations within the second line of defence, from budgeting to execution, the 2025/26 budget cycle will allow the		X		

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				funds, the Controller's memorandum of 2021 regarding management of allotments and procedures for redeployments reflected checks and balances, to the extent that missions adhere to its provision. To ensure fiscal discipline and control, the Field Operations Finance Division will augment its efforts to support strict compliance with the policy on the management of allotments. Missions have been requested to fully implement the Controller's directives concerning quarterly mission reports on budget implementation, in a standardized format. For the efficient management of resources within approved budgets, additional coherence will be required at the highest level of organizational leadership in missions, and between the field and Headquarters. The various stakeholders need to proactively communicate, as necessary, throughout the budget period with respect to important foreseen deviations of projected expenditure with major financial implications and assess the impact on the utilization of approved resources. For stringent monitoring during budget implementation and to further enable more responsive anticipation and management of difficulties and risks, this would require the Office of Programme Planning, Finance and Budget to be better informed on the strategic discussions with major budgetary impact by all stakeholders, especially relevant departments and Headquarters offices.	implementation of the recommendation to be measured. The work on defining the roles and responsibilities of the various stakeholders is under way, in line with the timeline for implementation.				

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32	2023	A/78/5 (Vol. II) , chap. II, para. 173	The Board recommends that the Administration streamline and improve the quality of the data used in accountability reports produced as part of the result-based budgeting.	In line with the Secretary-General's management reform and increased use of results-based management, the results-based budgeting process needs to be improved to demonstrate more impact-orientated results. The accountability for both resource management and programme delivery should be clearly reflected in the budget performance and budget proposal reports submitted to the General Assembly. To drive improvements both in planning and reporting, peacekeeping missions should progressively rely on the range of online tools, including Umoja and the Comprehensive Planning and Performance Assessment System, to help to strengthen the impact orientation of their results-based budgeting frameworks and performance reports.	The first phase of implementation of the recommendation will be assessed on the basis of the budget documents issued as part of the 2025/26 budget. The convergence and streamlining of the performance indicators adopted through results-based budgeting and the Comprehensive Planning and Performance Assessment System will be analysed during the on-the-ground audits.		X		
33	2023	A/78/5 (Vol. II) , chap. II, para. 175	The Board also recommends that the Administration develop a methodology to gradually build up presentation of the main expenses according to an analytical breakdown by mandate component.	The General Assembly endorsed (see resolution 78/242 B) the recommendation of the Advisory Committee on Administrative and Budgetary Questions that the proposal to present the main expenses by mandate component required further analysis and clarification and that any development in that area would take place within existing resources (A/78/804 , para. 51). On the basis of the current budgeting and accounting systems of the Organization, the implementation of the recommendation from the Board will require a major shift in practices and changes to Umoja. This will entail significantly more resources for both Headquarters and the missions to implement a new budget and expenditure process, given that significant costs in operations are not tracked to their mandates. Any changes will be contingent on the system changes and available resourcing necessary to implement the	The first phase of the implementation of the recommendation is under way and will be reviewed once the 2025/26 budget documentation is presented. There are significant difficulties in implementing major changes within existing resources, including technical and operational changes that would be required to track operational costs per mandate. The creation of WBS/IOs (work breakdown structure/internal orders) and their extension to programmatic activities in 2023/24, at the request of the Office of Programme Planning, Finance and Budget, now makes it easier to read and analyse them either on an annual basis or in a multi-annual perspective.		X		

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				change within peacekeeping-funded entities through training and change management. Only some elements that can more easily be linked may be reflected, and the changes may be staggered and focus on those elements that can be more easily matched to components.					
34	2023	A/78/5 (Vol. II), chap. II, para. 226	The Board recommends that the Administration review the planning of the civilian component's operations to ensure, after in-depth consultations, a more realistic multi-year sequencing of the implementation of the mandate and a better alignment with strategic priorities.	The Department of Peace Operations will be issuing its mission concept/mission plan guidelines, jointly prepared with the Department of Operational Support and the Department of Political and Peacebuilding Affairs, in the coming weeks. The issuance of the guidance will be followed by an implementation strategy, which will include support for missions in the implementation of mission plans and the operationalization of such plans at the component level, which includes civilian components.	The guidelines and the implementation strategy are not yet issued. The Board considers the recommendation to be under implementation.		X		
35	2023	A/78/5 (Vol. II), chap. II, para. 260	The Board recommends that the Secretariat provide information on the costs of the substantive civilian component of peacekeeping operations	As agreed by the Administration, the presentation in the budget report will be enhanced to include not only all the number of posts and positions per grade level, but also the costing of this information for all components. In addition, for those missions that have programmatic funding, the information in future budget reports will be further enhanced so that it is also provided by component. The recommendation does not include reporting on the main managerial issues faced, including regarding human resources (long-standing vacancies, long job tenures, risk of underperformance and demotivation, and constraints linked to the applicable policies) and additional reporting on extrabudgetary resources, such as on the nature, level and use of extrabudgetary resources, as well as on the associated administrative costs, including for dealing with budgetary shortfalls to	The budget report for the 2025/26 period is being updated to include the costs of the substantive civilian component. The Board considers the recommendation to be under implementation.		X		

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				cover substantive matters of the civilian component, a more comprehensive and delineated coverage of the civilian component, notably excluding support functions, giving a break-down by subcomponent and reporting on the volume and use of extrabudgetary funds.					
36	2023	A/78/5 (Vol. II) , chap. II, para. 304	The Board recommends that the Administration review and adjust existing senior mission leadership mechanisms, in line with the revised Policy on Integrated Assessment and Planning, to enhance their effectiveness in the delivery of their core integration and strategic management functions.	The revised Policy on Integrated Assessment and Planning (2023) has been rolled out in missions and is being implemented. The policy lays out the minimum requirements for integration in integrated settings at both the field and Headquarters levels. In the field, it is stated in the requirement that integrated field presences are required to establish a senior leadership forum for decision-making on joint strategic and operational issues that include key in-country decision makers.	The Administration expects to establish a senior leadership forum. The Board therefore considers the recommendation to be under implementation.		X		
37	2023	A/78/5 (Vol. II) , chap. II, para. 306	The Board also recommends that the Administration explore new ways of working with United Nations agencies, funds and programmes regarding the implementation of the objectives of the peacekeeping mandates.	The Administration is exploring new ways of working with the United Nations agencies, funds and programmes in the context of the Policy on Integrated Assessment and Planning, including in active transition settings.	Given that the Board addressed this issue more thoroughly in A/78/5 (Vol. II) , this recommendation will be replaced by more specific ones.				X
38	2023	A/78/5 (Vol. II) , chap. II, para. 341	The Board recommends that the Administration review, through a process including both Headquarters and the missions, the quality of the existing reporting on the performance of the substantive civilian component of peacekeeping operations, in order to increase its relevance and better support strategic management and oversight.	The Comprehensive Planning and Performance Assessment System evaluates mission plans, and, accordingly, will evaluate the performance of mission components, including civilian components.	Given the information transmitted, the Board considers the recommendation to be under implementation.		X		

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39	2023	A/78/5 (Vol. II), chap. II, para. 365	The Board recommends that the Administration update the information on signature authority with the missions to ensure that personnel registered correspond to the operational needs.	The Administration accepted the recommendation and has already reached out to all local offices and missions requesting confirmation that the current bank signatories on the global banking operations database remain active and that any necessary action will be taken accordingly. This control will be performed on an annual basis and the standard operating procedure for authorized bank signatories will be amended.	The update process on signature authority has been initiated and the review remains in progress. The Board considers the recommendation to be under implementation.		X		
40	2023	A/78/5 (Vol. II), chap. II, para. 370	The Board recommends that the Administration request from the banks a written confirmation when a change in signatories is notified to them.	The Administration accepted the recommendation and requested a written confirmation from the external banks when a signatory change letter is sent. This process will also be included in the updated standard operating procedure for authorized bank signatories.	The Board has noted that requests have been sent to the banks when a change in signatories was notified. It therefore considers the recommendation implemented.	X			
41	2023	A/78/5 (Vol. II), chap. II, para. 379	The Board recommends that the Administration explore improvements on the bank reconciliation transaction in Umoja.	An Umoja business requirement change was created for the Enterprise Resource Planning Solution Division to explore through SAP updates that can be made to so that the open item indicator in the FEBAN module in Umoja matches that of the general ledger line item report. This change is in the process of being discussed with SAP (by the Division), and a further update was expected at the end of July 2024.	A revised alternative control has been provided to the Board regarding bank reconciliation for audit purposes. The work on the bank reconciliation transaction in Umoja is ongoing. The Board therefore considers the recommendation to be under implementation.		X		
42	2023	A/78/5 (Vol. II), chap. II, para. 381	The Board recommends that the Administration maintain a central list of all bank reconciliation opening items older than three months, as well as work with local bank reconcilers and the Treasury to identify process changes that would improve the clearing period of old open reconciling items.	The Administration is collecting and compiling a list of items that are older than three months. In addition, it is meeting regularly with reconcilers of accounts that have long-open items. The list, which is centrally maintained, helps to identify common reconciling/clearing issues so that process improvements can be identified and improvements in processes made, where needed. As a result of improvements in monitoring, when looking at the number of open items as at the end of June and	A central list of all bank opening items older than three months was provided at 2023/24 year end. The Board therefore considers the recommendation to be implemented.	X			

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						Implemented	Under implementation	Not implemented	Overtaken by events
				December 2023, the total number of open items decreased by 32 per cent and the total number of items older than three months decreased by 37 per cent.					
43	2023	A/78/5 (Vol. II) , chap. II, para. 394	The Board recommends that the Administration include in the policy document mentioned in chapter II, paragraph 274, of A/77/5 (Vol. II) : (a) an analysis of the possibility of differentiating the withdrawal and retirement rates at the time of retirement by participant status (international versus national); (b) a study to determine the historical rate of participants in after-service health insurance plans who leave the plan after retirement; and (c) an option that the valuation method for the full valuation be revised in the light of the results of these analyses.	The necessary data extracts and collections to enable the indicated reviews are in progress. The rationale for the data extracts and collections to enable the indicated reviews has been developed. The extracts are undergoing testing for planned use in the third quarter of 2024.	The recommendation is ongoing and the target date has had to be updated and postponed to 2025.		X		
44	2023	A/78/5 (Vol. II) , chap. II, para. 403	The Board recommends that the Administration maintain an appropriate audit trail for the currency mix used in weighting the after-service health insurance discount rates, and for the discount rate for non-medical plans, which takes into account only the United States yield curve, and disclose this information in the notes to the financial statements.	The disclosure on the currency mix was included in the audited financial statements for the year ended 31 December 2023 for United Nations operations as reported in volume I and will be added to the financial statements for the year ended 30 June 2024 for United Nations peacekeeping operations as reported in volume II in due course.	The recommendation is considered closed, considering note 16 in the financial statements for 2023/24.	X			
45	2023	A/78/5 (Vol. II) , chap. II, para. 418	The Board recommends that the Administration establish in a formal document the process for determining the peacekeeping operations' shares of the various after-service health insurance	Documentation of the simulation process related to administering the General Assembly sharing ratios is in the development stage and is on track for completion by the end of 2024.	The recommendation is ongoing and the target date has to be postponed in accordance with the new recommendation on the apportionment rate.		X		

No.	Audit report year	Report reference	Recommendation of the Board	Administration response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
			medical plans, specifying in particular internal controls to be implemented.						
46	2023	A/78/5 (Vol. II), chap. II, para. 429	The Board recommends that the Administration establish a standard operating procedure for the credit returns to Member States that provides an overview of the process and the related internal controls.	In progress. The Administration will provide the first draft of the standard operating procedure by the end of October 2024. The target date for the final version of the standard operating procedure is scheduled for the end of December 2024	The standard operating procedure for credit returns to Member States has not yet been approved. The Board considers the recommendation to be under implementation.		X		
47	2023	A/78/5 (Vol. II), chap. II, para. 435	The Board recommends that the Administration finalize its analysis to determine the final adjustments necessary related to credit returns.	Finalized and adjustments posted. The Administration recorded the adjustment entries during the 2023/24 period.	The adjustments regarding credit returns to Member States have been booked in the financial statements. The Board considers the recommendation to be implemented.	X			
48	2023	A/78/5 (Vol. II), chap. II, para. 454	The Board recommends that the Administration review the cost-recovery accumulated surplus of UNMISS, UNSOS, MINUSMA, MINUSCA, MONUSCO and UNISFA and make the necessary adjustments.	The Office of Programme Planning, Finance and Budget has been working closely with the missions on the review of the prior-period fund balances and on ensuring that the missions do not continue past trends.	The Board notes the surplus regarding the missions had reduced slightly at 2023/24 closing. The Board considers the recommendation to be under implementation.		X		
49	2023	A/78/5 (Vol. II), chap. II, para. 459	The Board recommends that the Administration continue its work on centrally monitoring cost recovery in particular to ensure the correct differentiation between spendable and non-spendable income.	The Office of Programme Planning, Finance and Budget will conduct another review of mission fund balances from prior periods to ensure the proper classification of spendable and non-spendable revenue. Any amounts found to be improperly categorized as “spendable” will be returned to Member States. The Office conducted another review of the fund balances of peacekeeping missions and reclassified revenue that it found to have been incorrectly posted as spendable revenue. This revenue will be returned to Member States. The Office is also conducting training and outreach to mission staff to enable them to make the appropriate classification of revenue in the future.	The Administration improved staff training and post-closing testing during fiscal year 2023/24. The monitoring remains in progress. The Board considers the recommendation to be under implementation.		X		

No.	Audit report year	Report reference	Recommendation of the Board	Administration response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
50	2023	A/78/5 (Vol. II) , chap. II, para. 485	The Board recommends that the Administration complete its review of the fuel category strategy in a timely manner to adapt it to various challenges, including by exploring additional contract tools and operating models in order to reduce its dependence on a very limited number of suppliers.	The recommendation is under implementation. Review of the fuel category strategy is in progress, with the aim of reducing dependency on limited suppliers. As part of the review, the Office of Supply Chain Management will hold two vendor outreach events (vendor round tables) in Mogadishu and Mombasa, Kenya from 28 October to 1 November 2024 in order to gather input from the market on how best to structure missions' petroleum oil and lubricant supply and services requirements. The forums will also be used to create awareness on the business opportunities, United Nations petroleum oil and lubricant requirements, how requirements are defined in scopes of work and the use of bid response tables. This is expected to help vendors to produce quality technical proposals. The strategy will be revised further and approved after incorporating, as required, feedback received from participants of the planned vendor round tables.	The Board acknowledges the efforts made. Once the strategy is finalized and published, the recommendation will be considered implemented.		X		
51	2023	A/78/5 (Vol. II) , chap. II, para. 498	The Board recommends that the Administration improve reporting from the field concerning fuel needs and consumption in order to identify situations that require taking appropriate actions as and when needed.	In alignment with the plan approved by the electronic fuel management system board, on 8 July the Office of Information and Communications Technology released a set of reports on fuel consumption, for example, on the following – Daily consumption (30 days running average); – Trend analysis; – Comparative analysis by period; – Comparative analysis by location; – Verification of invoiced volume; – Cost recovery of volume delivered to other entities; – eApp (Fuel volume customized for eApp report);	The set of reports and analyses provides a good starting point towards the effective implementation of the recommendation.	X			

No.	Audit report year	Report reference	Recommendation of the Board	Administration response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
				– Analysis of fuel delivered in bulk. Stock reports and the fuel risk dashboard were deployed in September 2024, as planned.					
52	2023	A/78/5 (Vol. II), chap. II, para. 513	The Board recommends that the Administration continue to reinforce financial diligence with vendors both at the selection phase and in cases when significant and persistent issues affect the ongoing performance of the contract.	The Administration continues to strengthen due diligence regarding vendors' financial health, in particular for categories and contracts considered to be at a higher risk. To this end, the Administration has implemented more stringent financial criteria to address current dynamic market developments in the areas of construction, fuel, food rations and aviation. In addition, the Department of Operational Support also conducts an annual financial re-evaluation of vendors whose contracts are above a given threshold to review their most recent financial health and detect any potential financial risk. Noting that the Administration has already implemented more stringent financial evaluation criteria for specific categories and introduced an annual re-evaluation of suppliers with significant contracts and continues to further review the financial criteria for other categories as ongoing process, and taking into account the aforementioned, the Administration requests the Board to close the recommendation.	The provided evidence and the revised processes indicate that the Administration has taken action to fully implement the recommendation.	X			
53	2023	A/78/5 (Vol. II), chap. II, para. 538	The Board recommends that the Administration ensure better anticipation and mitigation by peacekeeping missions of the risks associated with a withdrawal.	The Administration underlined that missions implemented their own enterprise risk management process (including a risk registry and risk treatment plans) and that mission plans were also expected to include a risk analysis section. To support missions in anticipating and mitigating the risks associated with a withdrawal, in February 2024 the Department of Peace Operations initiated the development of military exit concepts of operation anticipating potential force withdrawal scenarios for all relevant	The Board notes the progress made on this issue and will consider the recommendation closed when all the relevant exit concepts of operations are issued and when risks associated with withdrawal are systematically included in the missions' risk registers.		X		

No.	Audit report year	Report reference	Recommendation of the Board	Administration response	Board's assessment	Status after verification				
						Implemented	Under implementation	Not implemented	Overtaken by events	
				peacekeeping operations. A first exit concept of operations was developed in April 2024, and five others are being developed and are expected to be delivered by the end of January 2025. The Department will then assess which of the five remaining missions (of which three are within the scope of volume II) will also require a contingency exit concept of operations. In addition, the risks associated with withdrawal are assessed by missions and integrated into risk registers (e.g., MONUSCO), internal planning and strategic processes. The Department of Management Strategy, Policy and Compliance has conducted site visits to UNSOM and MONUSCO and discussed the risks associated with withdrawal extensively with senior management of those missions.						
Total number of recommendations					53	14	38	0	1	
Percentage of the total number of recommendations					100	26.0	72.0	0.0	2.0	

Chapter III

Certification of the financial statements

Letter dated 30 September 2024 from the Controller addressed to the Chair of the Board of Auditors

The financial statements of the United Nations peacekeeping operations for the 12-month period from 1 July 2023 to 30 June 2024 have been prepared in accordance with financial regulation 6.1 of the Financial Regulations and Rules of the United Nations.

The summary of significant accounting policies applied in the preparation of these statements is included as notes to the financial statements. These notes provide additional information and clarification for the financial activities related to peacekeeping operations undertaken by the Organization during the period covered by these statements, for which the Secretary-General has administrative responsibility.

I certify that the appended financial statements of the United Nations peacekeeping operations, numbered I to V, are correct in all material respects.

(Signed) Chandramouli **Ramanathan**
Assistant Secretary-General, Controller

Chapter IV

Financial report on the United Nations peacekeeping operations for the period from 1 July 2023 to 30 June 2024

A. Introduction

1. The Secretary-General has the honour to submit the financial report on the United Nations peacekeeping operations for the financial year ended 30 June 2024.
2. The accounts of the United Nations peacekeeping operations are presented in five statements and the accompanying notes that provide a summary of significant accounting policies, as well as explanations of the amounts presented in the financial statements.
3. The present financial report is designed to be read in conjunction with the financial statements of the United Nations peacekeeping operations, as described in paragraph 2 above. The financial report presents an overview of the consolidated position and performance of the peacekeeping operations, highlighting trends and significant movements.

B. Governance

4. The United Nations peacekeeping operations are established by the Security Council, which has primary responsibility for the maintenance of international peace and security pursuant to Article 24 of the Charter of the United Nations. Once they are established, the Council monitors missions through periodic reviews, adjusting, amending or terminating mandates, as appropriate. Heads of peacekeeping missions are appointed by the Secretary-General: a civilian Special Representative of the Secretary-General, in the case of a multidimensional mission, or a military Force Commander, where the military is the primary component of a mission. Currently, peacekeeping missions are routinely mandated to, inter alia, facilitate the implementation of a peace agreement or support a peace process, protect civilians, promote human rights and the rule of law and enhance the participation of women and young people in political processes.
5. The General Assembly plays a key role in the financing of peacekeeping operations. The Assembly approves budget appropriations, which are apportioned on all Member States on the basis of a special scale of assessments for peacekeeping operations. The Assembly, through its Administrative and Budgetary Committee (Fifth Committee), approves and oversees the budget for peacekeeping operations on the basis of detailed budget proposals, submitted annually (for the following year, 1 July to 30 June) by the Secretary-General.

C. Overview of the financial statements

6. The statements present the financial results of peacekeeping operations, comprising 11 active peacekeeping operations, 35 closed missions and 6 groups of support activities, and the financial position as at 30 June 2024. Two active peacekeeping missions, namely, UNMOGIP and UNTSO, funded through the regular budget, are consolidated as part of the United Nations volume I financial statements.

Liquidity

7. Liquidity assessments review the adequacy of cash assets at a mission's disposal to settle its short-term obligations. Cash assets comprise cash, cash equivalents and cash pool investments, both current and long-term.

8. The Organization continues to manage the cash resources of active peacekeeping missions as a pool on a trial basis for a further five years pursuant to General Assembly resolution [76/272](#), adopted in June 2022, in addition to using the Peacekeeping Reserve Fund as a liquidity mechanism for up to \$110 million, retaining at least \$40 million in the Fund for the start-up or expansion of mandated peacekeeping operations.

9. Table IV.1 presents a summary of the ratio of cash assets to current liabilities for active peacekeeping missions as a measure of liquidity. It shows the liquidity of active missions, compared with the previous year. The total cash balance of active peacekeeping operations was at a very low level throughout 2023/24. On 30 June 2024, active peacekeeping missions ended the financial period with a cash position of \$645.2 million (including MINUSMA of \$191.8 million), owing primarily to the receipt of \$439 million on the last working day of the financial period.

10. In addition, cash loans provided by the Peacekeeping Reserve Fund to active peacekeeping operations, totalling \$105.2 million, inflated the cash position of those operations. Without the late receipts and the Fund loans, active peacekeeping operations would have had an amount of \$101 million in cash, representing less than two weeks of operating cash flow for active missions. Furthermore, owing to the late receipt of contributions noted above, payments for contingent-owned equipment due to troop- and police-contributing countries, amounting to more than \$169 million, could not be paid before 30 June. Those liabilities were subsequently settled in the next quarter.

11. In 2023/24, the total cash balance of all active peacekeeping operations reached historically low levels, which led to the full utilization of the allowable reserve under the Peacekeeping Reserve Fund, and cross-borrowing between active missions was \$201.4 million by June 2024. Without such cross-borrowing, peacekeeping operations might have been seriously affected.

12. During the 2023/24 period, there was a deterioration in the availability of cash for active peacekeeping operations. The situation was exacerbated because MINUSMA, entering its liquidation phase, was excluded from the cash pooling for active missions. MINURSO, UNMIK, UNSOS and UNMISS continuously faced cash crises during the year and MINUSCA faced serious liquidity issues at the end of June 2024 and borrowed from MONUSCO, UNISFA and UNIFIL.

13. The loans payable as at 30 June 2024 in MINURSO, UNMIK, UNSOS, MINUSCA and UNMISS were \$11.8 million, \$31.5 million, \$74.5 million, \$53.7 million and \$135.1 million, respectively, to bring the total outstanding cross-borrowing to \$306.6 million, which included \$105.2 million in loans from the Peacekeeping Reserve Fund (2022/23: \$318.9 million).

14. For the cash assets position shown in table IV.1, the cash figures include the loan amounts as described in paragraph 13 above.

Table IV.1

Ratio of liquid assets to current liabilities as at 30 June 2024: active missions

(Millions of United States dollars)

	<i>Cash assets^a</i>	<i>Current liabilities</i>	<i>Ratio of liquid assets to current liabilities</i>	
			<i>30 June 2024</i>	<i>30 June 2023</i>
UNFICYP	4.6	11.1	0.41	0.90
UNDOF	8.4	19.3	0.44	0.96
UNIFIL	27.6	216.3	0.13	0.29
MINURSO	2.6	23.2	0.11	0.26
UNMIK	1.4	37.3	0.04	0.03
MONUSCO	98.1	349.9	0.28	0.30
UNSOS	36.5	222.5	0.16	0.10
UNISFA	11.2	91.6	0.12	0.10
UNMISS	83.6	386.3	0.22	0.12
MINUSMA	191.8	426.7	0.45	0.18
MINUSCA	179.4	376.0	0.48	0.30
Total	645.2	2 160.2	0.30	0.21

^a Cash assets = cash and cash equivalents plus investments.

15. With respect to the support activities segment,⁴⁵ the ratio of cash assets to current liabilities decreased to 2.43 as at 30 June 2024 (2022/23: 3.45). While cash assets remained relatively constant at \$286.9 million in 2023/24 (2022/23: \$286.3 million), current liabilities increased to \$118.0 million in 2023/24 (2022/23: \$83.0 million).

Net assets

16. Net assets of \$35.3 million as at 30 June 2024 consisted of an accumulated deficit of \$222.3 million, a restricted accumulated surplus of \$111.4 million and reserves of \$146.2 million. Net assets decreased in 2023/24 by \$477.1 million (93.1 per cent decrease), from \$512.4 million as at 30 June 2023. The decrease was due to a deficit in operations of \$541.9 million for the period, offset in part by an actuarial gain of \$57.3 million on employee benefits liabilities. The deficit in operations was attributable mainly to the MINUSMA liquidation, with assessed contributions in 2024 reducing by \$197.5 million and fixed-asset and inventory write-off increasing by \$153.1 million and \$30.8 million, respectively. In addition, a loss allowance of \$93.2 million was made for the outstanding assessed contributions for UNAMID since its closure two years ago in line with existing policy. On 1 July 2023, with the implementation of IPSAS 41, cash pool investments were reclassified from fair value through surplus/deficit financial assets at fair value through surplus or deficit to fair value through net asset/equity. Consequently, the fair value loss on investments of \$3.75 million was classified as reserves within net assets, thus reducing the reserve balance from \$150 million in 2022/23 to \$146.2 million in 2023/24.

⁴⁵ The following funds are included in the calculation: support account for peacekeeping operations, United Nations Logistics Base/strategic deployment stocks/refurbishment and reuse of returned equipment, Regional Service Centre in Entebbe, employee benefits funds and the peacekeeping cost-recovery fund.

Assets

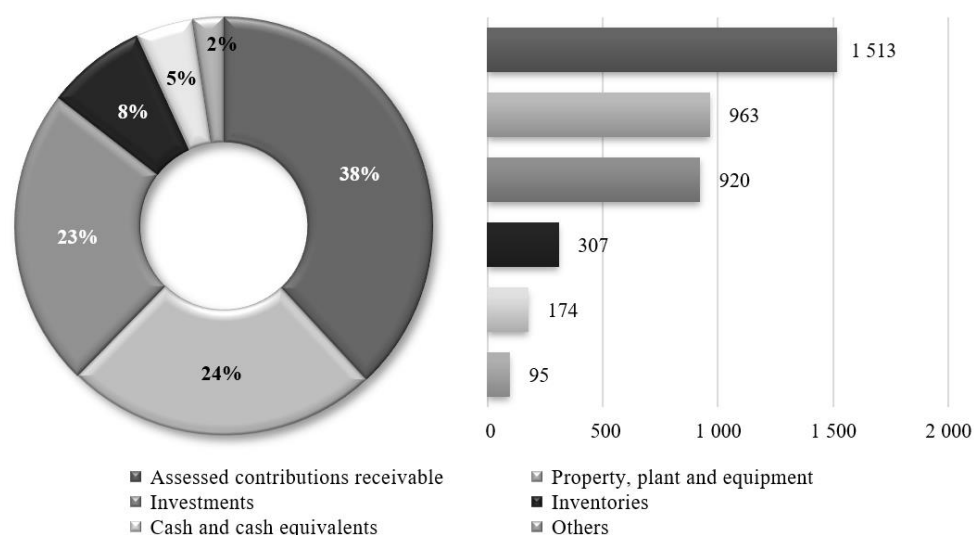
17. The total assets of peacekeeping operations decreased by \$457.7 million in 2023/24 (10.3 per cent decrease), from \$4,429.9 million in 2022/23 to \$3,972.2 million in 2023/24. Assessed contributions receivable decreased by \$313.4 million (17.2 per cent decrease), from \$1,826.6 million in 2022/23 to \$1,513.2 million in 2023/24. Property, plant and equipment decreased by \$198.1 million (17.1 per cent decrease), from \$1,161.0 million in 2022/23 to \$962.9 million in 2023/24. Inventories decreased by \$51.7 million (14.4 per cent decrease), from \$358.5 million in 2022/23 to \$306.8 million in 2023/24. Cash and cash equivalents decreased by \$31.4 million (15.3 per cent decrease), from \$205.7 million in 2022/23 to \$174.3 million in 2023/24. The decreases were offset in part by an increase in investments of \$163.2 million (21.6 per cent increase), from \$757.2 million in 2022/23 to \$920.4 million in 2023/24.

18. Figure IV.I presents the structure of the assets of peacekeeping operations totalling \$3,972.2 million as at 30 June 2024. The assets comprised mainly assessed contributions receivable of \$1,513.2 million (38.1 per cent), property, plant and equipment of \$962.9 million (24.2 per cent), and investments of \$920.4 million (23.2 per cent).

Figure IV.I

Assets of peacekeeping operations as at 30 June 2024

(Millions of United States dollars and percentage)



Property, plant and equipment

19. Property, plant and equipment decreased by \$198.1 million (17.1 per cent decrease), from \$1,161.0 million in 2022/23 to \$962.9 million in 2023/24, owing mainly to a reduction of \$153.1 million relating to the liquidation of MINUSMA. Figure IV.II presents the composition of peacekeeping operations' property, plant and equipment by asset class and figure IV.III presents the composition by active mission.

Figure IV.II
Property, plant and equipment
 (Millions of United States dollars and percentage)

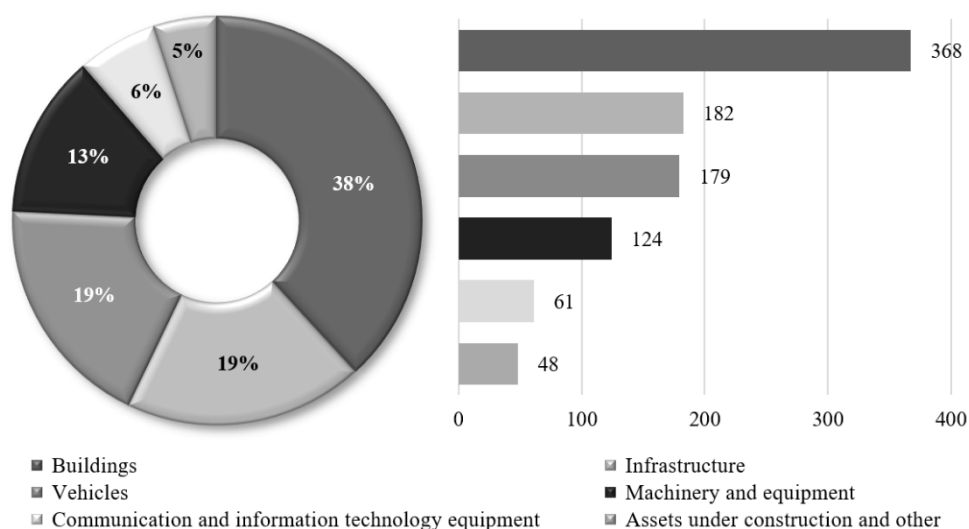
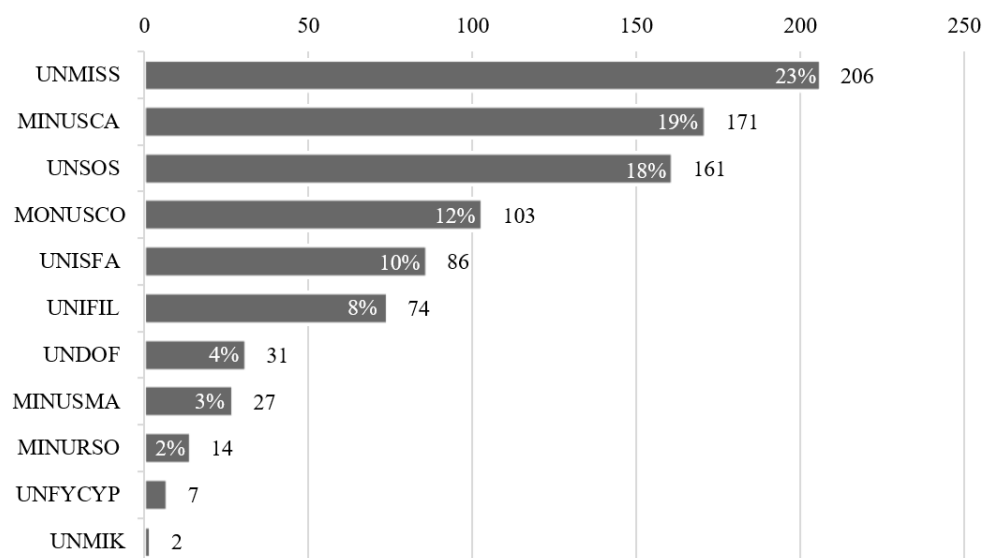


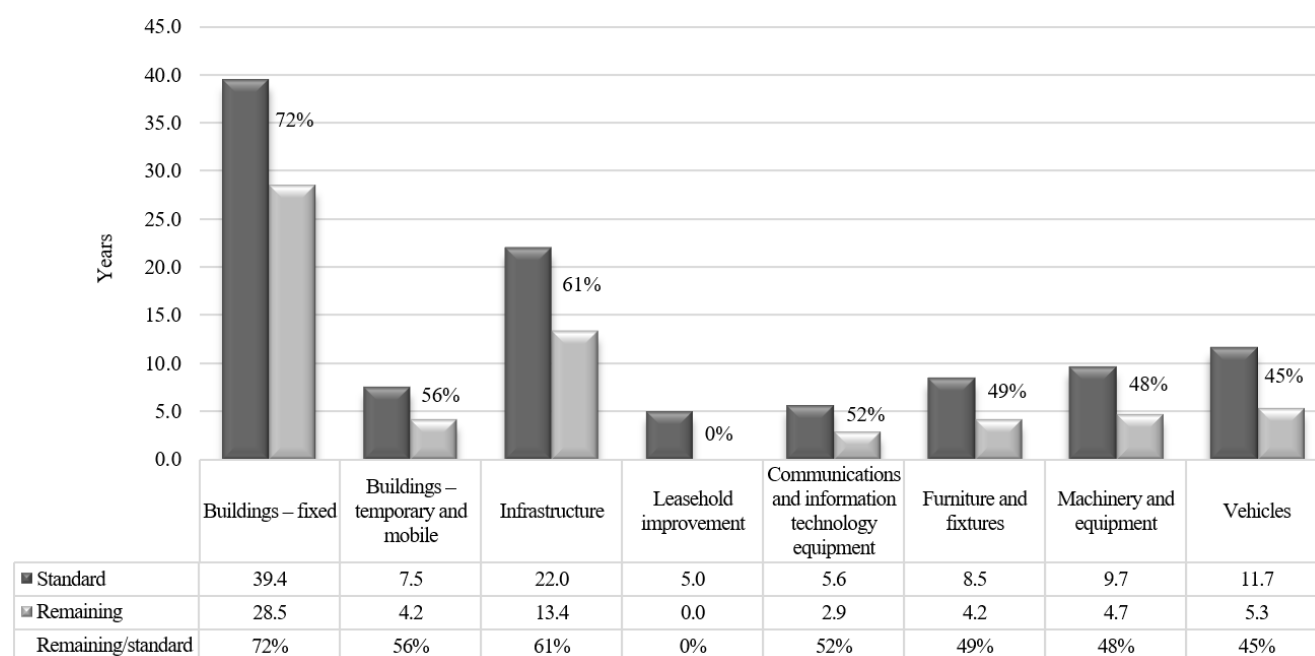
Figure IV.III
Property, plant and equipment by active mission
 (Millions of United States dollars and percentage)



20. The remaining years of useful life as a percentage of the standard useful life of asset classes are shown in figure IV.IV. The average remaining useful life of furniture and fixtures decreased from 60 to 49 per cent and of vehicles from 60 to 45 per cent compared with the previous year, indicating increased ageing within these asset classes.

Figure IV.IV
Average remaining useful life of property, plant and equipment

(Years and percentage)



Inventory

21. Inventory holding levels decreased in 2023/24 by \$51.7 million (14.4 per cent decrease) to \$306.8 million in 2023/2024, owing mainly to a net reduction of \$61.7 million from the MINUSMA liquidation, of which \$30.8 million was due to inventories being written off. This was offset in part by inventory increases in MINUSCA, the United Nations Global Service Centre, UNIFIL and UNMISS totalling \$17.0 million.

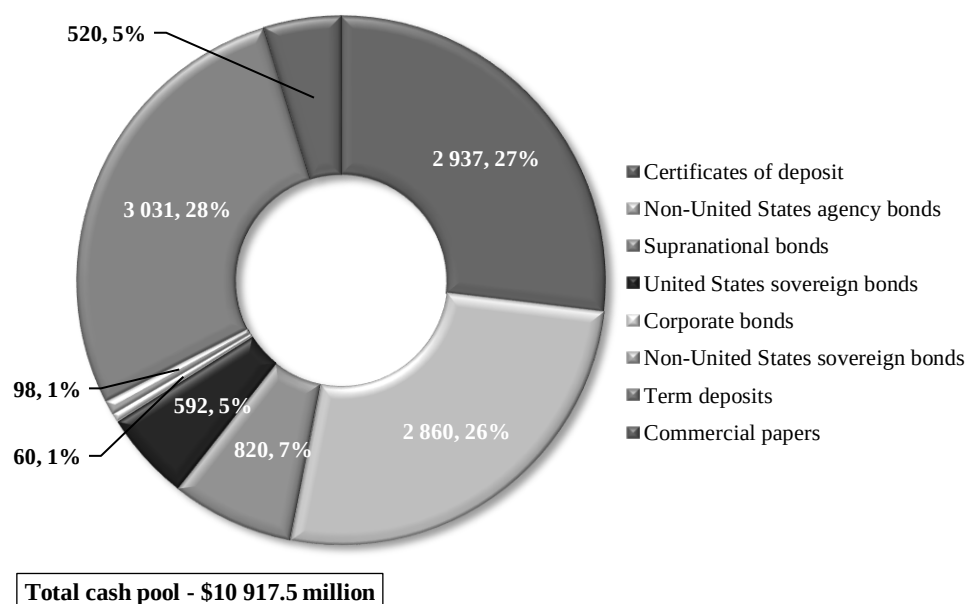
Cash, cash equivalents and investments

22. As at 30 June 2024, peacekeeping operations held cash, cash equivalents and investments of \$1,094.6 million, which was \$131.8 million more (13.7 per cent increase) than the balance held at the end of the 2022/23 period.

23. The main cash pool consisted of investments in certificates of deposit, liquid bonds (issued by Governments and government agencies), term deposits and commercial papers (see figure IV.V). The investments were presented at fair value with the relevant unrealized gains or losses recorded in the statement of changes in net assets. In 2023/24, peacekeeping operations' share of investment revenue was \$91.7 million (2022/23: \$68.4 million). As at 30 June 2024, cash pool investments totalled \$10,917.5 million, of which the share of peacekeeping operations was 9.9 per cent.

Figure IV.V
Main cash pool investments by instrument type

(Millions of United States dollars and percentage)



24. The Organization's exposure to credit risks, liquidity risks and market risks with respect to its investment portfolios is considered low.

Status of assessed contributions receivable

25. Assessed contributions receivable decreased by \$313.4 million (17.2 per cent decrease), from \$1,826.6 million as at 30 June 2023 to \$1,513.2 million as at 30 June 2024, owing mainly to the receipt of \$232.2 million that was used to clear long-outstanding balances and an additional loss allowance of \$93.2 million recorded for UNAMID two years after the completion of its liquidation. Table IV.2 illustrates the status of unpaid assessments and figure IV.VI shows the trend in unpaid assessments.

Table IV.2
Assessed contributions receivable

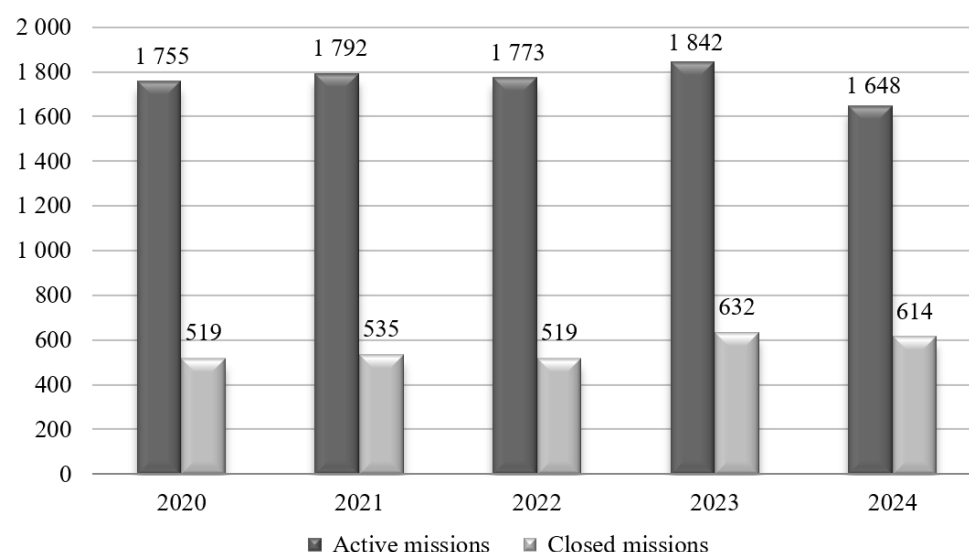
(Millions of United States dollars and percentage)

	30 June 2024	30 June 2023	Percentage increase/(decrease)
Active missions			
Assessed contributions receivable	1 648.3	1 842.2	(10.5)
Loss allowance	(135.1)	(123.4)	9.5
Closed missions			
Assessed contributions receivable	613.5	631.8	(2.9)
Loss allowance	(613.5)	(524.0)	17.1
Total	1 513.2	1 826.6	(17.2)

Figure IV.VI

Trend in assessed contributions receivable for missions, before loss allowance

(Millions of United States dollars, as at 30 June each year)

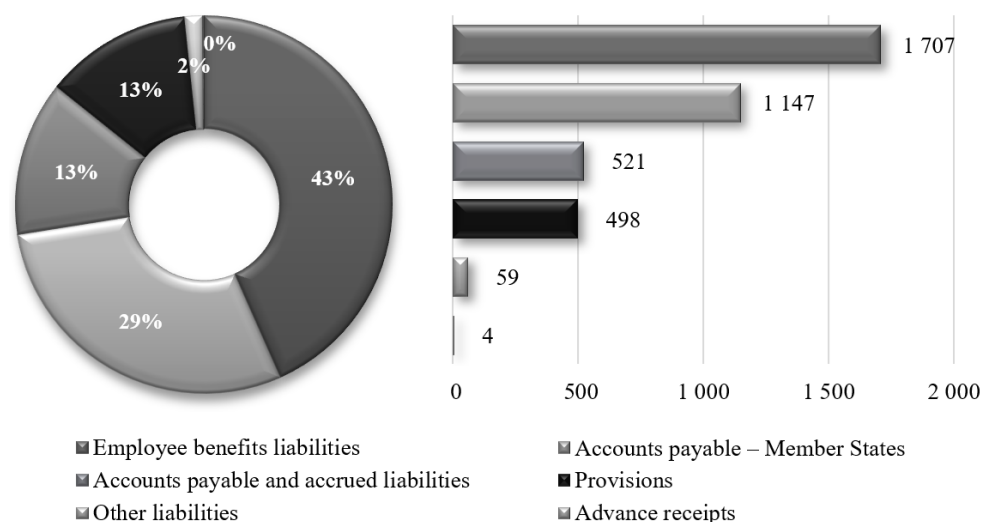
**Liabilities**

26. The total liabilities of peacekeeping operations increased by \$19.4 million (0.5 per cent increase), from \$3,917.5 million as at 30 June 2023 to \$3,936.9 million as at 30 June 2024. The most notable changes were an increase in provisions by \$94.1 million (23.3 per cent increase), from \$404.3 million to \$498.4 million, resulting mainly from an increase in credit returns to Member States. The accounts payable to Member States increased by \$105.2 million (10.1 per cent increase), to \$1,146.8 million (2022/23: \$1,041.6 million). The increase was offset by a decrease in accounts payable and accrued liabilities by \$154.1 million (22.8 per cent decrease), to \$521.1 million (2022/23: \$675.2 million), resulting in a net decrease of \$48.9 million (12.7 per cent decrease) in accounts payable. The employee benefits liabilities increased by \$30.3 million (1.8 per cent increase), to \$1,707.0 million (2022/23: \$1,676.7 million). Advance receipts were \$56.2 million lower (93.1 per cent decrease), at \$4.1 million (2022/23: \$60.3 million).

27. Figure IV.VII presents the structure of peacekeeping operations' liabilities as at 30 June 2024. The liabilities comprised mainly employee benefits liabilities of \$1,707.0 million, accounts payable to Member States of \$1,146.8 million, accounts payable and accrued liabilities of \$521.1 million, and provisions, other liabilities and advance receipts of \$562.0 million.

Figure IV.VII
Liabilities as at 30 June 2024

(Millions of United States dollars and percentage)

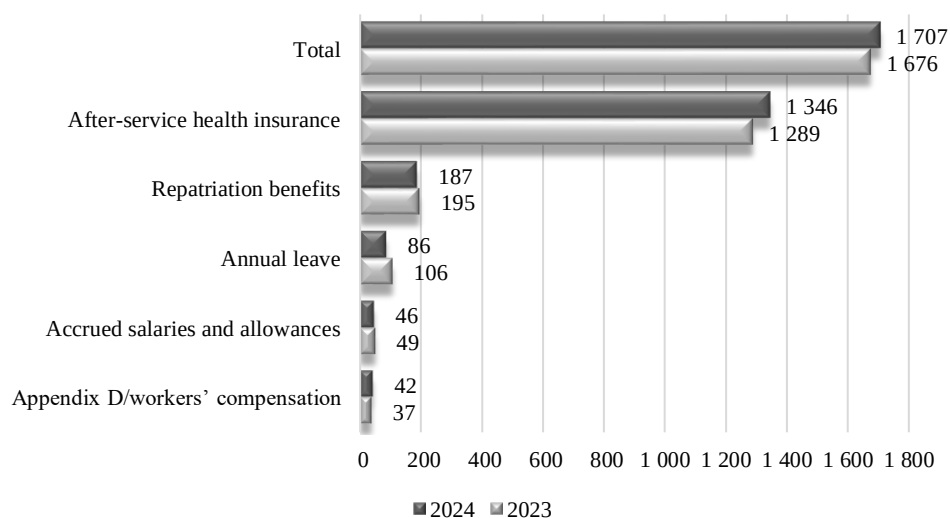


Employee benefits liabilities

28. Employee benefits liabilities, as depicted in figure IV.VIII, consisted largely of liabilities related to after-service health insurance of \$1,346.3 million (78.9 per cent), repatriation benefits of \$186.6 million (11.0 per cent) and annual leave benefits of \$85.8 million (5.0 per cent). Those liabilities were valued by independent actuaries. The increase in liabilities from the prior year is attributed mainly to an increase in the medical inflation rates and per capita claims cost, which was offset in part by increases in the discount rates and changes in the experience as a result of the drawdown of mission personnel.

Figure IV.VIII
Employee benefits liabilities

(Millions of United States dollars)



29. Employee benefits for after-service health insurance, annual leave and repatriation benefits continue to be accounted for on the pay-as-you-go basis pursuant to the General Assembly resolution 73/279 B. The Organization continues to explore options to fund these liabilities.

Accounts payable and accrued liabilities

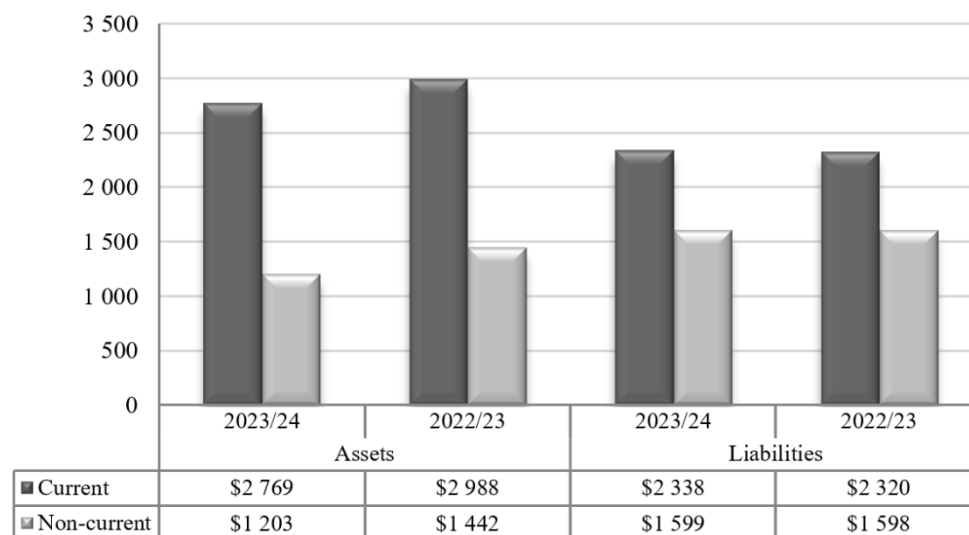
30. Accounts payable to Member States increased by \$105.2 million (10.1 per cent increase), from \$1,041.6 million as at 30 June 2023 to \$1,146.8 million as at 30 June 2024. The increase was related primarily to Member States: accruals of \$88.4 million and credits returnable of \$32.8 million. The increase was offset by a decrease in accounts payable and in accrued liabilities of \$154.1 million (22.8 per cent decrease), from \$675.2 million to \$521.1 million, caused mainly by a reduction in payables relating to goods receipts of \$152.1 million. Accounts payable and accrued liabilities consisted mainly of accruals for goods and services of \$323.2 million (2022/23: \$482.9 million) and vendor payables of \$162.3 million (2022/23: \$161.8 million).

31. Figure IV.IX presents the structure of peacekeeping operations accounts by current and non-current assets and liabilities as at 30 June 2024 and 30 June 2023.

Figure IV.IX

Assets and liabilities: current and non-current

(Millions of United States dollars)



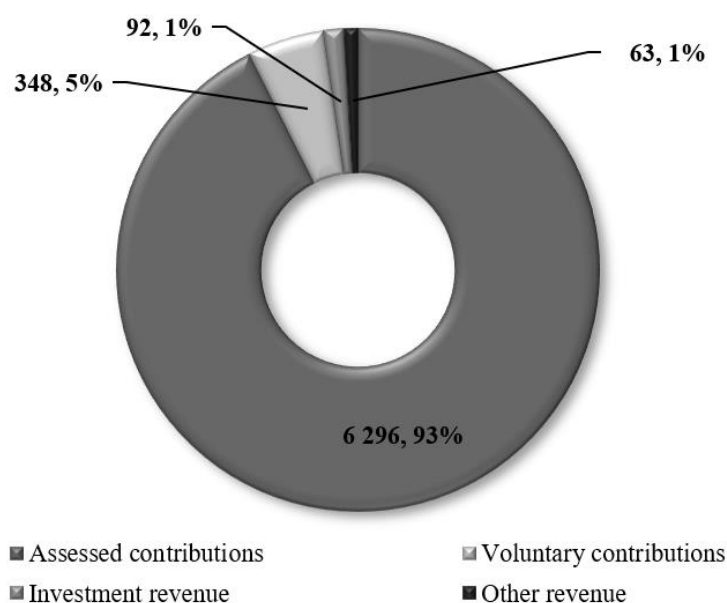
Financial performance

Revenue analysis

32. The total revenue of peacekeeping operations for the 2023/24 period was \$6,799.2 million (2022/23: \$6,989.7 million), compared with total expenses of \$7,341.1 million, resulting in an excess of total expenses over total revenue of \$541.9 million. The net decrease in revenue of \$190.4 million was attributable mainly to a decrease in assessed contributions of \$197.5 million (3.0 per cent decrease) and an increase in investment revenue of \$23.9 million. Figure IV.X provides an analysis of revenue by nature.

Figure IV.X
Revenue by nature

(Millions of United States dollars and percentage)



Assessed contributions revenue

33. Assessed contributions of \$6,296.4 million accounted for 92.6 per cent of the total revenue for peacekeeping operations for the 2023/24 period (2022/23: 92.9 per cent). Assessed contributions are based on a scale of assessments applicable to peacekeeping operations, which is approved by the General Assembly.

34. Assessed contributions decreased by \$197.5 million (3.0 per cent decrease), from \$6,493.9 million in 2022/23 to \$6,296.4 million in 2023/24. This is due mainly to the closing of MINUSMA, for which assessed contributions decreased by \$477.2 million (35.5 per cent decrease), from \$1,344.1 million in 2022/23 to \$866.9 million in 2023/24. The decrease in assessed revenue was offset in part by an increase in assessed revenue for MINUSCA, MONUSCO UNMISS and UNIFIL by \$100.2 million, \$58.6 million, \$53.2 million and \$46.7 million, respectively. Table IV.3 presents the status of assessments for active missions.

Table IV.3
Assessments

(Millions of United States dollars and percentage)

	2023/24	2022/23	Percentage increase/(decrease)
UNFICYP	35.4	33.1	6.9
UNDOF	75.6	70.2	7.7
UNIFIL	585.9	539.2	8.7
MINURSO	71.0	65.4	8.6
UNMIK	44.3	45.0	(1.6)
MONUSCO	1 170.8	1 112.2	5.3
UNSOS	606.8	563.2	7.7
UNISFA	315.9	351.1	(10.0)

	2023/24	2022/23	Percentage increase/(decrease)
UNMISS	1 263.7	1 210.5	4.4
MINUSMA	866.9	1 344.1	(35.5)
MINUSCA	1 260.1	1 159.9	8.6
Total	6 296.4	6 493.9	(3.0)

Voluntary contributions

35. Voluntary contributions, as shown in table IV.4, increased by \$11.6 million (3.4 per cent increase), from \$336.3 million in 2022/23 to \$347.9 million in 2023/24, owing mainly to an increase of \$12.1 million recognized under facilities (4.1 per cent increase), from \$295.8 million in 2022/23 to \$307.9 million in 2023/24.

Table IV.4

Voluntary contributions

(Millions of United States dollars and percentage)

	2023/24	2022/23	Percentage increase/(decrease)
Monetary	25.9	24.8	4.6
Goods and rights-to-use			
Facilities	307.9	295.8	4.1
Landing rights	13.4	15.2	(12.0)
Others	0.7	0.5	43.5
Total	347.9	336.3	3.4

Other revenue

36. Other revenue decreased by \$28.4 million (31.9 per cent decrease), from \$89.1 million in 2022/23 to \$60.7 million in 2023/24. The change was attributable mainly to a decrease in revenue generated from cost recovery of \$39.0 million (48.3 per cent decrease), from \$80.7 million in 2022/23 to \$41.7 million in 2023/24, owing primarily to the closing of MINUSMA. The decrease was offset in part by a \$9.9 million increase in revenue from the sale of equipment and inventory, from \$2.0 million in 2022/23 to \$11.9 million in 2023/24.

Expense analysis

37. Total expenses increased by \$114.4 million (1.6 per cent increase), from \$7,226.7 million in 2022/23 to \$7,341.1 million in 2023/24. The increase in expenses was attributable to other operating expenses (increase of \$247.7 million), owing mainly to fixed-asset write-offs (\$152.6 million) and an increase in loss allowance (\$78.7 million), employee salaries (increase of \$34.4 million) and other expenses (increase of \$29.3 million). The increase in the expense lines was offset in part by decreases in credits to Member States (decrease of \$ 66.0 million), contingent services (decrease of \$65.4 million), supplies and consumables (decrease of \$29.8 million) non-employee compensation (decrease of \$23.7 million) and depreciation, amortization and impairment (decrease of \$8.7 million).

38. Figures IV.XI and IV.XII highlight expenses by nature, indicating that there was little change in the composition of expenses. Contingent contracted services accounted for 30 per cent (32 per cent in 2022/23) of total expenses, followed by

employee salaries, allowances and benefits at 24 per cent (24 per cent in 2022/23) and other operating expenses at 24 per cent (21 per cent in 2022/23).

Figure IV.XI

Expenses by nature

(Millions of United States dollars and percentage)

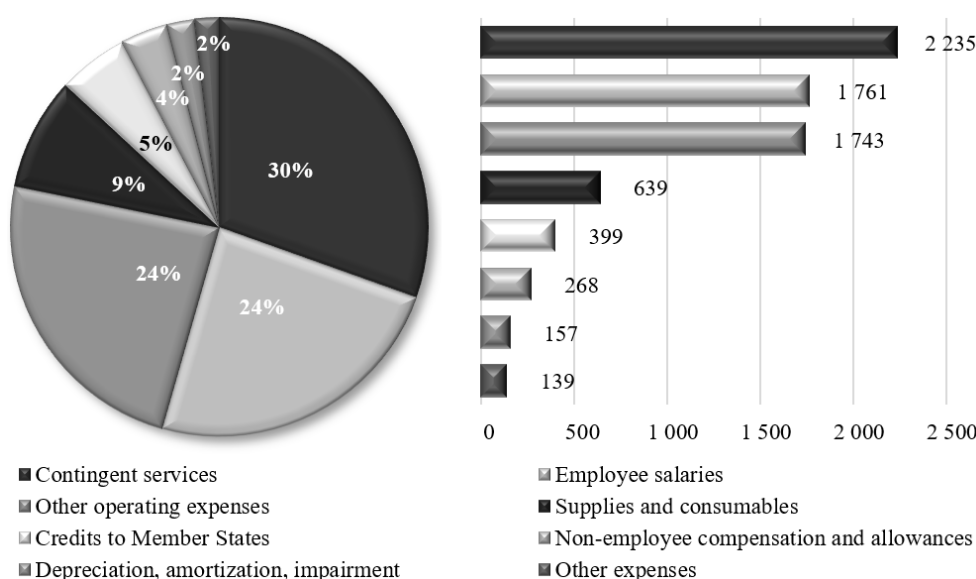
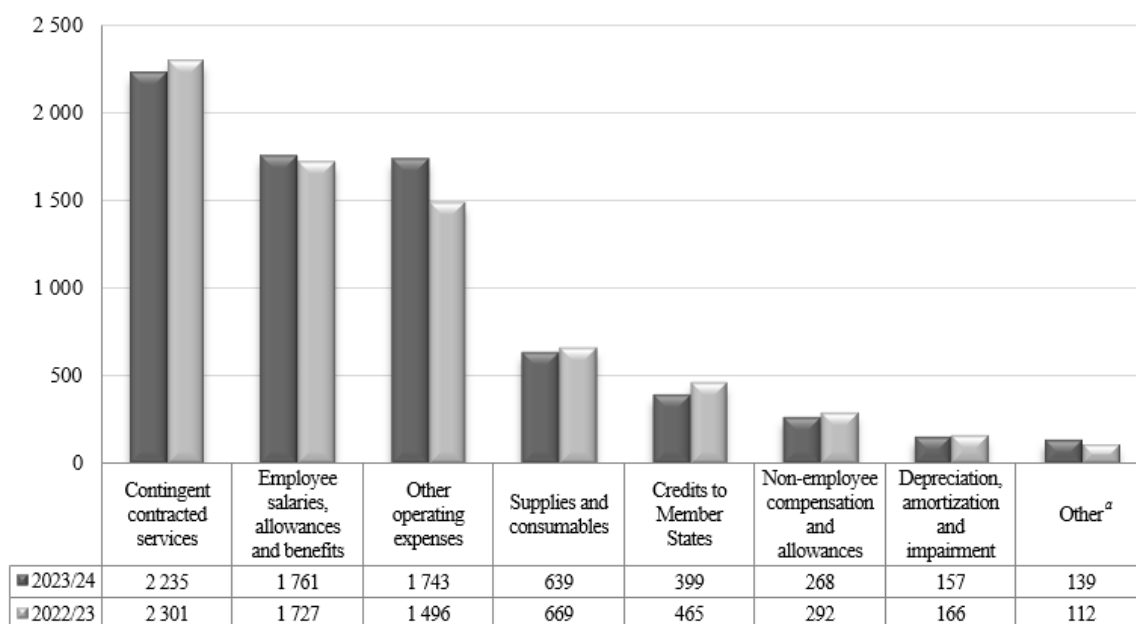


Figure IV.XII

Changes in expenses by nature

(Millions of United States dollars)

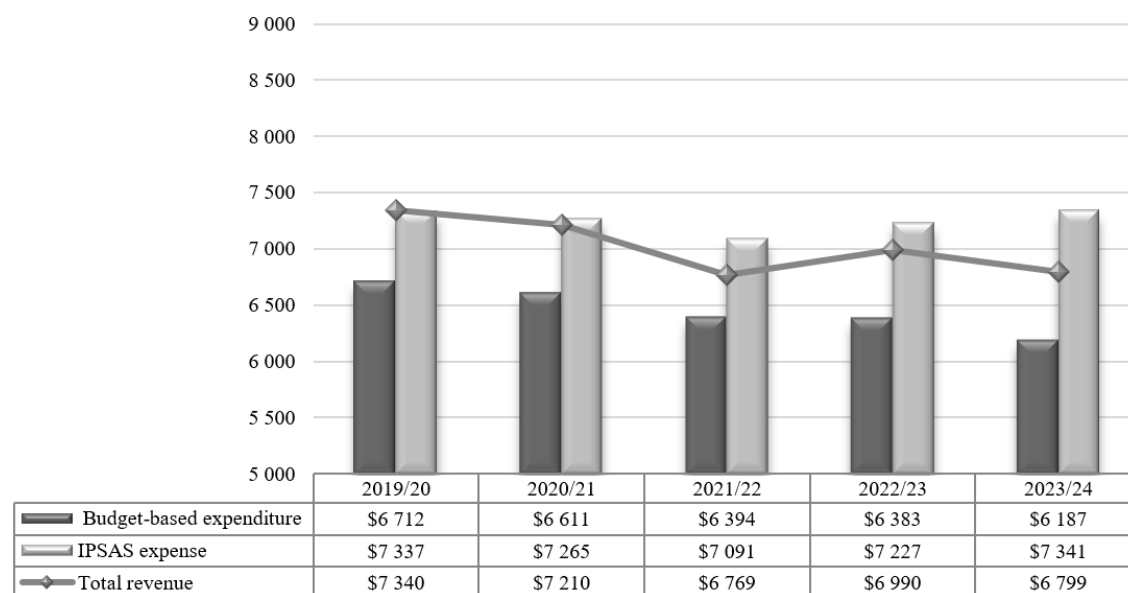


^a For the purposes of this chart, "Other" includes grants and other transfers (2023/24: \$67.5 million and 2022/23: \$82.5 million), travel (2023/24: \$37.6 million and 2022/23: \$26.8 million), self-insurance claims and expenses (2023/24: \$3.1 million and 2022/23: \$2.3 million), and other expenses (2023/24: \$29.6 million and 2022/23: \$0.3 million).

39. Figure IV.XIII illustrates the trend in expenses (on an accrual basis) of peacekeeping operations (IPSAS expense) for the fiscal period 2023/24 and four preceding periods, including in comparison with budget-based expenditure (on a modified cash basis), as well as total revenue over the same period.

Figure IV.XIII
Trend of expenses

(Millions of United States dollars)



D. Peacekeeping operations budgets

40. Peacekeeping operations budgets continue to be prepared on a modified cash basis and are presented in statement V. Approved budgets are those that authorize expenditure to be incurred and are approved by the General Assembly. For IPSAS reporting purposes, approved budgets are the appropriations authorized under Assembly resolutions and the commitment authorities approved by the Advisory Committee on Administrative and Budgetary Questions. The Assembly resolutions are shown in note 5. Annex II to the financial statements further provides the comparison of budget and actual amounts on the budget basis for each peacekeeping operation.

E. Closure of the United Nations Multidimensional Integrated Stabilization Mission in Mali

41. In its resolution [2690 \(2023\)](#) dated 30 June 2023, the Security Council decided to terminate the mandate of MINUSMA and requested the Mission to start, on 1 July 2023, the cessation of its operations.

42. Following the adoption by the Security Council of resolution [2690 \(2023\)](#), MINUSMA prioritized the discontinuation of its substantive activities, the transfer of its tasks and the planning of the drawdown, withdrawal and start of the liquidation in line with the parameters prescribed by the Council.

43. During the period, the Mission, supported by the Regional Service Centre, the United Nations Logistics Base and United Nations Headquarters, undertook the following:

(a) Closed 11 camps (Timbuktu, Ber, Goundam, Mopti, Douentza, Ogossagou, Ménaka, Ansongo, Kidal, Tessalit and Aguelhok) and performed environmental remediation activities;

(b) Implemented a staged drawdown of uniformed personnel and movement of the contingent-owned equipment in line with the MINUSMA site closure schedule, moving uniformed personnel and equipment to the logistical hubs and then repatriating the personnel to their home countries;

(c) Separated all civilian personnel not required in the liquidation team;

(d) Initiated the process of the disposal of assets (property, plant and equipment, as well as inventory) in accordance with the provisions of the Financial Regulations and Rules, including through a request to the General Assembly for prior approval to contribute, free of charge, infrastructure assets that had been installed in the country and that, if dismantled, would set back the rehabilitation of Mali (see [A/78/763](#)).

44. At the time of finalization of the present report, the liquidation process was ongoing.

Chapter V

Financial statements for the year ended 30 June 2024

I. Statement of financial position as at 30 June 2024

(Thousands of United States dollars)

	<i>Note</i>	<i>30 June 2024</i>	<i>30 June 2023</i>
Assets			
Current assets			
Cash and cash equivalents	6	174 299	205 672
Investments	22	681 940	478 702
Assessed contributions receivable	7	1 513 175	1 826 575
Other receivables	9	31 380	50 814
Inventories	10	306 794	358 503
Other assets	11	61 153	67 863
Total current assets		2 768 741	2 988 129
Non-current assets			
Investments	22	238 417	278 458
Property, plant and equipment	12	962 910	1 160 982
Intangible assets	13	2 121	2 312
Total non-current assets		1 203 448	1 441 752
Total assets		3 972 189	4 429 881
Current liabilities			
Accounts payable – Member States	14	1 146 828	1 041 618
Accounts payable and accrued liabilities	14	521 105	675 224
Advance receipts	15	4 138	60 312
Employee benefits liabilities	16	107 817	78 903
Provisions	17	498 416	404 347
Other liabilities	18	59 405	59 309
Total, current liabilities		2 337 709	2 319 713
Non-current liabilities			
Employee benefits liabilities	16	1 599 193	1 597 811
Total, non-current liabilities		1 599 193	1 597 811
Total liabilities		3 936 902	3 917 524
Net of total assets and total liabilities		35 287	512 357
Net assets			
Accumulated (deficits)/surpluses – unrestricted	19	(222 341)	250 984
Accumulated surpluses – restricted	19	111 373	111 373
Reserves	20	146 255	150 000
Total net assets		35 287	512 357

The accompanying notes to the financial statements are an integral part of these financial statements.

II. Statement of financial performance for the year ended 30 June 2024

(Thousands of United States dollars)

	<i>Note</i>	<i>2023/24</i>	<i>2022/23</i>
Revenue			
Assessed contributions	21	6 296 373	6 493 937
Voluntary contributions	21	347 854	336 258
Investment revenue	22	92 106	68 194
Other transfers and allocations	21	2 129	2 141
Other revenue	21	60 704	89 146
Total revenue		6 799 166	6 989 676
Expenses			
Employee salaries, allowances and benefits	23	1 761 196	1 726 770
Contingent contracted services	23	2 235 277	2 300 707
Non-employee compensation and allowances	23	267 852	291 545
Grants and other transfers	23	67 493	82 501
Supplies and consumables	23	639 307	669 079
Depreciation	12	156 324	165 260
Amortization	13	435	460
Impairment		248	—
Travel	23	37 613	26 801
Self-insurance claims and expenses	23	3 113	2 311
Other operating expenses	23	1 743 179	1 495 509
Other expenses	23	29 626	343
Credits to Member States	24	399 388	465 378
Total expenses		7 341 051	7 226 664
Deficit for the year		(541 885)	(236 988)

The accompanying notes to the financial statements are an integral part of these financial statements.

III. Statement of changes in net assets for the year ended 30 June 2024

(Thousands of United States dollars)

	<i>Accumulated surpluses/(deficits) – unrestricted</i>	<i>Accumulated surpluses – restricted</i>	<i>Reserves</i>	<i>Total</i>
Net assets as at 1 July 2022	464 166	111 373	150 000	725 539
Changes in net assets				
Actuarial gain on employee benefits liabilities	23 806	–	–	23 806
Deficit for the year ended 30 June 2023	(236 988)	–	–	(236 988)
Net assets as at 30 June 2023	250 984	111 373	150 000	512 357
Impact of IPSAS 41 adoption	(1 684)	–	–	(1 684)
Fair value transferred to reserves	12 932	–	(12 932)	–
Net assets as at 1 July 2023	262 232	111 373	137 068	510 673
Changes in net assets				
Actuarial gain on employee benefits liabilities ^a	57 312	–	–	57 312
Fair value gain recognized directly in net assets	–	–	9 187	9 187
Deficit for the year ended 30 June 2024	(541 885)	–	–	(541 885)
Net assets as at 30 June 2024	(222 341)	111 373	146 255	35 287

^a Actuarial gain of \$58.493 million for defined benefit liabilities (see note 16) and actuarial loss of \$1.181 million for workers' compensation.

The accompanying notes to the financial statements are an integral part of these financial statements.

IV. Statement of cash flows for the year ended 30 June 2024

(Thousands of United States dollars)

	<i>Note</i>	<i>2023/24</i>	<i>2022/23</i>
Cash flows from operating activities			
(Deficit) for the year		(541 885)	(236 988)
<i>Non-cash movements</i>			
Depreciation and amortization	12, 13	156 759	165 720
Impairment of property, plant and equipment	12	51	–
Actuarial gain on employee benefits liabilities		57 312	23 806
Net loss on disposal of property, plant and equipment	12, 13	158 280	18 517
Transfers, donations of assets and other additions	12, 13	(19 563)	(5 805)
Fair value gain on revaluation of investments recognized directly in net assets	22	9 187	–
Opening balance adjustment to net asset (IPSAS 41 adoption)	2	(1 684)	–
<i>Changes in assets</i>			
(Increase)/decrease in assessed contributions receivable	7	313 400	(175 577)
(Increase)/decrease in other receivables	9	19 434	(5 030)
(Increase)/decrease in inventories	10	51 709	(28 846)
(Increase)/decrease in other assets	11	6 710	(24 528)
<i>Changes in liabilities</i>			
Increase/(decrease) in accounts payable – Member States	14	105 210	(109 508)
Increase/(decrease) in accounts payable – other	14	(154 119)	123 924
Increase/(decrease) in advance receipts	15	(56 174)	(282 888)
Increase/(decrease) in employee benefits liabilities	16	30 296	47 001
Increase/(decrease) in provisions	17	94 069	124 249
Increase/(decrease) in other liabilities	18	96	67
Investment revenue presented as investing activities	22	(92 106)	(68 194)
Net cash flows from/(to) operating activities		136 982	(434 080)
Cash flows from investing activities			
Pro rata share of net decrease/(increase) in cash pool		(163 197)	471 574
Investment revenue presented as investing activities	22	92 106	68 194
Acquisition of property, plant and equipment	12	(100 486)	(173 696)
Proceeds from disposal of property, plant and equipment		3 466	1 096
Investment in intangible assets	13	(244)	(240)
Net cash flows from/(to) investing activities		(168 355)	366 928
Net (decrease) in cash and cash equivalents		(31 373)	(67 152)
Cash and cash equivalents – beginning of year		205 672	272 824
Cash and cash equivalents – end of year	6	174 299	205 672

The accompanying notes to the financial statements are an integral part of these financial statements.

V. Statement of comparison of budget and actual amounts for the year ended 30 June 2024

(Thousands of United States dollars)

	Budget		Actual revenue/ expenditure budget basis	Difference – original and final budget (percentage)	Difference – final budget and actual ^a (percentage)
Appropriated activities	Original	Final			
Revenue					
Assessed contributions	6 019 507	6 311 824	6 296 373	4.86	(0.24)
Voluntary contributions, budgeted	26 614	26 614	26 474	–	(0.53)
Allocations from other funds	2 129	2 129	2 129	–	
Total revenue	6 048 250	6 340 567	6 324 976	4.83	(0.25)
Expenditure					
Active missions ^b					
UNFICYP	61 467	61 467	61 323	–	(0.23)
UNDOF	75 580	75 580	73 176	–	(3.18)
UNIFIL	585 940	585 940	560 105	–	(4.41)
MINURSO	71 533	71 533	71 049	–	(0.68)
UNMIK	44 343	44 343	44 305	–	(0.09)
MONUSCO	1 170 774	1 170 774	1 106 780	–	(5.47)
UNSOS	606 742	606 742	588 127	–	(3.07)
UNISFA	315 939	315 939	315 830	–	(0.03)
UNMISS ^c	1 263 704	1 279 156	1 269 782	1.22	(0.73)
MINUSMA ^c	590 000	866 866	833 810	46.93	(3.81)
MINUSCA	1 260 099	1 260 099	1 257 522	–	(0.20)
Total active missions	6 046 121	6 338 439	6 181 809	4.83	(2.47)
Less: prorated costs of support account	(383 122)	(383 122)	(383 122)	–	–
Less: prorated costs of United Nations Logistics Base – other activities	(65 731)	(65 731)	(65 731)	–	–
Less: prorated costs of Regional Service Centre	(40 896)	(40 896)	(40 896)	–	–
Total active missions, excluding prorated costs	5 556 372	5 848 690	5 692 060	5.26	(2.68)
Support activities					
Support account	387 808	387 808	386 189	–	(0.42)
United Nations Logistics Base – other activities	65 978	65 978	65 767	–	(0.32)
Regional Service Centre	43 647	43 647	43 533	–	(0.26)
Total support activities	497 433	497 433	495 489	–	(0.39)
Total expenditure, in accordance with 2023/24 budget-based active missions and support activities	6 053 805	6 346 123	6 187 549	4.83	(2.50)
Net total	(5 555)	(5 556)	137 427		

^a Actual expenditure (budget basis) less final budget.^b Budget and actual expenditure of active missions include prorated costs for the support account, the United Nations Logistics Base (other activities) and the Regional Service Centre.^c Additional appropriations to the original appropriations for the period 1 July 2023 to 30 June 2024 were approved by the General Assembly in the amount of \$276.9 million for MINUSMA (see resolution [78/250](#)), and a commitment authority of \$15.5 million for UNMISS was authorized by the Advisory Committee on Administrative and Budgetary Questions on 12 December 2023 ([A/78/744/Add.13](#)).

The accompanying notes to the financial statements are an integral part of these financial statements.

United Nations peacekeeping operations as reported in volume II
Notes to the 2023/24 financial statements

Note 1

Reporting entity

United Nations and its activities

1. The United Nations is an international organization founded in 1945 after the Second World War. The Charter of the United Nations was signed on 26 June 1945 and became effective on 24 October 1945. The primary objectives of the United Nations are:

- (a) The maintenance of international peace and security;
- (b) The promotion of international economic and social progress and development programmes;
- (c) The universal observance of human rights;
- (d) The administration of international justice and law.

2. These objectives are implemented through the major organs of the United Nations, as follows:

- (a) The General Assembly focuses on a wide range of political, economic and social issues, as well as the financial and administrative aspects of the Organization;
- (b) The Security Council is responsible for various aspects of peacekeeping and peacemaking, including efforts to resolve conflicts, restore democracy, promote disarmament, provide electoral assistance, facilitate post-conflict peacebuilding, engage in humanitarian activities to ensure the survival of groups deprived of basic needs, and oversee the prosecution of persons responsible for serious violations of international humanitarian law;
- (c) The Economic and Social Council plays a specific role in economic and social development, including a major oversight role in the efforts of other organizations of the United Nations system to address international economic, social and health problems;
- (d) The International Court of Justice has jurisdiction over disputes between Member States brought before it for advisory opinions or binding resolutions;
- (e) The Secretariat is organized along departmental lines, with each department or office having a distinct area of action and responsibility. Offices and departments coordinate with each other to ensure cohesion as they carry out the day-to-day work of the Organization in offices and duty stations around the world. At the head of the United Nations Secretariat is the Secretary-General.

3. The United Nations has its headquarters in New York and has major offices in Geneva, Vienna and Nairobi. It also has peacekeeping and political missions, economic commissions, tribunals, training institutes, information centres and other offices around the world.

United Nations peacekeeping operations

4. These financial statements relate to the United Nations peacekeeping operations, a separate financial reporting entity of the United Nations for the purposes of IPSAS-compliant reporting.

5. United Nations peacekeeping, with a mandate to help countries affected by conflict to create conditions for lasting peace, began operations in 1948 with the creation of the first peacekeeping mission. Since then, 69 peacekeeping missions (2022/23: 69 missions) have been deployed by the United Nations, 56 of them since 1988.

6. United Nations peacekeeping operates under the direction of the Security Council; as deemed appropriate by vote of the Council, peacekeeping missions are established, extended, amended or ended. Under Article 25 of the Charter, all States Members of the United Nations agree to accept and carry out the decisions of the Council; while other organs make recommendations to Member States, the Council alone has the power to take decisions that Member States are obligated to follow. United Nations peacekeeping has unique strengths, including legitimacy, burden-sharing and an ability to deploy and sustain troops and police from around the world, integrating them with civilian peacekeepers to advance multidimensional mandates. As at 30 June 2024, there were 11 active United Nations peacekeeping missions (30 June 2023: 11 active missions) deployed across four continents.

7. Peacekeeping operations are regarded as an autonomous reporting entity, which, owing to the uniqueness of the governance and budgetary process of each of the reporting entities of the United Nations, neither controls nor is controlled by any other United Nations financial reporting entity, and which has no interests in associates, joint ventures or joint arrangements. Therefore, consolidation is not deemed applicable to the reporting entity, and these financial statements include only the activities of the United Nations peacekeeping operations.

Note 2

Basis of preparation and authorization for issue

Basis of preparation

8. In accordance with the Financial Regulations and Rules of the United Nations, the financial statements are prepared on an accrual basis in accordance with IPSAS. The financial statements have been prepared on a going-concern basis and the accounting policies have been applied consistently in the preparation and presentation of these financial statements. In accordance with the requirements of IPSAS, these financial statements, which present fairly the assets, liabilities, revenue and expenses of the United Nations peacekeeping operations, consist of the following:

- (a) Statement I: statement of financial position;
- (b) Statement II: statement of financial performance;
- (c) Statement III: statement of changes in net assets;
- (d) Statement IV: statement of cash flows (using the indirect method);
- (e) Statement V: statement of comparison of budget and actual amounts;
- (f) A summary of significant accounting policies and other explanatory notes.

Going concern

9. The going-concern assertion is based on the approval by the General Assembly of the budget appropriations for peacekeeping operations for the 2024/25 financial year, the trend of collection of assessed contributions over the past years and the fact that the Assembly and the Security Council have not made any decisions to cease peacekeeping operations as a whole.

Authorization for issue

10. These financial statements are certified by the Controller and approved by the Secretary-General. In accordance with financial regulation 6.2, the Secretary-General transmitted the financial statements as at 30 June 2024 to the Board of Auditors by 30 September 2024. In accordance with financial regulation 7.12, the reports of the Board are transmitted to the General Assembly through the Advisory Committee on

Administrative and Budgetary Questions, together with the audited financial statements.

Measurement basis

11. The financial statements are prepared using the historic cost convention, except for investments held in the cash pool recorded at fair value through net assets/equity.

Functional and presentation currency

12. The functional currency of peacekeeping operations is the United States dollar; currencies other than the functional currency are considered foreign currencies for the purpose of financial accounting and reporting. The presentation currency of peacekeeping operations is also the United States dollar; these financial statements are expressed in thousands of United States dollars unless otherwise stated.

13. Foreign currency transactions are translated into United States dollars at the United Nations operational rate of exchange at the date of the transaction. The operational rate of exchange approximates the spot rates prevailing at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies are translated at the fiscal year-end operational rate of exchange. Non-monetary foreign currency items measured at historical cost or fair value are translated at the operational rate of exchange prevailing at the date of the transaction or when the fair value was determined.

14. Foreign exchange gains and losses resulting from the settlement of foreign currency transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at fiscal year-end exchange rates are recognized in the statement of financial performance on a net basis.

Materiality and use of judgment and estimates

15. Materiality is central to the preparation and presentation of the financial statements of peacekeeping operations and the materiality framework provides a systematic method in guiding accounting decisions relating to presentation, disclosure, aggregation, offsetting and retrospective versus prospective application of changes in accounting policies. In general, an item is considered material if its omission or its aggregation would have an impact on the conclusions or decisions of the users of the financial statements.

16. Preparing financial statements in accordance with IPSAS requires the use of estimates, judgments and assumptions in the selection and application of accounting policies and in the reported amounts of certain assets, liabilities, revenue and expenses.

17. Accounting estimates and underlying assumptions are reviewed on an ongoing basis, and revisions to estimates are recognized in the year in which the estimates are revised and in any future year affected. Significant estimates and assumptions that may result in material adjustments in future years include actuarial measurement of employee benefits; selection of useful lives and the depreciation and amortization methods for property, plant and equipment and intangible assets; impairment of assets; classification of financial instruments; valuation of inventory; inflation and discount rates used in the calculation of the present value of provisions; and classification of contingent assets and liabilities.

Adoption of International Public Sector Accounting Standard 41

18. Effective 1 January 2023, the Organization adopted IPSAS 41: Financial instruments, which was issued in August 2018. The standard replaced IPSAS 29: Financial instruments: recognition and measurement, and introduces:

- (a) Simplified classification and measurement requirements for financial assets;
- (b) A forward-looking impairment model;
- (c) A flexible hedge accounting model.

19. The changes from the initial adoption of the standard are effective on that date and, therefore, do not require the restatement of the prior-period amounts. As a result, the financial assets, financial liabilities, non-exchange and exchange receivables and investment revenue as at 30 June 2023 presented in these financial statements have been accounted for in accordance with the accounting policies as stated in the 2022/23 financial statements.

New classification and measurement principles for financial assets

20. IPSAS 41 introduces a principles-based approach to the classification of financial assets and requires the use of two criteria: the entity's model for managing its financial assets and the contractual cash-flow characteristics of those assets. Depending on these criteria, financial assets are classified into the following categories: financial assets at amortized cost; financial assets at fair value through net assets/equity; or financial assets at fair value through surplus or deficit.

21. On 1 July 2023, the application of the new criteria led to the reclassification of all cash pool investments, from the financial assets at fair value through surplus or deficit to the financial assets at fair value through net assets/equity category. The fair value was classified to a fair value reserve within net assets.

New impairment model

22. Whereas the previous impairment model was based on incurred losses, IPSAS 41 has introduced a forward-looking impairment model based on expected credit losses over the lifetime of the financial asset. The expected credit loss takes into account possible default events and the evolution of the credit quality of the financial assets. The new impairment model applies to all financial assets measured at amortized cost or at financial assets at fair value through net assets/equity.

23. The following table shows the original measurement categories under the IPSAS 29 as applied to the 2022/23 financial statements and the new measurement categories under IPSAS 41 for the Organization's financial assets as at 1 July 2023. There were no changes to the measurement categories of the financial liabilities of the Organization.

<i>Financial assets</i>	<i>Measurement category prior to the adoption of IPSAS 41</i>	<i>Net carrying amount as at 30 June 2023</i>	<i>Measurement category under IPSAS 41</i>	<i>Net carrying amount as at 1 July 2023</i>
Pro rata share of investments in the cash pool	Financial assets at fair value through surplus or deficit	757 160	Financial assets at fair value through net assets/equity	757 160
Cash and cash equivalents (cash pool)	Amortized cost	202 900	Amortized cost	202 900
Cash and cash equivalents, other	Amortized cost	2 772	Amortized cost	2 772
Assessed contributions receivable (note 7)	Amortized cost	1 826 575	Amortized cost	1 816 324
Voluntary contributions receivable (note 8)	Amortized cost	—	Amortized cost	—
Other receivables (note 9)	Amortized cost	50 814	Amortized cost	59 381

24. The following table presents an analysis of the impact of the transition to IPSAS 41 of the Organization's financial assets and receivables. It reconciles the carrying amounts from their previous measurement category, IPSAS 29, as applied to

the 2022/23 financial statements, to their new measurement categories under IPSAS 41 on 1 July 2023:

<i>Financial assets (investment and cash and cash equivalents)</i>	<i>Balance as at 30 June 2023</i>	<i>Reclassification</i>	<i>Remeasurement</i>	<i>Balance as at 1 July 2023</i>	
				<i>Financial assets at fair value through net assets/equity</i>	<i>Amortized cost</i>
Short-term investments (note 22)	478 702	(478 702)	–	478 702	–
Long-term investments (note 22)	278 458	(278 458)	–	278 458	–
Cash and cash equivalents (note 6)	205 672	–	–	–	205 672
Total financial assets (investment and cash and cash equivalents)	962 832	(757 160)	–	757 160	205 672
Receivables balance (notes 7 and 9)	1 877 389	–	(1 684)	–	1 875 705
Total impact of IPSAS 41 adoption	–	(757 160)	(1 684)	757 160	–

Future accounting pronouncements

25. The progress and impact of the following significant future accounting pronouncements by the IPSAS Board on the financial statements of peacekeeping operations continue to be monitored:

(a) The Board approved the final pronouncement, Concessionary leases and other arrangements conveying rights over assets (amendments to IPSAS 43, IPSAS 47 and IPSAS 48). The effective date for the relevant amendments is 1 January 2027;

(b) The Board approved exposure draft 90, Amendments to IPSAS as a result of the application of IPSAS 46, Measurement. This exposure draft proposes amendments to IPSAS to introduce current operational value and add a definition of accounting estimates to IPSAS 3, Accounting policies, changes in accounting estimates and errors. Exposure draft 90 will be published in the third quarter of 2024;

(c) The Board continued the development of the climate-related disclosures exposure draft by reviewing the proposed principles on metrics and targets, transitional provisions and general requirements. It sought to approve the exposure draft at its September 2024 meeting;

(d) The Board continued to develop its natural resources exposure draft by reviewing the draft specific matters for comment, core text, application guidance and basis for conclusions. It sought to approve the exposure draft at its September 2024 meeting;

(e) The Board continued the development of its consultation paper and illustrative exposure draft related to the project to develop a replacement for IPSAS 1, Presentation of financial statements. It considered several important project issues, including agreeing to retain the current/non-current distinction as the primary method for classifying assets and liabilities on the statement of financial position. It will continue its deliberations on this project in September 2024.

Recent and future requirements of the International Public Sector Accounting Standards

26. The IPSAS Board issued the following standards:

- (a) IPSAS 43: Leases, issued in January 2022 and effective 1 January 2025;
- (b) IPSAS 44: Non-current assets held for sale and discontinued operations, issued in May 2022 and effective 1 January 2025;
- (c) IPSAS 45: Property, plant and equipment, issued in May 2023 and effective 1 January 2025;
- (d) IPSAS 46: Measurement, issued in May 2023 and effective 1 January 2025;
- (e) IPSAS 47: Revenue, issued in May 2023 and effective 1 January 2026;
- (f) IPSAS 48: Transfer expenses, issued in May 2023 and effective 1 January 2026;
- (g) IPSAS 49: Retirement benefit plans, approved in September 2023 and effective 1 January 2026.

27. The impact of these standards on the financial statements of the United Nations peacekeeping operations has been evaluated as follows:

<i>Standard</i>	<i>Anticipated impact in the year of adoption</i>
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IPSAS 43 IPSAS 43: Leases, replaces IPSAS 13: Leases, and aligns lease accounting with International Financial Reporting Standard 16. IPSAS 43 introduces new contract and lease definitions and prescribes a right-of-use recognition and measurement model for all leases, apart from those meeting short-term and low-value exemption categories. The standard also provides additional guidance on the application of the risks and rewards model for lessor accounting. Adoption of the standard is mandatory for the financial reporting of peacekeeping operations for the year ending 30 June 2026.

The impact of IPSAS 43 is being assessed prior to the 1 January 2025 effective date. The broadened leases definition is estimated to result in the recognition of a greater number of binding arrangements as leases, with a corresponding increase in lease liabilities and right-of-use assets.

IPSAS 44 IPSAS 44: Non-current assets held for sale and discontinued operations, outlines accounting for assets held for sale and the presentation and disclosure of discontinued operations, in alignment with International Financial Reporting Standard 5.

Adoption of the standard is mandatory for the financial reporting of peacekeeping operations for the year ending 30 June 2026. The impact of IPSAS 44 will be assessed prior to the 1 January 2025 effective date. Given the definitions and scope of non-current assets held for sale, the impacts on recognition and measurement are, on a preliminary basis, estimated as not significant for the Organization. The impact of the IPSAS 44 requirement to present discontinued operations in the statement of financial position and the results of discontinued operations in the statement of financial performance will depend on the identification and timing of discontinued operations, if any, in future years.

IPSAS 45 IPSAS 45: Property, plant and equipment, replaces IPSAS 17: Property, plant and equipment. IPSAS 45 removes the scope exclusion for heritage property, plant and equipment, provides application and implementation guidance on infrastructure assets and captures property, plant and equipment-related measurement impacts from IPSAS 46. Adoption of the standard is mandatory for the financial reporting of peacekeeping operations for the year ending 30 June 2026.

The impact of IPSAS 45 will be assessed prior to the 1 January 2025 effective date.

<i>Standard</i>	<i>Anticipated impact in the year of adoption</i>
IPSAS 46	IPSAS 46: Measurement, is the IPSAS Board's first measurement-dedicated standard and draws upon International Financial Reporting Standard 13: Fair value measurement, with the addition of elements specific to the public sector, including the current operational value measurement basis. Adoption of the standard is mandatory for the financial reporting of peacekeeping operations for the year ending 30 June 2026. The impact of IPSAS 46 will be assessed prior to the 1 January 2025 effective date. The adoption of IPSAS 46 is not expected to change the Organization's accounting policy choice to apply the historical cost model to tangible and intangible assets.
IPSAS 47	IPSAS 47: Revenue, replaces the three existing revenue standards, namely, IPSAS 9: Revenue from exchange transactions, IPSAS 11: Construction contracts, and IPSAS 23: Revenue from non-exchange transactions (taxes and transfers). IPSAS 47 aligns with the IPSAS Board's Conceptual Framework for General Purpose Financial Reporting by Public Sector Entities and presents two accounting models based on the existence of a binding arrangement. Where a binding arrangement exists, revenue accounting is aligned with International Financial Reporting Standard 15: Revenue from contracts with customers. Otherwise, the accounting model is consistent with the core principles of IPSAS 23. Adoption of the standard is mandatory for the financial reporting of peacekeeping operations for the year ending 30 June 2027. The impact of IPSAS 47 will be assessed prior to the 1 January 2026 effective date of the standard.
IPSAS 48	IPSAS 48: Transfer expenses, provides guidance on accounting for transfer expenses. The transfer expense model aligns with the Conceptual Framework and presents two accounting models based on the existence of a binding arrangement. Adoption of the standard is mandatory for the financial reporting of peacekeeping operations for the year ending 30 June 2027. The impact of IPSAS 48 will be assessed prior to the 1 January 2026 effective date of the standard.
IPSAS 49	IPSAS 49: Retirement benefit plans, aligns with International Accounting Standard 26: Accounting and reporting by retirement benefit plans, and prescribes the accounting and reporting requirements for public sector retirement benefit plans, which provide retirement benefits to public sector employees and other eligible participants. A retirement benefit plan that prepares and presents financial statements under the accrual basis of accounting shall apply IPSAS 49. The standard does not deal with other forms of employment benefits such as employment termination benefits or health and welfare plans. Adoption of the standard is mandatory for the financial reporting of peacekeeping operations for the year ending 30 June 2027. The preliminary assessment is that IPSAS 49 will have no impact on the financial reporting of peacekeeping operations. The detailed impact of IPSAS 49 will be assessed prior to the 1 January 2026 effective date of the standard.

Note 3**Significant accounting policies***Financial assets: classification*

28. The classification of financial assets depends primarily on the purpose for which the financial assets are acquired. Peacekeeping operations classify financial assets in one of the categories shown below at initial recognition and re-evaluate the classifications at each reporting date.

<i>Classification</i>	<i>Financial assets</i>
Fair value through net assets/equity	Investments in the main cash pool
Amortized cost	Cash and cash equivalents and receivables

29. Financial assets with maturities in excess of 12 months as at the reporting date are categorized as non-current assets in the financial statements. Assets denominated in foreign currencies are translated into United States dollars at the United Nations operational rate of exchange prevailing as at the reporting date, with net gains or losses recognized in the surplus or deficit in the statement of financial performance.

30. With the adoption of IPSAS 41, financial assets previously designated at fair value through a surplus or deficit have been reclassified to fair value through net assets/equity after an assessment of their contractual cash flows characteristics and the determination of the Organization's management model, which is to both collect contractual cash flows and sell the financial assets. These assets are measured at fair value at each reporting date, and any gains or losses arising from changes in the fair value are now presented in the statement of net assets in the year in which they arise.

31. Financial assets at amortized cost are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They are initially recorded at fair value, plus transaction costs, and are subsequently reported at amortized cost calculated using the effective interest method if applicable. Interest revenue is recognized on a time proportion basis using the effective interest rate method on the relevant financial asset.

32. Financial assets are assessed at each reporting date to determine whether there is objective evidence of impairment. Evidence of impairment includes default or delinquency of the counterparty or permanent reduction in the value of the asset. Impairment losses are recognized in the statement of financial performance in the year in which they arise.

33. Financial assets are derecognized when the rights to receive cash flows have expired or have been transferred and peacekeeping operations have transferred substantially all risks and rewards of the financial asset. Financial assets and liabilities are offset, and the net amount reported in the statement of financial position when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously.

Financial assets: investment in cash pools

34. The United Nations Treasury invests funds pooled from Secretariat entities and other participating entities. These pooled funds are combined in two internally managed cash pools. Participation in a cash pool implies sharing the risks and returns on investments among all pool participants. Given that the funds are commingled and invested on a pool basis, each participant is exposed to the overall risk of the investment portfolio to the extent of the amount of cash invested.

35. The investments of peacekeeping operations in the main pool are included as part of cash and cash equivalents, short-term investments and long-term investments in the statement of financial position, depending on the maturity period of the investment.

36. The investment pools are subject to an expected credit loss assessment for the reporting period and the assessment is done using Fitch Ratings. Fitch Ratings is a provider of credit ratings, research and analysis for the global financial markets. The expected credit loss on investments is calculated using the Fitch default rating on the basis of a combination of the Fitch issuer rating and the type of issuer. The historical

default rates are provided by Fitch over a period of three years. The Fitch rating by type of issuer is obtained for each investment position. The default rate is obtained from the transition matrix for the specific type of issuer (e.g., supranational, sovereign and corporate).

37. Owing to the conservative and risk-averse investment strategy/model, the United Nations invests only in highly rated instruments. As a result, most of the issuer categories carry a zero-default history for the relevant analysis period by Fitch. The Organization will therefore assess expected credit loss at the end of each reporting period and recognize an impairment loss only if material.

Financial assets: cash and cash equivalents

38. Cash and cash equivalents comprise cash at bank and on hand, and short-term, highly liquid investments with a maturity of three months or less from the date of acquisition.

Financial assets: receivables from non-exchange transactions – assessed and voluntary contributions receivable

39. Contributions receivable represent uncollected revenue from assessed and voluntary contributions committed to peacekeeping operations by Member States, non-member States and other donors based on enforceable agreements. These non-exchange receivables are stated at nominal value, less a loss allowance reflecting impairment for estimated irrecoverable amounts.

40. For assessed contributions receivable, the loss allowance is calculated using objective historical evidence of collections of receivables (in this case, Member States).

41. For ongoing IPSAS 41 compliance, payment data are monitored for any indication of changes in payment patterns. Where data are indicative of expected credit loss, loss allowance is recognized in accordance with IPSAS 41.

42. On the basis of an analysis of historical data of collection for assessed contributions receivable, no expected credit loss has been established where no evidence of any loss pattern for Member States exists, except for the specific receivables detailed below, where, under the forward-looking model, the expected credit loss shall be provided as follows:

(a) A total of 100 per cent of assessed contributions receivable from Member States that are subject to Article 19 of the Charter of the United Nations on voting rights restrictions in the General Assembly because of arrears equalling or exceeding the amount of the contributions due from them for the preceding two full years is included in the loss allowance. These receivables carry a higher credit risk owing to a historical pattern of non-payment or delays over a specific number of years;

(b) For assessed contributions receivable that are past due in excess of two years for which the General Assembly has granted special treatment with regard to payment (assessed contributions under the United Nations Emergency Force and the United Nations Operation in the Congo, unpaid assessed contributions that were transferred to a special account pursuant to Assembly resolution [36/116 A](#) and unpaid assessed contributions of the former Yugoslavia), 100 per cent will be included in the loss allowance;

(c) For assessed contributions receivable that are past due for which Member States have specifically contested the balances, 100 per cent will be included in the loss allowance;

(d) For assessed contributions receivable that are past due in excess of two years related to missions that have been closed for more than two years, there is a 100 per cent allowance;

(e) Assessed contributions receivable with an approved payment plans will not be subject to allowance.

43. Voluntary contributions receivable are subject to impairment using the expected credit loss model applicable to the donor type. The impairment review follows a similar methodology to that of receivables from exchange transactions, which uses historical payment patterns to determine the expected credit loss.

Financial assets: receivables from exchange transaction – trade receivables and other receivables

44. Trade and other receivables include primarily amounts receivable for goods or services provided to other entities. Receivables from other United Nations reporting entities are also included in this category. The balances are subject to impairment using the expected credit loss model and assessed on the basis of recoverability and ageing applicable to customer type.

45. The loss allowance calculation uses a forward-looking model applying historical percentages of previous credit losses as the basis for determining the expected credit losses of receivable balances. This historical percentage is updated at each year end. Given that the United Nations operates in a worldwide environment with dynamic macroeconomic variables, it is therefore difficult to factor the worldwide gross domestic product growth rate in the calculation of the loss allowance. Other receivables are categorized by customer type with homogeneous characteristics, for example, with the same debt settlement patterns. The evolution of the outstanding balances is analysed over a period of years to determine the historical transition rate of outstanding receivable balances. The transition rate is reassessed at the end of each reporting period and applied to the exposure balance to determine the loss allowance.

Other assets

46. Other assets include prepayments that are recorded as an asset until goods are delivered or services are rendered by the other party, at which point the expense is recognized.

Inventories

47. Inventory balances are recognized as current assets and include the categories set out below.

<i>Categories</i>	<i>Subcategories</i>
Held for sale or external distribution	Books and publications, stamps
Raw materials and work in progress associated with items held for sale or external distribution	Construction materials and supplies, works in progress
Strategic reserves	Fuel reserves, bottled water and rations reserves, strategic deployment stocks, United Nations reserves
Consumables and supplies	Material holdings of consumables and supplies, spare parts, medicine

48. The cost of inventory in stock is determined using the moving average price cost basis. The cost of inventories includes the cost of purchase plus other costs incurred in bringing the items to the destination and condition for use. Standard rates ranging from 7 to 28 per cent of the cost of purchase, depending on the location of each office and mission, are used in place of actual associated costs. Inventory acquired through non-exchange transactions (i.e., donated goods) are measured at fair value at the date of acquisition. Inventories held for sale are valued at the lower of cost and net realizable value. Inventories held for distribution at no or nominal charge or for consumption in the production of goods or services are valued at the lower of cost and current replacement cost.

49. The carrying amount of inventories is expensed when inventories are sold, exchanged, distributed externally or consumed by the United Nations peacekeeping operations. Net realizable value is the net amount that is expected to be realized from the sale of inventories in the ordinary course of operations. Current replacement cost is the estimated cost that would be incurred to acquire the asset.

50. Holdings of consumables and supplies for internal consumption are capitalized in the statement of financial position when material. Such inventories are valued by the moving average method on the basis of records available in Umoja. Valuations are subject to impairment review, which takes into consideration the variances between moving average price valuation and current replacement cost, as well as slow-moving and obsolete items.

51. Inventories are subject to physical verification on the basis of the value and risk as assessed by management. Valuations are net of write-downs from cost to current replacement cost or net realizable value, which are recognized in the statement of financial performance.

Heritage assets

52. Heritage assets are not recognized in the financial statements, but transactions related to significant heritage assets are disclosed in the notes to the financial statements.

Property, plant and equipment

53. Property, plant and equipment are classified into different groups of items of a similar nature and with similar functions, useful lives and valuation methodologies, such as vehicles; communications and information technology equipment; machinery and equipment; furniture and fixtures; and real estate assets (land, buildings, infrastructure and assets under construction). Recognition of property, plant and equipment is as follows:

(a) Property, plant and equipment are capitalized when their cost per unit is greater than or equal to the threshold of \$20,000 or \$100,000 for leasehold improvements and self-constructed assets. A lower threshold of \$5,000 applies to five commodity groups: vehicles; prefabricated buildings; satellite communication systems; generators; and network equipment;

(b) All property, plant and equipment other than real estate assets are stated at historical cost, less accumulated depreciation and accumulated impairment losses. Historical cost comprises the purchase price, any associated costs directly attributable to bringing the asset to its location and condition, and the initial estimate of dismantling and site restoration costs. Standard rates ranging from 2 to 18 per cent of the cost of purchase, depending on the location of each office and mission, are used in place of actual associated costs;

(c) For property, plant and equipment acquired at nil or nominal cost, such as donated assets, the fair value at the date of acquisition is deemed to be the cost to acquire equivalent assets.

54. Property, plant and equipment are depreciated over their estimated useful lives using the straight-line method up to their residual value, except for land and assets under construction, which are not subject to depreciation. Given that not all components of a building have the same useful life or have the same maintenance, upgrade or replacement schedules, significant components of owned buildings are depreciated using the components approach. Depreciation commences in the month when the United Nations peacekeeping operation gains control over an asset in accordance with international commercial terms and no depreciation is charged in the month of the retirement or disposal. Given the expected pattern of usage of property, plant and equipment, the residual value is nil unless the residual value is likely to be significant.

55. As indicated in paragraph 17 (note 2), as with other accounting estimates and underlying assumptions, estimated useful life assumptions are reviewed on an ongoing basis. Changes in accounting estimates result from new information, new developments or more experience, for example, an adjustment to the periodic consumption of an asset as a result of an assessment of the present status of, and expected future benefits associated with, that asset. Such changes are accounted for as a change in the accounting estimate. A change in the accounting estimate is recognized prospectively by recording it as a surplus or deficit during the period of the change and is recorded as either a surplus or deficit in future periods. Such prospective recognition is applied to transactions, other events and conditions from the date of the change in estimate.

56. The Task Force on Accounting Standards, which reports to the Finance and Budget Network, carried out a system-wide survey on the useful lives of assets. As a result of the exercise and in analysing its own historical data on asset utilization, 13 of the 25 asset subclasses in the table below were revised. The updated useful lives have been applied to the Organization's property plant and equipment, prospectively starting on 1 January 2023.

<i>Class</i>	<i>Subclass</i>	<i>Estimated useful life</i>
Communications and information technology equipment	Information technology equipment	4–5 years ^a
	Communications	7–8 years ^a
	Audiovisual equipment	7–10 years ^a
Vehicles	Light-wheeled vehicles	6–7 years ^a
	Marine vessels	10 years
	Specialized vehicles, trailers and attachments	6–12 years
	Heavy-wheeled and engineering support vehicles	12 years
Machinery and equipment	Light engineering and construction equipment	5–8 years ^a
	Medical equipment	5–6 years ^a
	Security and safety equipment	5–6 years ^a
	Mine detection and -clearing equipment	5 years
	Water treatment and fuel distribution equipment	7–10 years ^a

<i>Class</i>	<i>Subclass</i>	<i>Estimated useful life</i>
	Ground transportation equipment	7–10 years ^a
	Heavy engineering and construction equipment	10–12 years ^a
	Printing and publishing equipment	20 years
Furniture and fixtures	Library reference material	3 years
	Office equipment	4–5 years ^a
	Fixtures and fittings	7–10 years ^a
	Furniture	10 years
Buildings	Temporary and mobile buildings	7–10 years ^a
	Fixed buildings	Up to 50 years
	Major building components	Up to 50 years
	Finance lease or donated right-to-use buildings	Shorter of term of arrangement or life of building
Infrastructure assets	Telecommunications, energy, protection, transport, waste and water management, recreation, landscaping	Up to 50 years
Leasehold improvements	Fixtures, fittings and minor construction work	Shorter of lease term or 5 years

^a In 2023, following the review of the estimates of the periods over which asset subclasses are expected to be available for use, estimated useful lives for 12 subclasses were increased by between one and three years and one subclass, namely, heavy engineering and construction equipment, was reduced by two years. These changes are applicable to acquisitions on or after 1 January 2023.

57. Where there is a material cost value of fully depreciated assets that are still in use, adjustments to accumulated depreciation and property, plant and equipment are incorporated into the financial statements to reflect a residual value of 10 per cent of historical cost based on an analysis of the classes and useful lives of the fully depreciated assets.

58. Peacekeeping operations selected the cost model, instead of the revaluation model, for the measurement of property, plant and equipment after initial recognition. Costs incurred subsequent to initial acquisition are capitalized only when it is probable that future economic benefits or service potential associated with the item will flow to peacekeeping operations and the subsequent cost exceeds the threshold for initial recognition. Repairs and maintenance are expensed in the statement of financial performance in the year in which they are incurred.

59. A gain or loss resulting from the disposal or transfer of property, plant and equipment arises where proceeds from disposal or transfer differ from the carrying amount. Those gains or losses are recognized in the statement of financial performance as part of other revenue or other expenses.

60. Impairment assessments are conducted during the annual physical verification process and when events or changes in circumstance indicate that carrying amounts may not be recoverable. Land, buildings and infrastructure assets with a year-end net book value greater than \$500,000 are reviewed for impairment at each reporting date.

The equivalent threshold for other property, plant and equipment items (excluding assets under construction and leasehold improvements) is \$25,000.

*Intangible assets*⁴⁶

61. Intangible assets are carried at cost, less accumulated amortization and accumulated impairment loss. For intangible assets acquired at nil or nominal cost, including donated assets, the fair value at the date of acquisition is deemed to be the cost of the asset. The thresholds for recognition are \$100,000 per unit for internally generated intangible assets and \$20,000 per unit for externally acquired intangible assets.

62. Acquired computer software licences are capitalized on the basis of costs incurred to acquire and bring into use the specific software. Development costs that are directly associated with the development of software for use by peacekeeping operations are capitalized as an intangible asset. Directly associated costs include software development employee costs, consultant costs and other applicable overhead costs. Intangible assets with finite useful lives are amortized on a straight-line method, starting from the month of acquisition or when they become operational. The useful lives of major classes of intangible assets have been estimated as shown below.

<i>Class</i>	<i>Range of estimated useful life</i>
Licences and rights	2–6 years (period of licence/right)
Software acquired externally	3–10 years
Software developed internally	3–10 years
Copyrights	3–10 years
Assets under development	Not amortized

63. Annual impairment reviews of intangible assets are conducted when assets are under development or have an indefinite useful life. Other intangible assets are subject to impairment review only when indicators of impairment are identified.

Financial liabilities: classification

64. Financial liabilities are classified as other financial liabilities. They include accounts payable, unspent funds held for future refund and other liabilities such as balances payable to other United Nations system reporting entities. Financial liabilities classified as other financial liabilities are initially recognized at fair value and subsequently measured at amortized cost. Financial liabilities with durations of fewer than 12 months are recognized at their nominal value. Peacekeeping operations re-evaluate the classification of financial liabilities at each reporting date and derecognize financial liabilities when contractual obligations are discharged, waived, cancelled or expired. The adoption of IPSAS 41 has no change on the classification and measurement of the financial liabilities of the Organization.

Financial liabilities: accounts payable and accrued expenses

65. Accounts payable and accrued expenses arise from the purchase of goods and services that have been received but not paid for as at the reporting date. Payables are

⁴⁶ No intangible assets with an indefinite useful life were recorded in 2023/24.

measured at their nominal value if classified as current liabilities, or at the fair value, if classified as non-current liabilities.

Advance receipts and other liabilities

66. Advance receipts are contributions received for future periods. Other liabilities consist of payments received in advance relating to exchange transactions, liabilities for conditional funding arrangements and other deferred revenue.

Leases: the peacekeeping operations as lessee⁴⁷

67. Leases of property, plant and equipment in which a peacekeeping operation has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalized at the start of the lease at the lower of fair value or the present value of the minimum lease payment. The rental obligation, net of finance charges, is reported as a liability in the statement of financial position. Assets acquired under finance leases are depreciated in accordance with property, plant and equipment policies. The interest element of the lease payment is charged to the statement of financial performance as an expense over the lease term on the basis of the effective interest rate method.

68. Leases in which all the risks and rewards of ownership are not substantially transferred to a peacekeeping operation are classified as operating leases. Payments made under operating leases are charged to the statement of financial performance as an expense on a straight-line basis over the period of the lease.

Leases: the peacekeeping operations as lessor

69. Peacekeeping operations lease out (act as a lessor) specific assets under operating leases. Assets subject to operating leases are reported under property, plant and equipment. Lease revenue from operating leases is recognized in the statement of financial performance over the lease term on a straight-line basis.

Donated rights to use

70. The right to use land, buildings, infrastructure assets, machinery and equipment is frequently granted to peacekeeping operations, primarily by host Governments at nil or nominal cost, through donated right-to-use arrangements. These arrangements are accounted for as operating leases or finance leases depending on whether an assessment of the agreement indicates that control of the underlying asset is transferred to the peacekeeping operation.

71. When a donated right-to-use arrangement is classified as an operating lease, an expense and corresponding revenue equal to the annual market rent of a similar property are recognized in the financial statements. Where a donated right-to-use arrangement is classified as a finance lease (principally with a lease term of more than 35 years for premises), the fair market value of the property is capitalized and depreciated over the shorter of the term of the arrangement or the useful life of the property. In addition, a liability for the same amount is recorded and progressively recognized as revenue over the lease term.

72. Donated right-to-use land arrangements are accounted for as operating leases when the peacekeeping operation does not have exclusive control and title to the land is not transferred under restricted deeds. When a title to land is transferred to the peacekeeping operation without restrictions, the land is accounted for as donated property, plant and equipment and recognized at fair value at the acquisition date.

⁴⁷ No finance lease contracts were recorded in 2023/24.

73. The thresholds for the recognition of revenue and expenses are the yearly rental value equivalent of \$20,000 for each donated right-to-use arrangement for land, buildings or infrastructure assets and \$5,000 per item for machinery and equipment assets.

Employee benefits

74. Employees are staff members, as described under Article 97 of the Charter, whose employment and contractual relationship with a peacekeeping operation are defined by a letter of appointment subject to regulations promulgated by the General Assembly pursuant to Article 101, paragraph 1, of the Charter. Employee benefits are classified into short-term benefits, long-term benefits, post-employment benefits and termination benefits.

Short-term employee benefits

75. Short-term employee benefits are employee benefits (other than termination benefits) that are payable within 12 months after the end of the year in which the employee renders the related services. Short-term employee benefits comprise first-time employee benefits (assignment grants), regular daily, weekly or monthly benefits (wages, salaries and allowances), compensated absences (paid sick leave and maternity/paternity leave) and other short-term benefits (death grant, education grant, reimbursement of taxes, and home leave travel) provided to current employees on the basis of services rendered. All such benefits that are accrued but not paid as at the reporting date are recognized as current liabilities within the statement of financial position.

76. Home leave travel is available to eligible staff and dependants serving in qualifying countries. The liability represents the expected travel cost of the next home leave entitlement for qualifying staff, adjusted for the proportion of service yet to be performed until the benefit is vested. Given that home leave travel entitlements are claimed within relatively short periods of time, the effect of discounting for the time value of money is not material.

Post-employment benefits

77. Post-employment benefits comprise after-service health insurance, end-of-service repatriation benefits and a pension provided through the United Nations Joint Staff Pension Fund.

Defined benefit plans

78. The following benefits are accounted for as defined benefit plans: after-service health insurance, repatriation benefits (post-employment benefits) and accumulated annual leave that is commuted to cash upon separation from the Organization (other long-term benefit). Defined benefit plans are those in which peacekeeping operations have an obligation to provide agreed benefits and therefore bear the actuarial risks. The liability for defined benefit plans is measured at the present value of the defined benefit obligation. Changes in the liability for defined benefit plans, excluding actuarial gains and losses, are recognized in the statement of financial performance in the year in which they occur. Peacekeeping operations have elected to recognize changes in the liability valuation from actuarial gains and losses directly through the statement of changes in net assets. As at the reporting date, peacekeeping operations did not hold any plan assets as defined under IPSAS 39: Employee benefits.

79. The defined benefit obligations are calculated by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using the interest

rates of high-quality corporate bonds with maturity dates approximating those of the individual plans.

80. **After-service health insurance.** Worldwide coverage for medical expenses of eligible former staff members and their dependants is provided through after-service health insurance. Upon end of service, staff members and their dependants may elect to participate in a defined benefit health insurance plan of the United Nations, provided they have met specific eligibility requirements, including 10 years of participation in a United Nations health plan for those who were recruited after 1 July 2007 and 5 years for those who were recruited prior to that date. The after-service health insurance liability represents the present value of the share of peacekeeping operations of medical insurance costs for retirees and the post-retirement benefit accrued to date by active staff. A factor in the after-service health insurance valuation is to consider contributions from all plan participants in determining the residual liability of peacekeeping operations. Contributions from retirees are deducted from the gross liability and a portion of the contributions from active staff is also deducted to arrive at the residual liability of peacekeeping operations in accordance with the cost-sharing ratios authorized by the General Assembly.

81. **Repatriation benefits.** Upon end of service, staff who meet specific eligibility requirements, including residency outside their country of nationality at the time of separation, are entitled to repatriation benefits, comprising a repatriation grant based upon length of service and travel and removal expenses. A liability is recognized from when the staff member joins a peacekeeping operation and is measured as the present value of the estimated liability for settling these entitlements.

82. **Annual leave.** The liabilities for annual leave represent unused accumulated leave days that are projected to be settled by means of a monetary payment to employees upon their separation from the Organization. The United Nations recognizes as a liability the actuarial value of the total accumulated unused leave days of all staff members, up to a maximum of 60 days (18 days for temporary staff) as at the date of the statement of financial position. The methodology applies a last-in-first-out assumption in the determination of the annual leave liabilities, whereby staff members gain access to current period leave entitlements before they gain access to accumulated annual leave balances relating to prior periods. Effectively, the accumulated annual leave benefit is accessed more than 12 months after the end of the reporting period in which the benefit arose and, overall, there is an increase in the level of accumulated annual leave days, pointing to the commutation of accumulated annual leave to a cash settlement at end of service as the true liability of the Organization. The accumulated annual leave benefit reflecting the outflow of economic resources from the Organization at end of service is therefore classified as “other long-term benefit”, noting that the portion of the accumulated annual leave benefit that is expected to be settled by means of a monetary payment within 12 months after the reporting date is classified as a current liability. In line with IPSAS 39: Employee benefits, other long-term benefits must be valued similarly as post-employment benefits; therefore, the peacekeeping operation values its accumulated annual leave benefit liability as a defined post-employment benefit that is actuarially valued.

Pension plan: United Nations Joint Staff Pension Fund

83. Peacekeeping operations constitute a member organization participating in the United Nations Joint Staff Pension Fund, which was established by the General Assembly to provide retirement, death, disability and related benefits to employees. The Fund is a funded, multi-employer defined benefit plan. As specified under article 3 (b) of the Regulations of the Pension Fund, membership in the Fund shall be open to the specialized agencies and to any other international, intergovernmental organization which participates in the common system of salaries, allowances and other

conditions of service of the United Nations and the specialized agencies. The plan exposes participating organizations to actuarial risks associated with the current and former employees of other organizations participating in the Fund, with the result that there is no consistent and reliable basis for allocating the obligations, plan assets and costs to individual organizations participating in the plan. Peacekeeping operations and the Fund, in line with other participating organizations in the Fund, are not in a position to identify their proportionate share of the defined benefit obligation, the plan assets and the costs associated with the plan with sufficient reliability for accounting purposes. Hence, peacekeeping operations have treated this plan as if it were a defined contribution plan in line with the requirements of IPSAS 39: Employee benefits. Contributions by peacekeeping operations to the plan during the financial year are recognized as employee benefit expenses in the statement of financial performance.

Termination benefits

84. Termination benefits are recognized as an expense only when the peacekeeping operation is demonstrably committed, without a realistic possibility of withdrawal, to a formal detailed plan either to terminate the employment of a staff member before the normal retirement date or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits to be settled within 12 months are reported at the amount expected to be paid. Where termination benefits will fall due more than 12 months after the reporting date, they are discounted if the impact of discounting is material.

Other long-term employee benefits

85. Other long-term employee benefit obligations are benefits, or portions of benefits, that are not due to be settled within 12 months after the end of the year in which employees provide the related service. Accumulated annual leave is an example of a long-term employee benefit.

86. Appendix D to the Staff Regulations and Rules governs compensation in the event of death, injury or illness attributable to the performance of official duties on behalf of the United Nations. Actuaries value these liabilities and actuarial gains or losses in the liability are recognized in the statement of changes in net assets.

Provisions

87. Provisions are liabilities recognized for future expenditure of an uncertain amount or timing. A provision is recognized if, as a result of a past event, the peacekeeping operation has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. The provision is measured as the best estimate of the amount required to settle the present obligation as at the reporting date. Where the effect of the time value of money is material, the provision is the present value of the amount expected to be required to settle the obligation.

88. Uncommitted balances of the current year appropriations and expired balances of the appropriations retained from prior years are required to be surrendered to the Member States. Investment income and other income are also returned to the Member States, together with the surrendered appropriations. At the reporting date, provisions are made for the surplus balances to be returned to the Member States with an adjustment to net assets. The surplus balances remain as provisions until the General Assembly decides the manner of their disposal.

Contingent liabilities

89. Contingent liabilities represent possible obligations that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of peacekeeping operations, or present obligations that arise from past events but are not recognized because it is not probable that an outflow of resources embodying economic benefits or service potential will be required to settle the obligations or because the amount of the obligations cannot be reliably measured.

Contingent assets

90. Contingent assets represent possible assets that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of peacekeeping operations.

Commitments

91. Commitments are future expenses that are to be incurred on contracts entered into by the reporting date and that peacekeeping operations have minimal, if any, discretion to avoid in the ordinary course of operations. Commitments include capital commitments (the amount of contracts for capital expenses that are not paid or accrued by the reporting date), contracts for the supply of goods and services that will be delivered to peacekeeping operations in future periods, non-cancellable minimum lease payments and other non-cancellable commitments.

Non-exchange revenue: assessed contributions

92. Assessed contributions for peacekeeping operations are assessed and approved for a one-year budget period. Assessed contributions are recognized as revenue at the beginning of the year.

93. Assessed contributions include the amounts assessed to the Member States to finance the activities of the peacekeeping operations in accordance with the scale of assessments determined by the General Assembly. Revenue from assessed contributions from Member States and from non-Member States is presented in the statement of financial performance.

Non-exchange revenue: voluntary contributions

94. Voluntary contributions and other transfers that are supported by legally enforceable agreements are recognized as revenue at the time the agreement becomes binding, which is the point when a peacekeeping operation is deemed to acquire control of the asset. Where cash is received subject to specific conditions, however, recognition is deferred until those conditions have been satisfied.

95. Voluntary pledges and other promised donations that are not supported by binding agreements with terms of offer and acceptance are recognized as revenue upon the receipt of cash. Unused funds returned to the donor are netted against revenue.

96. Revenue received under inter-organizational arrangements represents allocations of funding from agencies to enable a peacekeeping organization to administer projects or other programmes on their behalf.

97. In-kind contributions of goods above the recognition threshold of \$20,000 (per discrete contribution) are recognized as assets and revenue once it is probable that future economic benefits or service potential will flow to peacekeeping operations and the fair value of those assets can be measured reliably. For vehicles, prefabricated buildings, satellite communication systems, generators and network equipment, a

lower threshold of \$5,000 applies. Contributions in kind are initially measured at their fair value at the date of receipt, determined by reference to observable market values or by independent appraisals. Peacekeeping operations have elected not to recognize in-kind contributions of services but to disclose in-kind contributions of services above the threshold of \$20,000 in the notes to the financial statements.

Exchange revenue

98. Exchange transactions are those in which peacekeeping operations sell goods or services in exchange for compensation. Revenue comprises the fair value of consideration received or receivable for the sale of goods and services. Revenue is recognized when it can be reliably measured, when the inflow of future economic benefits is probable and when specific criteria have been met, as follows:

(a) Revenue from commissions and fees for technical, procurement, training, administrative and other services rendered to Governments, United Nations entities and other partners is recognized when the service is performed. As a practical expedient, operationally, revenue may be billed in advance, with service provision following shortly thereafter;

(b) Exchange revenue also includes income from the rental of premises, the sale of used or surplus property and income from net gains resulting from currency exchange adjustments.

Investment revenue

99. Investment revenue includes the share of peacekeeping operations of the cash pool net income and other interest income. The net cash pool income includes any gains or losses on the sale of investments, which are calculated as the difference between the sale proceeds and book value. Transaction costs that are attributable directly to investment activities are netted against income and the net income is distributed proportionately to all cash pool participants on the basis of their average daily balances.

Expenses

100. Expenses are decreases in economic benefits or service potential during the reporting year in the form of outflows or consumption of assets or incurrence of liabilities that result in decreases in net assets and are recognized on an accrual basis when goods are delivered and services are rendered, regardless of the terms of payment.

101. Employee salaries include international, national and general temporary staff salaries, post adjustment and staff assessment. The allowances and benefits include other staff entitlements, including pension and insurance subsidies, staff mission subsistence, assignment, repatriation, hardship and other allowances. Expenses for contingent contracted services relate to troop costs, contingent self-sustainment costs, contingent-owned equipment and contingent operations reimbursements, and compensation for troop death and disability costs. Non-employee compensation and allowances consist of living allowances and post-employment benefits for United Nations Volunteers, consultant fees, mission subsistence and clothing allowances, and death and disability, residential security and welfare costs for military observers and civilian police. Supplies and consumables expenses relate to spare parts and supplies for facilities, vehicles, machinery and equipment, and communications and information technology equipment, in addition to petroleum, oil and lubricant costs. This category of expenses also includes rations, medical supplies, uniforms and safety and security supplies. Grants and other transfers include outright grants and transfers to implementing agencies and partners for quick-impact projects and other direct support costs. Travel expenses include transportation, allowances and other related costs for staff and non-staff. Other operating expenses include maintenance,

contractual services, rental of aircraft, mine action services, security services, shared services, rental of facilities, insurance, contributions-in-kind expenses, loss allowance/allowance for bad debt and write-off expenses. Other expenses relate to hospitality and official functions, and ex gratia and compensation claims.

Note 4

Segment reporting

102. A segment is a distinguishable activity or group of activities for which financial information is reported separately in order to evaluate an entity's past performance in achieving its objectives and to make decisions about the future allocation of resources.

103. United Nations peacekeeping classifies its operations into three segments:

(a) Active missions

- | | | | |
|-----------|-----------|-----------|-----------|
| • UNFICYP | • UNDOF | • UNIFIL | • MINUSMA |
| • UNMIK | • MONUSCO | • UNMISS | • MINUSCA |
| • UNSOS | • UNISFA | • MINURSO | |

(b) Closed missions

- | | | | |
|---------------------|--------------------|-----------------------|---------------------------------|
| • MINUJUSTH | • UNMIL | • UNOCI | • UNSMIS |
| • UNMIT | • UNMIS | • MINURCAT | • UNOMIG |
| • UNMEE | • ONUB | • UNAMSIL/
UNOMSIL | • UNMISSET/
UNTAET |
| • UNIKOM | • UNMIBH | • UNMOT | • MIPONUH/
UNSMIH/
UNTMIH |
| • MINURCA | • MONUA/
UNAVEM | • UNPREDEP | • UNTAES/
UNPSG |
| • UNOMIL | • UNPF | • MINUGUA | • UNMIH |
| • UNAMIR/
UNOMUR | • ONUSAL | • ONUMOZ | • UNOSOM |
| • UNMLT | • UNTAC | • UNTAG | • UNIIMOG |
| • UNEF (1956) | • ONUC | • UNAMID | |

(c) Support activities

- | | |
|--|---|
| • Peacekeeping Reserve Fund | • Support account for peacekeeping operations |
| • United Nations Logistic Base/strategic deployment stocks | • Regional Service Centre |
| • Employee benefits funds | • Peacekeeping cost recovery |
| • Refurbishment and reuse of returned equipment | |

104. The United Nations Logistic Base commenced a return, refurbishment and reuse programme for refurbished assets aimed at improving the global management of assets, offering flexibility in planning the deployment of refurbished assets to entities of varying scope and needs, with optimal sourcing lead times.

105. The programme was presented to the General Assembly in the relevant report of the Secretary-General ([A/78/735](#), para. 43) and a dedicated fund was established in November 2023 to effectively manage its activities.

106. The segment revenue, expenses, assets and liabilities are set out below.

Segment performance and position, 30 June 2024

(Thousands of United States dollars)

<i>Current year</i>	<i>Active missions</i>	<i>Closed missions</i>	<i>Support activities</i>	<i>Eliminations</i>	<i>Total 2023/24</i>
Segment revenue					
Assessed contributions	6 296 373	–	–	–	6 296 373
Voluntary contributions	342 131	–	5 723	–	347 854
Transfers and allocations	–	–	491 878	(489 749) ^a	2 129
Other external sources	108 304	7 082	144 909	(107 485) ^b	152 810
Total revenue	6 746 808	7 082	642 510	(597 234)	6 799 166
Total segment expense	7 111 119	102 770	724 396	(597 234)	7 341 051
Deficit for the year	(364 311)	(95 688)	(81 886)	–	(541 885)
Segment assets	3 593 817	180 254	574 800	(376 682) ^c	3 972 189
Segment liabilities	2 160 208	436 172	1 717 204	(376 682) ^c	3 936 902
Total net assets	1 433 609	(255 918)	(1 142 404)	–	35 287
Capital expenditure	71 313	–	29 416	–	100 729

^a Allocation from active missions to support activities.

^b \$45.644 million for cost recovery between missions, \$58.812 million for the transfer of strategic deployment stocks to peacekeeping missions and the transfer of inventory and equipment between peacekeeping missions, and \$3.029 million for the allocation from active missions to the reserve fund for workers' compensation.

^c \$376.682 million in cross-borrowing between missions.

Segment performance and position, 30 June 2023

(Thousands of United States dollars)

<i>Current year</i>	<i>Active missions</i>	<i>Closed missions</i>	<i>Support activities</i>	<i>Eliminations</i>	<i>Total 2022/23</i>
Segment revenue					
Assessed contributions	6 493 937	—	—	—	6 493 937
Voluntary contributions	330 490	—	5 768	—	336 258
Transfers and allocations	—	—	472 772	(470 631) ^a	2 141
Other external sources	50 354	9 034	169 220	(71 268) ^b	157 340
Total revenue	6 874 781	9 034	647 760	(541 899)	6 989 676
Total segment expense	6 873 048	178 549	716 966	(541 899)	7 226 664
Surplus/(deficit) for the year	1 733	(169 515)	(69 206)	—	(236 988)
Segment assets	3 902 668	363 462	551 321	(387 570) ^c	4 429 881
Segment liabilities	2 099 003	525 312	1 680 779	(387 570) ^c	3 917 524
Total net assets	1 803 665	(161 850)	(1 129 458)	—	512 357
Capital expenditure	150 985	—	28 516	—	179 501

^a Allocation from active missions to support activities.^b \$59.968 million for cost recovery between missions, \$8.128 million for the transfer of strategic deployment stocks to peacekeeping missions and the transfer of inventory and equipment between peacekeeping missions, and \$3.172 million for the allocation from active missions to the reserve fund for workers' compensation.^c \$387.549 million in cross-borrowing between missions and \$0.021 million in receivables and payables between missions.**Note 5****Comparison to budget**

107. Statement V, the statement of comparison of budget and actual amounts, presents the difference between budget amounts, which are prepared on a modified cash basis, and actual expenditure on a comparable basis.

108. Approved budgets are those that permit expenses to be incurred and are approved by the General Assembly. For IPSAS reporting purposes, approved budgets are the appropriations authorized for each mission under Assembly resolutions.

109. Prorated costs relating to the support account for peacekeeping operations, the United Nations Logistics Base and the Regional Service Centre are calculated in accordance with the note by the Secretary-General on their financing ([A/C.5/77/31](#)).

Material differences

110. The original budget amounts are the appropriations and voluntary contributions approved on 30 June 2023 by the General Assembly for the financial year from 1 July 2023 to 30 June 2024. The final budget reflects the original budget appropriation with any amendments by the Assembly and commitment authorities approved by the Advisory Committee on Administrative and Budgetary Questions.

111. Material differences between the final budget appropriation and actual expenditure on a modified accrual basis are deemed to be those greater than 5 per cent, as shown in the table below.

<i>Mission</i>	<i>General Assembly resolution/Advisory Committee on Administrative and Budgetary Questions approval</i>	<i>Note</i>
MONUSCO	77/309	Expenditure was 5.47 per cent (\$64.0 million) less than the final budget The underexpenditure was due mainly to higher actual vacancy rates under military and police personnel compared with budgeted rates and to the reduced deployment of helicopters and a lower number of flight hours compared with the planned hours
UNFICYP	77/308	Non-material difference
UNDOF	77/291 B	
UNIFIL	77/313	
MINURSO	77/314	
UNMIK	77/311	
UNSOS	77/315	
UNISFA	77/290 B	
UNMISS	77/292 B and A/78/744/Add.13	
MINUSMA	77/312 and 78/250	
MINUSCA	77/307	
Support account	77/304	
United Nations Logistics Base – other activities	77/305	
Regional Service Centre	77/306	

112. The reconciliation between the actual amounts on a comparable basis in the statement of comparison of budget and actual amounts (statement V) and the actual amounts in the statement of cash flows (statement IV) is reflected in the table below.

Reconciliation of actual amounts on a comparable basis to statement of cash flows for the year ended 30 June 2024

(Thousands of United States dollars)

	<i>Operating</i>	<i>Investing</i>	<i>Financing</i>	<i>Total</i>
Actual amount on comparable basis (statement V)	(6 187 549)	–	–	(6 187 549)
Basis differences	(474 635)	(97 264)	–	(571 899)
Presentation differences	6 799 166	(71 091)	–	6 728 075
Actual amount in statement of cash flows (statement IV)	136 982	(168 355)	–	(31 373)

113. Basis differences capture the differences resulting from preparing the budget on a modified cash basis. In order to reconcile the budgetary results with the statement

of cash flows, the modified cash elements, such as commitments against budget, must be eliminated. These commitments do not represent cash flows while they pertain to budgetary expenditures. Similarly, IPSAS-specific differences such as payments against prior-year commitments and investing cash flows relating to acquisition of property, plant and equipment or intangible assets are included to reconcile the budgetary results to the statement of cash flows.

114. Entity differences represent cash flows of fund groups other than those of peacekeeping operations that are reported in the financial statements. The financial statements include results for all fund groups.

115. Timing differences occur when the budget period differs from the reporting period reflected in the financial statements. Given that the budget reflects the reporting period, there are no timing differences.

116. Presentation differences are differences in the format and classification approaches adopted for the presentation of the statement of cash flows and the statement of comparison of budget and actual amounts. An example of a format and classification difference would be that the amounts included in the comparison of budget and actual amounts are not separated into operating, investing and financing activities, as classified in the statement of cash flows. In general, all expenditure included in the budgets of peacekeeping operations are considered for operating purposes, and the expectation is therefore that the total for actual amounts on a comparable basis would be shown as an operating cash flow. An example of a presentation difference would include net changes in cash pool balances.

Note 6

Cash and cash equivalents

(Thousands of United States dollars)

	30 June 2024	30 June 2023
Cash on hand	3 099	2 772
Cash pool: cash at bank and term deposits (original maturity of 3 months or fewer)	171 200	202 900
Total cash and cash equivalents	174 299	205 672

Note 7

Receivables from non-exchange transactions: assessed contributions

(Thousands of United States dollars)

	30 June 2024	30 June 2023
Assessed contributions	2 261 837	2 474 020
Loss allowance on assessed contributions receivable	(748 662)	(647 445)
Assessed contributions receivable, net	1 513 175	1 826 575

Note 8

Receivables from non-exchange transactions: voluntary contributions

(Thousands of United States dollars)

	30 June 2024	30 June 2023
Voluntary contributions	5 141	5 196
Loss allowance on voluntary contributions receivable	(5 141)	(5 196)
Voluntary contributions receivable, net	–	–

Note 9

Other receivables

(Thousands of United States dollars)

	30 June 2024	30 June 2023
Member States	153 778	173 676
Receivables from United Nations-related party entities	8 079	20 332
Other exchange revenue receivables	8 102	14 065
Loss allowance for other receivables	(138 579)	(157 259)
Other receivables, net	31 380	50 814

Note 10

Inventories

117. Inventory balances held as at 30 June 2024 decreased by 14.4 per cent compared with the balances held the previous year. The levels of purchases and consumption decreased by 18.7 per cent and increased by 3 per cent, respectively.

118. The comparative purchase and consumption in 2022/23 have been restated following a review exercise to eliminate intra-warehouse transfers within mission, which were previously included.

(Thousands of United States dollars)

	Strategic reserves	Consumables and supplies	Total
Opening inventory as at 1 July 2022	72 555	257 102	329 657
Purchase ^a	30 556	179 545	210 101
Consumption ^a	(25 996)	(150 818)	(176 814)
Impairment and write-offs	(105)	(4 336)	(4 441)
Total inventory as at 30 June 2023	77 010	281 493	358 503
Purchase	34 272	135 269	169 541
Consumption	(28 066)	(153 885)	(181 951)
Impairment and write-offs	(3 846)	(35 453)	(39 299)
Total inventory as at 30 June 2024	79 370	227 424	306 794

^a Restated to conform to current year presentation. Purchases adjusted downward by \$162.878 million and consumption adjusted downward by \$162.878 million.

Note 11
Other assets

(Thousands of United States dollars)

	30 June 2024	30 June 2023
Deferred charges	14 636	16 416
Advances to UNDP and other United Nations agencies	29 663	17 335
Advances to military and other personnel	4 905	3 473
Advances to staff	3 429	3 435
Advances to vendors	2 541	2 182
Advance transfers	5 181	24 343
Other	798	679
Total other assets	61 153	67 863

Note 12
Property, plant and equipment

119. The net book value of property, plant and equipment as at 30 June 2024 was \$962.9 million (2022/23: \$1,161.0 million). The total cost of acquisitions during 2024 was \$100.5 million (2022/23: \$179.5 million). The overall reduction is attributable mainly to the ongoing liquidation of MINUSMA.

120. During the year, peacekeeping operations disposed of property, plant and equipment in the amount of \$161.7 million (2022/23: \$9.5 million) at net book value. Equipment was written down by \$39.0 million (2022/23: \$7.0 million), owing mainly to the liquidation of MINUSMA (\$30.9 million). The reasons for disposal include equipment declared surplus (i.e., items that are excess to requirements), amounting to \$26.6 million, mainly as a result of the liquidation of MINUSMA (2022/23: \$1.3 million), normal wear and tear of \$7.2 million (2022/23: \$4.7 million), hostile actions, items reported lost and theft of \$3.1 million (2022/23: \$0.8 million) and damage, accidents and malfunctions of \$2.0 million (2022/23: \$0.2 million). Buildings and infrastructure were written down by \$122.8 million (2022/23: \$2.5 million), of which losses uneconomical to recover amounted to \$4.5 million (2022/23: \$2.5 million). The write-down of buildings and infrastructure is attributable mainly to MINUSMA (\$122.1 million).

121. During the year, machinery and equipment assets were impaired by \$0.05 million (2022/23: nil).

122. Peacekeeping operations had no significant heritage assets as at the reporting date (2022/23: none).

Property, plant and equipment: 2023/24

(Thousands of United States dollars)

	<i>Buildings</i>	<i>Infrastructure</i>	<i>Leasehold improvements</i>	<i>Furniture and fixtures</i>	<i>Communications and information technology equipment</i>	<i>Vehicles</i>	<i>Machinery and equipment</i>	<i>Assets under construction</i>	<i>Total</i>
Cost as at 1 July 2023	948 852	536 059	422	3 626	303 924	658 938	406 495	55 765	2 914 081
Additions	18 476	1 152	–	–	12 718	29 861	21 881	16 398	100 486
Disposals	(138 847)	(177 563)	–	(461)	(53 723)	(90 651)	(63 260)	–	(524 505)
Completed assets under construction	5 632	18 932	–	–	–	–	–	(24 564)	–
Transfers and others ^a	5 918	2 399	–	25	1 634	29 259	23 407	–	62 642
Cost as at 30 June 2024	840 031	380 979	422	3 190	264 553	627 407	388 523	47 599	2 552 704
Accumulated depreciation and impairment as at 1 July 2023	(553 188)	(235 552)	(422)	(2 879)	(233 184)	(463 804)	(264 070)	–	(1 753 099)
Depreciation	(42 929)	(24 497)	–	(153)	(19 620)	(37 760)	(31 365)	–	(156 324)
Disposals	126 598	59 870	–	461	49 495	75 352	50 983	–	362 759
Transfers and others ^a	(2 865)	1 646	–	(5)	(118)	(21 763)	(19 974)	–	(43 079)
Impairment	–	–	–	–	–	–	(51)	–	(51)
Accumulated depreciation and impairment as at 30 June 2024	(472 384)	(198 533)	(422)	(2 576)	(203 427)	(447 975)	(264 477)	–	(1 589 794)
Net carrying amount									
1 July 2023	395 664	300 507	–	747	70 740	195 134	142 425	55 765	1 160 982
Net carrying amount 30 June 2024	367 647	182 446	–	614	61 126	179 432	124 046	47 599	962 910

^a Others includes in-year adjustments to property, plant and equipment.

Property, plant and equipment: 2022/23

(Thousands of United States dollars)

	<i>Buildings</i>	<i>Infrastructure</i>	<i>Leasehold improvements</i>	<i>Furniture and fixtures</i>	<i>Communications and information technology equipment</i>	<i>Vehicles</i>	<i>Machinery and equipment</i>	<i>Assets under construction</i>	<i>Total</i>
Cost as at 1 July 2022	923 203	496 561	422	3 712	304 379	649 422	391 645	57 518	2 826 862
Additions	30 566	15 134	–	–	21 347	43 851	30 268	38 335	179 501
Disposals ^a	(11 653)	(8 123)	–	(86)	(21 802)	(34 335)	(15 418)	(865)	(92 282)
Completed assets under construction	6 736	32 487	–	–	–	–	–	(39 223)	–
Cost as at 30 June 2023	948 852	536 059	422	3 626	303 924	658 938	406 495	55 765	2 914 081
Accumulated depreciation and impairment as at 1 July 2022	(517 911)	(209 298)	(422)	(2 819)	(228 983)	(455 551)	(245 524)	–	(1 660 508)
Depreciation	(46 786)	(27 901)	–	(146)	(24 525)	(34 924)	(30 978)	–	(165 260)
Disposals ^a	11 509	1 647	–	86	20 324	26 671	12 432	–	72 669
Impairment	–	–	–	–	–	–	–	–	–
Accumulated depreciation and impairment as at 30 June 2023	(553 188)	(235 552)	(422)	(2 879)	(233 184)	(463 804)	(264 070)	–	(1 753 099)
Net carrying amount									
1 July 2022	405 292	287 263	–	893	75 396	193 871	146 121	57 518	1 166 354
Net carrying amount 30 June 2023	395 664	300 507	–	747	70 740	195 134	142 425	55 765	1 160 982

^a \$10.0 million in net asset transfers have been reported under disposals.

Note 13 Intangible assets

(Thousands of United States dollars)

	<i>Software developed internally</i>	<i>Licence rights</i>	<i>Assets under development</i>	<i>Total</i>
Opening cost as at 1 July 2023	4 853	282	543	5 678
Additions	—	—	243	243
Total cost as at 30 June 2024	4 853	282	786	5 921
Opening accumulated amortization as at 1 July 2023	(3 084)	(282)	—	(3 366)
Amortization	(434)	—	—	(434)
Closing accumulated amortization as at 30 June 2024	(3 518)	(282)	—	(3 800)
Net book value as at 1 July 2023	1 769	—	543	2 312
Net book value as at 30 June 2024	1 335	—	786	2 121

123. During the current financial period, peacekeeping operations contributed \$17.6 million (2022/23: \$17.2 million) towards the continuing global enterprise resource planning support cost. Related capitalizable expenditure is incorporated into the intangible asset reported in volume I of the financial statements of the United Nations, and the costs shared by peacekeeping operations are expensed in these financial statements.

Note 14 Accounts payable

(Thousands of United States dollars)

	<i>30 June 2024</i>	<i>30 June 2023</i>
Accruals for goods and services	323 186	482 906
Vendor payables	162 301	161 831
Payables to United Nations related party entities	24 355	18 310
Transfers payable	1 038	919
Other	10 225	11 258
Subtotal accounts payable and accrued liabilities	521 105	675 224
Member States accounts payable	1 146 828	1 041 618
Total accounts payable	1 667 933	1 716 842

Note 15 Advance receipts

124. Advance receipts relate to contributions received that will be applied to the subsequent years' assessment, as well as deferred income.

(Thousands of United States dollars)

	30 June 2024	30 June 2023
Advance receipts from Member States	3 766	47 503
Deferred income	372	12 809
Total advance receipts	4 138	60 312

Note 16**Employee benefits liabilities**

(Thousands of United States dollars)

	Current	Non-current	Total
30 June 2024			
After-service health insurance	21 753	1 324 504	1 346 257
Annual leave	10 930	74 874	85 804
Repatriation benefits	26 869	159 773	186 642
Subtotal defined benefit liabilities	59 552	1 559 151	1 618 703
Accrued salaries and allowances	45 868	—	45 868
Appendix D/workers' compensation	2 397	40 042	42 439
Total employee benefits liabilities	107 817	1 599 193	1 707 010
30 June 2023			
After-service health insurance	11 439	1 277 630	1 289 069
Annual leave	5 392	100 369	105 761
Repatriation benefits	11 419	183 985	195 404
Subtotal defined benefit liabilities	28 250	1 561 984	1 590 234
Accrued salaries and allowances	49 066	74	49 140
Appendix D/workers' compensation	1 587	35 753	37 340
Total employee benefits liabilities	78 903	1 597 811	1 676 714

125. The liabilities arising from post-employment benefits and the workers' compensation programme under appendix D to the Staff Regulations and Rules are determined by independent actuaries in accordance with IPSAS 39: Employee benefits. The full actuarial valuation for after-service health insurance, annual leave and repatriation benefits is usually undertaken every two years, with a rolled-forward valuation performed between full valuation cycles. The most recent full actuarial valuation was conducted as at 30 June 2024, while the actuarially valued balances as of 30 June 2023 represent a roll-forward of the December 2022 valuation results.

126. The after-service health insurance programme provides eligible staff members with continued health insurance coverage throughout their retirement under the same health insurance schemes available to active United Nations staff. Premium rates established for all such health plans are reviewed and, where necessary, revised annually to ensure that a sufficient level of operational reserves is available to maintain each plan.

127. The General Assembly establishes ratios for the share of contributions of the Organization and the staff to the United Nations health insurance plans. Currently, contribution ratios between the Organization and active and retired staff for the health

insurance plans are 2 to 1 for all United States-based plans, 1 to 1 for non-United States-based plans administered by Headquarters and 3 to 1 for the Medical Insurance Plan.

128. The after-service health insurance programme is funded on a pay-as-you-go basis as medical benefits are accessed by retirees, with increasing costs attributable notably to changing demographics, improved life expectancy and the increased cost of healthcare services. To address the growing costs of health insurance, the Organization has, over the years, adopted cost-containment initiatives while ensuring that participants continue to have access to appropriate insurance coverage to meet their healthcare needs. Health insurance costs are controlled by the manner in which the plans are structured and through ongoing reviews of plan provisions and benefits offered. To manage the inherent risks related to funding, the Organization periodically carries out a funding study of the after-service health insurance programme in order to analyse and explore options for the improvement of efficiency and the containment of costs and liabilities associated with the Organization's health insurance obligations.

Defined end-of-service/post-employment benefits liabilities

Actuarial valuation: main assumptions

129. The principal actuarial assumptions used to determine the employee benefits obligations on 30 June 2024 and 30 June 2023 are shown below. Discount rates and healthcare cost trend rates were updated as at 30 June 2024. All other assumptions were reviewed and updated, as applicable, as at 31 December 2023.

Discount rates

(Percentage)

<i>Assumption</i>	<i>After-service health insurance</i>	<i>Repatriation benefits</i>	<i>Annual leave</i>
Discount rates (30 June 2024)	5.19	5.29	5.36
Discount rates (30 June 2023)	5.09	5.06	5.08

130. The updated yield curves of Aon Hewitt, a human capital and management consulting firm, were used for discount rate assumptions. The Task Force on Accounting Standards approved the use of the United States dollar, the eurozone and the Swiss franc yield curves for the actuarial valuation. The above rates are based on the assumption that most cash flows occur in United States dollars except for: (a) the GKK (Wiener Gebietskrankenkasse), the supplemental medical insurance plan and the full medical insurance plan, which use the eurozone yield curve; and (b) the United Nations Staff Mutual Insurance Society against Sickness and Accidents plan, which uses the Swiss franc yield curve. For currencies other than the United States dollar, the euro or the Swiss franc, the United States dollar was used as a proxy for the discount rate computation.

131. Another assumption that had an impact on the actuarially valued employee benefits liabilities, in addition to the discount rates discussed above, included changes in the per capita claims cost by age. The table below shows the per capita claims cost assumption at 65 years old.

Per capita claims cost (at 65 years of age)

(United States dollars)

<i>Plan</i>	<i>30 June 2024</i>	<i>30 June 2023</i>
United States plans		
Aetna/HIP/HMO – no Medicare	13 055	16 864
Aetna/HIP/HMO – Medicare	10 102	11 714
Blue Cross – no Medicare	14 380	13 405
Blue Cross – Medicare	8 291	11 462
Cigna Dental	910	1 121
Non-United States plans		
UNSMIS	6 331	7 444
Cigna WWP	3 630	3 942
FMIP/SMIP/GKK	3 626	3 942
MIP	2 395	2 215

Abbreviations: FMIP, full medical insurance plan; GKK, Wiener Gebietskrankenkasse; HIP, health insurance plan of New York; HMO, health maintenance organization; MIP, medical insurance plan; SMIP, supplemental medical insurance plan; UNSMIS, United Nations Staff Mutual Insurance Society against Sickness and Accidents; WWP, worldwide plan.

132. The per capita claim costs for the after-service health insurance plans are updated to reflect recent claims and enrolment experience.

133. The healthcare cost trend rate assumption reflects the current short-term expectations of the after-service health insurance plan cost changes in future years. The healthcare cost trend rates are based on the Aon Hewitt long-term assumptions. The age-related increases in claims used in the actuarial valuation were reviewed in December 2023.

Healthcare cost trend assumptions

(Percentage)

	<i>30 June 2024</i>			<i>30 June 2023</i>		
	<i>Initial</i>	<i>Final</i>	<i>Grade down</i>	<i>Initial</i>	<i>Final</i>	<i>Grade down</i>
United States non-Medicare	8.00	3.85	7 years	6.50	3.85	9 years
United States Medicare	7.40	3.85	7 years	6.50	3.85	9 years
United States dental	3.85	3.85	N/A	6.50	3.85	9 years
Non-United States, Switzerland	8.00	2.35	6 years	4.25	2.55	6 years
Non-United States, eurozone	7.70	4.05	12 years	5.20	4.15	11 years

Abbreviation: N/A, not applicable.

Mortality rates

134. For defined benefit plans, assumptions regarding future mortality are based on published statistics and mortality tables. Pre-retirement mortality, as well as withdrawal and retirement assumptions, are consistent with those used by the United Nations Joint Staff Pension Fund in making its actuarial valuation. In line with the recommendations of the Task Force on Accounting Standards, the post-retirement mortality table applied for the December 2023 and June 2024 valuations is the

weighted headcount mortality table provided by Buck, a firm that provides pensions and employee benefits consulting services.

Actuarial valuation: other assumptions

135. With regard to the valuation of repatriation benefits, inflation in travel costs was assumed to be 2.5 per cent on the basis of the projected United States inflation rate over the coming 20 years.

136. Annual leave balances were assumed to increase at the following annual rates during the staff member's projected years of service: 0–1 year, 8.1 days; 2–3 years, 4.1 days; 4–8 years, 1.9 days; 9–15 years, 1 day; and 16 or more years, 0.4 days, up to the maximum of 60 days. The attribution method is used for annual leave actuarial valuation.

137. The estimated duration of the benefit plans as at 30 June 2024 is as follows:

<i>Benefits plan</i>	<i>Estimated duration (years)</i>
After-service health insurance	21
Repatriation grant	6
Annual leave	7

138. The table below presents the currency allocation used to determine the discount rates and healthcare cost trend rates applicable to each plan. For currencies other than the United States dollar, euro or Swiss franc, the dollar was used as a proxy for the computation of the rates.

(Percentage)

<i>Benefits plan</i>		<i>United States dollar</i>	<i>Swiss franc</i>	<i>Euro</i>
After-service health insurance	Cigna WWP	73	6	21
	MIP	95	–	5
	UNSMIS	12	75	13
	FMIP/SMIP/GKK	–	–	100
	Other medical plans	100	–	–
Repatriation grant		100	–	–
Annual leave		100	–	–

Abbreviations: FMIP, full medical insurance plan; GKK, Wiener Gebietskrankenkasse; MIP, medical insurance plan; UNSMIS, United Nations Staff Mutual Insurance Society against Sickness and Accidents; WWP, worldwide plan.

Movement in employee benefits liabilities accounted for as defined benefit plans

(Thousands of United States dollars)

	<i>30 June 2024</i>	<i>30 June 2023</i>
Net defined benefit liability at 1 July	1 590 234	1 524 432
Current service cost	58 482	60 581
Interest cost	79 513	74 872
Benefits paid	(51 033)	(59 216)
Total net costs recognized in the statement of financial performance	86 962	76 237

	30 June 2024	30 June 2023
Actuarial gains recognized directly in the statement of changes in net assets ^a	(58 493)	(10 435)
<i>Due to changes in financial assumptions</i>	176 927	(10 435)
<i>Due to changes in demographic assumptions</i>	(19 712)	–
<i>Due to experience adjustment</i>	(215 708)	–
Net defined benefit liability at 30 June	1 618 703	1 590 234

^a The cumulative amount of actuarial gains and losses recognized in the statement of changes in net assets is a net gain of \$790.130 million (2022/23: net gain of \$731.637 million).

139. The after-service health insurance portion of the actuarially valued liability is the largest defined benefit liability among those reported in the present financial statements and therefore has the most impact on the calculation of the actuarial gains and losses, with the following noted for the June 2024 valuation:

(a) The actuarial loss due to financial assumptions of \$176.9 million from valuation of the after-service health insurance benefit is attributable mainly to higher medical inflation rates (\$70.7 million) and an increase in the per capita claims cost (\$133.8 million), offset in part by the impact of the increase in the discount rates (\$76.0 million);

(b) The actuarial gain of \$215.7 million from the change in experience is mainly a result of the reduction in the number of active peacekeeping staff between June 2023 and 2024 due to the drawdown of mission personnel.

Discount rate sensitivity analysis

140. Should the discount rate assumption vary by 0.5 per cent, its impact on the obligations would be as shown below.

(Thousands of United States dollars)

	<i>After-service health insurance</i>	<i>Repatriation benefits</i>	<i>Annual leave</i>
30 June 2024			
Increase of discount rate by 0.5 per cent	(131 005)	(4 977)	(2 705)
As a percentage of end-of-year liability	(10)	(3)	(3)
Decrease of discount rate by 0.5 per cent	151 686	5 259	2 883
As a percentage of end-of-year liability	11	3	3
30 June 2023			
Increase of discount rate by 0.5 per cent	(115 932)	(6 549)	(3 993)
As a percentage of end-of-year liability	(9)	(3)	(4)
Decrease of discount rate by 0.5 per cent	128 025	6 809	4 170
As a percentage of end-of-year liability	10	3	4

Medical cost sensitivity analysis

141. The principal assumption in the valuation of the after-service health insurance is the rate at which medical costs are expected to increase in the future. The sensitivity analysis looks at the change in liability due to changes in the medical cost rates while holding other assumptions constant, such as the discount rate. Should the medical cost trend assumption vary by 0.5 per cent, this would have an impact on the measurement of the defined benefit obligations as shown below.

(Thousands of United States dollars)

	30 June 2024		30 June 2023	
	Increase	Decrease	Increase	Decrease
0.5 per cent movement in the assumed medical cost trend rates				
Effect on the after-service health insurance defined benefit liabilities	148 205	(129 288)	154 139	(133 593)
Effect on the aggregate of the current service cost and interest cost	14 071	(12 115)	17 323	(14 791)

142. The claims cost sensitivity analysis, at 65 years, is presented below.

(Thousands of United States dollars)

Scenario	After-service health insurance defined benefit liability as at 30 June 2024	Impact	Impact (percentage)
Central	1 346 257	—	—
Increase by 1 per cent	1 359 683	13 425	1
Decrease by 1 per cent	1 332 832	(13 425)	(1)

143. The sensitivity analysis for changes in life expectancy is summarized below.

(Thousands of United States dollars)

Scenario	After-service health insurance defined benefit liability as at 30 June 2024	Impact	Impact (percentage)
Central	1 346 257	—	—
Increase by 1 year	1 398 649	52 392	4
Decrease by 1 year	1 294 526	(51 732)	(4)

Other defined benefit plan information

144. The benefits paid are estimates of what would have been paid to separating staff and/or retirees during the year on the basis of the pattern of rights acquisition under each scheme: after-service health insurance, repatriation and commutation of accrued annual leave.

Benefits paid, net of participant contributions

(Thousands of United States dollars)

Year ended	After-service health insurance	Repatriation benefits	Annual leave	Total
30 June 2024	18 125	23 254	9 654	51 033
30 June 2023	21 589	25 533	12 094	59 216

Historical information: total after-service health insurance, annual leave and repatriation defined benefits liability, as at 30 June

(Thousands of United States dollars)

	2024	2023	2022	2021	2020
Present value of defined benefit obligations	1 618 703	1 590 234	1 524 432	2 071 233	1 911 640

Other employee benefit liabilities*Accrued salaries and allowances*

145. Other accrued salaries liabilities as at the reporting date include accruals for home leave of \$21.7 million (2022/23: \$23.4 million), repatriation and resettlement allowances of \$5.4 million (2022/23: \$5.8 million), family visits of \$0.9 million (2022/23: \$1.1 million), compensatory time off of \$1.5 million (2022/23: \$2.1 million) and other accrued salaries and other benefits of \$16.3 million (2022/23: \$16.7 million).

Appendix D/workers' compensation costs actuarial valuation: assumptions

146. The fund for compensation payments relates to death, injury or illness attributable to the performance of official duties. The rules governing the compensation payments are under appendix D to the Staff Regulations and Rules. The fund derives its revenue from a charge of 0.5 per cent of net base salary, including post adjustment, which is recorded as employee expenses against the budgets of peacekeeping missions. The fund covers appendix D claims submitted by peacekeeping personnel, covering monthly death and disability benefits and lump-sum payments for injury or illness, as well as medical expenses.

147. The workers' compensation liability is actuarially valued. The liabilities are determined from the projected benefits, which are adjusted for cost-of-living allowance and for mortality and then discounted to present value. Obligations as at 30 June 2024, estimated at \$42.4 million, are based on a roll-forward of the 31 December 2023 valuation. The cost-of-living adjustment used in the valuation on 30 June 2024 was 2.3 per cent (2022/23: 2.4 per cent). Mortality assumptions are based on World Health Organization statistical tables. As with defined benefit liabilities, Aon Hewitt yield curves are used in determining discount rates.

148. The sensitivity analysis looks at the change in liability resulting from changes in the cost-of-living adjustment and in the discount rates. A change of 1 per cent would have an impact on the measurement of the appendix D obligation as shown below.

(Thousands of United States dollars)

	30 June 2024	30 June 2023
Increase of cost-of-living adjustment by 1 per cent	6 125	4 765
As a percentage of end-of-year liability	14	13
Decrease of cost-of-living adjustment by 1 per cent	(5 013)	(3 822)
As a percentage of end-of-year liability	(12)	(10)
Increase of discount rate by 1 per cent	(4 674)	(3 795)
As a percentage of end-of-year liability	(11)	(10)
Decrease of discount rate by 1 per cent	5 778	4 106
As a percentage of end-of-year liability	14	11

United Nations Joint Staff Pension Fund

149. It is stated in the Regulations of the United Nations Joint Staff Pension Fund that the Pension Board shall have an actuarial valuation made of the Fund at least once every three years by a consulting actuary. The practice of the Pension Board has been to carry out an actuarial valuation every two years using the open group aggregate method. The primary purpose of the actuarial valuation is to determine whether the current and estimated future assets of the Fund will be sufficient to meet its liabilities.

150. The financial obligation of the United Nations peacekeeping operations to the Fund consists of mandated contributions, based on rates established by the General Assembly

(currently at 7.90 per cent for participants and 15.80 per cent for member organizations), together with a share of any actuarial deficiency payments under article 26 of the Regulations of the Pension Fund. Such deficiency payments are payable only if and when the Assembly has invoked the provision of article 26, following a determination that there is a requirement for deficiency payments based on an assessment of the actuarial sufficiency of the Fund as at the valuation date. Each member organization shall contribute to remedying this deficiency with an amount proportionate to the total contributions that each paid during the three years preceding the valuation date.

151. The most recent actuarial valuation for the Fund was completed as at 31 December 2023, and this was reflected in the Fund's 2023 financial statements. A roll-forward of the participation data as at 31 December 2021 to 31 December 2022 was used by the Fund for its 2022 financial statements.

152. The actuarial valuation performed as at 31 December 2023 resulted in a funded ratio of actuarial assets to actuarial liabilities of 111.0 per cent (2021: 117.1 per cent). The funded ratio was 152.0 per cent (2021: 158.2 per cent) when the current system of pension adjustments was not taken into account.

153. After assessing the actuarial sufficiency of the Fund, the consulting actuary concluded that there was no requirement, as at 31 December 2023, for deficiency payments under article 26 of the Regulations of the Fund, given that the actuarial value of assets exceeded the actuarial value of all accrued liabilities under the Fund. In addition, the market value of assets also exceeded the actuarial value of all accrued liabilities as at the valuation date. At the time of reporting, the General Assembly had not invoked the provision of article 26.

154. The Board of Auditors carries out an annual audit of the Fund and reports to the Pension Board and to the General Assembly on the audit every year. The Fund publishes quarterly reports on its investments, which can be viewed on the Fund's website (www.unjspf.org).

Note 17 **Provisions**

155. The peacekeeping missions are subject to a variety of claims that arise in the course of their operations. These claims are segregated into two main categories: commercial and administrative law claims. As at the reporting date, several commercial claims for non-performance or breach of contract and non-consensual use of premises were pending against several peacekeeping operations in various locations. As at 30 June 2024, the amount to settle these cases was estimated at \$14.4 million (2022/23: \$9.7 million), including \$7.0 million (2022/23: \$6.2 million) carried over from the prior year. A provision of \$0.8 million (2022/23: \$0.4 million) was established for administrative cases brought by current or former employees. The timing of the outflows for these commercial claims and administrative cases is estimated to be within one year.

156. The restoration provisions of \$10.9 million (2022/23: \$11.3 million) to return premises to their original shape and condition upon vacation of the premises includes new provisions of \$0.06 million (2022/23: \$0.4 million) for MINUSCA. The timing of the outflows for restoration provisions cannot be reasonably estimated.

157. Provisions have been made in the amount of \$387.2 million (2022/23: \$274.3 million) for credits to Member States. Provisions of \$85.1 million were retained for MINUSTAH/MINUJUSTH and the African Union-United Nations Hybrid Operation in Darfur. Those provisions totalled \$472.3 million (2022/23: \$366.0 million). The credits to Member States for active missions comprise uncommitted appropriations of \$156.5 million (2022/23: \$78.1 million), investment revenue, other revenue and prior-period adjustment of \$87.4 million (2022/23:

\$90.7 million) and cancellation of prior-period commitments amounting to \$143.3 million (2022/23: \$105.5 million). The disposal of these provisions for credits to Member States will be decided by the General Assembly in the next fiscal year.

(Thousands of United States dollars)

	<i>Credits to Member States</i>	<i>Litigation and claims</i>	<i>Restoration</i>	<i>Restructuring</i>	<i>Total</i>
Provisions as at 1 July 2022	259 437	9 363	11 298	–	280 098
Additional provisions made	274 318	3 906	391	16 973	295 588
Unused amounts reversed	–	(2 455)	(436)	–	(2 891)
Amounts used	(167 716)	(732)	–	–	(168 448)
Provisions as at 30 June 2023	366 039	10 082	11 253	16 973	404 347
Additional provisions made	387 185	8 090	56	–	395 331
Unused amounts reversed	–	(1 758)	(380)	–	(2 138)
Amounts used	(280 933)	(1 218)	–	(16 973)	(299 124)
Provisions as at 30 June 2024	472 291	15 196	10 929	–	498 416

Note 18

Other liabilities

158. Peacekeeping operations have payables due to the United Nations Special Account and the United Nations Bond Account (United Nations operations are reported in volume I) in the amount of \$47.4 million (2022/23: \$47.4 million), of which \$37.4 million relates to ONUC and \$10.0 million relates to UNEF. Those missions were operational before the current financing mechanism for peacekeeping operations was established, and closed on 30 June 1964 and 30 June 1967, respectively. The repayment of these payables depends on collections of outstanding contributions from Member States.

159. In addition to the amounts above, other payables also include a balance of \$10.4 million, representing 25 per cent of the apportionment of the special assessment levied by the General Assembly on economically developed countries in order to meet reserve requirements of UNEF during the period 1965–1967, amounting to \$3.5 million for 1965 pursuant to section II of Assembly resolution 2115 (XX) and \$3.5 million for 1966 pursuant to section III of the same resolution; and for 1967, \$3.3 million pursuant to resolution 2194 B (XXI). Such additional contributions are reimbursable on a pro rata basis when the Assembly shall determine that all or part of these additional contributions are no longer needed. The remaining balance of \$1.4 million is related to staff assessment credits transferred in 1969 from the Tax Equalization Fund to ONUC (\$0.9 million) and UNEF (\$0.5 million), representing Member States' credits for staff assessment income not required to meet the cost of income tax refunds.

(Thousands of United States dollars)

	<i>30 June 2024</i>	<i>30 June 2023</i>
Borrowings	47 376	47 376
Other liabilities	12 029	11 933
Total other liabilities	59 405	59 309

Note 19

Accumulated surpluses/deficits

160. The unrestricted accumulated deficit includes the accumulated deficit for liabilities for after-service health insurance, repatriation benefits and annual leave. It also includes the cumulative surplus of strategic deployment stocks, which is carried over to the next financial year for the replenishment of stocks, and the cumulative surplus in the peacekeeping cost-recovery fund, which is carried over for spending.

Accumulated surplus: restricted

161. On a number of occasions, the General Assembly has authorized UNDOF and UNIFIL to retain surpluses that otherwise would have been returned to Member States. Accumulated surpluses of \$36.0 million and \$19.6 million in UNDOF and UNIFIL, respectively, are presented as restricted in the statement of financial position and the statement of changes in net assets. Those amounts correspond to the unpaid assessed contributions that were put on hold by the Assembly in its resolution [36/116 A](#).

162. In its resolution [57/323](#), the General Assembly decided to suspend the return of accumulated surpluses for UNSMIH, UNTMIH, MIPONUH, MINURCA, MINUGUA, UNOSOM and UNTAC in the light of the cash shortages in those missions. The accumulated surpluses of those missions are presented as restricted in the statement of financial position and the statement of changes in net assets.

Note 20

Reserves

(Thousands of United States dollars)

	30 June 2024	01 July 2023	30 June 2023
Peacekeeping reserve fund	150 000	150 000	150 000
Fair value reserve	(3 745)	(12 932)	–
Total reserves	146 255	137 068	150 000

Peacekeeping Reserve Fund

163. The Peacekeeping Reserve Fund was established as a cash flow mechanism to support the rapid response of peacekeeping operations to meet expenses and capital requirements for the start-up or expansion of peacekeeping operations. By its resolution [76/272](#) of 29 June 2023 (see also [A/76/7/Add.29](#), para. 42), the General Assembly approved the use of the Fund as a liquidity mechanism up to the level of \$110 million for active peacekeeping operations and the retention of \$40 million in reserve for the original intention of the Fund.

164. During the current financial period, the Fund provided new loans to UNMIK and UNMISS. As at the reporting date, outstanding advances to active peacekeeping operations amounted to \$105.2 million (\$22.6 million to UNMIK and \$82.6 million to UNMISS).

165. In addition, outstanding advances in an amount of \$12.8 million were due from MINURCA as at the reporting date (2022/23: \$12.8 million), which have been outstanding since February 2000 owing to insufficient cash resources in the now closed mission.

166. As at the reporting date, the Fund had reserves of \$150.0 million (2022/23: \$150.0 million) and a cumulative surplus of \$11.5 million (2022/23: cumulative surplus of \$3.3 million), including investment revenue of \$6.7 million for the period ended 30 June 2024 (2022/23: \$4.1 million). Future treatment regarding the cumulative surplus will be decided upon by the General Assembly.

Fair value reserve

167. In accordance with IPSAS 1, gains and losses on financial assets measured at fair value through net assets/equity are to be presented in a dedicated reserve. As at the reporting date, the unrealized loss reported under the fair value reserve amounted to \$3.745 million, representing the net cumulative impact of the year-end revaluation on investments following the adoption of IPSAS 41.

Note 21**Revenue from non-exchange transactions and other revenue***Assessed contributions*

168. Assessed contributions of \$6,296.4 million (2022/23: \$6,493.9 million) have been recorded in accordance with the Financial Regulations and Rules, the relevant resolutions of the General Assembly and the policies of the United Nations, on the basis of the peacekeeping scale of assessment.

Voluntary contributions

169. Revenue from in-kind contributions represents confirmed contributions of goods, landing rights fees, airport fees, vehicle registration fees and permission to use facilities and premises. On the basis of fair rental value, a total of \$307.8 million (2022/23: \$295.8 million) representing facilities and premises was provided during the reporting period. Landing fees and other fees at airports totalling \$13.4 million (2022/23: \$15.2 million) and vehicle registration fees of \$0.3 million (2022/23: \$0.1 million) were waived. A variety of goods were provided, and fees waived amounting to \$0.4 million (2022/23: \$0.4 million), bringing total in-kind contributions to \$321.9 million (2022/23: \$311.5 million).

170. Voluntary contributions budgeted as reported in statement V represent voluntary contributions in cash and in kind that were budgeted for UNFICYP and MINURSO, as approved by the General Assembly.

(Thousands of United States dollars)

	2023/24	2022/23
Voluntary monetary contributions (Member States)	25 935	24 790
Voluntary in-kind contributions (Member States)	321 919	311 468
Total voluntary contributions	347 854	336 258

171. In-kind contributions of services are not recognized and are therefore not included in the in-kind contributions revenue above. These comprise various fees for services that are usually charged. Such waived fees included airport passenger taxes of \$0.6 million (2022/23: \$0.8 million), radio frequency fees of \$4.2 million (2022/23: \$4.0 million) and other services amounting to \$0.8 million (2022/23: \$0.2 million).

Other transfers and allocations

172. The other transfers and allocations of \$2.1 million (2022/23: \$2.1 million) represent the allocation from special political missions to the Regional Service Centre.

Other revenue

173. The majority of other revenue was generated from the cost-recovery fund. The cost-recovery revenue of \$41.7 million (2022/23: \$80.7 million) comprises fuel,

facilities and logistical support provided to other United Nations agencies, Member States, non-governmental organizations and international agencies, vendors and other external entities. Including the revenue of \$45.6 million (2022/23: \$60.0 million) for the services provided between peacekeeping missions and, accordingly, eliminated in the consolidated financial statements, the revenue of the cost-recovery fund was \$87.3 million (2022/23: \$140.7 million).

(Thousands of United States dollars)

	2023/24	2022/23
Revenue generated from the cost-recovery fund	41 736	80 731
Revenue from sale of equipment and inventory	11 919	2 023
Net foreign exchange gains	1 382	2 076
Other miscellaneous revenue	5 667	4 316
Total other revenue	60 704	89 146

Note 22

Financial instruments and the cash pool

Cash pool

174. In addition to directly held cash and cash equivalents, peacekeeping operations participate in the United Nations Treasury main pool. The main pool comprises operational bank account balances in a number of currencies and investments in financial instruments. The pooling of funds has a positive effect on overall investment performance and risk, because of economies of scale and by virtue of the ability to spread yield curve exposures across a range of maturities. The allocation of main pool assets (cash and cash equivalents, short-term investments and long-term investments) and income is based on each participating entity's principal balance.

175. As at 30 June 2024, the main pool held total assets of \$11,318.1 million (2022/23: \$10,676.6 million), of which \$1,091.6 million (2022/23: \$960.0 million) pertained to peacekeeping operations. Their share of income from the main pool was \$91.7 million (2022/23: \$68.4 million).

Financial instruments

(Thousands of United States dollars)

	Note	30 June 2024	30 June 2023
Financial assets			
Fair value through net asset/equity^a			
Short-term investments – share of main pool ^b		681 940	478 702
Long-term investments – share of main pool ^c		238 417	278 458
Total fair value of investment		920 357	757 160
Cash and cash equivalents			
Cash and cash equivalents – share of main pool	6	171 200	202 900
Cash and cash equivalents – other	6	3 099	2 772
Total cash and cash equivalents		174 299	205 672

	Note	30 June 2024	30 June 2023
Receivables at amortized cost			
Assessed contributions	7	1 513 175	1 826 575
Other receivables	9	31 380	50 814
Other assets (excludes deferred charges)	11	46 517	51 447
Total receivables at amortized cost		1 591 072	1 928 836
Total carrying amount of financial assets		2 685 728	2 891 668
Total financial assets relating to assets held in the main pool		1 091 557	960 060
Financial liabilities at amortized cost			
Accounts payable – Member States	14	1 146 828	1 041 618
Accounts payable – other	14	521 105	675 224
Other liabilities (excludes borrowings)	18	12 029	11 933
Total liabilities at amortized cost		1 679 962	1 728 775
Summary of net income from financial assets			
Interest earned ^d		91 711	68 356
Other investment revenue/(loss)		395	(162)
Total investment revenue		92 106	68 194

^a Financial assets were held at fair value through surplus or deficit in 2022/23.

^b Carrying amount: \$684.273 million as at 30 June 2024; \$481.200 million as at 30 June 2023.

^c Carrying amount: \$239.887 million as at 30 June 2024; \$286.704 million as at 30 June 2023.

^d Includes \$0.013 million in bank account interest not earned through the cash pool.

Revenue from financial instruments

(Thousands of United States dollars)

	2023/24	2022/23
Financial instruments carried at fair value		
Investment revenue – share of main pool	91 698	66 793
Unrealized gains – share of main pool	–	1 563
Revenue from financial assets carried at fair value^a	91 698	68 356

^a An unrealized gain of \$9.187 million from cash pools' mark to market revaluation is reported under the statement of net assets in accordance with IPSAS 41 in 2024. In 2023, the corresponding unrealized gain of \$1.563 million was included as part of the investment revenue from the cash pool.

Financial risk management: overview

176. Peacekeeping operations have exposure to the following financial risks:

- (a) Credit risk;
- (b) Liquidity risk;
- (c) Market risk.

177. The present note provides information on the exposure of peacekeeping operations to these risks, the objectives, policies and processes for measuring and managing risk, and the management of capital.

Financial risk management: risk management framework

178. The risk management practices of peacekeeping operations are in accordance with the Financial Regulations and Rules and the United Nations Investment Management Guidelines. The United Nations Treasury is responsible for investment and risk management for the cash pools, including conducting investment activities in accordance with the Guidelines.

179. The objective of investment management is to preserve capital and ensure sufficient liquidity to meet operating cash requirements while attaining a competitive market rate of return on each investment pool. Investment quality, safety and liquidity are emphasized over the market-rate-of-return component of the objectives.

180. An investment committee periodically evaluates investment performance and assesses compliance with the Investment Management Guidelines and makes recommendations for updates to them. Other than those disclosed, peacekeeping operations have not identified any further risk concentrations arising from financial instruments.

181. Peacekeeping operations define the capital that they manage as the aggregate of their net assets, which comprises accumulated fund balances and reserves. The objectives are to safeguard the ability of the operations to continue as a going concern and to fulfil the mandates of peacekeeping missions. Peacekeeping operations manage their capital in the light of global economic conditions, the risk characteristics of the underlying assets and their current and future working capital requirements.

Financial risk management: credit risk

182. Credit risk is the risk of financial loss resulting from a counterparty to a financial instrument failing to meet its contractual obligations. Credit risk arises from cash and cash equivalents, investments, deposits and forward currency contracts with financial institutions, as well as credit exposure to outstanding receivables. The carrying value of financial assets is the maximum exposure to credit risk.

Credit risk: management

183. The Investment Management Guidelines require ongoing monitoring of issuer and counterparty credit ratings. Permissible main pool investments may include, but are not restricted to, bank deposits, commercial papers, supranational securities, government agency securities and government securities with maturities of five years or fewer. The main pool does not invest in derivative instruments such as asset-backed or mortgage-backed securities or in equity products.

184. The investment management function is centralized at United Nations Headquarters, and, under normal circumstances, missions are not permitted to engage in investing activities.

Credit risk: contributions receivable and other receivables

185. A large portion of contributions receivable is due from Member States and other United Nations entities that do not have significant credit risk. As at the reporting date, peacekeeping operations did not hold any collateral as security for receivables (2022/23: none).

Credit risk: loss allowance

186. The Organization uses the simplified approach to evaluate the lifetime expected credit loss at each reporting date. The loss allowance is established on the basis of the historical loss rate and the exposure balance at year end for each financial asset

category. Management-approved write-offs under the Financial Regulations and Rules or reversals of previously impaired receivables are recognized directly in the statement of financial performance. The movement in the allowances account during the year is shown below.

(Thousands of United States dollars)

	2023/24	1 July 2023	2022/23
Allowance for receivables as at 1 July	811 584	809 900	800 359
Amounts written off	(1 906)	–	(334)
Adjustments during the year	82 704	–	9 875
Loss allowance remeasurement (IPSAS 41)	–	1 684	–
Allowance for receivables as at 30 June	892 382	811 584	809 900

Credit risk: assessed contributions

187. The ageing and associated allowance of assessed contributions receivable are shown below.

Ageing of assessed contributions receivable

(Thousands of United States dollars)

	30 June 2024		30 June 2023	
	Gross receivable	Allowance	Gross receivable	Allowance
Less than 1 year	1 269 111	2 299	1 265 708	–
1 to 2 years	153 300	2 259	205 936	–
More than 2 years	839 426	744 104	1 002 376	647 445
Total	2 261 837	748 662	2 474 020	647 445

Credit risk: voluntary contributions and other receivables

188. The ageing and associated allowance of receivables other than assessed contributions are shown below.

Ageing of voluntary contributions and other receivables

(Thousands of United States dollars)

30 June 2024	Neither past due nor impaired	Less than one year	One to two years	Two to three years	More than three years	Total
Other receivables	9 882	10 638	5 466	1 515	142 458	169 959
Allowance	–	190	414	181	137 794	138 579
Allowance rate (percentage)	–	1.8	7.6	12.0	96.7	81.5
Voluntary contributions receivable	–	–	–	–	5 141	5 141
Allowance	–	–	–	–	5 141	5 141
Allowance rate (percentage)	–	–	–	–	100.0	100.0

30 June 2023	Neither past due nor impaired	Less than one year	One to two years	Two to three years	More than three years	Total
Other receivables	2 680	39 649	7 614	6 937	151 193	208 073
Allowance	—	—	1 904	4 162	151 193	157 259
Allowance rate (percentage)	—	—	25.0	60.0	100.0	75.6
Voluntary contributions receivable	—	—	—	—	5 196	5 196
Allowance	—	—	—	—	5 196	5 196
Allowance rate (percentage)	—	—	—	—	100.0	100.0

Credit risk: cash and cash equivalents

189. Peacekeeping operations had cash and cash equivalents of \$174.3 million (2022/23: \$205.7 million) as at the reporting date, which is the maximum credit exposure on these assets.

Credit risk: cash pool investments

190. It is required under the Investment Management Guidelines that investments not be made in issuers whose credit ratings are below specifications and provide for maximum concentrations with given issuers. With regard to the current and prior years, those requirements were met at the time the investments were made. The credit ratings used for the main pool are those determined by major credit-rating agencies. Standard & Poor's Financial Services, Moody's Investors Service and Fitch Ratings are used to rate bonds and discounted instruments, and the Fitch viability rating is used to rate bank term deposits.

Investments of the main pool by credit ratings as at year end

Investment	Ratings as at 30 June 2024	Ratings as at 30 June 2023
Bonds (long-term ratings)	S&P: 35.0% AAA, 65.0% AA/AA+/AA- Fitch: 26.1% AAA, 54.1% AA+/AA-/AA and 19.8% not rated Moody's: 48.1% Aaa, 43.9% Aa1/Aa2/Aa3 and 8.0% not rated	S&P: 33.6% AAA, 66.1% AA/AA+/AA- and 0.3% not rated Fitch: 51.6% AAA, 29.1% AA/AA+/AA-, 1.4% A+ and 17.9% not rated Moody's: 57.2% Aaa, 37.1% Aa1/Aa2/Aa3 and 5.7% not rated
Commercial papers (short-term ratings)	S&P: 100% A-1+/A-1 Fitch: 100% F1/F1+ Moody's: 100% P-1	S&P: 100% A-1/A-1+/A-2 Fitch: 100% F1/F1+ Moody's: 100% P-1/P-2
Term deposits (Fitch viability ratings)	Fitch: 29.7% aa- and 70.3% a+/a/a-	Fitch: 28.6% aa- and 71.4% a+/a/a-
Certificates of deposit (short-term ratings)	S&P: 100% A-1+/A-1 Fitch: 100% F1+/F1 Moody's: 100% P-1	S&P: 100% A-1+/A-1/A-2 Fitch: 100% F1+/F1 Moody's: 100% P-1/P-2

191. The United Nations Treasury actively monitors credit ratings and, given that it has invested only in securities with high credit ratings, management does not expect any counterparty to fail to meet its obligations, except for any impaired investments.

Financial risk management: liquidity risk

192. Liquidity risk is the risk that peacekeeping operations may not have adequate funds to meet their obligations as they fall due. The approach to managing liquidity is to ensure that an operation will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the reputation of peacekeeping operations.

193. It is required under the Financial Regulations and Rules that expenses be incurred after the receipt of funds from donors, thereby considerably reducing the liquidity risk with regard to assessed contributions, which are, in large part, a stable annual cash flow. Exceptions to incurring expenses prior to the receipt of funds are permitted only if specified risk management criteria are adhered to with regard to amounts receivable.

194. Peacekeeping operations perform cash flow forecasting and monitor rolling forecasts of liquidity requirements to ensure that there is sufficient cash to meet operational needs. Investments are made with due consideration to the cash requirements for operating purposes on the basis of cash flow forecasting. Peacekeeping operations maintain a large portion of their investments in cash equivalents and short-term investments sufficient to cover their commitments as and when they fall due.

195. Peacekeeping operations were approved to manage the cash resources of active peacekeeping missions as a pool in General Assembly resolution [73/307](#) for a trial period of three years in the context of liquidity management. This was extended for a further five years pursuant to Assembly resolution [76/272](#), adopted in June 2022, in which the Assembly noted the positive impact the pooling had on the timeliness of settlement of payments to troop- and police-contributing countries. In addition, the Assembly approved the use of the Peacekeeping Reserve Fund as a liquidity mechanism up to the level of \$110 million, thereby ensuring that at least \$40 million remained available in the Fund for the start-up or expansion of mandated peacekeeping operations.

196. As at 30 June 2024, borrowing across closed peacekeeping missions amounted to \$57.3 million, inclusive of \$46.3 million in relation to General Assembly resolution [76/280](#).

197. During the year, the liquidity crisis continued, and there was a further deterioration in the overall availability of cash for active peacekeeping operations. The situation was exacerbated because MINUSMA, entering its liquidation phase, was excluded from the cash pooling for active missions. MINURSO, UNMIK, UNSOS and UNMISS continuously faced cash crises during the year, while MINUSCA faced serious liquidity issues at the end of June 2024 and had to borrow \$53.7 million from MONUSCO, UNISFA and UNIFIL. The total cash balance of active peacekeeping operations was at a very low level throughout 2023/24, culminating in one of the lowest levels experienced by the third week in June 2024. To continue to pay for staff costs and allowances and for services rendered by troops and formed police units, as from April 2024 large payments for commercial vendors were tightly monitored and payments for contingent-owned equipment were paused. The cash position improved in part only on the last working day of the fiscal year when contributions were received, increasing the year-end cash position. The loans payable by active missions as at 30 June 2024 amounted to \$306.6 million (2022/23: \$318.9 million), including \$105.2 from the Peacekeeping Reserve Fund. The following table shows the borrowing for active missions as at 30 June 2024:

(Thousands of United States dollars)

<i>Borrowing mission</i>	<i>Funding mission</i>	<i>30 June 2024</i>	<i>30 June 2023</i>
MINURSO	MINUSMA	–	2 400
UNMIK	MINUSMA	–	6 900
UNSOS	MINUSMA	–	9 800
UNISFA	MINUSMA	–	21 900
UNMISS	MINUSMA	–	111 000
MINUSCA	MONUSCO	35 300	–
MINURSO	MONUSCO	2 500	–
UNMIK	MONUSCO	800	–
UNSOS	UNIFIL	57 200	28 500
UNMISS	UNIFIL	52 500	21 000
UNMIK	UNIFIL	4 300	4 100
UNISFA	UNIFIL	–	15 400
MINUSCA	UNIFIL	13 000	–
MINURSO	UNIFIL	5 900	–
UNSOS	UNDOF	6 800	–
UNMIK	UNDOF	3 800	–
MINURSO	UNDOF	3 400	–
UNSOS	UNFICYP	5 500	–
UNSOS	UNISFA	5 000	–
MINUSCA	UNISFA	5 400	–
UNMISS	Peacekeeping reserve	82 600	12 000
MINURSO	Peacekeeping reserve	–	12 000
UNMIK	Peacekeeping reserve	22 600	20 000
UNSOS	Peacekeeping reserve	–	39 900
UNISFA	Peacekeeping reserve	–	26 000
Borrowing as at 30 June		306 600	318 900

Liquidity risk: cash pool investments

198. The main pool is exposed to liquidity risk associated with the requirement of participants to make withdrawals on short notice. It maintains sufficient cash and marketable securities to meet participants' commitments as and when they fall due. The major portion of cash and cash equivalents and investments are available within one day's notice to support operational requirements. Main pool liquidity risk is therefore considered to be low.

Liquidity risk: financial liabilities

199. The exposure to liquidity risk is based on the notion that the entity may encounter difficulty in meeting its obligations associated with financial liabilities. Given that peacekeeping operations are funded mainly through contributions from Member States, they rely heavily on the timely receipt of contributions to discharge their financial obligations when they become due. Peacekeeping operations are increasingly experiencing challenges in fulfilling their financial obligations on time owing to unpredictable payment patterns by Member States. As at the reporting date, peacekeeping operations had not pledged any collateral for any liabilities or

contingent liabilities (2022/23: none) and, during the year, no accounts payable or other liabilities were forgiven by third parties (2022/23: none). Maturities for financial liabilities based on the earliest date at which peacekeeping operations can be required to settle each financial liability are shown below.

Maturities for financial liabilities, undiscounted

(Thousands of United States dollars)

	<3 months	3 to 12 months	>1 year	Total
As at 30 June 2024				
Accounts payable and accrued payables	1 667 933	–	–	1 667 933
Other liabilities (excludes borrowing)	12 029	–	–	12 029
Total as at 30 June 2024	1 679 962	–	–	1 679 962
As at 30 June 2023				
Accounts payable and accrued payables	1 716 842	–	–	1 716 842
Other liabilities (excludes borrowing)	11 933	–	–	11 933
Total as at 30 June 2023	1 728 775	–	–	1 728 775

Financial risk management: market risk

200. Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and prices of investment securities, will affect the revenue of peacekeeping operations or the value of their financial assets and liabilities. The objective of market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the fiscal position.

Market risk: currency risk

201. Currency risk refers to the risk that the fair value or future cash flows of a financial instrument will fluctuate owing to changes in foreign exchange rates. Peacekeeping operations have transactions, assets and liabilities in currencies other than in their functional currency and are exposed to currency risk arising from fluctuations in currency exchange rates.

202. Non-United States dollar holdings have the primary objective of supporting local operating activities in mission countries. Peacekeeping operations maintain a minimum level of cash in local currencies. Some cash is held in currencies that are either legally restricted or not readily convertible to United States dollars and used exclusively for local expenses in the relevant countries.

203. Peacekeeping operations mitigate currency risk exposure by structuring contributions from donors in foreign currency to correspond to the foreign currency needs for operational purposes. Given that the main pool is predominantly denominated in United States dollars, it has low currency risk and, in conjunction with the low risk of other financial instruments, peacekeeping operations consider currency risk to be low (2022/23: currency risk considered to be low).

Market risk: interest rate risk

204. Interest rate risk is the risk of variability in fair values or future cash flows of financial instruments owing to changes in interest rates. In general, as an interest rate rises, the price of a fixed-rate security falls, and vice versa. Interest rate risk is commonly measured by the fixed-rate security's duration, expressed in years. The longer the duration, the greater the interest rate risk.

205. Fixed-rate cash, cash equivalents and investments are the interest-bearing financial instruments of peacekeeping operations. The main pool comprises their main exposure to interest rate risk. As at the reporting date, the main pool was invested primarily in securities with shorter terms to maturity, with the maximum being fewer than five years (2022/23: fewer than four years). The average duration of the main pool was 0.74 years (2022/23: 0.68 years), which is considered an indicator of low risk.

Market risk: cash pool interest rate risk sensitivity analysis

206. The cash pool interest rate risk sensitivity analysis shows how the fair value of the main pool as at the reporting date would increase or decrease should the overall yield curve shift in response to changes in interest rates. Given that these investments are accounted for at fair value through net assets/equity, the change in fair value represents the increase or decrease in net assets. The impact of a shift up or down of up to 200 basis points in the yield curve is shown (100 basis points equals 1 per cent). These basis point shifts are illustrative.

Main pool interest rate risk sensitivity analysis

(Millions of United States dollars)

	Shift in yield curve (basis points)								
	-200	-150	-100	-50	0	50	100	150	200
Increase/(decrease) in fair value									
Main pool total: 30 June 2024	159.0	119.3	79.5	39.7	–	(39.7)	(79.5)	(119.3)	(159.0)
Main pool total: 30 June 2023	142.4	106.8	71.2	35.6	–	(35.6)	(71.2)	(106.8)	(142.4)

Market risk: other

207. The main pool is not exposed to significant other market price risk, given that it does not sell short or borrow securities or purchase securities on margin, which limits the potential loss of capital.

Accounting classifications and fair value

208. All investments are reported at fair value through net assets/equity. For cash and cash equivalents, receivables and accounts payable, carrying value is a fair approximation of fair value.

Fair value hierarchy

209. The table below analyses financial instruments carried at fair value, by the fair value hierarchy levels. The levels are defined as:

- (a) Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities;
- (b) Level 2: inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (as prices) or indirectly (derived from prices);
- (c) Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

210. The fair value of financial instruments traded in active markets is based on quoted market prices as at the reporting date and is determined by the independent custodian on the basis of the valuation of securities sourced from third parties. A market is regarded as active if quoted prices are readily and regularly available from

an exchange, dealer, broker, industry group, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's-length basis. The quoted market price used for financial assets held by the main pool is the current bid price.

211. The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques that maximize the use of observable market data. If all significant inputs required to determine fair value of an instrument are observable, the instrument is included in level 2.

212. The following fair value hierarchy presents the main pool assets that are measured at fair value as at the reporting date. There were no level 3 financial assets or any liabilities carried at fair value or any significant transfers of financial assets between fair value hierarchy classifications.

Fair value hierarchy

(Thousands of United States dollars)

	30 June 2024			30 June 2023		
	Level 1	Level 2	Total	Level 1	Level 2	Total
Main pool financial assets at fair value						
Bonds – corporate	59 715	–	59 715	115 835	–	115 835
Bonds – non-United States agencies	2 860 393	–	2 860 393	2 430 625	–	2 430 625
Bonds – non-United States sovereigns	98 153	–	98 153	96 286	–	96 286
Bonds – supranationals	820 057	–	820 057	693 727	–	693 727
Bonds – United States Treasury	592 251	–	592 251	1 062 125	–	1 062 125
Main pool – commercial papers	–	519 639	519 639	–	200 000	200 000
Main pool – certificate of deposit	–	2 836 618	2 836 618	–	2 549 237	2 549 237
Main pool – term deposits	–	1 620 000	1 620 000	–	1 165 000	1 165 000
Total	4 430 569	4 976 257	9 406 826	4 398 598	3 914 237	8 312 835

Note 23

Expenses

Employee salaries, allowances and benefits

213. Employee salaries include international, national and general temporary staff salaries, post adjustments and staff assessments. The allowances and benefits include other staff entitlements, including pension and insurance subsidies and staff assignment, repatriation, hardship and other allowances.

(Thousands of United States dollars)

	2023/24	2022/23
Salary, wages and other entitlements	1 378 034	1 374 668
Pension and insurance benefits	317 527	307 672
After-service health insurance	12 263	11 648
Repatriation benefits	36 174	21 583
Leave benefits	17 198	11 199
Total employee salaries, allowances and benefits	1 761 196	1 726 770

Contingent contracted services

214. Expenses for contingent contracted services comprise reimbursements to troop- and formed police unit-contributing countries for personnel, equipment and self-sustainment services. The reimbursements are made at predetermined standard rates based on person/month and generic types of equipment.

(Thousands of United States dollars)

	2023/24	2022/23
Contingent troop and police costs	1 173 223	1 291 419
Contingent-owned equipment and self-sustainment	922 160	841 746
Contingent emplacement and rotation	115 940	145 676
Contingent operations	23 954	21 866
Total contingent contracted services	2 235 277	2 300 707

Non-employee compensation and allowances

215. Non-employee compensation and allowances consist of United Nations Volunteers living allowances and benefits, military observers and United Nations police mission subsistence and other compensation and allowances and consultant and contractors' fees.

(Thousands of United States dollars)

	2023/24	2022/23
United Nations Volunteers	80 366	78 427
Military observers	59 306	61 342
United Nations police	87 980	102 554
Consultants and other contractors	29 513	38 063
Other	10 687	11 159
Total non-employee compensation and allowances	267 852	291 545

Grants and other transfers

216. Grants and other transfers include outright grants to implementing agencies, partners and other entities for quick-impact projects. The allocation to direct support costs represents contributions to the Umoja-related expense, the administration of internal justice expense and the implementation of the global service delivery model.

(Thousands of United States dollars)

	2023/24	2022/23
Quick-impact projects	9 945	12 094
Transfers to implementing partners	45 280	56 285
Allocation to direct support costs	12 268	14 122
Total grants and other transfers	67 493	82 501

Supplies and consumables

217. Supplies and consumables include the acquisition of fuel, rations, office supplies, spare parts, medical supplies and general maintenance supplies.

(Thousands of United States dollars)

	2023/24	2022/23
Fuel and lubricants	268 531	301 310
Rations	240 914	285 402
Spare parts and consumables	95 558	77 926
Write-off of inventory	34 304	4 441
Total supplies and consumables	639 307	669 079

Travel

218. Travel expenses relate to travelling costs such as transportation, allowances and other related costs for staff, consultants and non-staff.

(Thousands of United States dollars)

	2023/24	2022/23
Staff travel	37 236	26 280
Representative travel	377	521
Total travel	37 613	26 801

Self-insurance claims and expenses

219. Self-insurance claims and expenses in the amount of \$3.1 million (2022/23: \$2.3 million) relate to appendix D payments.

Other operating expenses

220. Other operating expenses include maintenance, utilities, contracted services, training, security services, shared services, rent, insurance, contributions-in-kind expenses, loss allowance for receivables and expenses related to mine action. Contributions-in-kind expenses include host countries' contributions, such as right-to-use facilities and rent expenses, landing expenses and vehicle registration expenses.

(Thousands of United States dollars)

	2023/24	2022/23 ^a
Air transport	406 732	404 429
Contributions in kind	321 920	311 055
Communications and information technology	167 582	157 758
Other contracted services	158 229	183 771
Fixed-assets write-off	158 068	5 450
Mine action services	135 584	98 170
Facilities	110 081	106 846
Loss allowance	78 699	9 839

	2023/24	2022/23 ^a
Acquisitions of goods	77 698	84 448
Maintenance and repair	34 548	46 515
Rent – offices, premises and equipment	34 002	34 802
Other	25 688	14 231
Acquisitions of intangible items	19 897	25 514
Ground transport	14 451	12 682
Total other operating expenses	1 743 179	1 495 509

^a Restated to conform to current year classification.

Other expenses

221. Other expenses include hospitality and official functions, and ex gratia and compensation claims.

(Thousands of United States dollars)

	2023/24	2022/23
Ex gratia and compensation claims	29 489	211
Other	137	132
Total other expenses	29 626	343

Note 24

Credits to Member States

(Thousands of United States dollars)

	2023/24	2022/23
Provisions made for the current year ^a	387 185	274 318
Prior year provisions applied to assessments for commitment authorities	–	(5 235)
Declared credits with respect to General Assembly resolution 76/280 to return cash assets in closed peacekeeping missions	–	196 295
Declared credits with respect to General Assembly resolution 78/299 to return net cash available in UNOCI	6 481	–
Declared credits with respect to General Assembly resolution 78/303 to return net cash available in UNMIL ^b	5 722	–
Total	399 388	465 378

^a Following the resolution of the technical issue in the Umoja budget module that led to double consumption of the budget in some cases in the financial years 2013/14 to 2021/22 and as disclosed in the financial statements for financial year 2022/23 ([A/78/5 \(Vol. II\)](#), chap. V, para. 139), the Administration recorded an additional \$17.7 million in credit returns in financial statements for 2023/24.

^b In line with General Assembly resolution [78/303](#), the amount declared was \$12.337 million, an increase of \$5.722 million over a prior year's provision (see resolution [73/319](#)).

Note 25
Related parties*Key management personnel*

222. Key management personnel are those with the ability to exercise significant influence over the financial and operating decisions of peacekeeping operations. The key management personnel group for peacekeeping operations comprises the Secretary-General, the Deputy Secretary-General and selected officials at the levels of Under-Secretary-General, Assistant Secretary-General and heads of peacekeeping missions. These persons have the relevant authority and responsibility for planning, directing and controlling the activities of peacekeeping operations.

Key management personnel as at 30 June 2024

<i>Name</i>	<i>Position</i>	<i>Date of appointment</i>
António Guterres	Secretary-General of the United Nations	January 2017
Amina J. Mohammed	Deputy Secretary-General of the United Nations	February 2017
Earle Courtenay Rattray	Chef de Cabinet	January 2022
Catherine Pollard	Under-Secretary-General for Management Strategy, Policy and Compliance	September 2019
Atul Khare	Under-Secretary-General for Operational Support	January 2019
Jean-Pierre Lacroix	Under-Secretary-General for Peace Operations	February 2017
Chandramouli Ramanathan	Controller	February 2019
Colin W. Stewart	Special Representative of the Secretary-General and Head of UNFICYP	December 2021
Major-General Nirmal Kumar Thapa	Head of UNDOF and Force Commander	September 2022
Major-General Aroldo Lázaro Sáenz	Head of UNIFIL and Force Commander	February 2022
Alexander Ivanko	Special Representative of the Secretary-General and Head of MINURSO	August 2021
Caroline Ziadeh	Special Representative of the Secretary-General and Head of UNMIK	January 2022
Bintou Keita	Special Representative of the Secretary-General and Head of MONUSCO	February 2021
Aisa Kirabo Kacyira	Assistant Secretary-General and Head of UNSOS	March 2023
Major-General Benjamin Olufemi Sawyerr	Acting Head of UNISFA and Force Commander	February 2022
Nicholas R.L. Haysom	Special Representative of the Secretary-General and Head of UNMISS	April 2021
Valentine Rugwabiza	Special Representative of the Secretary-General and Head of MINUSCA	April 2022

223. The aggregate remuneration paid to key management personnel includes salaries, post adjustment and other entitlements such as grants, subsidies and employer pension and health insurance contributions.

(Thousands of United States dollars)

	2023/24	2022/23
Key management personnel		
Salary and post adjustment	5 664	5 555
Other monetary entitlements	1 754	1 734
Non-monetary benefits	1 025	855
Total key management personnel remuneration	8 443	8 144

224. A residence, with an annual rental fair value equivalent to \$0.9 million (2022/23: \$0.7 million), is provided to the Secretary-General free of charge. Other non-monetary benefits provided to key management personnel include free or subsidized housing and services. Advances made to key management personnel are those made against entitlements in accordance with the Staff Regulations and Rules; such advances against entitlements are widely available to all staff of peacekeeping operations.

Trust fund activities related to peacekeeping operations

225. All trust funds, including those relating to peacekeeping operations, are consolidated in the financial statements of the United Nations operations as reported in volume I. Financial rule 106.1 precludes peacekeeping-related trust funds from being reported in these statements. It limits these statements to peacekeeping operations with special accounts established by the Secretary-General only.

226. The following peacekeeping-related trust funds augment the activities of peacekeeping operations. The reserves and fund balances of these related trust funds as at year end are shown below.

Activities related to peacekeeping operations funded by trust funds: reserves and fund balances

(Thousands of United States dollars)

	2023/24	2022/23
Trust fund in support of the delimitation and demarcation of the Ethiopia/Eritrea border	1 561	1 561
Trust fund for Somalia – unified command	466	436
Trust fund in support of the implementation of the Agreement on a Ceasefire and Separation of Forces signed in Moscow on 14 May 1994	10	9
Trust fund for the police assistance programme in Bosnia and Herzegovina	367	343
Trust fund in support of United Nations peacemaking and peacekeeping activities	2 444	2 331
Trust fund in support of the Department of Peace Operations	49 199	45 969
Trust fund to support the peace process in the Democratic Republic of the Congo	2 538	2 404
Trust fund to support the United Nations Interim Administration in Kosovo	1 253	1 172
Trust fund to support the Ituri Pacification Commission	8	8
Trust fund in support of the peace process in the Sudan	516	483
Trust fund for the African Union-United Nations joint mediation support team for Darfur	6 453	6 114
Trust fund for the support of the activities of the United Nations Mission in the Central African Republic and Chad	1 999	1 870
Trust fund to support lasting peace in Darfur	390	370
Trust fund in support of the African Union Mission in Somalia	4 973	4 799
Trust fund in support of the African-led International Support Mission in Mali	845	800

	2023/24	2022/23
Trust fund in support of peace and security in Mali	3 243	43 791
Trust fund for the United Nations Operation in Côte d'Ivoire	193	182
Trust fund in support of the political transition in Haiti	272	258
Trust fund in support of the elimination of Syrian chemical weapons	348	326
Trust fund in support of the African-led International Support Mission in the Central African Republic	232	220
Trust fund for the United Nations Mission in South Sudan	4 731	3 347
Trust fund to support peace and security in Cyprus	29	27
Trust fund to provide assistance to human rights victims in Kosovo	11	11
Trust fund to support the United Nations Office to the African Union pursuant to Security Council resolutions 2320 (2016), 2378 (2017) and 2457 (2019)	286	503
Trust fund for the United Nations Integrated Transition Assistance Mission in the Sudan	226	4 174
Total	82 593	121 508

Peacekeeping-related operations funded by the regular budget

227. Shown below are peacekeeping-related operations that are funded by the regular budget and appear in the financial statements of the United Nations.

Peacekeeping-related operations funded by the regular budget

(Thousands of United States dollars)

	<i>Appropriation</i>	<i>Expenditure on a budget basis</i>	<i>Unencumbered balance</i>
Year ended 31 December 2023			
Department of Peace Operations	5 634	6 039	(405)
Peacekeeping missions funded by the regular budget			
UNTSO	37 475	40 224	(2 749)
UNMOGIP	9 770	9 968	(198)
Total	52 879	56 231	(3 352)
Year ended 31 December 2022			
Department of Peace Operations	5 868	5 489	379
Peacekeeping missions funded by the regular budget			
UNTSO	38 938	38 962	(24)
UNMOGIP	9 861	9 550	311
Total	54 667	54 001	666

Related entity transactions

228. In the ordinary course of business, in order to achieve economies in executing transactions, financial transactions are often executed by one financial reporting entity on behalf of another and subsequently settled. No interest is levied on inter-entity balances.

Payable to the United Nations General Fund

229. Peacekeeping operations have payables due to the United Nations General Fund in the amount of \$47.4 million (2022/23: \$47.4 million), of which \$37.4 million relates to ONUC and \$10.0 million relates to UNEF, as detailed under note 18.

United Nations peacekeeping operations: balances reflected in the Tax Equalization Fund

230. The financial statements of peacekeeping operations report employee benefits expenses on a net-of-tax basis. The tax liabilities relating to peacekeeping operations are reported separately as part of the Tax Equalization Fund in the financial statements of the United Nations operations as reported in volume I, which has a 31 December financial reporting date.

231. The Tax Equalization Fund was established under the provisions of General Assembly resolution 973 (X) to equalize the net pay of all staff members, whatever their national tax obligations. The Fund operationally reports as income staff assessment with respect to staff members financed under the regular budget, assessed peacekeeping operations and the International Residual Mechanism for Criminal Tribunals.

232. The Fund includes as expenditure the credits against the regular budget, peacekeeping and the International Residual Mechanism with respect to the assessments of Member States that do not levy taxes on the United Nations income of their nationals. Member States that do levy income taxes on their nationals working for the Organization do not receive this credit in full. Instead, their share is utilized in the first instance to reimburse staff members for taxes paid on their United Nations income. Such reimbursements for taxes paid are partially reported as expenditure by the Fund. Staff members financed by extrabudgetary funds who are required to pay income tax are reimbursed directly from the resources of those funds. Given that the Organization acts as an agent in this arrangement, the net total of the related revenue and expenses is reported as a payable in these financial statements.

233. The cumulative surplus accumulated in the Tax Equalization Fund as at 31 December 2023 was \$229.2 million (2022: \$190.4 million), consisting of amounts payable to the United States of America at year end of \$193.1 million (2022: \$162.1 million) and to other Member States of \$36.1 million (2022: \$28.3 million). The amount payable to the United States at year-end 2023 included approximately \$85.6 million (2022: \$72.9 million) relating to peacekeeping operations. The overall amount payable by the Fund was \$291.4 million (2022: \$250.2 million), which included an estimated tax liability of \$60.4 million relating to the 2023 and prior tax years (2022: \$59.8 million), of which approximately \$32.6 million was disbursed in January 2024, approximately \$15.0 million was settled by April 2024 and the remaining \$12.3 million was expected to be settled as tax returns were submitted by staff.

Note 26
Commitments

Operating lease commitments

234. The peacekeeping operations enter into operating leases for the use of land, permanent and temporary buildings, and equipment. The total lease payments recognized in expenditure for the year were \$32.0 million (2022/23: \$32.7 million). The contingent rent payments are determined by the lease contracts. There were no purchase options, escalation clauses or restrictions imposed by the lease arrangements. Future minimum lease payments under non-cancellable arrangements are shown below.

(Thousands of United States dollars)

	30 June 2024	30 June 2023
Less than 1 year	12 096	12 866
1 to 5 years	20 784	32 642
More than 5 years	1	399
Total minimum lease commitments	32 881	45 907

Contractual commitments

235. As at the reporting date, commitments for goods and services contracted but not delivered amounted to \$247.4 million (2022/23: \$295.4 million).

(Thousands of United States dollars)

	30 June 2024	30 June 2023
Property, plant and equipment	71 764	77 219
Intangibles	34	1 405
Goods and services	175 658	216 777
Total open contractual commitments	247 456	295 401

Note 27**Contingent liabilities and contingent assets***Contingent liabilities*

236. In the normal course of peacekeeping operations, the missions are involved from time to time in various arbitrations, commercial claims and litigations, and other legal or governmental actions. Given the nature of legal matters and the complexities involved, it is often difficult to predict and determine a meaningful estimate of loss or range of loss or the timing of any future outflows. Thus, accruals for legal matters are not recorded until a loss for a specific matter is considered probable and can be reasonably estimated. As at 30 June 2024, the total amount of contingent liabilities related to commercial claims and other claims of a private-law nature was \$15.5 million (2022/23: \$10.2 million).

237. Administrative law claims arise, for the most part, from appointment-related matters, benefits and entitlements, and separation from service. Accruals for those claims are not recorded until the outcome is probable and potential compensation can be reasonably estimated. The contingent liabilities for such claims, as at 30 June 2024, were \$2.6 million (2022/23: \$2.7 million), including an amount of \$0.1 million (2022/23: \$0.2 million) carried over from the previous year and an additional amount of \$2.5 million (2022/23: \$2.5 million) for cases filed during the course of the current year. These claims may be settled during 2024/25, but the uncertain outcome of these claims makes the amount and timing of the outflows unpredictable.

Contingent assets

238. In accordance with IPSAS 19: Provisions, contingent liabilities and contingent assets, the Organization discloses contingent assets when an event gives rise to a probable inflow of economic benefits or service potential to the Organization and there is sufficient information to assess the probability of that inflow. As at 30 June

2024, there were \$40.5 million (2022/23: \$0.07 million) in contingent assets arising from the Organization's legal claims against third parties that were likely to result in an economic inflow.

Note 28

Events after the reporting date

239. For UNIFIL, the situation on the ground continued to be complex and challenging subsequent to 30 June 2024. Financial implications during the period were difficult to measure owing to the volatile local conditions and restrictions on movement. There were no other material events, favourable or unfavourable, that occurred between the date of the financial statements and the date when the financial statements were authorized for issue that would have had a material impact on these statements.

Annex I

Financial reporting by mission

Statement of financial position as at 30 June 2024: active missions

(Thousands of United States dollars)

	<i>UNFICYP</i>	<i>UNDOF</i>	<i>UNIFIL</i>	<i>MINURSO</i>	<i>UNMIK</i>	<i>MONUSCO</i>
Assets						
Cash and cash equivalents	752	1 540	4 513	435	232	15 428
Investments	3 859	6 825	23 090	2 171	1 171	82 611
Assessed contributions receivable	15 546	18 995	116 052	47 975	34 912	234 065
Other receivables	5 504	14 043	137 521	504	—	39 401
Inventories	1 802	2 085	16 266	5 331	1 642	37 991
Property, plant and equipment	7 341	30 723	73 530	13 880	1 894	102 687
Other assets	131	131	893	304	388	6 317
Total assets	34 935	74 342	371 865	70 600	40 239	518 500
Liabilities						
Accounts payable	9 490	14 300	169 563	8 207	1 706	244 479
Total employee benefits	198	339	3 108	1 017	1 028	5 708
Other liabilities and provisions	1 372	4 607	43 661	13 993	34 545	99 728
Total liabilities	11 060	19 246	216 332	23 217	37 279	349 915
Net of total assets and total liabilities	23 875	55 096	155 533	47 383	2 960	168 585
Net assets						
Accumulated surplus/(deficit) – unrestricted	23 902	19 169	136 395	47 383	2 960	168 950
Accumulated surplus/(deficit) – restricted	—	35 987	19 565	—	—	—
Reserves	(27)	(60)	(427)	—	—	(365)
Total net assets	23 875	55 096	155 533	47 383	2 960	168 585

Statement of financial position as at 30 June 2024: active missions (concluded)

(Thousands of United States dollars)

	<i>UNSO</i>	<i>UNISEA</i>	<i>UNMISS</i>	<i>MINUSMA</i>	<i>MINUSCA</i>	<i>Total</i>
Assets						
Cash and cash equivalents	5 757	1 911	14 781	30 100	28 410	103 859
Investments	30 777	9 318	68 828	161 664	151 012	541 326
Assessed contributions receivable	208 451	66 577	281 054	268 699	220 849	1 513 175
Other receivables	227	10 438	1 274	9 246	142	218 300
Inventories	38 599	25 176	61 149	42 918	51 706	284 665
Property, plant and equipment	160 565	85 697	205 536	27 305	171 241	880 399
Other assets	3 032	6 838	3 658	6 732	23 669	52 093
Total assets	447 408	205 955	636 280	546 664	647 029	3 593 817
Liabilities						
Accounts payable	107 996	77 256	204 866	290 598	278 560	1 407 021
Total employee benefits	2 810	1 825	8 959	1 519	7 825	34 336
Other liabilities and provisions	111 701	12 558	172 503	134 604	89 579	718 851
Total liabilities	222 507	91 639	386 328	426 721	375 964	2 160 208
Net of total assets and total liabilities	224 901	114 316	249 952	119 943	271 065	1 433 609
Net assets						
Accumulated surplus/(deficit) – unrestricted	224 901	114 370	249 952	120 609	271 397	1 379 988
Accumulated surplus/(deficit) – restricted	–	–	–	–	–	55 552
Reserves	–	(54)	–	(666)	(332)	(1 931)
Total net assets	224 901	114 316	249 952	119 943	271 065	1 433 609

Statement of financial performance for the year ended 30 June 2024: active missions

(Thousands of United States dollars)

	<i>UNFICYP</i>	<i>UNDOF</i>	<i>UNIFIL</i>	<i>MINURSO</i>	<i>UNMIK</i>	<i>MONUSCO</i>
Assessed contributions	35 373	75 580	585 940	71 014	44 342	1 170 774
Voluntary contributions/other transfers and allocations	26 880	1 033	1 428	3 955	81	14 205
Investment revenue	697	1 251	14 144	221	1	10 447
Other revenue	1 768	515	1 977	1 338	1 237	3 150
Total revenue	64 718	78 379	603 489	76 528	45 661	1 198 576
Employee salaries, allowances and benefits	16 237	15 135	134 620	24 313	32 710	239 892
Contingent contracted services	18 648	36 270	309 366	872	–	395 148
Other expenses	26 989	22 164	114 495	50 764	13 422	467 147
Credits to Member States	1 363	4 590	43 469	2 022	399	95 012
Total expenses	63 237	78 159	601 950	77 971	46 531	1 197 199
Surplus/(deficit) for the year	1 481	220	1 539	(1 443)	(870)	1 377

Statement of financial performance for the year ended 30 June 2024: active missions (concluded)

(Thousands of United States dollars)

	<i>UNSOS</i>	<i>UNISFA</i>	<i>UNMISS</i>	<i>MINUSMA</i>	<i>MINUSCA</i>	<i>Total</i>
Assessed contributions	606 742	315 939	1 263 704	866 866	1 260 099	6 296 373
Voluntary contributions/other transfers and allocations	131 353	972	64 124	29 200	68 900	342 131
Investment revenue	1 589	2 875	5 386	13 431	11 675	61 717
Other revenue	4 039	4 728	5 736	4 771	17 328	46 587
Total revenue	743 723	324 514	1 338 950	914 268	1 358 002	6 746 808
Employee salaries, allowances and benefits	95 198	51 953	308 220	159 816	212 098	1 290 192
Contingent contracted services	86 261	107 435	434 674	329 475	514 645	2 232 794
Other expenses	567 524	177 431	599 804	581 247	595 843	3 216 830
Credits to Member States	26 944	12 382	26 647	129 292	29 183	371 303
Total expenses	775 927	349 201	1 369 345	1 199 830	1 351 769	7 111 119
Surplus/(deficit) for the year	(32 204)	(24 687)	(30 395)	(285 562)	6 233	(364 311)

Statement of financial position as at 30 June 2024: support activities

(Thousands of United States dollars)

	<i>Peacekeeping Reserve Fund</i>	<i>Support account</i>	<i>United Nations Logistics Base</i>	<i>United Nations Logistics Base- strategic deployment stocks</i>	<i>Regional Service Centre</i>	<i>Employee benefits funds</i>	<i>Peacekeeping cost-recovery fund</i>	<i>Refurbishment and reuse of returned equipment</i>	<i>Total</i>
Assets									
Cash and cash equivalents	6 762	5 688	1 635	15 978	236	5 564	15 285	551	51 699
Investments	36 350	31 142	8 704	85 895	1 151	29 917	82 171	2 960	278 290
Assessed contributions receivable	—	—	—	—	—	—	—	—	—
Other receivables	118 020	19	605	1	24	—	13 266	—	131 935
Inventories	—	376	10 223	9 973	373	—	1 089	95	22 129
Property, plant and equipment	—	405	32 442	33 249	10 545	—	5 870	—	82 511
Other assets	—	6 257	98	—	503	—	1 378	—	8 236
Total assets	161 132	43 887	53 707	145 096	12 832	35 481	119 059	3 606	574 800
Liabilities									
Accounts payable	—	13 263	4 085	1 517	1 295	249	23 669	429	44 507
Total employee benefits	—	9 967	645	—	581	1 661 345	127	—	1 672 665
Other liabilities and provisions	—	—	25	—	7	—	—	—	32
Total liabilities	—	23 230	4 755	1 517	1 883	1 661 594	23 796	429	1 717 204
Net of total assets and total liabilities	161 132	20 657	48 952	143 579	10 949	(1 626 113)	95 263	3 177	(1 142 404)
Net assets									
Accumulated surplus/(deficit) – unrestricted	11 535	20 782	48 988	143 934	10 953	(1 625 989)	95 601	3 189	(1 291 007)
Accumulated surplus/(deficit) – restricted	—	—	—	—	—	—	—	—	—
Reserves	149 597	(125)	(36)	(355)	(4)	(124)	(338)	(12)	148 603
Total net assets	161 132	20 657	48 952	143 579	10 949	(1 626 113)	95 263	3 177	(1 142 404)

Statement of financial performance for the year ended 30 June 2024: support activities

(Thousands of United States dollars)

	<i>Peacekeeping Reserve Fund</i>	<i>Support account</i>	<i>United Nations Logistics Base</i>	<i>United Nations Logistics Base- strategic deployment stocks</i>	<i>Regional Service Centre</i>	<i>Employee benefits funds</i>	<i>Peacekeeping cost-recovery fund</i>	<i>Refurbishment and reuse of returned equipment</i>	<i>Total</i>
Assessed contributions	—	—	—	—	—	—	—	—	—
Voluntary contributions/other transfers and allocations	—	383 123	71 454	—	43 024	—	—	—	497 601
Investment revenue	6 698	3 908	784	5 102	317	1 618	5 132	54	23 613
Other revenue	7	19	22 579	2 913	1 541	3 031	87 380	3 826	121 296
Total revenue	6 705	387 050	94 817	8 015	44 882	4 649	92 512	3 880	642 510
Employee salaries, allowances and benefits	—	296 214	46 218	—	36 397	90 989	3 596	92	473 506
Contingent contracted services	—	3 865	—	—	—	—	1 333	—	5 198
Other expenses	8	80 284	37 575	9 726	7 776	3 139	90 703	599	229 810
Credits to Member States	—	—	—	—	—	—	15 882	—	15 882
Total expenses	8	380 363	83 793	9 726	44 173	94 128	111 514	691	724 396
Surplus/(deficit) for the year	6 697	6 687	11 024	(1 711)	709	(89 479)	(19 002)	3 189	(81 886)

Statement of financial position as at 30 June 2024: closed missions

(Thousands of United States dollars)

	<i>UNAMID</i>	<i>MINUJUSTH</i>	<i>UNMIL</i>	<i>UNOCI</i>	<i>UNSMIS</i>	<i>UNMIT</i>	<i>UNMIS</i>
Assets							
Cash and cash equivalents	1 606	1 673	2 068	4 404	11	124	399
Investments	8 632	8 994	11 117	23 675	58	667	2 146
Assessed contributions receivable	–	–	–	–	–	–	–
Other receivables	491	73	–	–	–	–	–
Inventories	–	–	–	–	–	–	–
Property, plant and equipment	–	–	–	–	–	–	–
Other assets	94	–	–	2	–	–	–
Total assets	10 823	10 740	13 185	28 081	69	791	2 545
Liabilities							
Accounts payable	17 877	2 805	9 289	26 667	53	702	2 328
Total employee benefits	3	–	6	–	–	–	–
Other liabilities and provisions	74 821	12 342	3	842	6	–	–
Total liabilities	92 701	15 147	9 298	27 509	59	702	2 328
Net of total assets and total liabilities	(81 878)	(4 407)	3 887	572	10	89	217
Net assets							
Accumulated surplus/(deficit) – unrestricted	(81 842)	(4 370)	3 933	670	10	92	226
Accumulated surplus/(deficit) – restricted	–	–	–	–	–	–	–
Reserves	(36)	(37)	(46)	(98)	–	(3)	(9)
Total net assets	(81 878)	(4 407)	3 887	572	10	89	217

Statement of financial position as at 30 June 2024: closed missions (continued)

(Thousands of United States dollars)

	<i>MINURCAT</i>	<i>UNOMIG</i>	<i>UNMEE</i>	<i>ONUB</i>	<i>UNAMSIL/ UNOMSIL</i>	<i>UNMISSET/ UNTAET</i>	<i>UNIKOM</i>
Assets							
Cash and cash equivalents	185	30	130	91	97	257	34
Investments	995	163	697	491	521	1 383	184
Assessed contributions receivable	—	—	—	—	—	—	—
Other receivables	—	—	—	—	—	—	—
Inventories	—	—	—	—	—	—	—
Property, plant and equipment	—	—	—	—	—	—	—
Other assets	—	—	—	—	—	—	—
Total assets	1 180	193	827	582	618	1 640	218
Liabilities							
Accounts payable	1 048	180	736	518	555	3 286	194
Total employee benefits	—	—	—	—	—	—	—
Other liabilities and provisions	5	—	—	1	1	—	—
Total liabilities	1 053	180	736	519	556	3 286	194
Net of total assets and total liabilities	127	13	91	63	62	(1 646)	24
Net assets							
Accumulated surplus/(deficit) – unrestricted	131	14	94	65	64	(1 640)	25
Accumulated surplus/(deficit) – restricted	—	—	—	—	—	—	—
Reserves	(4)	(1)	(3)	(2)	(2)	(6)	(1)
Total net assets	127	13	91	63	62	(1 646)	24

Statement of financial position as at 30 June 2024: closed missions (continued)

(Thousands of United States dollars)

	<i>UNMIBH</i>	<i>UNMOT</i>	<i>UNSMIH/ UNTMIH/ MIPONUH</i>	<i>MINURCA</i>	<i>MONUA/ UNAVEM</i>	<i>UNPREDEP</i>	<i>UNTAES</i>
Assets							
Cash and cash equivalents	306	8	39	—	377	561	350
Investments	1 643	41	208	1	2 026	3 018	1 882
Assessed contributions receivable	—	—	—	—	—	—	—
Other receivables	—	—	—	—	4 543	—	—
Inventories	—	—	—	—	—	—	—
Property, plant and equipment	—	—	—	—	—	—	—
Other assets	—	—	—	—	—	—	—
Total assets	1 949	49	247	1	6 946	3 579	2 232
Liabilities							
Accounts payable	6 128	43	114	31	11 666	3 321	6 705
Total employee benefits	—	—	—	—	—	—	—
Other liabilities and provisions	—	—	7 367	23 778	—	—	—
Total liabilities	6 128	43	7 481	23 809	11 666	3 321	6 705
Net of total assets and total liabilities	(4 179)	6	(7 234)	(23 808)	(4 720)	258	(4 473)
Net assets							
Accumulated surplus/(deficit) – unrestricted	(4 172)	6	(18 419)	(30 044)	(4 712)	270	(4 465)
Accumulated surplus/(deficit) – restricted	—	—	11 186	6 236	—	—	—
Reserves	(7)	—	(1)	—	(8)	(12)	(8)
Total net assets	(4 179)	6	(7 234)	(23 808)	(4 720)	258	(4 473)

Statement of financial position as at 30 June 2024: closed missions (continued)

(Thousands of United States dollars)

	<i>UNOMIL</i>	<i>UNPF</i>	<i>MINUGUA</i>	<i>UNMIH</i>	<i>UNAMIR/ UNOMUR</i>	<i>ONUSAL</i>	<i>ONUMOZ</i>
Assets							
Cash and cash equivalents	13	2 453	–	2 378	213	31	628
Investments	67	13 186	1	12 784	1 147	165	3 377
Assessed contributions receivable	–	–	–	–	–	–	–
Other receivables	–	34 641	–	14 366	3 713	–	–
Inventories	–	–	–	–	–	–	–
Property, plant and equipment	–	–	–	–	–	–	–
Other assets	–	–	–	–	–	–	–
Total assets	80	50 280	1	29 528	5 073	196	4 005
Liabilities							
Accounts payable	71	60 404	–	17 748	4 923	178	3 897
Total employee benefits	–	–	–	–	–	–	–
Other liabilities and provisions	–	130	124	–	–	–	30
Total liabilities	71	60 534	124	17 748	4 923	178	3 927
Net of total assets and total liabilities	9	(10 254)	(123)	11 780	150	18	78
Net assets							
Accumulated surplus/(deficit) – unrestricted	9	(10 200)	(141)	11 833	155	19	92
Accumulated surplus/(deficit) – restricted	–	–	18	–	–	–	–
Reserves	–	(54)	–	(53)	(5)	(1)	(14)
Total net assets	9	(10 254)	(123)	11 780	150	18	78

Statement of financial position as at 30 June 2024: closed missions (concluded)

(Thousands of United States dollars)

	<i>UNOSOM</i>	<i>UNMLT</i>	<i>UNTAC</i>	<i>UNTAG</i>	<i>UNHMOG</i>	<i>UNEF</i>	<i>ONUC</i>	<i>Total</i>
Assets								
Cash and cash equivalents	9	—	6	51	26	15	168	18 741
Investments	46	1	34	271	140	80	900	100 741
Assessed contributions receivable	—	—	—	—	—	—	—	—
Other receivables	—	—	—	—	—	—	—	57 827
Inventories	—	—	—	—	—	—	—	—
Property, plant and equipment	—	—	—	—	—	—	—	—
Other assets	—	—	—	—	—	876	1 973	2 945
Total assets	55	1	40	322	166	971	3 041	180 254
Liabilities								
Accounts payable	197	1	11 184	261	155	16 605	6 535	216 405
Total employee benefits	—	—	—	—	—	—	—	9
Other liabilities and provisions	10 950	—	28 036	38	—	21 541	39 743	219 758
Total liabilities	11 147	1	39 220	299	155	38 146	46 278	436 172
Net of total assets and total liabilities	(11 092)	—	(39 180)	23	11	(37 175)	(43 237)	(255 918)
Net assets								
Accumulated surplus/(deficit) – unrestricted	(48 655)	—	(39 998)	24	12	(37 175)	(43 233)	(311 322)
Accumulated surplus/(deficit) – restricted	37 563	—	818	—	—	—	—	55 821
Reserves	—	—	—	(1)	(1)	—	(4)	(417)
Total net assets	(11 092)	—	(39 180)	23	11	(37 175)	(43 237)	(255 918)

Statement of financial performance for the year ended 30 June 2024: closed missions

(Thousands of United States dollars)

	<i>UNAMID</i>	<i>MINUJUSTH</i>	<i>UNMIL</i>	<i>UNOCI</i>	<i>UNSMIS</i>	<i>UNMIT</i>	<i>UNMIS</i>
Assessed contributions	–	–	–	–	–	–	–
Voluntary contributions/other transfers and allocations	–	–	–	–	–	–	–
Investment revenue	531	553	607	1 313	4	45	156
Other revenue	38	1	1	1	–	–	–
Total revenue	569	554	608	1 314	4	45	156
Employee salaries, allowances and benefits	558	(75)	49	–	–	–	–
Contingent contracted services	(3 210)	495	–	–	–	–	–
Other expenses	96 119	(82)	(3 566)	271	–	–	–
Credits to Member States	–	–	5 722	6 481	–	–	–
Total expenses	93 467	338	2 205	6 752	–	–	–
Surplus/(deficit) for the year	(92 898)	216	(1 597)	(5 438)	4	45	156

Statement of financial performance for the year ended 30 June 2024: closed missions (continued)

(Thousands of United States dollars)

	<i>MINURCAT</i>	<i>UNOMIG</i>	<i>UNMEE</i>	<i>ONUB</i>	<i>UNAMSIL/ UNOMSIL</i>	<i>UNMISSET/ UNTAET</i>	<i>UNIKOM</i>
Assessed contributions	–	–	–	–	–	–	–
Voluntary contributions/other transfers and allocations	–	–	–	–	–	–	–
Investment revenue	69	12	51	36	40	107	14
Other revenue	–	–	–	–	–	–	–
Total revenue	69	12	51	36	40	107	14
Employee salaries, allowances and benefits	–	–	–	–	–	–	–
Contingent contracted services	–	–	–	–	–	–	–
Other expenses	–	–	–	–	–	–	–
Credits to Member States	–	–	–	–	–	–	–
Total expenses	–	–	–	–	–	–	–
Surplus/(deficit) for the year	69	12	51	36	40	107	14

Statement of financial performance for the year ended 30 June 2024: closed missions (continued)

(Thousands of United States dollars)

	<i>UNMIBH</i>	<i>UNMOT</i>	<i>UNSMIH/UNTMIH/ MIPONUH</i>	<i>MINURCA</i>	<i>MONUA/ UNAVEM</i>	<i>UNPREDEP</i>	<i>UNTAES</i>
Assessed contributions	–	–	–	–	–	–	–
Voluntary contributions/other transfers and allocations	–	–	–	–	–	–	–
Investment revenue	125	3	11	–	208	178	140
Other revenue	–	–	–	–	1	–	1
Total revenue	125	3	11	–	209	178	141
Employee salaries, allowances and benefits	–	–	–	–	–	–	–
Contingent contracted services	–	–	–	–	–	–	–
Other expenses	–	–	–	–	–	–	1
Credits to Member States	–	–	–	–	–	–	–
Total expenses	–	–	–	–	–	–	1
Surplus/(deficit) for the year	125	3	11	–	209	178	140

Statement of financial performance for the year ended 30 June 2024: closed missions (continued)

(Thousands of United States dollars)

	<i>UNOMIL</i>	<i>UNPF</i>	<i>MINUGUA</i>	<i>UNMIH</i>	<i>UNAMIR/UNOMUR</i>	<i>ONUSAL</i>	<i>ONUMOZ</i>
Assessed contributions	–	–	–	–	–	–	–
Voluntary contributions/other transfers and allocations	–	–	–	–	–	–	–
Investment revenue	6	1 341	–	768	131	11	230
Other revenues	–	7	–	2	1	–	1
Total revenue	6	1 348	–	770	132	11	231
Employee salaries, allowances and benefits	–	–	–	–	–	–	–
Contingent contracted services	–	–	–	–	–	–	–
Other expenses	–	2	–	2	1	–	1
Credits to Member States	–	–	–	–	–	–	–
Total expenses	–	2	–	2	1	–	1
Surplus/(deficit) for the year	6	1 346	–	768	131	11	230

Statement of financial performance for the year ended 30 June 2024: closed missions (concluded)

(Thousands of United States dollars)

	<i>UNOSOM</i>	<i>UNMLT</i>	<i>UNTAC</i>	<i>UNTAG</i>	<i>UNIIMOG</i>	<i>UNEF</i>	<i>ONUC</i>	<i>Total</i>
Assessed contributions	–	–	–	–	–	–	–	–
Voluntary contributions/other transfers and allocations	–	–	–	–	–	–	–	–
Investment revenue	3	–	4	17	9	4	49	6 776
Other revenue	–	–	–	–	–	235	17	306
Total revenue	3	–	4	17	9	239	66	7 082
Employee salaries, allowances and benefits	–	–	–	–	–	–	–	532
Contingent contracted services	–	–	–	–	–	–	–	(2 715)
Other expenses	–	–	1	–	–	–	–	92 750
Credits to Member States	–	–	–	–	–	–	–	12 203
Total expenses	–	–	1	–	–	–	–	102 770
Surplus/(deficit) for the year	3	–	3	17	9	239	66	(95 688)

Annex II

Budgetary reporting by mission

Mission comparison of budget and actual amounts on a budget basis from 1 July 2023 to 30 June 2024

United Nations Peacekeeping Force in Cyprus

(Thousands of United States dollars)

	Appropriation			Expenditure			Balance
	Original distribution ^a	Redeployment	Revised distribution	Actual	Commitments	Total expenditure	
Military and police personnel	24 171	(81)	24 090	22 352	1 737	24 089	1
Civilian personnel	15 998	405	16 403	16 384	6	16 390	13
Operational requirements							
Civilian electoral observers	—	—	—	—	—	—	—
Consultants and consulting services	37	(5)	32	25	2	27	5
Official travel	240	41	281	279	2	281	—
Facilities and infrastructure	8 287	66	8 353	7 737	616	8 353	—
Ground transportation	1 858	(208)	1 650	1 323	326	1 649	1
Air operations	2 415	(54)	2 361	2 355	4	2 359	2
Marine operations	203	(21)	182	182	—	182	—
Communications and information technology	1 727	(57)	1 670	1 408	182	1 590	80
Medical	453	(229)	224	169	49	218	6
Special equipment	—	—	—	—	—	—	—
Other supplies, services and equipment	836	143	979	846	102	948	31
Quick-impact projects	—	—	—	—	—	—	—
Total operational requirements	16 056	(324)	15 732	14 324	1 283	15 607	125
Subtotal	56 225	—	56 225	53 060	3 026	56 086	139
Prorated costs							
United Nations Logistics Base	744	—	744	744	—	744	—
Support account for peacekeeping operations	4 338	—	4 338	4 338	—	4 338	—
Regional Service Centre	—	—	—	—	—	—	—
Subtotal prorated costs	5 082	—	5 082	5 082	—	5 082	—
Voluntary contributions in kind (budgeted)	160	—	160	155	—	155	5
Total	61 467	—	61 467	58 297	3 026	61 323	144

^a In accordance with General Assembly resolution [77/308](#).

Mission comparison of budget and actual amounts on a budget basis from 1 July 2023 to 30 June 2024

United Nations Disengagement Observer Force

(Thousands of United States dollars)

	Appropriation			Expenditure			Balance
	Original distribution ^a	Redeployment	Revised distribution	Actual	Commitments	Total expenditure	
Military and police personnel	41 791	—	41 791	35 929	4 484	40 413	1 378
Civilian personnel	16 409	(500)	15 909	15 133	11	15 144	765
Operational requirements							
Civilian electoral observers	—	—	—	—	—	—	—
Consultants and consulting services	—	—	—	—	—	—	—
Official travel	188	—	188	146	15	161	27
Facilities and infrastructure	5 851	117	5 968	4 981	987	5 968	—
Ground transportation	1 635	750	2 385	942	1 336	2 278	107
Air operations	—	—	—	—	—	—	—
Marine operations	50	(3)	47	8	23	31	16
Communications and information technology	1 512	(102)	1 410	957	427	1 384	26
Medical	307	(83)	224	137	3	140	84
Special equipment	—	—	—	—	—	—	—
Other supplies, services and equipment	1 271	(180)	1 091	975	116	1 091	—
Quick-impact projects	300	1	301	300	—	300	1
Total operational requirements	11 114	500	11 614	8 446	2 907	11 353	261
Subtotal	69 314	—	69 314	59 508	7 402	66 910	2 404
Prorated costs							
United Nations Logistics Base	918	—	918	918	—	918	—
Support account for peacekeeping operations	5 348	—	5 348	5 348	—	5 348	—
Regional Service Centre	—	—	—	—	—	—	—
Subtotal prorated costs	6 266	—	6 266	6 266	—	6 266	—
Voluntary contributions in kind (budgeted)	—	—	—	—	—	—	—
Total	75 580	—	75 580	65 774	7 402	73 176	2 404

^a In accordance with General Assembly resolutions [77/291](#) B.

Mission comparison of budget and actual amounts on a budget basis from 1 July 2023 to 30 June 2024

United Nations Interim Force in Lebanon

(Thousands of United States dollars)

	Appropriation			Expenditure			Balance
	Original distribution ^a	Redeployment	Revised distribution	Actual	Commitments	Total expenditure	
Military and police personnel	350 446	–	350 446	261 822	67 883	329 705	20 741
Civilian personnel	128 024	7 193	135 217	135 140	76	135 216	1
Operational requirements							
Civilian electoral observers	–	–	–	–	–	–	–
Consultants and consulting services	88	39	127	85	42	127	–
Official travel	729	–	729	583	36	619	110
Facilities and infrastructure	26 671	(3 132)	23 539	16 610	3 793	20 403	3 136
Ground transportation	9 948	–	9 948	5 016	4 612	9 628	320
Air operations	7 688	(3 933)	3 755	2 267	1 098	3 365	390
Marine operations	206	–	206	63	21	84	122
Communications and information technology	8 065	(152)	7 913	5 239	2 222	7 461	452
Medical	1 323	(15)	1 308	888	177	1 065	243
Special equipment	–	–	–	–	–	–	–
Other supplies, services and equipment	3 679	–	3 679	2 211	1 148	3 359	320
Quick-impact projects	500	–	500	405	95	500	–
Total operational requirements	58 897	(7 193)	51 704	33 367	13 244	46 611	5 903
Subtotal	537 367	–	537 367	430 329	81 203	511 532	25 835
Prorated costs							
United Nations Logistics Base	7 113	–	7 113	7 113	–	7 113	–
Support account for peacekeeping operations	41 460	–	41 460	41 460	–	41 460	–
Regional Service Centre	–	–	–	–	–	–	–
Subtotal prorated costs	48 573	–	48 573	48 573	–	48 573	–
Voluntary contributions in kind (budgeted)	–	–	–	–	–	–	–
Total	585 940	–	585 940	478 902	81 203	560 105	25 835

^a In accordance with General Assembly resolution [77/313](#).

Mission comparison of budget and actual amounts on a budget basis from 1 July 2023 to 30 June 2024

United Nations Mission for the Referendum in Western Sahara

(Thousands of United States dollars)

	Appropriation			Expenditure			Balance
	Original distribution ^a	Redeployment	Revised distribution	Actual	Commitments	Total expenditure	
Military and police personnel	6 874	909	7 783	7 466	317	7 783	–
Civilian personnel	22 678	2 347	25 025	24 942	69	25 011	14
Operational requirements							
Civilian electoral observers	–	–	–	–	–	–	–
Consultants and consulting services	16	17	33	32	1	33	–
Official travel	522	53	575	506	66	572	3
Facilities and infrastructure	6 061	(1 887)	4 174	3 391	658	4 049	125
Ground transportation	1 955	(558)	1 397	1 028	359	1 387	10
Air operations	18 325	(751)	17 574	17 256	154	17 410	164
Marine operations	103	(33)	70	52	10	62	8
Communications and information technology	2 841	(335)	2 506	1 858	630	2 488	18
Medical	243	(144)	99	35	56	91	8
Special equipment	–	–	–	–	–	–	–
Other supplies, services and equipment	4 941	382	5 323	2 978	2 345	5 323	–
Quick-impact projects	–	–	–	–	–	–	–
Total operational requirements	35 007	(3 256)	31 751	27 136	4 279	31 415	336
Subtotal	64 559	–	64 559	59 544	4 665	64 209	350
Prorated costs							
United Nations Logistics Base	855	–	855	855	–	855	–
Support account for peacekeeping operations	4 981	–	4 981	4 981	–	4 981	–
Regional Service Centre	619	–	619	619	–	619	–
Subtotal prorated costs	6 455	–	6 455	6 455	–	6 455	–
Voluntary contributions in kind (budgeted)	519	–	519	385	–	385	134
Total	71 533	–	71 533	66 384	4 665	71 049	484

^a In accordance with General Assembly resolution [77/314](#).

Mission comparison of budget and actual amounts on a budget basis from 1 July 2023 to 30 June 2024

United Nations Interim Administration Mission in Kosovo

(Thousands of United States dollars)

	Appropriation			Expenditure			Balance
	Original distribution ^a	Redeployment	Revised distribution	Actual	Commitments	Total expenditure	
Military and police personnel	574	3	577	577	–	577	–
Civilian personnel	31 592	1 448	33 040	32 930	110	33 040	–
Operational requirements							
Civilian electoral observers	–	–	–	–	–	–	–
Consultants and consulting services	27	(6)	21	21	–	21	–
Official travel	316	(77)	239	232	6	238	1
Facilities and infrastructure	2 686	(473)	2 213	2 162	47	2 209	4
Ground transportation	235	(98)	137	137	–	137	–
Air operations	–	–	–	–	–	–	–
Marine operations	–	–	–	–	–	–	–
Communications and information technology	1 784	(518)	1 266	1 187	79	1 266	–
Medical	85	(44)	41	25	16	41	–
Special equipment	–	–	–	–	–	–	–
Other supplies, services and equipment	3 368	(235)	3 133	2 993	107	3 100	33
Quick-impact projects	–	–	–	–	–	–	–
Total operational requirements	8 501	(1 451)	7 050	6 757	255	7 012	38
Subtotal	40 667	–	40 667	40 264	365	40 629	38
Prorated costs							
United Nations Logistics Base	538	–	538	538	–	538	–
Support account for peacekeeping operations	3 138	–	3 138	3 138	–	3 138	–
Regional Service Centre	–	–	–	–	–	–	–
Subtotal prorated costs	3 676	–	3 676	3 676	–	3 676	–
Voluntary contributions in kind (budgeted)	–	–	–	–	–	–	–
Total	44 343	–	44 343	43 940	365	44 305	38

^a In accordance with General Assembly resolution [77/311](#).

Mission comparison of budget and actual amounts on a budget basis from 1 July 2023 to 30 June 2024

United Nations Organization Stabilization Mission in the Democratic Republic of the Congo

(Thousands of United States dollars)

	Appropriation			Expenditure			Balance
	Original distribution ^a	Redeployment	Revised distribution	Actual	Commitments	Total expenditure	
Military and police personnel	538 643	–	538 643	409 711	96 380	506 091	32 552
Civilian personnel	258 208	8 670	266 878	266 036	785	266 821	57
Operational requirements							
Civilian electoral observers	–	–	–	–	–	–	–
Consultants and consulting services	517	–	517	434	58	492	25
Official travel	4 897	–	4 897	4 249	223	4 472	425
Facilities and infrastructure	49 573	7 802	57 375	44 761	12 614	57 375	–
Ground transportation	8 582	1 463	10 045	6 270	3 775	10 045	–
Air operations	115 685	(21 401)	94 284	63 915	3 056	66 971	27 313
Marine operations	910	483	1 393	583	810	1 393	–
Communications and information technology	41 023	2 982	44 005	38 146	5 859	44 005	–
Medical	1 973	1	1 974	807	337	1 144	830
Special equipment	–	–	–	–	–	–	–
Other supplies, services and equipment	43 092	–	43 092	30 716	9 722	40 438	2 654
Quick-impact projects	1 250	–	1 250	746	366	1 112	138
Total operational requirements	267 502	(8 670)	258 832	190 627	36 820	227 447	31 385
Subtotal	1 064 353	–	1 064 353	866 374	133 985	1 000 359	63 994
Prorated costs							
United Nations Logistics Base	14 089	–	14 089	14 089	–	14 089	–
Support account for peacekeeping operations	82 119	–	82 119	82 119	–	82 119	–
Regional Service Centre	10 213	–	10 213	10 213	–	10 213	–
Subtotal prorated costs	106 421	–	106 421	106 421	–	106 421	–
Voluntary contributions in kind (budgeted)	–	–	–	–	–	–	–
Total	1 170 774	–	1 170 774	972 795	133 985	1 106 780	63 994

^a In accordance with General Assembly resolution [77/309](#).

Mission comparison of budget and actual amounts on a budget basis from 1 July 2023 to 30 June 2024

United Nations Support Office in Somalia

(Thousands of United States dollars)

	Appropriation			Expenditure			Balance
	Original distribution ^a	Redeployment	Revised distribution	Actual	Commitments	Total expenditure	
Military and police personnel	161 055	(9 462)	151 593	114 074	18 935	133 009	18 584
Civilian personnel	90 943	6 068	97 011	96 807	204	97 011	–
Operational requirements							
Civilian electoral observers	–	–	–	–	–	–	–
Consultants and consulting services	257	(2)	255	226	29	255	–
Official travel	1 531	99	1 630	1 485	126	1 611	19
Facilities and infrastructure	85 213	9 320	94 533	76 597	17 936	94 533	–
Ground transportation	12 163	730	12 893	11 104	1 789	12 893	–
Air operations	94 623	(523)	94 100	91 545	2 554	94 099	1
Marine operations	946	141	1 087	329	758	1 087	–
Communications and information technology	37 363	(1 191)	36 172	30 979	5 192	36 171	1
Medical	10 929	(1 887)	9 042	7 018	2 024	9 042	–
Special equipment	–	–	–	–	–	–	–
Other supplies, services and equipment	56 568	(3 293)	53 275	30 925	22 340	53 265	10
Quick-impact projects	–	–	–	–	–	–	–
Total operational requirements	299 593	3 394	302 987	250 208	52 748	302 956	31
Subtotal	551 591	–	551 591	461 089	71 887	532 976	18 615
Prorated costs							
United Nations Logistics Base	7 301	–	7 301	7 301	–	7 301	–
Support account for peacekeeping operations	42 557	–	42 557	42 557	–	42 557	–
Regional Service Centre	5 293	–	5 293	5 293	–	5 293	–
Subtotal prorated costs	55 151	–	55 151	55 151	–	55 151	–
Voluntary contributions in kind (budgeted)	–	–	–	–	–	–	–
Total	606 742	–	606 742	516 240	71 887	588 127	18 615

^a In accordance with General Assembly resolution [77/315](#).

Mission comparison of budget and actual amounts on a budget basis from 1 July 2023 to 30 June 2024

United Nations Interim Security Force for Abyei

(Thousands of United States dollars)

	Appropriation			Expenditure			Balance
	Original distribution ^a	Redeployment	Revised distribution	Actual	Commitments	Total expenditure	
Military and police personnel	121 857	7 706	129 563	106 505	23 058	129 563	–
Civilian personnel	51 936	2 328	54 264	54 198	66	54 264	–
Operational requirements							
Civilian electoral observers	–	–	–	–	–	–	–
Consultants and consulting services	728	548	1 276	1 276	–	1 276	–
Official travel	637	434	1 071	955	116	1 071	–
Facilities and infrastructure	37 562	(3 327)	34 235	31 688	2 547	34 235	–
Ground transportation	4 138	(1 826)	2 312	2 059	253	2 312	–
Air operations	37 292	(4 784)	32 508	32 457	51	32 508	–
Marine operations	523	(219)	304	227	34	261	43
Communications and information technology	9 669	618	10 287	9 131	1 094	10 225	62
Medical	692	(28)	664	572	88	660	4
Special equipment	–	–	–	–	–	–	–
Other supplies, services and equipment	21 437	(1 450)	19 987	13 953	6 034	19 987	–
Quick-impact projects	750	–	750	591	159	750	–
Total operational requirements	113 428	(10 034)	103 394	92 909	10 376	103 285	109
Subtotal	287 221	–	287 221	253 612	33 500	287 112	109
Prorated costs							
United Nations Logistics Base	3 802	–	3 802	3 802	–	3 802	–
Support account for peacekeeping operations	22 160	–	22 160	22 160	–	22 160	–
Regional Service Centre	2 756	–	2 756	2 756	–	2 756	–
Subtotal prorated costs	28 718	–	28 718	28 718	–	28 718	–
Voluntary contributions in kind (budgeted)	–	–	–	–	–	–	–
Total	315 939	–	315 939	282 330	33 500	315 830	109

^a In accordance with General Assembly resolutions [77/290](#) B.

Mission comparison of budget and actual amounts on a budget basis from 1 July 2023 to 30 June 2024

United Nations Mission in South Sudan

(Thousands of United States dollars)

	Appropriation				Expenditure			
	Original distribution ^a	Commitment authority	Redeployment	Revised distribution	Actual	Commitments	Total expenditure	Balance
Military and police personnel	511 894	9 313	2 072	523 279	426 741	87 487	514 228	9 051
Civilian personnel	323 014	1 176	11 202	335 392	334 967	376	335 343	49
Operational requirements								
Civilian electoral observers	—	—	—	—	—	—	—	—
Consultants and consulting services	595	737	(330)	1 002	879	122	1 001	1
Official travel	2 253	215	(253)	2 215	1 963	251	2 214	1
Facilities and infrastructure	87 377	2 439	293	90 109	77 787	12 322	90 109	—
Ground transportation	14 347	123	(815)	13 655	8 446	5 112	13 558	97
Air operations	120 388	—	(11 491)	108 897	107 590	1 307	108 897	—
Marine operations	3 037	—	625	3 662	2 425	1 237	3 662	—
Communications and information technology	31 583	542	665	32 790	28 045	4 745	32 790	—
Medical	1 654	—	(407)	1 247	807	440	1 247	—
Special equipment	—	—	—	—	—	—	—	—
Other supplies, services and equipment	49 195	907	(1 561)	48 541	27 292	21 144	48 436	105
Quick-impact projects	3 500	—	—	3 500	2 675	755	3 430	70
Total operational requirements	313 929	4 963	(13 274)	305 618	257 909	47 435	305 344	274
Subtotal	1 148 837	15 452	—	1 164 289	1 019 617	135 298	1 154 915	9 374
Prorated costs								
United Nations Logistics Base	15 207	—	—	15 207	15 207	—	15 207	—
Support account for peacekeeping operations	88 637	—	—	88 637	88 637	—	88 637	—
Regional Service Centre	11 023	—	—	11 023	11 023	—	11 023	—
Subtotal prorated costs	114 867	—	—	114 867	114 867	—	114 867	—
Voluntary contributions in kind (budgeted)	—	—	—	—	—	—	—	—
Total	1 263 704	15 452	—	1 279 156	1 134 484	135 298	1 269 782	9 374

^a In accordance with General Assembly resolutions [77/292](#) B and commitment authority authorized by the Advisory Committee on Administrative and Budgetary Questions ([A/78/744/Add.13](#)).

Mission comparison of budget and actual amounts on a budget basis from 1 July 2023 to 30 June 2024

United Nations Multidimensional Integrated Stabilization Mission in Mali

(Thousands of United States dollars)

	Appropriation				Expenditure			Balance
	Original distribution ^a	Additional distribution	Redeployment	Revised distribution	Actual	Commitments	Total expenditure	
Military and police personnel	173 502	213 452	18 528	405 482	280 371	125 111	405 482	–
Civilian personnel	193 889	6 056	–	199 945	177 672	6 512	184 184	15 761
Operational requirements								
Civilian electoral observers	–	–	–	–	–	–	–	–
Consultants and consulting services	278	103	–	381	80	1	81	300
Official travel	1 618	2 782	–	4 400	3 498	335	3 833	567
Facilities and infrastructure	64 514	(22 152)	1	42 363	35 831	2 245	38 076	4 287
Ground transportation	7 004	957	(175)	7 786	6 772	115	6 887	899
Air operations	83 870	(4 876)	(841)	78 153	73 631	4 362	77 993	160
Marine operations	961	140	–	1 101	–	–	–	1 101
Communications and information technology	24 118	(490)	–	23 628	20 980	1 951	22 931	697
Medical	1 619	2 753	(1)	4 371	4 000	329	4 329	42
Special equipment	–	–	–	–	–	–	–	–
Other supplies, services and equipment	38 027	78 741	(18 010)	98 758	43 165	46 351	89 516	9 242
Quick-impact projects	600	(600)	498	498	474	24	498	–
Total operational requirements	222 609	57 358	(18 528)	261 439	188 431	55 713	244 144	17 295
Subtotal	590 000	276 866	–	866 866	646 474	187 336	833 810	33 056
Prorated costs								
United Nations Logistics Base	–	–	–	–	–	–	–	–
Support account for peacekeeping operations	–	–	–	–	–	–	–	–
Regional Service Centre	–	–	–	–	–	–	–	–
Subtotal prorated costs	–	–	–	–	–	–	–	–
Voluntary contributions in kind (budgeted)	–	–	–	–	–	–	–	–
Total	590 000	276 866	–	866 866	646 474	187 336	833 810	33 056

^a In accordance with General Assembly resolutions [77/312](#) and [78/250](#).

Mission comparison of budget and actual amounts on a budget basis from 1 July 2023 to 30 June 2024

United Nations Multidimensional Integrated Stabilization Mission in the Central African Republic

(Thousands of United States dollars)

	Appropriation			Expenditure			Balance
	Original distribution ^a	Redeployment	Revised distribution	Actual	Commitments	Total expenditure	
Military and police personnel	642 888	(13 439)	629 449	500 912	126 202	627 114	2 335
Civilian personnel	223 580	11 250	234 830	233 717	1 097	234 814	16
Operational requirements							
Civilian electoral observers	—	—	—	—	—	—	—
Consultants and consulting services	690	(362)	328	273	55	328	—
Official travel	3 441	122	3 563	3 287	272	3 559	4
Facilities and infrastructure	70 536	1 285	71 821	50 434	21 385	71 819	2
Ground transportation	19 071	328	19 399	15 690	3 707	19 397	2
Air operations	91 263	(12 099)	79 164	62 272	16 803	79 075	89
Marine operations	501	400	901	88	813	901	—
Communications and information technology	38 682	141	38 823	31 056	7 683	38 739	84
Medical	2 786	(750)	2 036	1 407	628	2 035	1
Special equipment	—	—	—	—	—	—	—
Other supplies, services and equipment	49 121	13 124	62 245	37 941	24 268	62 209	36
Quick-impact projects	3 000	—	3 000	2 581	411	2 992	8
Total operational requirements	279 091	2 189	281 280	205 029	76 025	281 054	226
Subtotal	1 145 559	—	1 145 559	939 658	203 324	1 142 982	2 577
Prorated costs							
United Nations Logistics Base	15 164	—	15 164	15 164	—	15 164	—
Support account for peacekeeping operations	88 384	—	88 384	88 384	—	88 384	—
Regional Service Centre	10 992	—	10 992	10 992	—	10 992	—
Subtotal prorated costs	114 540	—	114 540	114 540	—	114 540	—
Voluntary contributions in kind (budgeted)	—	—	—	—	—	—	—
Total	1 260 099	—	1 260 099	1 054 198	203 324	1 257 522	2 577

^a In accordance with General Assembly resolution [77/307](#).

Mission comparison of budget and actual amounts on a budget basis from 1 July 2023 to 30 June 2024

Support account for peacekeeping operations

(Thousands of United States dollars)

	Appropriation			Expenditure			Balance
	Original distribution ^a	Redeployment	Revised distribution	Actual	Commitments	Total expenditure	
Military and police personnel	3 845	21	3 866	451	3 415	3 866	–
Civilian personnel	282 611	706	283 317	282 056	1 261	283 317	–
Operational requirements							
Civilian electoral observers	–	–	–	–	–	–	–
Consultants and consulting services	1 686	794	2 480	1 364	1 116	2 480	–
Official travel	5 770	–	5 770	5 203	352	5 555	215
Facilities and infrastructure	24 001	(53)	23 948	23 147	798	23 945	3
Ground transportation	95	(2)	93	99	(6)	93	–
Air operations	–	–	–	–	–	–	–
Marine operations	–	–	–	–	–	–	–
Communications and information technology	36 306	(3 050)	33 256	26 536	5 319	31 855	1 401
Medical	112	(1)	111	91	20	111	–
Special equipment	–	–	–	–	–	–	–
Other supplies, services and equipment	33 382	1 585	34 967	32 527	2 440	34 967	–
Quick-impact projects	–	–	–	–	–	–	–
Total operational requirements	101 352	(727)	100 625	88 967	10 039	99 006	1 619
Total	387 808	–	387 808	371 474	14 715	386 189	1 619

^a In accordance with General Assembly resolution [77/304](#).

Mission comparison of budget and actual amounts on a budget basis from 1 July 2023 to 30 June 2024

United Nations Logistics Base at Brindisi, Italy

(Thousands of United States dollars)

	Appropriation			Expenditure			Balance
	Original distribution ^a	Redeployment	Revised distribution	Actual	Commitments	Total expenditure	
Military and police personnel	–	–	–	–	–	–	–
Civilian personnel	43 303	2 805	46 108	45 977	131	46 108	–
Operational requirements							
Civilian electoral observers	–	–	–	–	–	–	–
Consultants and consulting services	174	78	252	171	81	252	–
Official travel	397	(22)	375	317	44	361	14
Facilities and infrastructure	6 709	(57)	6 652	4 749	1 839	6 588	64
Ground transportation	495	(129)	366	332	15	347	19
Air operations	9	(1)	8	4	1	5	3
Marine operations	–	12	12	–	12	12	–
Communications and information technology	13 730	(2 474)	11 256	9 357	1 822	11 179	77
Medical	72	(28)	44	15	25	40	4
Special equipment	–	–	–	–	–	–	–
Other supplies, services and equipment	1 089	(184)	905	767	108	875	30
Quick-impact projects	–	–	–	–	–	–	–
Total operational requirements	22 675	(2 805)	19 870	15 712	3 947	19 659	211
Total	65 978	–	65 978	61 689	4 078	65 767	211

^a In accordance with General Assembly resolution [77/305](#).

Mission comparison of budget and actual amounts on a budget basis from 1 July 2023 to 30 June 2024

Regional Service Centre in Entebbe, Uganda

(Thousands of United States dollars)

	Appropriation			Expenditure			Balance
	Original distribution ^a	Redeployment	Revised distribution	Actual	Commitments	Total expenditure	
Military and police personnel	—	—	—	—	—	—	—
Civilian personnel	36 274	720	36 994	36 938	56	36 994	—
Operational requirements							
Civilian electoral observers	—	—	—	—	—	—	—
Consultants and consulting services	85	(79)	6	—	—	—	6
Official travel	249	(115)	134	131	—	131	3
Facilities and infrastructure	2 157	(319)	1 838	1 605	168	1 773	65
Ground transportation	93	(22)	71	71	—	71	—
Air operations	—	—	—	—	—	—	—
Marine operations	—	—	—	—	—	—	—
Communications and information technology	4 258	(41)	4 217	3 596	621	4 217	—
Medical	99	(70)	29	—	—	—	29
Special equipment	—	—	—	—	—	—	—
Other supplies, services and equipment	432	(74)	358	310	37	347	11
Quick-impact projects	—	—	—	—	—	—	—
Total operational requirements	7 373	(720)	6 653	5 713	826	6 539	114
Total	43 647	—	43 647	42 651	882	43 533	114

^a In accordance with General Assembly resolution [77/306](#).